

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 25-12

DOLLAR GENERAL LOGISTICS, LLC

v.

YANG MING MARINE TRANSPORT CORP.

**COMPLAINANT DOLLAR GENERAL LOGISTICS, LLC'S
PROPOSED FINDINGS OF FACT**

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Pursuant to Rule 214 of the Federal Maritime Commission’s (the “Commission” or “FMC”) Rules of Practice and Procedure, 46 C.F.R. Section 502.214, Complainant Dollar General Logistics, LLC (“Complainant” or “DG”) submits the following Proposed Findings of Fact (“FOF”) in support of its Opening Brief:¹

PROPOSED FINDINGS OF FACT

INTRODUCTION

1. On June 27, 2025, pursuant to 46 U.S.C. Section 41301, DG filed its Verified Complaint against Respondent Yang Ming Marine Transport Corp. (“YM”, “Yang Ming”, “YMTC”, or “Respondent”). *See* Ex. 62 [APP-75-104].

1.1. On July 25, 2025, YM filed its Answer to Complaint with Affirmative Defenses. DG’s Verified Complaint. *See Dollar General Logistics, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 25-12 (Jul. 25, 2025) [APP-1-66].

1.2. On August 1, 2025, DG served its Initial Disclosures to Respondent. *See* Complainant’s Initial Disclosures to Respondent, *Dollar General Logistics, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 25-12 (Aug. 1, 2025) (the “Initial Disclosures”) [APP-112-119].

1.3. On April 17, 2026, DG served its Supplemental Objections and Responses to Respondent’s First Set of Interrogatories on YM. *See* Ex. 76 (Complainant’s Supplemental Objections and Responses to Respondent’s First Set of Interrogatories, *Dollar General Logistics, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 25-12 (Apr. 17, 2026)) (the “DG Supplemental Interrogatory Responses”) [APP-120-186].

2. On August 20, 2026, pursuant to 46 U.S.C. Section 41301 and 46 C.F.R. Section 502.66, DG filed its Verified Amended Complaint, FMC Docket No. 25-12 (Aug. 20, 2026) (the “Complaint”) against YM.

2.1. On August 20, 2026, YM filed its Answer to the Complaint. *See Dollar General Logistics, LLC v. Yang Ming Marine Transport Corp.*, FMC Docket No. 25-12 (Aug. 20, 2026) (the “Answer”) [APP-1-66].

3. As to transportation of cargoes, DG’s Complaint alleges that YM’s conduct with respect to DG and other shippers during the period of May 1, 2021 through April 30, 2022 (the “2021 Shipping Year”) violated the Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 *et seq.* (the “Shipping Act”), in six separate counts:

- **COUNT I (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”):** “Yang Ming’s practices alleged herein of systematically failing to

¹ Citations to information in the record are contained in DG’s Appendix (“App.” or “APP-___”).

meet its service commitments to Complainant and, upon information and belief, other shippers constituted failures by Yang Ming to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).” Complaint ¶ 166 [APP-58].

- **COUNT II (“Conduct not in accordance with Service Contracts”):** “Yang Ming’s practices alleged herein of systematically failing to meet its service commitment to Complainant and refusing to honor the agreed rates under the 2021 Service Contract—including by declining to release bookings due to internal rate filing issues and attempting to charge rates inconsistent with the final agreed terms—constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Yang Ming’s 2021 Service Contract with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).” Complaint ¶ 168 [APP-58].
- **COUNT III (“Unreasonable refusals to deal or negotiate”):** “Yang Ming’s practices alleged herein of systematically failing to meet its service commitments to Complainant, failing to negotiate in good faith future service contracts, and preferring higher priced carriage of other shippers’ cargo constituted unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10).” Complaint ¶ 170 [APP-59].
- **COUNT IV (“Unfair or unjustly discriminatory practice in the matter of rates or charges with respect to specific ports”):** “Yang Ming’s practices of systematically failing to meet service commitments, refusing to honor contract rates, and failing to provide vessel space for Complainant’s cargo originating from or destined for the ports intended to be covered by Complainant’s 2021 Service Contract—including, in particular, from Shenzhen, China to Los Angeles/Long Beach, California, from Ningbo, China to Los Angeles/Long Beach, California, and from Shanghai, China to Los Angeles/Long Beach as well as ports on the East Coast of the United States—while simultaneously providing vessel space to other higher-paying shippers on the same routes, constituted unfair and unjustly discriminatory practices in the matter of rates and charges with respect to those ports, in violation of 46 U.S.C. § 41104(a)(5).” Complaint ¶ 172 [APP-59].
- **Count V (“Undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port”):** “Yang Ming’s systematic failure to provide vessel space and meet service commitments for Complainant’s cargo originating from or destined for specific ports—specifically including, in particular, from Shenzhen, China to Los Angeles/Long Beach, California, from Ningbo, China to Los Angeles/Long Beach, California, and from Shanghai, China to Los Angeles/Long Beach as well as ports on the East Coast of the United States—gave undue and unreasonable preference and advantage to other shippers shipping to or from those ports while simultaneously imposing undue and unreasonable prejudice and disadvantage on Complainant’s cargo to be shipped to or from those ports. By prioritizing more lucrative routes and higher-priced cargo at the expense of its contractual obligations to Complainant with respect to these specific ports, and redirecting vessel capacity to other world regions or routes, Yang Ming engaged in a clear pattern of conduct targeted at the port pairs that

were supposed to be covered by Complainant’s 2021 Service Contract, rather than legitimate transportation factors, in violation of 46 U.S.C. § 41104(a)(9).” Complaint ¶ 174 [APP-60].

- **COUNT VI (“Retaliation”):** “In response to Complainant’s complaints about Yang Ming’s unjust and unreasonable practices as alleged herein, Yang Ming retaliated against Complainant, refusing available cargo space allocation, and failing to negotiate in good faith future service contracts, in violation of the former 46 U.S.C. Section 41104(a)(3), now codified at 46 U.S.C. Section 41102(d).” Complaint ¶ 176 [APP-60].

4. DG seeks reparations from YM in connection with the above Counts pursuant to 46 U.S.C. Section 41305.

5. After fact and expert discovery, DG’s direct damages from its actual injuries for which it seeks an award of reparations and lost profits was calculated to total \$191,488,880, before statutory doubling based on YM’s retaliation. *Infra* Argument § VII.

I. THE PARTIES

A. Dollar General Logistics, LLC (Complainant)

6. Complainant Dollar General Logistics, LLC, also known as DG Logistics, LLC, is a corporation existing under the laws of Tennessee with its principal place of business located at 100 Mission Ridge Dr., Goodlettsville, Tennessee 37072, telephone 615-855-4000, and reachable via its undersigned counsel’s telephone numbers and email addresses listed below. *See* Complaint ¶ 21 [APP-10]; Dollar General Corporation 10-Q Quarterly Report (June 02, 2026) at 1 [APP-4149].

7. For purposes of the shipments that are the subject of this action, DG was a “shipper” as that term is defined by 46 U.S.C. Section 40102(23). *See* Complaint ¶ 21 [APP-10]; Initial Disclosure at 1-2 [APP-112-113].

8. The below table lists certain DG personnel and their positions during the Relevant Period:

DG Personnel and Their Positions	
Name	Position and Responsibilities
Ibrahim, Meshel	Senior Analyst of International Transportation, International Logistics Team, Dollar General. Meshel Ibrahim was a Senior Analyst in the International Logistics team within DG’s International Transportation Department during the 2021 Shipping Year. Ibrahim’s responsibilities included managing analytical reporting, Power BI dashboards, and billing and invoicing for the ocean and domestic transportation teams. Ibrahim coordinated with and supported Chelsea Morris. <i>See</i> Ibrahim Dep. Tr. 12:16-14:24, 20:11-19 [APP-445-447].

Kwok, Raymond	General Manager and Senior Director, Dollar General Global Sourcing (Hong Kong Office). Raymond Kwok was the General Manager and Senior Director of Dollar General Global Sourcing’s Hong Kong office during the 2021 Shipping Year. Kwok’s responsibilities included managing for operational projects, including purchase order management, quality and compliance analysis, business data analysis, packaging, and sourcing. Kwok oversaw the Hong Kong operations team and coordinated with Expeditors International and DG’s International Transportation team to monitor cargo shipment status and escalate issues such as vessel space shortfalls as to ocean carriers, including Yang Ming. <i>See Kwok Dep. Tr. 14:1-20, 74:22-23, 75:3-5, 75:7-12 [APP-625, APP-640].</i>
Mark Li	Senior Operations Manager, Dollar General Global Sourcing (Hong Kong Office). Mark Li was a Senior Operations Manager in Dollar General Global Sourcing’s Hong Kong office during the 2021 Shipping Year. Li’s responsibilities included liaising with DG’s U.S. International Logistics team and Expeditors International to facilitate vendor bookings, resolve booking issues, and ensure vendors delivered containers to port in a timely manner. <i>See Li Dep. Tr. 13:14-22, 16:13-17:1 [APP-660-661].</i>
Martin, Kristen	Director of International Transportation, Dollar General. Kristen Martin was a Director in DG’s International Transportation Department during the 2021 Shipping Year. <i>See DGFMC-0036748 at (DGFMC-0036748) [APP-2329].</i>
Mishra, Sanjay	Vice President of International Transportation, Dollar General. Sanjay Mishra was a Vice President in DG’s International Transportation Department during the 2021 Shipping Year. Mishra’s responsibilities included negotiating service contracts with ocean carriers along with Chelsea Morris. <i>See Morris Dep. Tr. 20:22-21:6 [APP-893-894]; Ex. 6 (YM_00973062) at YM_00973063 [APP-1170].</i>

Morris, Chelsea	Senior Manager of International Transportation, Dollar General. Chelsea Morris was a Senior Manager in DG’s International Transportation Department during the 2021 Shipping Year. Morris was regularly in direct contact with YM throughout the 2021 Shipping Year. Morris’s responsibilities included budgeting, contract negotiation, lower-level weekly carrier management, and operational oversight of DG’s ocean freight program, including supporting all negotiations and execution of service contracts with ocean carriers, such as YM. <i>See</i> Morris Dep. Tr. 12:5-11, 17:15-18:6, 20:18-21:6 [APP-891, APP-893-894].
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B. Yang Ming Marine Transport Corp. (Respondent)

9. YM is a company existing under the laws of Taiwan with its principal place of business located at No. 271, Ming De 1st Road, Cidu District, Keelung 20646, Taiwan. *See* Complaint ¶ 22 [APP-11]; Yang Ming Marine Transport Corp., 2020 Annual Report at 3, 167 [APP-2714, APP-2878]; Yang Ming Marine Transport Corp., 2021 Annual Report at 3, 178 [APP-3091, APP-3266]; Yang Ming Marine Transport Corp., 2022 Annual Report at 3 [APP-3475].

9.1. YM acts in the United States by and through its agent, Yang Ming (America) Corp., a company existing under the laws of the State of New York with its principal place of business located at One Newark Center, 1085 Raymond Blvd., 9th Floor, Newark, NJ 07102. *See* Complaint ¶ 22 [APP-11]; Yang Ming Marine Transport Corp., 2020 Annual Report at 142 [APP-2853]; Yang Ming Marine Transport Corp., 2021 Annual Report at 153 [APP-3241]; Yang Ming Marine Transport Corp., 2022 Annual Report at 167 [APP-3639].

9.2. YM’s denial of “knowledge or information sufficient to form a belief as to” the Complaint’s allegations in paragraph 22, *i.e.*, the addresses of (1) YM’s principal place of business in Taiwan and (2) it’s agent Yang Ming (America) Corp.’s principal place of business in Newark, New Jersey is not credible given that this information is contained within YM’s own annual financial reports. *Cf.* Answer ¶ 2 [APP-67]; *see* Complaint ¶ 22 [APP-11]; Yang Ming Marine Transport Corp., 2020 Annual Report at 142 [APP-2853]; Yang Ming Marine Transport Corp., 2021 Annual Report at 153 [APP-3241]; Yang Ming Marine Transport Corp., 2022 Annual Report at 167 [APP-3639].

10. Respondent Yang Ming Marine Transport Corp. is an “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 000138. *See* Complaint ¶ 22 [APP-11]; Vessel-Operating Common Carrier Tariff Registry, Fed. Mar. Comm’n (Org. No. 000138, Yang Ming Marine Transport Corp.), <https://www2.fmc.gov/FMC1Users/scripts/ExtReports.asp?tariffClass=vocc> (last accessed Sept. 23, 2026) [APP-4226-4228].

11. YM organized its North American sales operations into three geographic regions, each responsible for managing service contracts and customer relationships in its respective territory:

the North Atlantic region (“NAT”), the Mid-Atlantic region (“MAT”), and the South Atlantic region (“SAT”). *See* Ex. 70 (McCown Report) ¶ 97 (referencing “the 3 North American regions (NAT, MAT and SAT, where DGL is housed)” in the context of Brian Chen’s January 2022 internal worksheet tracking beneficial cargo owner (“BCO”) service performance across all three regions) [APP-1509]; Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT” (January 25, 2022 internal YM look-back spreadsheet organized by region, with separate tabs for the NAT, MAT, and SAT regions reflecting each region’s BCO customer accounts and their respective MQC performance metrics) [APP-1312].

11.1. The NAT encompassed YM’s customer accounts managed out of its New York City (“USNYC”) and Boston (“USBOS”) sales offices, covering BCO and non-vessel-operating common carrier (“NVOCC” or “NVO”) customers in the northeastern United States. *See* Ex. 39 (YM_01105410) at YM_01105410-15 (email chain referencing “NAT” accounts managed out of USNYC and USBOS offices) [APP-1282-1287]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

11.2. The MAT encompassed YM’s customer accounts managed out of its mid-Atlantic sales offices, covering BCO and NVOCC customers in the mid-Atlantic United States. *See* Ex. 42 (YM_00601425) at Tab “MAT” [APP-1312]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

11.3. The SAT encompassed YM’s customer accounts managed out of its Atlanta (“USATL”) and Charlotte (“USCLT”) sales offices, covering BCO and NVOCC customers in the southeastern United States, including DG. *See* Ex. 42 (YM_00601425) at Tab “SAT” [APP-1312]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

12. During the 2021 Year, YM had roughly 37 customers in YM’s North America, East Coast SAT region. *See* Ex. 42 (YM_00601425) at Tab “SAT” [APP-1312].

12.1. Dollar General was a customer within Yang Ming’s SAT region, but not a flagship account of Yang Ming. *See* Ex. 42 (YM_00601425) at Tab “SAT” [APP-1312]; *see also* Ex. 70 (McCown Report) ¶ 97 [APP-1509].

12.1.1. According to YM’s internal 2022 space allocation planning document, the SAT region (serviced out of the Atlanta and Memphis offices) encompassed 37 signed accounts during the 2021-2022 contract year with an aggregate MQC of approximately 81,272 TEU. *See* Ex. 42 (YM_00601425) at Tab “SAT” [APP-1312].

12.1.2. Dollar General represented approximately 5.3% of the SAT region’s total signed MQC volume. *See* Ex. 42 (YM_00601425) at Tab “SAT” [APP-1312].

12.1.3. Notwithstanding DG’s relatively modest share of the SAT region’s total MQC, YM provided DG with only 588.75 TEUs of cargo space against its contracted MQC of 4,272 TEU during the 2021 contract year, making DG one of the worst-served BCO accounts in the entire SAT region. *See* Ex. 42 (YM_00601425) at Tab “SAT” [APP-1312].

13. The table below lists certain YM personnel and their positions during the Relevant Period:

YM Personnel and Positions	
Name	Position and Responsibilities
Chen, Brian	Manager of Eastbound Marketing & Pricing for Yang Ming's Commercial Transpacific Department. Brian Chen held a high-level management position in YM's Commercial Transpacific Department, serving as the supervisor of Transpacific Eastbound Marketing & Pricing Team B during the 2021 Shipping Year. Chen reported to Bella Yang (Deputy of the Commercial Transpacific Department) and Rolly Chien (Head of Commercial Transpacific Department). Chen was the direct supervisor of both Michael Wu (SAT region, where DG was located) and Sandy Hsu (NAT region). Chen's responsibilities included marketing and business management, including the signing and management of YM's accounts and service contracts for YM's U.S. routes for the East Coast of the U.S. Chen was responsible for managing contracts and account relationships in his assigned regions, which included the SAT region where DG was located. Chen also held responsibilities over Japan and Korea. <i>See</i> Chen Dep. Tr. 13:24-16:4, 21:10-22:7 [APP-278-281]; Hsu Dep. Tr. 32:10-14 [APP-410]; Wu Dep. Tr. 15:1-22, 68:17-69:14 [APP-1086, APP-1099]; Ex. 52 (YM_01895958) at YM_01895958 [APP-1355].
Chien, Rolly	Deputy Vice President / Department Head (Americas Business team) of Yang Ming's Commercial Transpacific Department. Rolly Chien (or Chien Hong Chong) was the Department Head of YM's Commercial Transpacific Department during the 2021 Shipping Year. Chien supervised YM's Commercial Transpacific Department, including the Americas Business team. Chien's subordinates included Bella Yang (Deputy of the department) and Brian Chen. Functionally, Chien held final decision-making authority over allocation and other decisions in YM's Commercial Transpacific Department. Chien's subordinates, like Bella Yang and Brian Chen, would provide advice, which Chien would consider and incorporate into his ultimate decisions. During the 2021 Shipping Year, Chien was among the main members of YM's Taipei commercial trade team. Chien was among those at YM who received the FMC complaint notice of the instant litigation. <i>See</i> Chen Dep. Tr. 15:17-16:4, 21:10-22:7 [APP-279-281]; Cobb Dep. Tr. 145:16-20 [APP-350]; Wu Dep. Tr. 15:9-16:1, 27:9-13, 69:12-21 [APP-1086, APP-1089, APP-1099];

	Krueger Dep. Tr. 29:5-10, 30:8-13 [APP-572, APP-573]; Ex. 52 (YM_01895958) at YM_01895959-60 [APP-1356-1357].
Cobb, Chris	Regional Sales Manager of Yang Ming's South Atlantic Region (SAT). Chris Cobb was a regional sales manager in YM's SAT region during the 2021 Shipping Year. Cobb reported to Mike Collins (Vice President of Sales for the SAT Region), who in turn reported to Greg Krueger (Vice President of Sales). Cobb managed three sales representatives, including Jim Nickels, and two sales coordinators for customer relationship oversight, overseeing six U.S. states, including Tennessee where DG was located. Cobb coordinated near-daily with Michael Wu regarding matters including contract negotiations and space issues, and when deeper escalation was needed, Cobb corresponded with Wu's supervisor, Brian Chen. <i>See</i> Cobb Dep. Tr. 20:13-21:21, 24:1-10, 26:5-29:14, 31:23-33:25, 144:7-144:23 [APP-319-322, APP-350]; Ex. 20 (YM_00121871) at YM_00121871 [APP-1213].
Collins, Mike	Sales Director for YM's South Atlantic Region. Mike Collins served as YM's sales director for the SAT region during the 2021 Shipping Year, a position that other witnesses in the record identified as Vice President of Sales for the SAT region. <i>See</i> Ex. 6 (YM_00973062) [APP-1169-1171]; Cobb Dep. Tr. 28:17-30:8 [APP-321-322]. Collins reported to Greg Krueger (Vice President of YM's North American Sales Department) and directly supervised Chris Cobb (Regional Sales Manager of the SAT region). Through Cobb, Collins' chain of command extended to the SAT region's sales representatives, including Jim Nickels, who held direct responsibility for the DG account. <i>See</i> Cobb Dep. Tr. 20:13-21:21, 24:1-10, 26:5-29:14, 31:23-33:25, 144:7-144:23 [APP-319-322, APP-350].
Hsu, Sandy	Senior Manager of Eastbound Marketing & Pricing Team B of Yang Ming's Commercial Transpacific Department, North Atlantic Region (NAT). Sandy Hsu was a member of YM's Eastbound Marketing & Pricing Team B in the Commercial Transpacific Department and was responsible for YM's accounting in the NAT region during the 2021 Shipping Year. Hsu reported to Brian Chen. Hsu's responsibilities included addressing customer complaints, coordinating with YM's NAT sales representatives (such as Dan Vidal, James DeFillippis, and Jennifer

	Campos). Hsu regularly interacted with her colleague and counterpart in the SAT region, Michael Wu. <i>See</i> Hsu Dep. Tr. 26:17-25, 28:15-29:16, 30:1-16, 32:10-17, 34:7-12, 61:25-62:15 [APP-409-411, APP-417-418]; Ex. 39 (YM_01105410) at YM_01105411 [APP-1283].
Krueger, Greg	Vice President of Yang Ming’s North American Sales Department. Greg Krueger oversaw YM’s North American Sales Department during the 2021 Shipping Year. Krueger reported to senior sales leadership at YM’s U.S. headquarters in New York. Krueger directly supervised Mike Collins (Vice President of Sales for the SAT region), who was Chris Cobb’s direct supervisor, reported to Krueger. <i>See</i> Cobb Dep. Tr. 28:17-30:8 [APP-321-322]; Ex. 31 (YM_02017335) at YM_02017336 [APP-1247].
Nickels, Jim	Sales Representative of Yang Ming Transport Corporation America, South Atlantic Region (SAT) (Assigned to Dollar General Account). Jim Nickels was a Sales Representative in YM’s SAT region during the 2021 Shipping Year. Nickels held direct responsibility over YM’s DG account. Nickels reported to Chris Cobb (Regional Sales Manager of the SAT region), who reported to Mike Collins (Vice President of Sales for the SAT region), who in turn reported to Greg Krueger (Vice President of YM’s North American Sales Department). Nickels’ responsibilities included contacting prospective accounts or current accounts, managing account relationships, and signing new accounts for Yang Ming. <i>See</i> Nickels Dep. Tr. 19:21-21:11, 127:14-17, 154:15-20 [APP-951, APP-978, APP-985].
Wu, Michael	Senior Manager of Eastbound Marketing & Pricing Team B of Yang Ming’s Commercial Transpacific Department, South Atlantic Region (SAT). Michael Wu was a member of YM’s Eastbound Marketing & Pricing Team B in the Commercial Transpacific Department and was responsible for YM’s accountings in the SAT region during the 2021 Shipping Year. Wu reported directly to Brian Chen. Wu managed the SAT region and was the YM Commercial Transpacific Eastbound Department’s representative with direct responsibility over YM’s DG account. Wu’s responsibilities included setting pricing and negotiating service contracts for the SAT region, including the management of BCO customer contracts on YM’s Transpacific Eastbound trade lanes. On the U.S. sales side, Wu served as the primary Taiwan-based point of contact for Chris Cobb (with whom Wu communicated on a near-daily basis

	regarding accounts, bids, space issues, and budgets) and the SAT sales team including Jim Nickels. <i>See</i> Cobb Dep. Tr. 31:23-33:25 [APP-322]; Nickels Dep. Tr. 39:20-40:7 [APP-956]; Wu Dep. Tr. 15:12-20, 27:4-7, 65:16-66:6 [APP-1086, APP-1089, APP-1098-1099]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421].
Yang, Bella	Department Deputy (Americas Business Team) of Yang Ming's Commercial Transpacific Department. Bella Yang was the Department Deputy of YM's Commercial Transpacific Department during the 2021 Shipping Year. Yang reported directly to Rolly Chien. Yang supervised Brian Chen, Michael Wu, and Sandy Hsu. Yang's responsibilities included supporting Rolly Chien's decision-making authority over allocation and other decisions in YM's Commercial Transpacific Department. Bella Yang was among those at YM who received the FMC complaint notice of the instant litigation. <i>See</i> Wu Dep. Tr. 15:9-16:1, 27:9-13, 69:16-21 [APP-1086, APP-1089, APP-1099]; Krueger Dep. Tr. 29:5-10, 30:2-3 [APP-572, APP-573]; Ex. 52 (YM_01895958) at YM_01895959 [APP-1356].
Yeh, Winston	Vice President in Yang Ming's Commercial Transpacific Department. Winston Yeh was a Vice President in YM's Commercial Transpacific Department during the 2021 Shipping Year. Yeh's position was roughly co-equal with Rolly Chien and senior to that of Brian Chen and Michael Wu. Yeh held authority to help the U.S. sales team secure vessel space. <i>See</i> Hsu Dep. Tr. 69:16-24 [APP-419]; Nickels Dep. Tr. 113:5-19, 114:1-11 [APP-974, APP-975]; Cobb Dep. Tr. 144:24-145:4 [APP-350]; Krueger Dep. Tr. 106:1-4, 111:23-112:3, 114:22-25 [APP-592-594]; Ex. 32 (YM_02057515) at YM_02057515 [APP-1248].

C. Expeditors International of Washington, Inc. (Third-Party)

14. Expeditors International of Washington, Inc. ("Expeditors") is a Fortune 500 global logistics company headquartered in Bellevue, Washington, operating a global network of over 335 locations in more than 100 countries on six continents. *See* About us, Expeditors (2026), <https://www.expeditors.com/about-us> (last visited June 16, 2026) [APP-2331-2334].

15. In response to a subpoena issued by the Presiding Officer in this action on March 25, 2026 and served on Expeditors the same day, Expeditors produced a declaration, signed by Sean MacCorkle and dated June 18, 2026 (the "Expeditors Declaration"). *See* Expeditors Declaration [APP-187-191].

15.1. The Expeditors Declaration attached two exhibits, Exhibits A and B. *See* Expeditors Decl., Ex. A and B [APP-273-274].

16. Expeditors is a publicly traded global logistics company with more than 300 locations and 15,000 employees. *See* Expeditors Decl. ¶ 2 [APP-187].

17. During the years 2021 and 2022, Expeditors dealt with and booked ocean freight transportation with various vessel-operating common carriers, including YM. *See* Expeditors Decl. ¶ 3 [APP-187].

18. During the years 2021 and 2022 Expeditors was an authorized agent for DG to assist DG in managing its ocean freight transportation requirements. *See* Expeditors Decl. ¶ 4 [APP-188].

19. During the shipping year 2021–2022, as an authorized agent of Dollar General, Expeditors sought to procure cargo space allocations from Yang Ming and book cargo for carriage by Yang Ming pursuant to Dollar General’s service contract with Yang Ming. *See* Expeditors Decl. ¶ 5 [APP-188].

20. As required by DG, during the 2021 Shipping Year Expeditors regularly reported to DG about the status of Expeditors’ efforts to procure cargo space allocations from YM and book cargo for carriage by YM pursuant to Dollar General’s service contract with YM. *See* Expeditors Decl. ¶ 6 [APP-188].

21. On occasions when such cargo space allocations requested from YM were not available or cargo could not be booked for carriage by YM pursuant to DG’s service contract with YM, Expeditors would then follow DG’s standing instructions to attempt to procure the necessary cargo space from other vessel-operating common carriers previously designated as alternatives or, if no such cargo space was available from other vessel-operating common carriers, Expeditors would, with DG’s approval, procure cargo space for DG’s cargo from a non-vessel-operating common carrier, including on some occasions Expeditors’ NVOCC service. *See* Expeditors Decl. ¶ 7 [APP-188].

22. Expeditors’ efforts on behalf of DG to procure cargo space allocations from YM and book cargo for carriage by YM took the form of communications (or attempts to communicate) with YM via YM’s website, Expeditors’ ETMS (EDI message) and by telephone and email. *See* Expeditors Decl. ¶ 8 [APP-188].

22.1. If the shipment involved North China, then YM’s website or its booking agent in China were used to make the booking. *See* Expeditors Decl. ¶ 8 [APP-188].

23. Under Expeditors’ data retention policies and practices, instant messages, most emails, and records (if any) of telephone calls, were not retained indefinitely in the ordinary course of business. *See* Expeditors Decl. ¶ 9 [APP-189].

24. Expeditors’ Carrier Allocation software platform retains data from 2021 and 2022 reflecting, at least in part, DG’s forecasting to YM of Dollar General’s cargo space needs, DG and Expeditors’ requests for cargo space allocations, and, in at least some instances, YM’s responses

(or lack thereof) to such forecasting and space allocation requests (collectively, the “Relevant Data”). *See* Expeditors Decl. ¶ 11 [APP-189].

24.1. Carrier Allocation creates detailed advance forecasts based on customer purchase order data, Yang Ming published schedules, and DG carrier guidance. *See* Expeditors Decl. ¶ 11 [APP-189].

25. Exhibit A to the Expeditors Declaration is a report containing data for the relevant period extracted at the direction of Sean MacCorkle from the Carrier Allocation software platform.

25.1. Exhibit A to the Expeditors Declaration lists volumes either rejected by YM or for which forecast space was requested from YM but no response was received. *See* Expeditors Decl., Ex. A [APP-273]; Expeditors Decl. ¶ 12 [APP-189].

25.2. It is not possible to track in the Carrier Allocation platform how each of these shipments were ultimately handled after they could not be booked on Yang Ming. *See* Expeditors Decl., Ex. A [APP-273]; Expeditors Decl. ¶ 12 [APP-189].

25.3. The data contained in Exhibit A to the Expeditors Declaration was entered at or near the times reflected in Exhibit A by the user accounts reflected in Exhibit A (i.e., DG, Expeditors, and/or YM personnel with access to the Carrier Allocation software platform) as a regular business practice and maintained in the ordinary course of Expeditors’ business activities. *See* Expeditors Decl., Ex. A [APP-273]; Expeditors Decl. ¶ 13 [APP-190].

25.4. Columns X through AA of Exhibit A to the Expeditors Declaration indicate the Client agreed amount in TEUs and FEUs and the Carrier agreed amount in TEUs and FEUs. *See* Expeditors Decl., Ex. A [APP-273]; Expeditors Decl. ¶ 13 [APP-190].

25.4.1. In this instance, as is typically the case, those amounts are the same. *See* Expeditors Decl., Ex. A [APP-273]; Expeditors Decl. ¶ 13 [APP-190].

25.4.2. These separate fields are used for customers whose method of counting TEUs and FEUs may differ from the carriers’ method. *See* Expeditors Decl., Ex. A [APP-273]; Expeditors Decl. ¶ 13 [APP-190].

25.4.3. Because DG and its carriers use the same counting method, the amounts match. *See* Expeditors Decl., Ex. A [APP-273]; Expeditors Decl. ¶ 13 [APP-190].

26. Exhibit A to the Expeditors Declaration shows that of the 9,904.41 FEU bookings requested by Expeditors on behalf of DG to YM during the 2021 Shipping Year, YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%). *See* Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) [APP-273].

27. Exhibit B to the Expeditors Declaration is a report drawn from the ETMS system at the direction of Sean MacCorkle showing the shipments actually shipped with Yang Ming during the

relevant period. ETMS is Expeditors' global transportation system. *See* Expeditors Decl., Ex. B [APP-274]; Expeditors Decl. ¶ 14 [APP-190].

27.1. Exhibit B to the Expeditors Declaration contains all shipments with YM that had a confirmed departure from January 2021 through the end of May 2022. *See* Expeditors Decl., Ex. B [APP-274]; Expeditors Decl. ¶ 14 [APP-190].

27.2. Column P "Booked" reflects the booked departure date and column Q reflects the actual recorded departure date. *See* Expeditors Decl., Ex. B [APP-274]; Expeditors Decl. ¶ 14 [APP-190].

27.3. The column headed "HBL" is a shorthand for an internal Expeditors reference number associated with each shipment, and not an active NVOCC house bill of lading number. *See* Expeditors Decl., Ex. B [APP-274]; Expeditors Decl. ¶ 14 [APP-190].

28. Exhibit B to the Expeditors Declaration shows that YM ultimately carried 616,756 FEUs of space under the 2021 Service Contract. *See* Expeditors Decl., Ex. B at TAB "YMLU Container Report 21-22 Con", Column Z ("Client FEU"), Rows (sorted for entries in Column P ('Booked') with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF ('Shipment Unlading Port Name')))) [APP-274].

29. During the 2021 Shipping Year, Expeditors was responsible for managing shipping logistics for DG by booking cargo containers with carriers based on the specific routes and requirements outlined in YM's service contract. *See* Li Dep. Tr. 17:5-16 ("Q. And what is your understanding of the job that Expeditors International did in respect to Yang Ming's service contract in 2021/2022? A. Regarding its job, it is mainly to arrange for the shipment according to the contract signed with the shipping companies, as in the contract signed between the U.S. and the shipping companies. When the supplier placed the booking in the system, as in where the goods should be shipped, depending on the route, and what type of containers it would be, it would place the bookings with the shipping companies according to various routes.") [APP-661]; Ex. 70 (McCown Report) ¶ 112 [APP-1512].

30. During the 2021 Shipping Year, Expeditors served as DG's primary carrier interface and sole order manager. *See* Morris Dep. Tr. 73:16-74:11 ("Q. Would there be, would it be expeditors at all load ports who would be working with the ocean carrier or would it be split between expeditors and DG Global Service or would you use maybe others than those two or perhaps none of those? Just give me an idea who actually does the interfacing with the ocean carrier to move the booking along? A. Yeah, so Dollar General Global Sourcing would not be, carrier interfacing would not normally fall under the scope of global sourcing. Now there were times during the pandemic when they had to step in just to make sure the product was, we were getting real time responses in Asia but it was rare. Expeditors would have been the carrier interface and at the time they were the only order manager.") [APP-907]; Li Dep. Tr. 25:5-10 ("Q. All right. Who, in the first instance, looked for space onboard a vessel, then? A. As I mentioned earlier, EI is responsible for helping us, as in helping DG, Dollar General, with -- to ask for the spaces from these vendors who signed the contract.") [APP-663]; Ex. 70 (McCown Report) ¶ 113 [APP-1512].

30.1. During the 2021 Shipping Year, DG provided Expeditors with the minimum quantity commitment ("MQC"), the corresponding port pairs subject to that MQC, as outlined in DG's services contracts with ocean carriers. *See* Morris Dep. Tr. 92:16-93:4 ("Q. Would then expeditors generate the forecast? A. Yes. But following the exact same logic that was used before, so there was continuity in how that was calculated. So the questions on the allocation, all of that would have been generated off of our file and guidance. Q. That was my next question. The weekly container allocation that was also generated by this program? A. The forecast associated with our written volumes was.") [APP-911-912]; Li Dep. Tr. 25:5-23 ("Q. All right. Who, in the first instance, looked for space onboard a vessel, then? A. As I mentioned earlier, EI is responsible for helping us, as in helping DG, Dollar General, with -- to ask for the spaces from these vendors who signed the contract. Q. Vendors; ocean carriers, who signed service contracts? Is that -- is that right? A. Yes. Q. So if I'm understanding you, the first step in that direction was EI to take. They would be the ones reaching out to find space for carriage of the vendors' cargo on an ocean vessel. Is that right? A. Yes. Q. To your understanding, did EI have access to the service contracts that DG had entered into, in order to contact various ocean carriers? A. Yes.") [APP-663].

30.2. During the time period at issue in this action, DG provided Expeditors with forecasts of its ocean freight needs. *See* Morris Dep. Tr. 91:20-92:3 ("Q. You mentioned a carrier allocation tool. What is that or what was that? A. That was, yeah, that is an expeditor's forecasting tool where we load carrier vessel schedules and use that eventually, I don't know when or what, but that eventually became our forecast.") [APP-911], 92:16-23 ("Q. Would then expeditors generate the forecast? A. Yes. But following the exact same logic that was used before, so there was continuity in how that was calculated. So the questions on the allocation, all of that would have been generated off of our file and guidance.") [APP-911]; Li Dep. Tr. 19:22-20:12 ("Q. So going back to the first steps, the vendor would put the information into the Expeditors' platform, and what would happen next? A. Based on what I know, according to the information provided, EI would schedule the vessels. If the vendor entered the information, which you just mentioned earlier, such as port of loading, destination, CBM, weight, et cetera, then EI would look at the service contract signed between U.S. Dollar General logistics team, and get the booking from the shipping companies accordingly. So after that information has been received, it would be sent over to figure out which route would be available in a particular week, and also, how many cargoes are needed. And the information would be sent to the shipping companies.") [APP-662].

30.3. With knowledge of the MQCs in DG's service contracts, Expeditors handled routine space requests from vendors. *See* Li Dep. Tr. 25:20-23 ("Q. To your understanding, did EI have access to the service contracts that DG had entered into, in order to contact various ocean carriers? A. Yes.") [APP-663], 25:24-26:16 ("Q. But if I understood you correctly, that is something that Global Sourcing was not involved in, the actual contracts. You would simply assist in seeing that whatever space EI was looking for was provided by the carrier? Is that a fair summary of the way it worked? A. To put it accurately, based on the contract, EI would look for the vessel companies to provide the spaces. If the ocean carriers cannot provide enough spaces, then EI would include us in the email, or they would also include the U.S. transportation in the email, to let us know there is such an issue. So we would proactively step in and ask Yang Ming, why you cannot provide the spaces. So we would drive Yang Ming to provide more spaces.") [APP-663-664]; Ex. 70 (McCown Report) ¶ 114 [APP-1513].

30.4. Dollar General Global Sourcing and the DG U.S. transportation team would proactively intervene directly with carriers such as YM if they failed to provide the space required under the contract. *See* Li Dep. Tr. 25:20-23 (“Q. To your understanding, did EI have access to the service contracts that DG had entered into, in order to contact various ocean carriers? A. Yes.”) [APP-663], 25:24-26:16 (“Q. But if I understood you correctly, that is something that Global Sourcing was not involved in, the actual contracts. You would simply assist in seeing that whatever space EI was looking for was provided by the carrier? Is that a fair summary of the way it worked? A. To put it accurately, based on the contract, EI would look for the vessel companies to provide the spaces. If the ocean carriers cannot provide enough spaces, then EI would include us in the email, or they would also include the U.S. transportation in the email, to let us know there is such an issue. So we would proactively step in and ask Yang Ming, why you cannot provide the spaces. So we would drive Yang Ming to provide more spaces.”) [APP-663-664]; Ex. 70 (McCown Report) ¶ 114 [APP-1513].

31. During the 2021 Shipping Year, Expeditors had overlapping responsibilities with vendor management, including ensuring that vendors were prepared with correct documentation and safety checks while actively coordinating with carriers to secure bookings. *See* Morris Dep. Tr. 73:3-14 (“Q. Where would expeditors fit into that mix? A. Their roles would also be overlapping vendor management so there is some Venn diagram overlapping of responsibilities. But it’s basically making sure that the vendors are ready, they have the correct documentation, we’ve gone through all of the, what’s it called, the safety and testing checks assisted with it. Documents are created and that they are working with the carriers to book.”) [APP-907]; Li Dep. Tr. 17:24-18:8 (“Q. What’s the first step a supplier would take if it wanted to ship cargo to DG in the contract year, 2021/2022 -- service contract year? A. Regarding the first step, the supplier has to enter into the forwarder’s system to make the booking. Q. And the forwarder is -- was Expeditors International? A. Yes.”) [APP-661-662], 19:22-20:12 (“Q. So going back to the first steps, the vendor would put the information into the Expeditors’ platform, and what would happen next? A. Based on what I know, according to the information provided, EI would schedule the vessels. If the vendor entered the information, which you just mentioned earlier, such as port of loading, destination, CBM, weight, et cetera, then EI would look at the service contract signed between U.S. Dollar General logistics team, and get the booking from the shipping companies accordingly. So after that information has been received, it would be sent over to figure out which route would be available in a particular week, and also, how many cargoes are needed. And the information would be sent to the shipping companies.”) [APP-662]; Ex. 70 (McCown Report) ¶ 115 [APP-1513].

31.1. Suppliers began the shipping process by logging into Expeditors’ system and placing a booking through its website. *See* Li Dep. Tr. 17:24-18:8 (“Q. What’s the first step a supplier would take if it wanted to ship cargo to DG in the contract year, 2021/2022 -- service contract year? A. Regarding the first step, the supplier has to enter into the forwarder’s system to make the booking. Q. And the forwarder is -- was Expeditors International? A. Yes.”) [APP-661-662]; Ex. 70 (McCown Report) ¶ 116 [APP-1513].

31.2. Expeditors would then use this information to match the shipment with applicable service contracts, identify available routes and capacity, and submit booking requests to carriers to schedule the shipment. *See* Li Dep. Tr. 19:22-20:12 (“Q. So going back to the first steps, the vendor would put the information into the Expeditors’ platform, and what would

happen next? A. Based on what I know, according to the information provided, EI would schedule the vessels. If the vendor entered the information, which you just mentioned earlier, such as port of loading, destination, CBM, weight, et cetera, then EI would look at the service contract signed between U.S. Dollar General logistics team, and get the booking from the shipping companies accordingly. So after that information has been received, it would be sent over to figure out which route would be available in a particular week, and also, how many cargoes are needed. And the information would be sent to the shipping companies.”) [APP-662]; Ex. 70 (McCown Report) ¶ 116 [APP-1513].

31.3. During the 2021 Shipping Year, Expeditors followed a “waterfall” process in which they first sought to place cargo with the primary carrier designated by DG, and only moved to the next carrier in the waterfall if the designated primary carrier failed to provide a booking or did not respond. *See* Morris Dep. Tr. 77:19-78:11 (“Q. When you went about booking during say the 21-22 service contract year during the difficulties of COVID, did you try to book cargo with more than one carrier against the potential that one of the carriers would fail to pick up the, its MQC contractual commitment? A. I don’t know that I can answer that question on behalf of EI. I do know that they followed our waterfall. So we would try to tender it to the primary carrier. If they did not get a booking or they received no response which was also a common thing during that time period, a lot of carriers would just left hanging in terms of responses, they would move on within the waterfall.”) [APP-908]; Ex. 70 (McCown Report) ¶ 117 [APP-1513].

32. During the 2021 Shipping Year, DG was in daily communication with Expeditors regarding the booking of ocean freight for DG’s cargo during the 2021 shipping year. *See* Morris Dep. Tr. 138:18-22 (“Q. During the 2021-2022 shipping year, how frequently did you communicate with expeditor about booking ocean freight for Dollar General cargo? A. Daily.”) [APP-923], 138:23-139:7 (“Q. To your knowledge, how frequently did members of your logistics team communicated with expeditors about that during this time period? A. It depends on the timeframe. But I would say when they were in operational roles or they had to be pulled in because of just the sheer amount of workload that had built up, it was also daily.”) [APP-923]; Ex. 70 (McCown Report) ¶ 118 [APP-1514].

33. During the 2021 Shipping Year, DG worked to ensure Expeditors’ compliance with DG’s booking instructions and waterfall through audits designed to verify that the established routing guide was being followed. *See* Morris Dep. Tr. 79:19-80:5 (“Q. How do you know they were following that, your guidance and not just booking, getting as many bookings as they possible could against the very real contingent that they wouldn’t be getting space on one or more carriers? A. So I think number one, we would, there were initially audits that were done to ensure that compliance with our, compliance with our routing guide was being followed.”) [APP-908]; Ex. 70 (McCown Report) ¶ 119 [APP-1514].

34. Expeditors also functioned as a freight forwarder for DG and could also act as an NVOCC to assist in securing cargo space. *See* Li Dep. Tr. 82:14-18 (“Q. Do you recall being involved in any situations during the 2021/2022 service contract year, where EI became involved as an NVO for moving DG cargo? A. Yes. Based on my recollection.”) [APP-678]; Ex. 70 (McCown Report) ¶ 120 [APP-1514].

35. DG continues to use Expeditors for the same general scope of services as it did during the 2021 Shipping Year. *See* Morris Dep. Tr. 100:18-25 (“Q. Does Dollar General still use expeditors for the same, general, for the same services it used expeditors in the 21-22 service contract year? A. Yes. Q. Does it have contracts with expeditors? A. Yes.”) [APP-913]; Ex. 70 (McCown Report) ¶ 121 [APP-1514].

36. During the 2021 Shipping Year, when acting on behalf of DG, Expeditors understood that it had an obligation to perform its duties correctly, diligently, and in DG’s best interests. *See* Ex. 45 (DGPMC-0003528) at DGPMC-0003528 [APP-1336]; YM_00121562 (YM_00121562) [APP-1987-1997]; Ex. 27 (DGPMC-0003682) at DGPMC-0003682 [APP-1233].

37. During the 2021 Shipping Year, when acting on behalf of DG, Expeditors regularly and diligently attempted to book DG’s cargo for carriage by YM pursuant to the Service Contracts. *See* Ex. 23 (YM_01796679) at YM_01796679 (stating, “...following your booking guideline – provide 2 weeks forecast ... Unfortunately, no response even we repeatedly chasing for feedback. We also tried to book on target sailing but all rejected... How can we secure the committed space for Dollar General shipments?”) [APP-1223]; Ex. 45 (DGPMC-0003528) at DGPMC-0003528 (stating, “Vendors are facing serious storage problem and Shenzhen got nothing from Yang Ming under new s/c 456121. We sincerely request Yang Ming release SO asap which will help to clear huge backlog sit in factory and CFS warehouse.”) [APP-1336]; Ibrahim Dep. Tr. 80:2-20 (“Q. And my question to you is, outside of your department and your duties, did you know what Dollar General was doing? A. Expeditors will try to book with every space available that we have for the carriers. Q. Do you know what they did in order to achieve that? A. They would try to book with the carriers. So Expeditors will try to book with the carrier that are overseas. And if they get denial, they will loop the team in, so that’s -- to my knowledge. But again at that time, it was mainly invoicing, kind of stepping in to help in certain circumstances, but not on a daily basis. But that’s what they were trying to book with every single carrier. So if we had the space, obviously we try to book.”) [APP-462].

37.1. In the course of its work for DG, particularly during peak seasons and at DG’s request, Expeditors provided booking reports detailing booking acceptances and rejections. *See* Expeditors Decl. ¶ 6 [APP-188]; Morris Dep. Tr. 92:16-93:4 (“Q. Would then expeditors generate the forecast? A. Yes. But following the exact same logic that was used before, so there was continuity in how that was calculated. So the questions on the allocation, all of that would have been generated off of our file and guidance. Q. That was my next question. The weekly container allocation that was also generated by this program? A. The forecast associated with our written volumes was.”) [APP-911-912]; Li Dep. Tr. 25:5-23 (“Q. All right. Who, in the first instance, looked for space onboard a vessel, then? A. As I mentioned earlier, EI is responsible for helping us, as in helping DG, Dollar General, with -- to ask for the spaces from these vendors who signed the contract. Q. Vendors; ocean carriers, who signed service contracts? Is that -- is that right? A. Yes. Q. So if I’m understanding you, the first step in that direction was EI to take. They would be the ones reaching out to find space for carriage of the vendors’ cargo on an ocean vessel. Is that right? A. Yes. Q. To your understanding, did EI have access to the service contracts that DG had entered into, in order to contact various ocean carriers? A. Yes.”) [APP-663].

38. During the 2021 Shipping Year, DG employed Expeditors to assist in booking shipments with YM under the 2021 Service Contract. *See* Expeditors Decl. ¶¶ 3-8 [APP-187-188]; Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (“ETD”) with dates falling within 2021 Shipping Year) [APP-273].

39. During the 2021 Shipping Year, Expeditors frequently faced difficulties obtaining space from carriers for its customers and regularly followed up with carriers, including YM, to push for assistance. *See* Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM reporting that booking requests were being submitted but receiving no response: “Unfortunately, no response even we repeatedly chasing for feedback. We also tried to book on target sailing but all rejected”) [APP-1223]; Ex. 45 (DGPMC-0003528) at DGPMC-0003528 (May 13, 2021 Expeditors email to YM stating “Vendors are facing serious storage problem and Shenzhen got nothing from Yang Ming under new s/c 456121. We sincerely request Yang Ming release SO asap”) [APP-1336]; YM_00121562 at YM_00121563 (May 25, 2021 Expeditors email to YM stating “We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking”) [APP-1988]; Morris Dep. Tr. 110:22-111:3 (“Q. Do you know, thank you for that, it was clear. Do you know if Yang Ming specifically, not the carriers in general, engaged in that practice? A. Again I go back to Yang Ming for sure engaged in a myriad of these tactics.”) [APP-916].

II. The Service Contracts

40. DG and YM entered into a service contract, with service contract number 456121 and effective as of May 1, 2021, and covering the time period from May 1, 2021 through April 30, 2022 (the “2021 Service Contract”). *See* Ex. 1 (DGPMC-0000001) at DGPMC-0000001 [APP-1136]; Ex. 42 (YM_00601425) at Tab “SAT”, Column B, Row 8 [APP-1312]; Complaint ¶ 33 [APP-13].

40.1. The 2021 Service Contract set a minimum quantity commitment (“MQC”) and service commitment at 2,226 forty-foot equivalent container units (“FEUs”), corresponding to an average monthly allocation of 185.5 FEUs. *See* Ex. 1 (DGPMC-0000001) at DGPMC-0000002 (Section 2.1) [APP-1137]; Complaint ¶ 33 [APP-13].

40.2. The 2021 Service Contract expressly required Yang Ming to provide weekly space at a level not less than 130% of the weekly prorated portion of that MQC when Complainant provided forecasts four weeks in advance of a scheduled shipping week. Ex. 1 (DGPMC-0000001) at DGPMC-0000002 (Section 2.3) [APP-1137]; Complaint ¶ 20 [APP-10]; Cobb Dep. Tr. 95:24-96:18 (“Q. And under Section 2.3, it writes: ‘Carrier commits to provide weekly space at a level not less than 130 percent of the merchant forecasted FEU volume, four weeks from scheduled shipment week.’ Did I read that correctly? A. You did. Yes. Q. Was a provision like this common in the BCO service contracts that you worked with? A. No. It was not common. I have seen it before, but it’s not normally in the terms and conditions. Q. So it’s generally something -- you would be generally surprised to see a provision in a service contract like this? A. I would. Q. And it would be something unique to take into account in your servicing of a service contract with that BCO. Correct? A. Yes.”) [APP-338]; Ex. 76 (Attachment A, DG Supplemental Interrogatory Responses) [APP-179-186].

41. DG and YM drafted a service contract, with service contract number 456122 and effective as of May 1, 2022, and covering the time period from May 1, 2022 through April 30, 2023 (the “2022 Service Contract”). *See* Ex. 43 (DGFMC-0001759) at DGFMC-0001759-80 [APP-1313-1334].

41.1. The 2022 Service Contract sets an MQC and service commitment at 1,321 FEUs for the Contract Term. *See* Ex. 43 (DGFMC-0001759) at DGFMC-0001760 [APP-1314].

41.2. The 2022 Service Contract required the Carrier to make available equipment and vessel space adequate to carry the MQC of cargo, as well as any additional cargo tendered by the Shipper to the extent Carrier has vessel space available, of which the Shipper shall be afforded preferred status. *See* Ex. 43 (DGFMC-0001759) at DGFMC-0001760 [APP-1314].

41.3. On behalf of the Shipper, the 2022 Service Contract was signed by Sanjay Mishra, Vice President of Transportation, signing on behalf of Dollar General, on June 9, 2022. Ex. 43 (DGFMC-0001759) at DGFMC-0001759 [APP-1313].

III. Impacts of the COVID-19 Pandemic on the Shipping Industry

42. Carriers reacted to the initial drop in demand during the COVID-19 pandemic by coordinating blank sailings and avoiding direct price competition. *See* Ex. 39 (YM_01105410) at YM_01105420-22 [APP-1292-1294]; YM_00814513 at YM_00814513 [APP-2103]; YM_02033774 at YM_02033775 [APP-2299]; Ex. 70 (McCown Report) ¶¶ 189 (noting that spot prices “peaked during 2021 at around a 500% increase compared to 4Q19” while “overall pricing was only up at its peak by around 200%,” and that “the spot-only increase peak was some five times the contract-only increase peak”) [APP-1530], 190 (noting that “YMTC in 2021 consciously chose to abandon its commitments under MQC’s in service contracts with DGL and other BCOs” in order “to chase opportunities with NVOCCs in a segment where the rate increase was up to five times higher than in its core contract rate market”) [APP-1530].

43. As of January 2021, YM internal documents show that spot market ocean freight rates for cargo space—i.e., rates outside the context of a service contract—were significantly higher than service contract rates for cargo space at various points. *See* Ex. 39 (YM_01105410) at YM_01105419-23 [APP-1291-1295]; Ex. 70 (McCown Report) ¶¶ 47, 52 [APP-1496, APP-1499].

44. During the COVID-19 pandemic (2020-2022), the gap between what YM charged under its fixed-rate service contracts versus its contracts more closely tethered to spot market rates soared dramatically given that spot market rates were three to four times higher than the rates secured through fixed-rate service contracts. *See* Ex. 70 (McCown Report) ¶¶ 38, 47, 52, Table 5 [APP-1490, APP-1496, APP-1499].

44.1. The Drewry World Container Index (“Drewry data”), published weekly by Drewry Shipping Consultant, is a highly regarded and widely recognized spot rate index that measures the level of spot rates in the market. *See* Ex. 70 (McCown Report) ¶ 49 [APP-1497].

44.2. Drewry data indicates that the average spot market rate for ocean freight on the Shanghai to Los Angeles lane was \$4,403 per FEU as of May 1, 2021. *See* Ex. 70 (McCown Report) ¶ 59, fn. 46 [APP-1500].

44.3. Drewry data indicates that the average spot market rate for ocean freight on the Shanghai to Los Angeles lane was \$9,635 per FEU during the 2021 Service Contract period (May 2021 through April 2022), and \$10,190 per FEU in December 2021 alone. *See* Ex. 70 (McCown Report) ¶¶ 73, 176, fn. 51, 180 [APP-1503, APP-1527].

44.4. Drewry data indicates that the Drewry Shanghai to Los Angeles spot rate on May 1, 2021, the start of the 2021 Shipping Year, was \$4,403 per FEU. *See* Ex. 70 (McCown Report) ¶ 59, fn. 46 [APP-1500].

44.5. Drewry data indicates that the Drewry Shanghai to Los Angeles weekly spot rate averaged \$9,635 per FEU over the 52-week period of the 2021 Service Contract (May 2021-April 2022). *See* Ex. 70 (McCown Report) ¶ 73, fn. 51 [APP-1503].

44.6. Drewry data indicates that the average Drewry Shanghai to Los Angeles spot rate in December 2021 was approximately \$10,190 per FEU, based on weekly readings of \$9,690, \$10,136, \$10,180, \$10,221, and \$10,221 on sequential Fridays that month. *See* Ex. 70 (McCown Report) ¶ 176, fn. 180 [APP-1527].

44.7. Drewry data indicates that the Drewry Shanghai to New York spot rate during the 2021 Service Contract period was approximately one-third higher than the Drewry Shanghai to Los Angeles rate. *See* Ex. 70 (McCown Report) ¶ 73 [APP-1503].

45. Lars Jensen observed during the COVID-19 pandemic that many companies were under severe pressure from freight costs and “could potentially go bankrupt because of the current situation with extremely high freight rates.” *See 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, FMC Dkt No. 23-02, Complainant’s Appendix to the Opening Brief (May 28, 2025), Ex. 425 at 1-2 (quoting Lars Jensen).

46. The global ocean carrier industry is highly consolidated, whereby the top eight carrier groups had a market share of 81.1% of all global shipping capacity in November 2021. *See 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, FMC Dkt No. 23-02, Complainant’s Appendix to the Opening Brief (May 28, 2025), Ex. 420 at 4.

47. Jensen in a November 10, 2021 article in FreightWaves that the shipping industry has “definitely seen the effects of consolidation. At least on the main trades there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we’ve seen in the past. This is the logical end point of 20 years of gradual consolidation.” *See 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, FMC Dkt No. 23-02, Complainant’s Appendix to the Opening Brief (May 28, 2025), Ex. 420 at 5.

47.1. A November 10, 2021 article in FreightWaves noted how the cargo container industry is dominated by Chinese government entities, which control access to containers and pricing. *See 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, FMC Dkt No. 23-02, Complainant's Appendix to the Opening Brief (May 28, 2025), Ex. 420 at 2 ("The same goes for container equipment factories, virtually all of which are in China. Following recent consolidation, the top three Chinese builders produce 83% of all new boxes. 'They are charging expensive prices for their containers,' said Ghesquiere. 'They have a vested interest in maintaining the high pricing levels, so we really can't see why manufacturing prices would drop. They have no incentives to change behavior.'").

48. Jensen recognized that global ocean carrier industry's high level of consolidation and joint ownership, which suggests the common behavior of carriers was well understood during the time of the COVID-19 pandemic within the industry. *See 20230930-DK-Butterfly-1, Inc. f/k/a Bed Bath & Beyond Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, FMC Dkt No. 23-02, Complainant's Appendix to the Opening Brief (May 28, 2025), Ex. 420 at 5.

49. During the COVID-19 pandemic, marine terminals around the world, including those at Los Angeles / Long Beach, experienced severe congestion. *See* Ex. 39 (YM_01105410) at YM_01105419-22 [APP-1291-1294]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; YM_00814513 at YM_00814513 [APP-2103]; Nickels Dep. Tr. 65:25-66:18 ("Q. Could you share with me your observation during COVID-19 how the demand for space increased? A. Well, it was a chain effect. I mean, if your port was closed, let's say, during COVID-19, if there was a port closure in Asia, it backs up the shipping pipeline. The vessel can't call that port; therefore, you're stuck with the cargo that was ready to be loaded, it has to wait on another vessel. In that regard, they would have to wait until that port reopens to have the vessel call there. And, of course, that's going to cause a shortage because there's a delay in getting the cargo loaded; therefore, there's a delay in getting it delivered to the U.S. port; thereby a delay in getting it to the customer. Q. So is it fair to say congestion generally led to shortages as COVID continued? A. Yes.") [APP-962-963].

50. Port congestion in the United States during the pandemic resulted in part from a rise in online purchases of consumer goods, which led to a corresponding increase in shipping volume and for vessel space, including with YM. *See* Ex. 39 (YM_01105410) at YM_01105419-24 [APP-1291-1296]; Ex. 14 (YM_00054408) at YM_00054408 [APP-1201]; Cobb Dep. Tr. 40:20-41:7 ("Q. And that perfect storm led to shortage of shipping space? A. Not really. It's hard for me to say. Because with Covid, and the way the supply and demand, and everyone was staying at home and then -- and buying more cargo, that actually increased the amount of shipments that were coming in, which was one cause. And then it just kind of snowballed. When Ningbo was closed, you had a backlog. And you had stuff backed up all over the place, and all kinds of issues like that. So it's kind of a combination of everything.") [APP-324], 41:8-22 ("Q. Would it be fair to say, just as a general matter, that during that time period, one of the main issues you had to address with customers was them seeking -- them seeking more shipping space in an environment where that was harder to come by, based on demand? Higher demand? A. No. But to this point, the demand was strong worldwide, which caused a lot of problems. So you had the inner Asia trade lane. You had inner -- inner Asia to Europe trade lane. Asia to Latin America. All those lanes had increased demand, and we just did not have enough vessels to cover it. So there was tight space worldwide. So that did bring to the issue too.") [APP-324].

50.1. Port congestion issues arose at the Los Angeles / Long Beach port terminal got worse in 2021. *See* Ex. 39 (YM_01105410) at YM_01105419-22 [APP-1291-1294]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; YM_00814513 at YM_00814513 [APP-2103]; YM_02033774 at YM_02033777 [APP-2301]; Ex. 63a (YM_01680094_EN) at 1 (March 24, 2022 internal Wu email confirming that YM had used LA/LB congestion as a pretextual justification to impose booking restrictions on DG, demonstrating that congestion at LA/LB remained a live commercial issue through at least early 2022) [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Cobb Dep. Tr. 104:20-22 (“Q. Was there anything different in the 2021 shipping year, as compared to the year previous? A. The congestion in Los Angeles got worse.”) [APP-340].

51. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal, were widespread during the pandemic. *See* Ex. 39 (YM_01105410) at YM_01105419-23 (YM employees internally sharing a FreightWaves article titled “Trans-Pacific shipping rates just popped to new all-time high” which discussed Southern California pileups) [APP-1291-1295]; YM_02033774 at YM_02033777 (mentioning that “there are still a large number of our vessels are still stuck and idle in US due to ongoing port congestion which already existed in most of US [] calling ports for quite a long time”) [APP-2301]; Ex. 19 (YM_01769468) at YM_01769468 (Wu stating that “current chaos in space shortage is due to crazily rising cargo demand, which leads to terminal congestion” and that “terminal congestion and vessel delay is still raging and we expect this is going to last another few months or the whole year”) [APP-1211]; YM_00814513 at YM_00814513 [APP-2103].

51.1. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal included import cargo not exiting marine terminals quickly enough to allow for new import cargo delivery from incoming vessels from Asia. *See* Ex. 39 (YM_01105410) at YM_01105420-23 [APP-1292-1295]; YM_02033774 at YM_02033775-77 [APP-2299-2301].

51.2. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal included vessels prevented from unloading. *See* Nickels Dep. Tr. 60:13-23 (“Q. Could you elaborate more on the effects in the U.S. in general? A. Sickneses. There were shutdowns of certain businesses, hospitals were overwhelmed, general comments. That’s all I recall. Q. What were the effects on shipping? A. Well, there were many effects on shipping as far as there were vessels that could not get into port to be unloaded. There were obvious shortages in the pipeline. There were some trucking issues in the U.S., things of that nature.”) [APP-961], 62:16-21 (“Q. Space shortages, could you explain what caused space shortages? A. Yes. As I said, if the port was closed and the vessel couldn’t make the call into the port, obviously the cargo that’s sitting on the dock ready to be loaded couldn’t be loaded.”) [APP-962].

51.3. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal included delays in vessel productivity leading to a backlog of empty containers waiting to be loaded onto vessels. *See* Ex. 39 (YM_01105410) at YM_01105420-23 [APP-1292-1295].

51.4. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal included containers idling at ports. *See* YM_02033774 at YM_02033777 [APP-2301].

51.5. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal included long queues of trucks at terminal gates. *See* Nickels Dep. Tr. 63:23-64:3 (“if there were a hundred vessels in L.A. Long Beach trying to get unloaded, it’s going to cause a lot of congestion. The ports get congestion, and then you have truckers that are trying to get into the port to remove the cargo. It’s a chain reaction.”) [APP-962].

51.6. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal included a shortage of chassis. *See* DGPMC-0001110 at DGPMC-0001110 [APP-2314]; Cobb Dep. Tr. 209:22-210:5 (“Q. Any other details that you remember? A. Basically, everything I sent to him there. And then at the top, I answered his questions. It was basically everything we talked about. We shared general market information about the NVO market. And then what I was seeing in the market with the blank sailings, and the congestion. And if there would be container or chassis shortages.”) [APP-366-367].

51.7. Port congestion issues in the United States, including at the Los Angeles / Long Beach terminal included a shortage of trucks. *See* Nickels Dep. Tr. 60:22-61:2 (“A. There were some trucking issues in the U.S., things of that nature. Q What were those trucking issues? A. Well, there may have been a shortage of drivers due to the COVID pandemic. As I recall, there were some driver shortages.”) [APP-961].

52. At least as of the beginning of 2021 and during the negotiation period of the Service Contract, YM was aware of the port congestion issues that all BCO customers, including DG, faced from 2020 through 2022. *See* Ex. 39 (YM_01105410) at YM_01105419-23, YM_01105428-29 [APP-1291-1295, APP-1300-1301]; Ex. 19 (YM_01769468) [APP-1211-1212]; Wu Dep. Tr. 82:6-84:9 (“Q. And here, you are writing that when Yang Ming forecasts its shipping capacity, it does not take into account factors such as vessel delays, natural VMS, and space fluctuations. Correct? A. I have to state it precisely. It is not the case that we would not consider them. However, at that time, we were not able to do so, or include them in the calculations. That is to say that these non-controllable factors, as I mentioned in the previous paragraph, regarding these factors, we did not know how long it would last, or --INTERPRETER: Interpreter would like to correct this sentence. ‘That is to say that these are non-controllable factors, as I mentioned in the previous factors. Regarding these factors, we did not know whether it would last or not, or how long it would last. At that time, we weren’t able to predict these factors.’ BY ATTORNEY HILL: Q. And these non-controllable factors had been present for roughly a year at this point. Is that fair to say? A. At that juncture, I cannot possibly clearly recall when it started, and how that occurred. Regarding VMS and the vessel delays, I cannot remember clearly when it started and how long it would last. Q. But in the second paragraph of this page, do you see where you write: ‘Some of the points may be repeated in the last half year and you may know better than me.’ Did I write that correctly? A. Yes. Q. And so, this email is saying that the points contained in it have been discussed for the last half year. Correct? A. Based on this paragraph, in order to determine that, yes, that’s the case, this email was sent in April, and looking back for the half year before that, we did mention these issues to the sales personnel. Q. And so, these conditions would have been existent approximately October of 2020. Correct? A. If we were to infer the time before that, yes. However,

I cannot determine whether those statements are correct or accurate. Q. Okay. If we make that inference based on the document, that would cover the period that Yang Ming negotiates the contracts for the 2021 service year. Correct? A. Yes.”) [APP-1103]; Cobb Dep. Tr. 87:14-18 (“Q. So based on this email, and from what we discussed earlier, YM was dealing with these ongoing problems from congestion and delays, from at least 2020. Right? A. Yes.”) [APP-336]; Nickels Dep. Tr. 58:15-21 (“Q Did Yang Ming monitor industry conditions as news of the COVID-19 pandemic began and eventually spread? A I mean, they monitor conditions all the time. Q So I would take it as a yes? A Yes.”) [APP-961]; Cobb Dep. Tr. 74:10-15 (“Q. And going back to the budget period for the 2021/2022 contract year -- so it would have been that November 2021 area -- did Yang Ming’s -- did Yang Ming monitor the course of the Covid pandemic in making those budget decisions? A. Yes. They did.”) [APP-333]; Chen Dep. Tr. 34:13-35:4 (“Q. When news of the Covid-19 pandemic began to spread, did Yang Ming monitor news regarding the Covid-19 pandemic, as it related to maritime shipping? A. Yes. Since Covid-19 would affect the entire logistics and supply chain, we would need to monitor the situation at the loading ports and discharging ports. And it would also affect various steps in the supply chain. So we need to understand the impact of Covid-19 to various locations and regions, and how that would affect provision of the spaces. Q. When entering into service contracts for the 2021 shipping year, did Yang Ming take the pandemic into consideration? A. Yes. We did consider the Covid-19 pandemic.”) [APP-284], 69:15-22 (“Q. Okay. So here, you say that BCO space complaints have been becoming a serious issue. When did that begin? A. Starting from the second half of 2020, there were similar situations. And in 2021, due to Covid, that situation became more serious. So the situation has worsened.”) [APP-292].

52.1. Specifically, as early as January 8, 2021, more than three months before the start of the 2021 Service Contract, YM NAT Regional Director Dan Vidal warned YM management that the 2021 TPEB contract year “is going to be a very difficult year” due in part to existing space and equipment constraints. *See* Ex. 39 (YM_01105410) at YM_01105423-24 [APP-1295-1296].

52.2. Vidal noted that YM Taipei headquarters had already “severely impacted” NAT accounts “by refus[ing] to support these accounts with regularly weekly space throughout 2020,” flagging that key customers including Kent, Steve Madden, Conair, Petco, CVS, and Xerox were at risk for 2021. *See* Ex. 39 (YM_01105410) at YM_01105423-24 [APP-1295-1296].

52.3. On the same date, YM headquarters manager Brian Chen responded by acknowledging that “eq/space is extreme tight” and that the market conditions “should be in favor of carriers,” specifically citing “Strong Demand, Rates up to both coasts & Southern California pileup” as the basis for YM’s strategy to maximize its account base and rates for 2021. *See* Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Ex. 70 (McCown Report) at ¶ 100 [APP-1510]; Chen Dep. Tr. 60:2-18 (“Q. Okay. So did you feel that the Southern California pileup was causing customers to approach Yang Ming with better rates? A. During COVID, since the operation efficiency of the ports have decreased, many containers were stuck at the ports -- inside the ports, which caused delays to the schedule of the vessels. Therefore, the demands of the shippers increased due to these delays. And the shippers were more willing to sign more MQC with us. Q. And were they also offering better rates to shippers? A. It should be put this way. The shippers were more willing to accept higher rates, relatively speaking.”)

[APP-290]; McCown Dep. Tr. 137:21-138:14 (“A. I thought that was interesting because that’s a senior person telling the group, yeah, isn’t specifically saying, but it’s what others are doing. There is only one interpretation that can be made from this. Q. What interpretation is that, sir? A. That this is the year for the carriers, this is when we’re going to make back, you know, what we lost. There was somewhere else in my report, there’s a reference, I think, to this same gentleman that spoke of, you know, this is our year. So that was a factual statement. Q. What gentleman because you refer to -- A. I think a Mr. Chen, but I don’t --”) [APP-853], 143:7-144:2 (“Q. In retrospect, you think 185 could be misconstrued by someone reading your report to be a statement implying that Yang Ming was raffling space to the highest payer with the premium service? A. No, I don’t think that’s what it says. I think it says that a senior Yang Ming person getting in front of all the salespeople said, basically, look at what other people are doing, look at what they’re doing to jack up their pricing. I -- my interpretation, and again, it’s very different than yours, I would never have the interpretation that he would say, and we don’t want to do that. We’re going to not only maintain and not increase our NVOs, we are going to push down our NVOs because we’re in the business to move freight for our BCOs. That’s not what they did.”) [APP-854].

52.4. Chen attached a FreightWaves article titled “Trans-Pacific shipping rates just popped to new all-time high,” reporting that Asia-West Coast spot rates had risen to \$4,189 per FEU as of late December 2020, triple their level one year prior, and that Southern California ports were experiencing severe vessel backlogs. *See* Ex. 39 (YM_01105410) at YM_01105420-22 [APP-1292-1294].

52.5. Chen also directed the NAT sales team to prioritize signing new accounts and recovering lost ones specifically because shippers facing space constraints “were more willing to accept higher rates.” *See* Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Chen Dep. Tr. 60:2-18 (“Q. Okay. So did you feel that the Southern California pileup was causing customers to approach Yang Ming with better rates? A. During COVID, since the operation efficiency of the ports have decreased, many containers were stuck at the ports -- inside the ports, which caused delays to the schedule of the vessels. Therefore, the demands of the shippers increased due to these delays. And the shippers were more willing to sign more MQC with us. Q. And were they also offering better rates to shippers? A. It should be put this way. The shippers were more willing to accept higher rates, relatively speaking.”) [APP-290].

52.6. On April 28, 2021, YM employee Michael Wu sent an email to YM’s SAT sales team in which Wu discussed ongoing congestion issues and YM’s expectation that such issues were expected to “last another few months or the whole year.” Ex. 19 (YM_01769468) at YM_01769468 [APP-1211].

53. Congestion issues during the pandemic were well known to carriers as well as everyone involved in the supply chain. *See* Cobb Dep. Tr. 108:23-109:3 (“Q. So would it be fair to say that for whatever reason, booking rejections were a large scale problem for Yang Ming during the pandemic? A. It seemed to be a large scale problem for everyone. It really depended on where you were coming from.”) [APP-341]; Ex. 39 (YM_01105410) at YM_01105419-22 (January 8, 2021 FreightWaves article attached by Brian Chen documenting widespread supply chain disruption across the transpacific trade lane, including vessel backlogs, equipment shortages, and record-high rate increases across all major ex-Asia lanes, confirming that the congestion environment was well

known to YM's own senior management months before the 2021 contract year began) [APP-1291-1294]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 82:6-84:9 ("Q. And here, you are writing that when Yang Ming forecasts its shipping capacity, it does not take into account factors such as vessel delays, natural VMS, and space fluctuations. Correct? A. I have to state it precisely. It is not the case that we would not consider them. However, at that time, we were not able to do so, or include them in the calculations. That is to say that these non-controllable factors, as I mentioned in the previous paragraph, regarding these factors, we did not know how long it would last, or --INTERPRETER: Interpreter would like to correct this sentence. 'That is to say that these are non-controllable factors, as I mentioned in the previous factors. Regarding these factors, we did not know whether it would last or not, or how long it would last. At that time, we weren't able to predict these factors.' BY ATTORNEY HILL: Q. And these non-controllable factors had been present for roughly a year at this point. Is that fair to say? A. At that juncture, I cannot possibly clearly recall when it started, and how that occurred. Regarding VMS and the vessel delays, I cannot remember clearly when it started and how long it would last. Q. But in the second paragraph of this page, do you see where you write: 'Some of the points may be repeated in the last half year and you may know better than me.' Did I write that correctly? A. Yes. Q. And so, this email is saying that the points contained in it have been discussed for the last half year. Correct? A. Based on this paragraph, in order to determine that, yes, that's the case, this email was sent in April, and looking back for the half year before that, we did mention these issues to the sales personnel. Q. And so, these conditions would have been existent approximately October of 2020. Correct? A. If we were to infer the time before that, yes. However, I cannot determine whether those statements are correct or accurate. Q. Okay. If we make that inference based on the document, that would cover the period that Yang Ming negotiates the contracts for the 2021 service year. Correct? A. Yes.") [APP-1103]; Chen Dep. Tr. 34:13-35:4 ("Q. When news of the Covid-19 pandemic began to spread, did Yang Ming monitor news regarding the Covid-19 pandemic, as it related to maritime shipping? A. Yes. Since Covid-19 would affect the entire logistics and supply chain, we would need to monitor the situation at the loading ports and discharging ports. And it would also affect various steps in the supply chain. So we need to understand the impact of Covid-19 to various locations and regions, and how that would affect provision of the spaces. Q. When entering into service contracts for the 2021 shipping year, did Yang Ming take the pandemic into consideration? A. Yes. We did consider the Covid-19 pandemic.") [APP-284], 69:15-22 ("Q. Okay. So here, you say that BCO space complaints have been becoming a serious issue. When did that begin? A. Starting from the second half of 2020, there were similar situations. And in 2021, due to Covid, that situation became more serious. So the situation has worsened.") [APP-292]; *see also* Ex. 70 (McCown Report) ¶ 204 (McCown opining that "the container shipping supply chain issues related to the COVID-19 pandemic were already well known when YMTTC entered into its 2021 Service Contract with DGL" and that "YMTTC was well aware of the effects of the pandemic on its freight capacity and performance, and was in a position to assess such effects on its future capacity and performance") [APP-1535].

53.1. In November 2021, while planning for the 2022-2023 shipping year, Yang Ming again signed over 100,000 more TEUs than they planned to. *See* YM_01032191 at YM_01032192 [APP-2210]; Ex. 42 (YM_00601425) at Tabs "NAT", "MAT", "SAT" at Columns H and N [APP-1312].

IV. YM's Extreme and Unprecedented Profitability during the COVID-19 Pandemic

54. During the four-year period from 2016 through 2019, the container shipping industry as a whole reported cumulative net loss of \$8.5 billion on revenue of \$695 billion, equivalent to a negative 1.2% net income to revenue margin. *See* Ex. 70 (McCown Report) ¶ 38 [APP-1490].

55. During the three-year period from 2017 through 2019, the net income to revenue margin percentage for YM was 0.4%, -4.4%, and -2.7%, respectively. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

56. In 2019 specifically, the last full year before any pandemic impact, YM posted a net loss resulting in a negative 2.7% margin while the industry was profitable at a 0.5% margin, placing YM 3.1 percentage points below the industry. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

57. In 2020, YM's income to revenue margin percentage skyrocketed by over ten points to reach 8.1%, while total revenue rose to \$5,138,000,000 and net income reached \$414 million. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

58. In 2021, YM's net income to revenue margin percentage was 49.6% on revenues of \$11,953,000,000. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

58.1. That year, Yang Ming's net income went from \$414 million in 2020 to \$5.9 billion: an increase of approximately 1,425% of its 2020 net income 1,400%. Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

58.2. Measured against the 2019 pre-pandemic baseline, YM's pricing increased 204.7% by 2021, nearly twice the increase reflected in the industry-wide CTS Global Pricing Index (125.5%) and nearly twice the increase in the calculated industry revenue per TEU (108.6%). *See* Ex. 70 (McCown Report) Table 5, at 14 [APP-1496].

58.3. By comparison, one YM transpacific alliance partner saw its average transpacific rate increase by 83.3% in 2021 which was less than half the increase in the Shanghai-LA spot rate. *See* Ex. 70 (McCown Report) ¶ 49, fn. 36 [APP-1497].

58.4. YM's average rates increased more than twice as much as that same alliance partner's transpacific rates that same year, indicating that YM had far fewer loads moving under fixed-price contracts and was instead pricing its cargo at or near spot rates. *See* Ex. 70 (McCown Report) ¶ 49, fn. 37 [APP-1497].

58.5. Similarly, YM's increase in average rates in 2021 was 1.92 times the increase in a second alliance partner's transpacific rates. *See* Ex. 70 (McCown Report) ¶ 50 [APP-1498]; Hapag Lloyd, Annual Report 2021, at 1 [APP-3860].

59. There were no genuine capacity constraints that could justify YM's failure to meet its MQC commitments to DG. *See* Ex. 70 (McCown Report) ¶¶ 193-205 [APP-1531-1535].

59.1. YM's volume involving the United States declined 23.7% in 2021 from 1,537,000 TEUs in 2020 to 1,173,000 TEUs while overall industry transpacific volume was growing at the same time. *See* Ex. 70 (McCown Report) Table 7, at 52 [APP-1534], ¶ 201 [APP-1534].

59.2. YM's annual reports disclose that despite lower overall container volumes, both the total vessel capacity of its fleet and its average capacity per vessel were *greater* each year during the pandemic than the prior year, increasing 6.6% in 2021 and 7.4% in 2022, for a total fleet capacity increase of 14.5% over that period. *See* Ex. 70 (McCown Report) ¶ 195 [APP-1532].

60. In 2021, the shipping industry's net profit as a percentage of revenue was 36.8%, as compared with 1% or less during the years 2017 through 2019. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

61. YM's 2021 net income to revenue margin percentage of 49.6% was extraordinary not only in an absolute sense but also in a relative sense, as it exceeded the overall industry's net income to revenue margin percentage by 12.8 percentage points. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

61.1. For the combined 2021-2022 period, the most relevant to this proceeding, YM's net income to revenue margin of 48.9% exceeded the industry's 40.0% margin by 890 basis points. *See* Ex. 70 (McCown Report) ¶ 41 [APP-1492].

61.2. Measured on a marginal profitability basis against the 2019 pre-pandemic baseline, YM's overperformance relative to the industry was 18.6 percentage points in 2021 and 13.6 percentage points in 2022, with YM's incremental net income to revenue margin on pandemic-era revenue growth running at 85.1% and 79.7%, respectively, compared to the industry's consistent 66.5% and 66.1%. *See* Ex. 70 (McCown Report) Table 2, at 11 [APP-1493].

62. In 2022, YM's revenues increased to \$12,621,000,000 while its net income to revenue margin percentage was 48.2%, much higher than pre-pandemic margins. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

62.1. Net income in 2022 remained high as well, at \$6.08 billion. *See* Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

63. The actual volume figures show that YM had materially less volume growth than the industry during the pandemic. *See* Ex. 70 (McCown Report) Table 3, at 12 [APP-1494], ¶ 44 [APP-1493].

63.1. In fact, YM's 2022 total TEU volume was 15.1% less than in 2019, while total industry volume increased 2.3% over that same period. *See* Ex. 70 (McCown Report) Table 3, at 12 [APP-1494], ¶ 44 [APP-1493].

63.2. In 2021, the most relevant year, YM's volume declined 13.0% while the industry increased volume by 7.4% which is a 2,040 basis point underperformance in a single year. *See* Ex. 70 (McCown Report) Table 3, at 12 [APP-1494], ¶ 44 [APP-1493].

64. Because volume cannot explain YM's outsized profitability, its extreme overperformance was driven by pricing practices that set it apart even within an overall industry that itself engaged in aggressive pricing. *See, e.g.*, Ex. 70 (McCown Report) ¶ 45 [APP-1494]; Kardian Dep. Tr. 86:13-87:9 (Q. . . . But specifically, do you know what the drivers of additional revenue were in this time period as it relates specifically to Yang Ming? A. So the drivers would have been from one contract year to the next, that rates would have gone up from 2020, in 2021 and again in 2021 to 2022. So because of the increased demand, again, it's market-driven with the rates. . . . Q. . . . Is it correct that you just testified that one of the drivers of increased revenue and profitability was year-over-year increases in rates contained within service contracts? A. That is correct, and it was based upon increased demand.") [APP-497].

65. YM's outsized increases in revenue and profitability were accomplished by minimizing volumes with BCOs and maximizing volumes with NVOCCs, where pricing is driven by spot rates. *See* Ex. 70 (McCown Report) ¶ 51 [APP-1498].

65.1. For example, an internal YM Excel spreadsheet, dated January 25, 2022, which provides a detailed look-back of YM's service performance over the 2021 shipping year, including for the SAT region (where DG was located), shows that the *only* customer in that region as to whom YM achieved its internal "Target Performance" was UPS Ocean Freight Services, Inc.—an NVOCC—in contrast to the remainder of YM's SAT customers, almost all of whom are BCOs, as to whom YM drastically failed even its own reduced internal Target Performance metrics. *See* Ex. 42 (YM_00601425) at "SAT" Tab [APP-1312]; Hsu Dep. Tr. 103:19-104:1 ("Q. . . . In here, only row 2 UPS ocean freight service met its target performance, correct? A. I think so based upon the data shown here. Q. And under column C, account type, that UPS account is listed as an NVOCC, right? A. Yes, based upon the information shown on the screen.") [APP-428]; Chen Dep. Tr. 58:2-9 ("Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. *Whether it would be a good year for the carriers or not*, at the time of the signing, we could not determine that. *We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.*") (emphasis added) [APP-290]; Ex. 70 (McCown Report) ¶ 51 [APP-1498].

65.2. The Exhibit 42 Excel spreadsheet shows UPS's "Actual Lifting" at 9,582.25 TEUs compared to DG's 588.75 and much lower numbers for the vast majority of the remainder of YM's SAT customers, with many BCOs in the low double-digits, single digits, and, in one instance, *zero*. *See* Ex. 42 (YM_00601425) at Tab "SAT" [APP-1312]; Hsu Dep. Tr. 103:19-104:13 ("Q. And row 6 -- excuse me. In here, only row 2 UPS ocean freight service met its target performance, correct? A. I think so based upon the data shown here. Q. And under column C, account type, that UPS account is listed as an NVOCC, right? A. Yes, based upon the information shown on the screen. And under target performance, Dollar General was listed as 50 percent target performance, correct? A. Yes, based upon what is shown on the screen. Q. Target lifting was 2,136, correct? A. Yes, based upon the data shown here. Q. And actual

performance is at 13 percent with actual lifting 588.75, correct? A. Yes, based upon what's shown here.") [APP-428]; Ex. 70 (McCown Report) ¶ 51 [APP-1498].

65.3. Out of 119 BCO accounts across YM's three North American East Coast regions during the 2021 Shipping Year, only four (just 3%) of them even met YM's own reduced internal performance targets (most of which were set at 50% MQC), with most accounts receiving only 13% to 17% of their contracted MQC. *See* Ex. 42 (YM_00601425) at Tabs "SAT", "NAT", "MAT", Columns K and M [APP-1312]; Chen Dep. Tr. 58:2-9 ("Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not, at the time of the signing, we could not determine that. We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***") (emphasis added) [APP-290]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

V. Background on Service Commitments by Ocean Carriers

66. Like many shippers, DG entered into annual service contracts to meet its anticipated needs for freight. *See* YM_00814513 at YM_00814513-14 (YM sales representative Joel Yero noting that customers "signed in good faith and expect a service to be provided") [APP-2103-2104]; Ex. 6 (YM_00973062) at YM_00973062 (Sanjay Mishra of DG emphasized in his follow-up email that "Dollar General is very concerned that Yang Ming is not meeting its contractual allocation to accept our cargo. We made a good faith agreement at a rate much higher than previous year contract with the anticipation that YML with respects [sic] it's end of its commitment. We need YML to service our account, and at least meet the weekly allocation commitments + help us find solutions for the backlogs we are carrying from May/June") [APP-1169]; Nickels Dep. Tr. 118:12-21 ("Q. What is your understanding of Sanjay's statement? A. Well, it appears that he's saying that we're not meeting our obligations, and he's just making an effort to let us know that he respects -- he expects us to uphold our end of the commitment. That would be the way I would read that. Q. Is there any reason to doubt Sanjay stated things accurately? A. No. I would not think so, no.") [APP-976]; Ex. 70 (McCown Report) ¶ 57 [APP-1500].

67. DG's 2021 Service Contract with YM contained an MQC, i.e., a minimum quantity of space that YM committed to providing at the prices and on the lanes specified in the 2021 Service Contract. *See* Ex. 1 (DGPMC-0000001) at DGPMC-0000002 (Section 2.1) [APP-1137]; Ex. 66 (DGPMC-0084150) at DGPMC-0084150 [APP-1438]; Ex. 67 (DGPMC-0084151) at DGPMC-0084152 [APP-1440]; Ex. 68 (DGPMC-0084151 (NATIVE)) at DGPMC-0084152 [APP-1461]; Ex. 69 (DGPMC-0084151 – WORKSHEET) at Columns H, I, J, O, P, S, T (Identifying lanes awarded by DG to YM under the 2021 Service Contract) [APP-1481]; Kwok Dep. Tr. 80:5-81:5, 81:7-18, 81:23-82:16, 83:23-84:8, 84:15-87:3 (testimony regarding Exhibits 66-69) [APP-641-643]; Ex. 70 (McCown Report) ¶¶ 59, 62 [APP-1500, APP-1501].

68. Some shippers, including DG, prefer service contracts for their ocean freight needs. *See* Ex. 70 (McCown Report) ¶ 70 ("By the same token, BCOs such as DGL who prefer service contracts with carriers expect to, and should be able to, rely on carriers to honor their volume service commitments. Based on my operating experience at a carrier and informed by discussions with hundreds of shippers, that is a central part of the commercial understanding by both parties.") [APP-1503].

69. There is a distinction between service contracts, which provide a fixed quantity and fixed prices, and spot market carriage, in which a carrier has no obligation to accept any particular shipment, prices can fluctuate widely, and there is no guarantee of space during periods of peak demand or supply chain congestion. *See* Maier Dep. Tr. 250:15-18 (“Q. But the spot rates float with the market condition, correct? A. Spot rates will fluctuate with the market, yes.”) [APP-758]; Krueger Dep. Tr. 39:9-40:1 (“Q. Okay. Have you ever heard of the term “spot market” before? A. I have. Q. And what does that term mean to you? A. “Spot market” is the current moving rate. Q. And can you elaborate on that a little bit? A. The spot market is the current moving rate. It can change week to week. It can change month to month. It can change daily. The spot market is -- yep. Q. When you say the “moving rate,” can you clarify what you mean by that? A. What’s the moving rate... It’s what the rate is as of that shipping period.”) [APP-575]; Krueger Dep. Tr. 40:7-23 (“Q. So how -- in the 2021 to 2022 shipping year, how was the moving rate calculated? A. Oh, it’s predicated on a lot of different factors. Mainly whatever the rate is out there in the market. So we’ll have customers come to us and ask us, you know, discuss for whatever, and we get their feedback from what the market rate levels are. Q. So when you say you get their feedback, their feedback will sometimes impact what the market level is — excuse me, what the moving rate is set at? A. Well, every carrier has their own autonomy. You can -- you know, you can take it or leave it, right.”) [APP-575]; Ex. 70 (McCown Report) ¶ 68 [APP-1502]; *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Docket No. 21-11, 2024 WL 4034610, at *11 (FMC Aug. 27, 2024).

70. Service contracts are taken seriously in the shipping industry because they create both contractual and statutory obligations. *See* Morris Dep. Tr. 87:13-20 (“Q. Okay. That’s, so you sent that to the carrier, Yang Ming specifically. And what did Yang Ming do in response to that either weekly allocation or forecast? A. So I can’t speculate as to what their process was but contractually what they were obligated to do was to fulfill our forecast at whatever percentage.”) [APP-910]; Ex. 70 (McCown Report) ¶ 63 [APP-1501].

71. Ocean carriers are well aware of the importance of honoring their service commitments under service contracts and understand that if they choose not to honor these commitments, they do so at peril of investigations, enforcement proceedings, and penalties. *See* Ex. 70 (McCown Report) ¶ 69 [APP-1503].

72. BCOs such as DG expect to, and should be able to, rely on carriers to honor their service commitments. *See* Ex. 70 (McCown Report) ¶ 71 [APP-1503].

VI. Yang Ming’s Employees Acknowledged Its Shipping Act Violations in Internal Communications

73. As early as October 20, 2020, YM headquarters manager Brian Chen informed the NAT sales team that YM had reduced its 2021 MQC goal to 72,000 TEUs (10% less than its 2020 goal) because “tight space and equipment will cost the support from existing accounts,” while simultaneously directing the team to increase its account base “to cover the loss support from existing accounts.” *See* Ex. 39 (YM_01105410) at YM_01105429 [APP-1301]; Ex. 70 (McCown Report) ¶ 88 [APP-1506].

74. On January 8, 2021, YM headquarters manager Brian Chen circulated a FreightWaves article titled “Trans-Pacific shipping rates just popped to new all-time high” and declared that the “2021 contract season should be in favor of carriers” based on “recent Strong Demand, Rates up to both coasts & Southern California pileup.” *See* Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Ex. 70 (McCown Report) ¶¶ 89, 100 [APP-1506, APP-1510]; McCown Dep. Tr. 137:21-138:14 (“A. I thought that was interesting because that’s a senior person telling the group, yeah, isn’t specifically saying, but it’s what others are doing. There is only one interpretation that can be made from this. Q. What interpretation is that, sir? A. That this is the year for the carriers, this is when we’re going to make back, you know, what we lost. There was somewhere else in my report, there’s a reference, I think, to this same gentleman that spoke of, you know, this is our year. So that was a factual statement. Q. What gentleman because you refer to -- A. I think a Mr. Chen, but I don’t --”) [APP-853], 143:7-144:2 (“Q. In retrospect, you think 185 could be misconstrued by someone reading your report to be a statement implying that Yang Ming was raffling space to the highest payer with the premium service? A. No, I don’t think that’s what it says. I think it says that a senior Yang Ming person getting in front of all the salespeople said, basically, look at what other people are doing, look at what they’re doing to jack up their pricing. I -- my interpretation, and again, it’s very different than yours, I would never have the interpretation that he would say, and we don’t want to do that. We’re going to not only maintain and not increase our NVOs, we are going to push down our NVOs because we’re in the business to move freight for our BCOs. That’s not what they did.”) [APP-854].

74.1. Chen directed the NAT sales team to use the tight market conditions to grow its account base and achieve higher rates, explicitly noting that shippers “were more willing to accept higher rates” given space constraints. *See* Chen Dep. Tr. 60:2-18 (“Q. Okay. So did you feel that the Southern California pileup was causing customers to approach Yang Ming with better rates? A. During COVID, since the operation efficiency of the ports have decreased, many containers were stuck at the ports -- inside the ports, which caused delays to the schedule of the vessels. Therefore, the demands of the shippers increased due to these delays. And the shippers were more willing to sign more MQC with us.”) [APP-290]; Ex. 70 (McCown Report) ¶ 100 [APP-1510].

75. On January 8, 2021, NAT Regional Director Dan Vidal warned Chen and Sandy Hsu that the 2021 TPEB year “is going to be a very difficult year” and that key accounts including Kent, Steve Madden, Conair, Petco, CVS, and Xerox “could be endangered because of the lack of support we provided these accounts” in 2020. *See* Ex. 39 (YM_01105410) at YM_01105423 [APP-1295].

75.1. Vidal specifically flagged that YM’s Taipei headquarters had “severely impacted” NAT BCO accounts by “refus[ing] to support these accounts with regularly weekly space throughout 2020,” and warned that “[g]uaranteed space commitments” and “[g]uaranteed equipment commitments” would be critical to signing accounts in 2021. *See* Ex. 39 (YM_01105410) at YM_01105424 [APP-1296].

76. On March 31, 2021—one month before the 2021 Service Contract commenced—Dan Vidal wrote to Sandy Hsu to raise a direct question about YM’s overcommitment strategy: “If we are reducing MQC on some of the offers we have made to VIP key BCOs I would not think we

are interested in signing the below accounts, should we?” *See* Ex. 39 (YM_01105410) at YM_01105410 [APP-1282]; Ex. 70 (McCown Report) ¶ 91 [APP-1507].

77. On April 23, 2021, YM employee Michael Wu admitted to YM origin offices that “current allocation is not covering [signed] MQC fully so we expect fine-tune will be needed.” *See* YM_00056134 at YM_00056135 [APP-1975].

77.1. On April 28, 2021, just days before the 2021 Service Contract began, Wu shared a space update acknowledging that “current vessel delay/natural VMS/space fluctuation & reduction is not within normal scope of estimated capacity” and that “[i]f we are to consider these non-controllable factors when deciding overall MQC, the MQC would probably be half of currently signed MQC.” *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211].

77.2. Wu admitted that as of April 28, 2021, Yang Ming was experiencing complaints from customers that Yang Ming was failing to provide booking confirmations for cargo space. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 80:4-12 (“Q. And the date, April 28th [2021], is right before the beginning of the 2021 service contract year. Correct? A. Yes. Q. Why did you send this email? A. It was because at that period of time, sales personnel reflected that the customers could not get the bookings. So at the time, I explained to them the issues we encountered.”) [APP-1102].

77.3. Wu admitted that as of April 28, 2021, Yang Ming was expecting port congestion issues to continue. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 80:13-81:14 (“Q. And you see where you write: ‘While as you can see that terminal congestion and vessel delay is still raging and we expect this is going to last another few months or the whole year.’ A. I see that. Q. So as of April 28th 2021, you were expecting congestion and related issues to continue. Correct? A. At that time, we could not clearly confirm how long the port congestion would last, or whether it would continue for how long. This sentence is mainly to talk about the situation we observed at the time. And also, the possible direction of the occurrence, and to update our sales personnel. Q. And the time frame you were expecting those conditions to last was another few months or the whole year. Correct? A. At that time, when we mentioned a few months or the whole year, that was to give the business -- sales personnel the worst scenario, so that they can relay that to the customers, so that they can prepare for that, or emotionally prepare for that. And I would like to emphasize that at that time, we could not confirm whether that condition would last or not, or how long it would last.”) [APP-1102].

77.4. Wu admitted that Yang Ming’s space projections for the 2021 Shipping Year failed to include “non-controllable” factors, such as port congestion, vessel delays, and space fluctuations, even though those conditions had been existent since at least October 2020. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 82:6-84:9 (“Q. And here, you are writing that when Yang Ming forecasts its shipping capacity, it does not take into account factors such as vessel delays, natural VMS, and space fluctuations. Correct? A. I have to state it precisely. It is not the case that we would not consider them. However, at that time, we were not able to do so, or include them in the calculations. That is to say that these non-controllable factors, as I mentioned in the previous paragraph, regarding these factors, we did not know how long it would last, or --INTERPRETER: Interpreter would like to correct this

sentence. ‘That is to say that these are non-controllable factors, as I mentioned in the previous factors. Regarding these factors, we did not know whether it would last or not, or how long it would last. At that time, we weren't able to predict these factors.’ BY ATTORNEY HILL: Q. And these non-controllable factors had been present for roughly a year at this point. Is that fair to say? A. At that juncture, I cannot possibly clearly recall when it started, and how that occurred. Regarding VMS and the vessel delays, I cannot remember clearly when it started and how long it would last. Q. But in the second paragraph of this page, do you see where you write: ‘Some of the points may be repeated in the last half year and you may know better than me.’ Did I write that correctly? A. Yes. Q. And so, this email is saying that the points contained in it have been discussed for the last half year. Correct? A. Based on this paragraph, in order to determine that, yes, that's the case, this email was sent in April, and looking back for the half year before that, we did mention these issues to the sales personnel. Q. And so, these conditions would have been existent approximately October of 2020. Correct? A. If we were to infer the time before that, yes. However, I cannot determine whether those statements are correct or accurate. Q. Okay. If we make that inference based on the document, that would cover the period that Yang Ming negotiates the contracts for the 2021 service year. Correct? A. Yes.” [APP-1103].

77.5. In Exhibit 19, Wu stated to Yang Ming’s sales representatives covering the SAT region that if Yang Ming had taken such “non-controllable” factors into account, Yang Ming would only be able to fulfill about half of its signed MQC. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211].

77.5.1. Wu admitted that as of April 28, 2021, it would have been unrealistic to expect that such “non-controllable” factors would be resolved any time soon. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 85:10-86:1 (“Q. And do you see on the third paragraph, you say: ‘Therefore for now, our weekly allocation will not be calculated as simply as by dividing MQC by 52 weeks if terminal congestion/vessel delay is not completely solved.’ Correct? A. I see that. Q. And based on your prior testimony that you had no way of predicting how long these conditions might last, it wasn't realistic to expect that those issues would be resolved any time soon. Fair to say? A. That is back to what I said earlier. At that time, we could not forecast how long it would last. And even before that, we could not expect whether it would last or not.”) [APP-1103-1104].

77.6. During his deposition, Wu provided contradictory and untruthful testimony that the estimate he provided in Exhibit 19 was the “worst case scenario” rather than his most realistic, contemporary estimate of the possible course of the pandemic and resulting port congestion issues. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; *compare* Wu Dep. Tr. 84:10-85:9 (“Q. And you estimated that if Yang Ming had taken the factors we discussed earlier into account, Yang Ming might only be able to fulfill about half of its signed MQC. Is that correct? A. Regarding this figure, at the time, I did not have all the figures. At the time I stated that, it was mainly to explain to the sales personnel that what would be the -- what would be the worst scenario. As I stated, it would be half of the MQC. That is based on my recollection. However, there is no specific numbers to support that. Q. But that comment was supported by your over two years occupying a role in the pricing department at Yang Ming. Is that correct? A. Regarding this estimate, that was the worst scenario I could possibly think of at that time. From the start of Covid, we could not -- we could not expect if that situation would

be resolved or not. And accordingly, the spaces would be reduced, regarding half of it. That is only the worst scenario I could possibly imagine.”) [APP-1103] *with* Wu Dep. Tr. 86:16-87:20 (“Q. Do you make any reference to a worst-case scenario in this email? A. In the latter part of the third paragraph, I referenced what the worst scenario could be, as in this would not be resolved, and it would last for a few months or the whole year. Q. But you make no reference to a worst-case scenario in this email. Correct? A. At that time, I could not predict how big the impact of Covid would be, or how long the impact would last. Therefore, at that time, I can only offer the worst scenario I could possibly imagine. Q. So is the answer to my previous question correct? A. No. I already offered my worst scenario based on what I could imagine. Q. Could you point me to the words that identify this in the email, as the worst-case scenario that you could imagine? A. In the last sentence, in the third paragraph, it mentioned port congestion and vessel delays that may last for a few months or the whole year. Q. But that doesn’t make any characterization as to whether it’s a best case, middle case, or worst-case scenario. Correct? A. In this email, I did not specifically mention the worst scenario that I could infer at that moment. Because I cannot be a hundred percent sure of what would happen.”) [APP-1104].

78. Wu’s update also revealed a deliberate strategy of providing customers with MQCs under 700 TEUs an allocation of “1F per week at their best effort” that did not guarantee even that minimal amount. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211].

78.1. Wu admitted that Exhibit 19 reflects Yang Ming’s policy of dividing its customers between those customers with service contracts containing MQC of above 700 TEUs and those customers with service contracts containing MQC below 700 TEUs for purposes of prioritizing which customers Yang Ming would provide cargo space. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 87:21-88:17 (“Q. Okay. And in the last paragraph, you say: ‘We will first focus on S/C which MQC is above 700 TEU. Those below 700 TEU, we will tell origins to accommodate at least 1F per week at their best effort.’ Did I read that correctly? A. I see that. Q. And so, in this sentence, you are dividing customers into two categories. Those above 700 TEU, and those below. Correct? A. Yes. We divided these customers into two main categories. The main reason to that is this. For the customers who signed up relatively a larger MQC, at the loading port, as in the origin, typically, there would be huge demand. Which means that these customers would have a lot of cargoes that need to be shipped out. So we were hoping to help these customers to squeeze out some cargoes. As to those with 500 to 700 TEU, we would maintain certain booking volume for these customers, and release the spaces to these customers.”) [APP-1104].

78.2. Wu admitted that this policy of Yang Ming’s was developed by Yang Ming’s senior managers at its Taiwan headquarters, including Brian Chen. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 90:4-25 (“Q. Mr. Wu, did you make the decision to divide Yang Ming’s customers between those with MQC above 700 TEU and those below? A. I’m not sure who made the decision at that time. Q. Did your role at that time at pricing allow you authority to make decisions like this, as a general matter? A. We did not clearly define whether we had that authorization or not. Q. Would you ordinarily make a decision like this without asking any of your supervisors? A. Writing this email describing the overall situation, or sending emails to the -- to the sales personnel, before writing that, I would discuss with my direct supervisor regarding the direction of the letter. Q. And so, you would discuss a decision like this with Brian Chen at the time. Correct? A. We did have discussions.

However, I cannot recall specifically whether we discussed detailed numbers or not.”) [APP-1105].

78.3. Wu failed to contradict that the policy reflected in Exhibit 19 included that Yang Ming would not guarantee that it would provide *any* space for Yang Ming’s customers with service contracts containing MQC below 700 TEUs. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. 88:18-90:2 (“Q. And where you say for -- withdrawn. For those customers under 700 TEU, you write that Yang Ming will accommodate at least 1F per week at Yang Ming's best effort. Correct? A. Yes. Q. And by saying ‘at Yang Ming's best effort,’ there is no firm quantitative commitment in that. Correct? A. Here, we mentioned our best efforts. Because oftentimes, we could not provide the services, based on reasons that we could not control. For example, let's say today there is port congestion in the U.S., and vessels going to the U.S. cannot load the cargoes, or there are container cargoes being piled up within the port, or being stuck on the vessel. Therefore, we would not have enough equipment to provide to the customers. And based on these prerequisite conditions, we could not resolve these issues. Q. So the answer to my previous question was correct. Is that right? A. ‘[Chinese spoken.]’ INTERPRETER: Interpreter would like to clarify with the witness regarding a term. ‘[Chinese spoken.]’ THE WITNESS: We did provide the quantitative data. We were hoping that for our loading port, for each week, whenever there is demand from the customers and there were cargoes that had to be shipped, we can at least lease one FEU of space to the customer. Let me supplement my answer. I meant at least one FEU.”) [APP-1104-1105].

78.4. Wu admitted that Yang Ming’s policy goal was to place as many of its customers in the “below 700 TEUs” category as possible, demonstrating that Yang Ming purposefully sought to funnel customers into a de-prioritized category to which Yang Ming refused to provide guarantees that it would provide *any* cargo space. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Wu Dep. Tr. at 105:8-106:19 (“Q. What's your understanding of your sentence here, ‘overwhelming new contracts?’ A. ‘[Chinese spoken.]’ INTERPRETER: ‘[Chinese spoken.]’ Interpreter just asked the witness to pause for a second. Interpreter would like to interpret this portion first and then let the witness continue. THE WITNESS: Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is to expand our clientele and also speed up the sign up of the clients. For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. However, from the perspective of the headquarters, we want more customers to divide up our target. So, for example, let's say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. However, for the headquarters, we would like to see five clients to divide up that goal. That target. Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. ‘Overwhelmingly new contracts.’”) [APP-1108-1109].

79. On the same day, Greg Krueger wrote internally that YM was “only accommodating now 55% of the 2021 signed BCO volume” and warned: “We understand the need to maximize revenue, but if we cannot do a better job the upcoming year is going to be a nightmare for us here.”

See Ex. 31 (YM_02017335) at YM_02017335 [APP-1246]; Ex. 70 (McCown Report) ¶ 95 [APP-1508].

80. On May 7, 2021, mere days into the 2021 shipping year, YM sales representative Joel Yero asked Sandy Hsu what YM was “going to do in order to start releasing space to our account base,” noting that customers “signed in good faith and expect a service to be provided.” See YM_00814513 at YM_00814513-14 [APP-2103-2104]; Ex. 70 (McCown Report) ¶ 104 [APP-1510].

80.1. Sandy Hsu responded that “[a]ll customers are facing space problems now” and that “it would be difficult to get space for the prorated MQC volume,” while acknowledging that “this situation will keep lasting and won’t be solved in short period.” See YM_00814513 at YM_00814513 [APP-2103].

81. On the same day, Sandy Hsu admitted internally to James DeFilippis and Margaret Koszyk that “since the total MQC we sign this year is already more than the space we can provide,” she “doubt[s] if we can really support that much.” See Ex. 40 (YANGMING00261030) at YANGMING00261030 [APP-1303]; Ex. 70 (McCown Report) ¶ 105 [APP-1511].

82. On May 12, 2021, YM sales representative Joel Yero reported receiving “multiple complaints on a daily basis” from BCO customers who “all took substantial increases this year with the expectation that we would at the very least provide some kind of allocation based on their MQC,” with no less than five accounts having not received a single TEU since the contract year began. See YM_00812395 at YM_00812395 [APP-2100]; Ex. 70 (McCown Report) ¶ 106 [APP-1511].

83. On May 13, 2021, YM internally noted it was “under heavy pressure from DG” and had been “called to another meeting today with their VP of Transportation, for lack of our performance.” See Ex. 24 (YM_00976652) at YM_00976652 [APP-1226]; Ex. 70 (McCown Report) ¶ 122 [APP-1514].

84. On May 14, 2021, YM employees confirmed internally that the withholding of space from BCO customers was a calculated choice, not an operational accident: “seems very limited booking is released ... We had already pressed down the allocation, namely not matching their MQC and this is one of our target accounts.” See YM_00055311 at YM_00055311 [APP-1971]; Ex. 70 (McCown Report) ¶ 109 [APP-1511].

85. On May 18, 2021, Michael Wu sent an email attaching a “Space Plan” spreadsheet for YM’s Transpacific-Eastbound customers explicitly stating that “the number in the allocation table does not meet full MQC (except for Newell), *which is the same for all TPEB customers*”. YM_00053853 at YM_00053854 (emphasis added) [APP-1970].

86. On May 24, 2021, Dan Vidal asked: “[I]f we knew that we would be running into these situations, would it not be best to offer much less MQCs at the start of all negotiations?” See YM_00805864 at YM_00805865 [APP-2096]; Ex. 70 (McCown Report) ¶ 110 [APP-1511].

87. On June 29, 2021, YM sales representative Jim Nickels acknowledged that YM was giving DG “zippo” and was instead giving Nickels’ “smaller accounts more.” *See* Ex. 12 (YM_00962578) at YM_00962578 [APP-1195]; Ex. 70 (McCown Report) ¶ 149 [APP-1521].

88. By July 2021, Nickels admitted he was “shock[ed]” by YM’s conduct, reporting that he had “signed 12 accounts and still have 5 that have not lifted 1 teu since 5-1!” and that Yang Ming “can forget about a new contract next year with many of [these customers].” *See* Ex. 4 (YM_00170427) at YM_00170427 [APP-1162]; Ex. 70 (McCown Report) ¶ 150 [APP-1521].

89. On July 14, 2021, Greg Krueger again warned YM management that YM needed to take “a balanced approach” because YM was failing to “service the minimum requirements” of its BCO customers and while he “understand[s] the *need to maximize revenue and the direction HQ office is pushing*,” “we also need to take a balanced approach to sustain us in the year(s) to come.” *See* Ex. 33 (YM_00848949) at YM_00848949 (emphasis added) [APP-1250]; Ex. 70 (McCown Report) ¶ 150 [APP-1521].

90. On July 15, 2021, YM internally acknowledged that DG was “very upset with YM and [had] cut [a] meeting short as ‘a waste of time,’” and stated that YM was “by far, their worst performing carrier,” and that DG would “not be offering YM future SC opportunities.” *See* Ex. 9 (YM_01012333) at YM_01012334 [APP-1183].

91. The next day, Nickels reported that DG said it “would never invite us again if performance didn’t drastically improve.” *See* Ex. 10 (YM_00169787) at YM_00169787 [APP-1187]; Ex. 70 (McCown Report) ¶ 152 [APP-1521].

92. On November 16, 2021, Greg Krueger identified that YM was “generally week over week short by 1000 TEU” and urged that YM headquarters “be aware of our struggles dealing with the BCO customers on this side.” *See* Ex. 38 (YM_00901644) at YM_00901646 [APP-1275]; Ex. 70 (McCown Report) ¶ 156 [APP-1522].

93. On January 3, 2022, Brian Chen directly referenced the Federal Maritime Commission and acknowledged that “BCO space complaint has been becoming a serious issue now, and also attracted a lot of attention from regulatory authority,” and directed YM employees to “assist monitor[ing] space complaints or issues in your region.” *See* Ex. 53 (YM_00617077) at YM_00617077 [APP-1358]; Chen Dep. Tr. 68:9-17 (“Q. Okay. So when you said “regulatory authority” here, did that include the Federal Maritime Commission? A. Federal Maritime Commission is one of the regulatory authorities. Besides Federal Marine Commission, in other countries, they are also similar regulators who are paying attention to this matter.”) [APP-292]; Ex. 70 (McCown Report) ¶ 164 [APP-1524].

93.1. The spreadsheet attached to that email showed DG receiving only 46% of its allotted space for the time period covered. *See* Ex. 53 (YM_00617077) at YM_00617077 [APP-1358]; Ex. 54 (YM_00617081) at Column L, Row 2 [APP-1362].

94. In January 2022, a YM internal look-back worksheet prepared by Brian Chen revealed that out of 119 BCO accounts across YM’s three North American Atlantic regions, only 4—just 3%—had even met YM’s own reduced internal performance targets, with most hovering around 13% to 17% of their contracted MQC. *See* Ex. 41 (YM_00601422) at YM_00601422 [APP-1309];

Ex. 42 (YM_00601425) at Tabs “SAT”, “NAT”, “MAT”, Columns K and M [APP-1312]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not***, at the time of the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***”) (emphasis added) [APP-290]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

95. On March 24, 2022, Michael Wu, the YM employee in charge of marketing and business management of Eastbound Marketing & Pricing Team B for the Commercial Transpacific Department who was responsible for YM’s DG account for the 2021 shipping year, stated (originally in Mandarin) internally to other of his YM colleagues the following (emphasis added):

“The following supplement is for internal reference only and should not be disclosed to the client.

The reason for the restriction at the time was actually because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company. ***To avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing.***

Since we have received no further updates from the client after rejecting their statement, and given the delay in the effective date of the fee, we can consider releasing some bookings to the client. However, ***we would like to implement some level of monitoring; therefore we are not considering removing the restriction from the system.***”

See Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Wu Dep. Tr. 107:18-134:21 [APP-1109-1116]; Ex. 70 (McCown Report) ¶¶ 76-78 [APP-1504].

ARGUMENT

I. **Count I: Violation of 46 U.S.C. § 41102(c): Yang Ming’s Failure to Meet its Service Commitments to DG under the Service Contracts Regarding MQC Commitments Was Unreasonable and Constitutes a Violation of 46 U.S.C. § 41102(c) (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”)**

A. **Count I, Element 1: Yang Ming is an ocean common carrier.**

96. YM is an ocean common carrier. *Supra* ¶ 10.

96.1. This element has been established. *Supra* Argument § I.A.

96.2. This element is undisputed.

B. Count I, Element 2: Yang Ming’s acts or omissions occurred on a normal, customary, and continuous basis.

97. YM’s conduct in violation of Count I occurred on a normal, customary, and continuous basis.

97.1. This element has been established. *Supra* Argument § I.B.

97.2. This element is undisputed.

98. YM’s actions throughout the relevant period did not relate to a single discrete incident but rather to a large number of shipments and for extended periods of time. *Supra* Argument § I.B; *infra* Argument § I.D.

99. YM’s failure to make space available under its Service Contracts with DG, and service contracts with other customers, resulted in mounting shortages for DG as well as other shippers. Ex. 6 (YM_00973062) at YM_00973062 (Dollar General Employee: “We need YML to service our account, and at least meet the weekly allocation commitments + help us find solutions for the backlogs we are carrying from May/June.”) [APP-1169]; Ex. 24 (YM_00976652) at YM_00976652 (Yang Ming Employee: “We are under heavy pressure from DG and[], in fact, have been called to another meeting today with their VP of Transportation, for our lack of performance.”) [APP-1226]; Ex. 28 (DGFMC-0003975) at DGFMC-0003975 (Dollar General Employee: “If we aren’t getting the space out of SZX, we should be getting this from an alternate port.”) [APP-1238]; Ex. 12 (YM_00962578) at YM_00962578 (Yang Ming Employee, on Dollar General’s allocation stated “we are giving them zippo.”) [APP-1195]; YM_00156607 at YM_00156609 (Dollar General Employee: “Are we seriously arguing over a 1% difference on a container rate when you guys have cost me nearly \$8M this contract year already by not fulfilling your run rate?”) [APP-2000]; Ex. 4 (YM_00170427) at YM_00170427 (Yang Ming Employee: “Yes, it kind of shocks me how we have treated some customers. I think they can forget about a new contract next year with many of them.”) [APP-1162]; Ex. 33 (YM_00848949) at 00848950 (Yang Ming Employee: “[W]e are fearful that we will lose support in the coming year due to our inability to service the minimum requirements.”) [APP-1251]; Ex. 37 (YM_01040241) at 01040243 (“We are short 1,100 TEU per week”) [APP-1269]; Ex. 38 (YM_00901644) at YM_00901646 (Yang Ming Employee: “Page 5 will detail the customers that are complaining about space AND are not receiving the effective space.”) [APP-1275].

1. Dollar General, Yang Ming, and Expeditors internal data all demonstrate Yang Ming’s broad-based and continuous failure to meet its service commitments to DG and other BCO customers during the 2021 Shipping Year.

100. During the 2021 Shipping Year, YM shipped only 616.13 FEU against a contractual MQC of 2,226 FEU, which represents a shortfall of approximately 1,610 FEU (nearly 72% of the total MQC). *See* Ex. 75 (DGFMC-0004159) at Tab “Submission Page”, Row 55 “Shipments” [APP-1730]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client Z”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs

not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF ('Shipment Unlading Port Name')) (Exhibit B to the Expeditors Declaration showing that YM ultimately carried 616.756 FEUs of space under the 2021 Service Contract) [APP-274].

100.1. YM's failure to meet its service commitments to DG extended across all 53 weeks included in whole or in part in the 2021 Shipping Year, encompassing 571 individual container shipments from eight origin ports across China and Vietnam destined for four U.S. gateway ports. *See* Ex. 75 (DGFMC-0004159) at Tabs "Submission Page", "Shipments" [APP-1730]; Expeditors Decl., Ex. B at TAB "YMLU Container Report 21-22 Con", Column Z ("Client Z"), Rows (sorted for entries in Column P ('Booked') with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF ('Shipment Unlading Port Name')) (Exhibit B to the Expeditors Declaration showing that YM ultimately carried 616.756 FEUs of space under the 2021 Service Contract) [APP-274].

101. As a result of YM's 1,610-FEU shortfall during the 2021 Service Contract year, DG was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely. *See* Ex. 75 (DGFMC-0004159) at Tab "Submission Page", Columns M, N, and Q, Row 55 [APP-1730]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Ex. 69 (DGFMC-0084151 – WORKSHEET) [APP-1481]; Ex. 74 (McCown Report, Appendix D) [APP-1560-1729].

101.1. Appendix C of the McCown Report reflects actual shipments that DG had to undertake using NVOCCs or ocean freight forwarders during the 2021 Service Contract year on lanes that were supposed to be covered by YM's 2021 Service Contract, but for which YM failed to meet its service commitments under the 2021 Service Contract. *See* Ex. 75 (DGFMC-0004159) at Tab "submission page" [APP-1730]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559].

101.2. Appendix D of the McCown Report reflects YM's service contract rates as to the lanes awarded to YM by DG under the 2021 Service Contract. *See* Ex. 69 (DGFMC-0084151 – WORKSHEET) at Columns AB and AQ, Rows 252, 612, 673, 675, 704, 714, 746, 838, 870, 912, 920, 1001, 1032 [APP-1481]; Ex. 74 (McCown Report, Appendix D) [APP-1560-1729]; *see also* Ex. 66 (DGFMC-0084150) at DGFMC-0084150 [APP-1438]; Ex. 67 (DGFMC-0084151) at DGFMC-0084159 [APP-1447]; Ex. 68 (DGFMC-0084151 (NATIVE)) at DGFMC-0084159 [APP-1468].

101.2.1. Exhibit 66 is April 27, 2021 cover email to the final, unexecuted version of the 2021 Service Contract. *See* Ex. 66 (DGFMC-0084150) at DGFMC-0084150 ("Hi Aimee – Another agreement for Sanjay's signature") (attaching document "Yang Ming – 2021 Boiler Plate – DG Final v.2.docx") [APP-1438]; *see also* Kwok Dep. Tr. 80:25-81:5 ("Q. Could I call your attention to the line below 'Subject,' that starts with 'Attachments?' A. I see that. Q. And do you see that there is a attachment, referred to, next to that word 'Attachments?'" A. I see that.") [APP-641].

101.2.2. Exhibit 67 is a PDF version of the final, unexecuted version of the 2021 Service Contract, which was produced as a PDF but was originally a

native Microsoft Word document attached to the cover email in Exhibit 66. *See* Ex. 67 (DGFMC-0084151) at DGFMC-0084151 [APP-1439]; *see also* Ex. 66 (DGFMC-0084150) at DGFMC-0084150 (cover email with attachment named “Yang Ming – 2021 Boiler Plate – DG Final v.2.docx”) [APP-1438]; Kwok Dep. Tr. 81:7-20 (DG counsel introducing Exhibit 67 and representing that the PDF is “the version that was produced to Yang Ming”) [APP-641].

101.2.3. Exhibit 68 is a Microsoft Word document that is the final unexecuted version of the 2021 Service Contract, which was attached to the cover email in Exhibit 66. *See* Ex. 68 (DGFMC-0084151 (NATIVE)) [APP-1460-1480]; *see also* Kwok Dep. Tr. 81:23-82:9 (DG counsel representing that Exhibit 68 is the original version of the PDF file in Exhibit 67) [APP-641-642].

101.2.3.1. Exhibit 68, which is the original Microsoft Word version of the final, unexecuted 2021 Service Contract, has an embedded Microsoft Excel spreadsheet. *See* Ex. 68 (DGFMC-0084151 (NATIVE)) at 9 [APP-1468]; *see also* Kwok Dep. Tr. 83:23-84:8 (“Q. I’d like to call your attention to this page, which is the ninth page of this Word document. Do you see where it says ‘Schedule A – Rates?’ A. I see that. Q. And there is an icon beneath that. Can you tell me what that is? A. ‘YMLU Rates 2021.’ It’s an Excel attachment. Q. So it’s actually an embedded file. Correct? A. Yes.”) [APP-642].

101.2.4. Exhibit 69 is a Microsoft Excel spreadsheet showing rates as to the lanes awarded to YM by DG under the 2021 Service Contract, which was originally embedded in the final, unexecuted 2021 Service Contract. *See* Ex. 69 (DGFMC-0084151 – WORKSHEET) at Columns AB and AQ, Rows 252, 612, 673, 675, 704, 714, 746, 838, 870, 912, 920, 1001, 1032 [APP-1481]; *see also* Kwok Dep. Tr. 84:15-23 (DG counsel introducing Exhibit 69 and representing that it is the spreadsheet that is embedded in Exhibit 68) [APP-642], 87:1-3 (“Q. And do these appear to be rates for different types of containers? A. Yes.”) [APP-643].

102. The breadth of YM’s failure is demonstrated by YM’s internal data produced in this litigation for the 2021-2022 contract year across more than 100 shipper accounts in the NAT, Mid-Atlantic (“MAT”), and SAT regions, reflecting a systematic, company-wide failure to honor contracted space commitments. *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT”, “SAT” [APP-1312]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not***, at the time of the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***”) (emphasis added) [APP-290].

102.1. YM’s internal records tracked MQC compliance for 119 BCO accounts across YM’s NAT, MAT, and SAT regions during the 2021 Shipping Year. *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT”, and “SAT” [APP-1312].

102.2. Combined, those 119 accounts received only 74,664 TEUs against a total MQC of 210,968 TEUs. *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT”, “SAT” at Columns H and N [APP-1312].

102.3. Of the 119 accounts, 115 (96.63%) failed to reach even the lower mid-year lifting targets (most of which were set at 50% of MQC) that YM had set for them internally. *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT”, “SAT”, Columns K and M [APP-1312]; *see also* Ex. 70 (McCown Report) ¶ 97 [APP-1509].

102.4. This systemic underperformance occurred even as YM’s North American operations exceeded their internal MQC-signing goals by nearly 16%, signing 499,388 TEUs in commitments against a target of 431,000 TEU, which shows that YM sold capacity it could not deliver. *See* Ex. 42 (YM_00601425) at Tab “2022 MQC Plan” [APP-1312]; *see also* Ex. 70 (McCown Report) ¶ 84 (noting that YM made “an unreasonable decision to allocate more than 100% of its anticipated available space to shippers”) [APP-1505].

102.5. Exhibit 42 is an attachment to Exhibit 41, an email dated January 25, 2022, sent by Brian Chen to Sandy Hsu. *See* Ex. 41 (YM_00601422) at YM_00601422 [APP-1309]; Ex. 42 (YM_00601425) at YM_00601425 [APP-1312]; Hsu Dep. Tr. at 91:19-94:6 [APP-425-426].

102.6. Exhibit 42 provides authentic data drawn from YM’s database. *See* Ex. 42 (YM_00601425) at Tab “qry001_SC_MQC” [APP-1312]; Hsu Dep. Tr. at 99:21-100:1 (“Q. Based on what you see here is there any reason to doubt the accuracy of the numbers in this spreadsheet? A. I believe all the numbers filled in in this spreadsheet were based upon the actual -- based upon what actually happened.”) [APP-427], 104:20-105:2 (“Q. If we go to the last tab, QRY001_SC_MQC, that appears to be the consolidated data underlying the other tabs we’ve looked at, correct? A. In my opinion, in this consolidated form in addition to the data in the other tabs sheets we just saw now, there should be data for other clients we signed service contracts with [*i.e.*, the “QRY001_SC_MQC” Tab provides the data reflected in Exhibit 42’s other Tabs as well as additional data for other of YM’s customers].”) [APP-428]; *see also generally* Hsu Dep. Tr. at 94:7-105:2 (Hsu testifying to data and meaning of Exhibit 42 spreadsheet) [APP-426-428].

103. In another example, across 24 separate shipper accounts tracked over a fifteen-week window, YM customers collectively received only approximately 26% of their effective contracted allocation, meaning customers who were guaranteed a combined weekly space of 586 FEU (ex-PRC/PRD) received, on average, less than a third of what they should have obtained, with shortfalls reaching as high as 107 FEUs in a single week for a single account. *See* Ex. 54 (YM_00617081) at Column L [APP-1362].

103.1. At the individual customer level, showing that across 24 BCO accounts tracked over a fifteen-week window, the average customer received just 26.1% of its effective weekly allocation. *See* Ex. 54 (YM_00617081) at Column L [APP-1362].

103.2. Of those 24 BCO accounts, 11 received less than 20%. *See* Ex. 54 (YM_00617081) at Column L [APP-1362].

103.3. Exhibit 54 is an Excel spreadsheet that was sent as an attachment in an email from Brian Chen to Sandy Hsu, Sherry Chang, and Michael Wu, itself part of an email chain entered as Exhibit 53. *See* Ex. 54 (YM_00617081) [APP-1362]; Ex. 53 (YM_00617077) at YM_00617077 [APP-1358]; Chen Dep. Tr. 67:24-25 (“ATTORNEY RUSHING: This is going to be Chen 53, I believe. This is YM_00617077”) [APP-292], 69:23-70:5 (“ATTORNEY RUSHING: This is a document with the Bates number, Yang Ming 00617081. It is an Excel spreadsheet. Mr. Chen, I’m going to represent to you that this spreadsheet was the attachment to the email that you just read”) [APP-292-293].

103.4. The top email in Exhibit 53 to which Exhibit 54 is attached has one body paragraph that reads: “As per previous discussion, since BCO space complaint has been becoming a serious issue now, and also attracted a lot of attention from regulatory authority, pls assist monitor space complaints or issues in your regions, and pls keep me posted. Thanks.” *See* Ex. 53 (YM_00617077) at YM_00617077 [APP-1358].

103.5. The name of the Excel spreadsheet in Exhibit 54 that appears in the email that the spreadsheet was attached to is “TPEB Analysis 1122.xlsx”. *See* Ex. 53 (YM_00617077) [APP-1358-1361].

103.6. YM employees, including members of Brian Chen’s team as well as the YM SAT sales team in the US responsible for the DG contract, provided the data and information in Exhibit 54. *See* Chen Dep. Tr. 70:12-21 (“Q. Mr. Chen, I wanted to ask, is it fair to say that you prepared this document? A. I was not the one who prepared or created this document. Some of the data was provided by our sales team, who was responsible for the contract. And some of the data was provided by our team. Q. So who created this spreadsheet? A. Our team prepared the data and information. For some of the data here, it was prepared by our contract sales team.”) [APP-293].

2. Yang Ming sought service contracts for all of its expected capacity—or more.

104. YM’s practice, which it maintained even during Shipping Year 2021, in the midst of the COVID-19 pandemic and its associated disruptions, was to attempt to fill its *entire* anticipated shipping volume with service contract commitments, or even to enter into service contracts that *exceeded* its anticipated shipping volume, rather than reserve any space for possible issues that might arise during a service contract year that could impact its ability to meet its service commitments to all of its customers, including BCOs. *Infra* Argument § I.D.1.

3. Yang Ming made service commitments knowing it could not satisfy them.

105. YM knew *before the beginning of the 2021 Shipping Year* that it had overcommitted space to its service contract customers and would not be able to satisfy the signed MQCs—*yet it continued to finalize and execute contracts anyway*. *Infra* Argument § I.D.1.ii.

4. **Yang Ming ultimately failed to satisfy its service commitments to any North America, East Coast BCO customer during the 2021 Shipping Year.**

106. YM's service commitment failures were widespread and systematic, affecting DG and all other BCOs with service contracts. *Supra* Argument § I.B.4.

107. YM failed to meet its service commitment on fixed-price BCO service contracts with all customers in the SAT, NAT, MAT regions, including DG. *See* Ex. 42 (YM_00601425) at Tabs "SAT", "NAT", "MAT" [APP-1312]; Ex. 37 (YM_01040241) at YM_01040243-45 [APP-1269-1271]; Ex. 38 (YM_00901644) at YM_00901646 [APP-1275]; Chen Dep. Tr. 58:2-9 ("Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not***, at the time of the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***") (emphasis added) [APP-290]; Nickels Dep. Tr. 89:5-7 ("Q. Is it fair to say that BCOs complained about shortfalls on MQC or service commitments? A. I'm sure there was some of that.") [APP-968]; Cobb Dep. Tr. 102:6-12 ("Q. To your knowledge, did Yang Ming fail to ship the amount of cargo set forth for the service contracts for any BCO during the 2021 shipping year? A. Yes. . . . Q. Do you recall any specific BCOs that had that problem? A. Pretty much all of them. Q. That would include Dollar General? A. Yep.") [APP-340]; Krueger Dep. Tr. 74:15-19 ("Q. Do you know whether in the 2021 shipping year there was any BCO for whom the amount actually moved by Yang Ming was less than the MQC? A. Yes.") [APP-584].

108. Immediately upon entering into the 2021 Service Contract, YM began violating the important volume commitment in the MQC by providing DG with less than 5% of the bargained-for space in the first month of the 2021 Shipping Year. *See* Ex. 75 (DGFMC-0004159) at Tab "Submission Page", Column M, Row 2-5 [APP-1730]; Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM: "EI Shenzhen following your booking guideline – provide 2 weeks forecast on 5/6 for space accommodation on vessel ETD 5/15 to 5/21. ***Unfortunately, no response even we [sic] repeatedly chasing for feedback. We also tried to book on target sailing but all rejected. May I have your coach? How can we secure the committed space for Dollar General shipments? We got nothing under new s/c and YML confirm no contract issue but no response of our booking request so far.***") (emphasis added) [APP-1223]; Ex. 45 (DGFMC-0003528) at DGFMC-0003528 [APP-1336]; Ex. 70 (McCown Report) ¶ 75 [APP-1504].

108.1. Actual volume in the first week of the 2021 Shipping Year was 0 FEU out of a weekly FEU of 42 FEUs (0% compliance). *See* Ex. 75 (DGFMC-0004159) at Tab "Submission Page", Column M, Row 2 [APP-1730]; Ex. 73 (McCown Report, Appendix C) at 4 [APP-1557].

108.2. Actual volume in the first month of the 2021 Shipping Year was 6.923 FEUs out of a monthly MQC of 168 FEUs (4.12% compliance). *See* Ex. 75 (DGFMC-0004159) at Tab "Submission Page", Column M, Row 2-5 [APP-1730]; Ex. 70 (McCown Report) ¶ 75, fn. 52 [APP-1504].

109. A similar level of non-compliance as to YM's MQC commitments to DG would endure throughout the entirety of the 2021 Shipping Year. *See* Ex. 75 (DGPMC-0004159) at Tab "Submission Page", Columns L-O, Rows 2-55 [APP-1730]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Ex. 70 (McCown Report) ¶ 75 [APP-1504].

109.1. Actual volume for the entire contract year of 616 FEUs was 27.7% of the MQC commitment of 2,226 FEUs, a compliance level that approximated both DG's initial experience and the overall experience of other BCOs that were similarly treated by YM. *See* Ex. 70 (McCown Report) ¶ 75, fn. 53 [APP-1504].

110. As early as April 2021, numerous other shippers also already had serious shortfall and booking problems with YM. *See* Ex. 21 (YM_00061394) at YM_00061394-97 [APP-1216-1219]; YM_02033774 at YM_02033774-77 [APP-2298-2301]; Ex. 20 (YM_00121871) at YM_00121871 [APP-1213]; YM_01011665 at YM_01011665-66 [APP-2207-2208]; YM_00896075 at YM_00896078 [APP-2145]; Ex. 5 (YM_00177727) at YM_00177727 [APP-1167]; Nickels Dep. Tr. 88:11-21 ("Q. Do you recall if any BCOs sent complaints to Yang Ming regarding the lack of accepted bookings? A. Yes, I am sure there were some. Q. What were the reasons they complained of, if you remember? A. Well, your main reason would be space. Q. Could you maybe elaborate on that? A. If a shipper was not getting the space that they thought they needed or if they had extra cargo for us and we couldn't provide space at the time, they might complain about that for sure.") [APP-968], 89:5-7 ("Q. Is it fair to say that BCOs complained about shortfalls on MQC or service commitments? A. I'm sure there was some of that.") [APP-968], 102:11-14 ("Q. You also noted that these customers had tried to make bookings many times, but Yang Ming turned them down each time, correct? A. Correct.") [APP-972]; Cobb Dep. Tr. 102:6-12 ("Q. To your knowledge, did Yang Ming fail to ship the amount of cargo set forth for the service contracts for any BCO during the 2021 shipping year? A. Yes. . . . Q. Do you recall any specific BCOs that had that problem? A. Pretty much all of them. Q. That would include Dollar General? A. Yep.") [APP-340], 103:18-23 ("Q. Do you recall whether any BCOs sent complaints to you and your team regarding the lack of accepted bookings? A. Yes. Q. Would that also be mostly all of them? A. Yes.") [APP-340]; Krueger Dep. Tr. 74:15-19 ("Q. Do you know whether in the 2021 shipping year there was any BCO for whom the amount actually moved by Yang Ming was less than the MQC? A. Yes.") [APP-584], 77:6-13 ("Q. So what were some of the things that were complained of in those complaints you just referenced? A. Typically meeting their projections. Q. And why were their projections not being met? A. Because there was no space.") [APP-584]; Ex. 70 (McCown Report) ¶ 170 [APP-1525].

111. It was common for YM to experience disputes with its customers as to YM's fulfillment of MQC service commitments. *See* Ex. 21 (YM_00061394) at YM_00061396 [APP-1218]; YM_02033774 at YM_02033775 [APP-2299]; Ex. 20 (YM_00121871) at YM_00121871 [APP-1213]; YM_01011665 at YM_01011665 [APP-2207]; YM_00896075 at YM_00896076 [APP-2143]; Ex. 53 (YM_00617077) at YM_00617077 [APP-1358]; Ex. 54 (YM_00617081) at Column "Note" [APP-1362]; Cobb Dep. Tr. 103:18-23 ("Do you recall whether any BCOs sent complaints to you and your team regarding the lack of accepted bookings? A. Yes. Q. Would that also be mostly all of them? A. Yes.") [APP-340]; Krueger Dep. Tr. 77:6-13 ("Q. So what were some of the things that were complained of in those complaints you just referenced? A. Typically meeting their projections. Q. And why were their projections not being met? A. Because there was no space.") [APP-584].

111.1. On April 26, 2021, AutoZone reached out to Jim Nickels saying that “[w]e are receiving complaints from our origin booking agents that Yang Ming is not approving space.” Ex. 21 (YM_00061394) at YM_00061396 [APP-1218]; *See* Ex. 70 (McCown Report) ¶ 171 [APP-1526].

111.1.1. AutoZone was a customer who “signed early and provided a forecast for April and May.” Ex. 21 (YM_00061394) at YM_00061394 [APP-1216]; Ex. 70 (McCown Report) ¶ 171 [APP-1526].

111.1.2. AutoZone had a booking from Ningbo, scheduled to depart on May 4 and Ningbo advised they have no allocation from Ningbo. Ex. 21 (YM_00061394) at YM_00061395 [APP-1217]; Ex. 70 (McCown Report) ¶ 171 [APP-1526].

111.1.3. Chris Cobb writes to Michael Wu commenting that “[w]e need this account and booking accommodated the best we can” and we “need to be [as] close to MQC/52 as we can.” Ex. 21 (YM_00061394) at YM_00061394 [APP-1216]; *See* Ex. 70 (McCown Report) ¶ 171 [APP-1526].

111.2. On May 19, 2021, YM customer UPS continued “to call regarding their concerns for adequate space,” saying: “***My biggest concern is that we are getting our fixed/direct allocation from other carrier partners but not Yang Ming.*** Even though it is not 100% I am at least getting a minimum of 90%. The phasing in has begun and in many cases where it was existing customer and routing it never stopped. Seeing that YML is a top carrier partner for us this is concerning. Looking forward to HQ update.” YM_02033774 at YM_02033776 (emphasis added) [APP-2300]; Ex. 70 (McCown Report) ¶ 172 [APP-1526].

111.3. On May 25, 2021, Erwin and Sons Direct Imports reached out to Chris Cobb, saying: “I know Stephanie has been pushing really hard to get us space and said that trade would give us our 1 FEU per week and if possible more but at least 1 FEU. Since our new contract has started we have only received 1TEU this week and it’s the only SO to be released to us since the start.” *See* Ex. 20 (YM_00121871) at YM_00121871 [APP-1213]; Ex. 70 (McCown Report) ¶ 173 [APP-1526].

111.4. On July 19, 2021, YM sales representatives realized that irreparable damage was being done to major client relationships. *See* YM_01011665 at YM_01011665 [APP-2207]; Ex. 70 (McCown Report) ¶ 174 [APP-1526].

111.4.1. One YM employee shared a list of his seven customer accounts with actual performance ranging from 0-12%. *See* YM_01011665 at YM_01011665 [APP-2207]; Ex. 70 (McCown Report) ¶ 174 [APP-1526].

111.4.2. That YM employee pleaded with management for intervention, stating: “***What can I do to get some space for my accounts? I’m worried that we will never be able to resign these customers again. . . . Doing my best but it appears I’m getting the least space for my customers of any of us . . . The ones that are here and we control are getting almost nothing.*** Can we have a call with TPE to try and get more for my accounts?” YM_01011665 at YM_01011665 (emphasis added) [APP-2207]; *See* Ex. 70 (McCown Report) ¶ 174 [APP-1526].

111.5. On September 16, 2021, YM salesperson James DeFilippis reported that he is having a meeting with Conair, “one of our long-standing customers”, having “no idea at this point what we are going to tell them.” YM_00896075 at YM_00896076 [APP-2143]; *See* Ex. 70 (McCown Report) ¶ 175 [APP-1527].

111.5.1. DeFilippis said: “I know we have had discussions here with our management for more than a month and the talk has been that more space was going to be given to BCOs but ***I know many of the regions (based on yesterdays call) have not seen any improvement so that just seems to be talk at this point with no real substance that it is happening.***” YM_00896075 at YM_00896076 (emphasis added) [APP-2143]; Ex. 70 (McCown Report) ¶ 175 [APP-1527].

111.6. On December 13, 2021, YM’s Jim Nickels responded to Keystone Automotive team’s question about the possibility of keeping current MQC that “[o]ur HQ has a goal of MQC deduction from all customers. ***This is due, in part, to the many blank sailings and inability to serve accounts properly.***” Ex. 5 (YM_00177727) at YM_00177728 (emphasis added) [APP-1168]; *See* Ex. 70 (McCown Report) ¶ 176 [APP-1527].

111.7. On January 18, 2022, Brian Chen instructed YM employees to “remove [from a Yang Ming PowerPoint customer presentation, which was prepared “to update current booking situation for” a customer in a conference call between that YM customer and YM headquarters] BSA cut for month May~Jul [*sic*], since our lifting is not line with space reduction, which is not benefit for us to defense” and there is “no need to show Allocation, since our lifting/allocation is not in line with BSA cut, and will make us difficult to explain”. Ex. 61 (YM_00606136) at YM_00606136 [APP-1402]; Ex. 70 (McCown Report) ¶ 178 [APP-1527].

112. Many shippers gave up trying to book space with YM and YM was “not seeing bookings up to allocation levels”. *See* Ex. 2 (YM_00241056) at YM_00241057 [APP-1158]; Ex. 70 (McCown Report) ¶ 179 [APP-1527].

112.1. As noted by similar accounts like AutoZone, customers “***believe some of this is YM has rejected bookings over last 18 months and forwarder has gotten in the habit of not bothering even book with [YM].***” Ex. 2 (YM_00241056) at YM_00241056 [APP-1157]; Ex. 70 (McCown Report) ¶ 179 [APP-1527].

113. YM’s shortfalls with its BCO customers during the 2021 shipping year were systemic, severe, and consistent across all three of its North American regions. *See* Ex. 42 (YM_00601425) at Tab “2022 MQC plan”, Tab “NAT”, Columns M-N, Tab “MAT”, Columns M-N, Tab “SAT”, Columns M-N [APP-1312].

113.1. On November 16, 2021—seven months into the 2021 Shipping Year—YM’s own U.S. Sales team conducted an internal review of effective space allocation versus actual space provided across its BCO customer base on the Transpacific Eastbound trade lane. Ex. 38 (YM_00901644) at YM_00901646 (email from Gregory Krueger to Rolly Chen attaching “our review for the USA customers TPEB ‘effective space allocation’”, which was a “random sampling of the effective space allocation vs. actual space given”) [APP-1275].

113.2. The underlying data showed that across the 24 BCO accounts reviewed, individual customers were receiving as little as 2% to 21% of their contracted MQC volumes, with shortfalls ranging from 4 to 107 TEUs per week per account. Ex. 38 (YM_00901644) at

YM_00901645 (showing chart of the BCOs and shortfall data included in the analysis) [APP-1274].

113.3. For example, even after accounting for allowances due to vessel management systems and skipped ports, YM acknowledged internally that it remained “generally week over week short by 1000 TEU”. Ex. 38 (YM_00901644) at YM_00901646 (“We are generally week over week short by 1000 TEU . . . We are working with the load ports on a daily basis, but still need TPE HQ to be aware of our struggles with the BCO customers on this side.”) [APP-1275].

113.4. Major BCO customers such as Dollar General (14 FEUs short) were among those identified as both complaining about space and failing to receive their effective allocation, demonstrating that the systemic shortfall had persisted without meaningful improvement throughout the entire first half of the contract year. Ex. 38 (YM_00901644) at YM_00901645 (“We are generally week over week short by 1000 TEU . . . We are working with the load ports on a daily basis, but still need TPE HQ to be aware of our struggles with the BCO customers on this side.”) [APP-1274]; *see also* Ex. 70 (McCown Report) ¶ 156 [APP-1522].

113.5. A week later, YM internal emails confirmed that VMS [*blank sailings*] “still accounts for roughly 30% of the total sailings.” YM_00901028 at YM_00901028 [APP-2147].

113.6. YM’s January 25, 2022 internal look-back spreadsheet revealed the following specific account-level shortfall statistics for the SAT region: UPS (NVOCC) received 9,582.25 TEUs against its target and was the only account to meet its Target Performance; DG received only 588.75 TEUs against its MQC of 2,226 FEUs (approximately 1,113 TEUs)—a compliance rate of just 27%—while the vast majority of other BCO customers in the region received low double-digit, single-digit, or in one instance zero TEUs of their contracted space. *See* Ex. 42 (YM_00601425) at “SAT” Tab, Columns K-N, Rows 2, 8, 37 [APP-1312]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not***, at the time of the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***”) (emphasis added) [APP-290]; Ex. 70 (McCown Report) ¶ 51 [APP-1498].

113.7. YM’s January 25, 2022 internal look-back spreadsheet covering the SAT, MAT, and NAT regions revealed the full systemic scope of YM’s shortfall statistics: out of 119 BCO accounts across the NAT, MAT, and SAT regions, only 4—just 3%—met even YM’s own reduced internal 50% performance target, with most accounts hovering at only 13% to 17% of their contracted MQC. *See* Ex. 41 (YM_00601422) at YM_00601422 [APP-1309]; Ex. 42 (YM_00601425) at Tabs “SAT”, “NAT”, “MAT”, Columns K-N [APP-1312]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not***, at the time of the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***”) (emphasis added) [APP-290]; Ex. 70 (McCown Report) ¶ 72 [APP-1503].

113.7.1. The SAT region specifically showed DG at only 13% fulfillment. *See* Ex. 41 (YM_00601422) at YM_00601422 [APP-1309]; Ex. 42 (YM_00601425) at Tab “SAT”, Columns K-N, Row 8 [APP-1312]; Ex. 70 (McCown Report) ¶ 72 [APP-1503].

113.8. At the individual account level, DG’s “YMLU Fall Down Study Submission” documents the week-by-week reality of YM’s shortfall over all 53 weeks of the 2021 contract year: YM carried only 616.13 FEUs against an MQC of 2,226 FEUs, a compliance ratio of just 27%, resulting in a shortfall of 1,610 FEUs and incremental excess costs of \$14,772,354.95. *See* Ex. 75 (DGFMC-0004159) at Tabs “Submission Page”, “Shipments” [APP-1730]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Ex. 70 (McCown Report) ¶¶ 34, 53, 54 [APP-1489, APP-1499]; *see also* Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client FEU”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF (‘Shipment Unlading Port Name’))) [APP-274].

5. Yang Ming’s policies and procedures also favored higher priced freight, compounding its over-commitment, and vast shortfalls, to its BCO customers.

114. Yang Ming’s annualized data compared to relative industry performance, as well as other evidence in the record, demonstrates Yang Ming’s service failures to DG and other of its BCO customers was the result of a deliberate policy of prioritizing higher priced freight over its service commitments to those customers. *Supra* Argument § I.B.5.

115. According to YM’s annual reports, YM’s total TEU volume actually declined during the pandemic from 5,435,000 TEUs in 2019 to 5,075,000 TEUs in 2020, further declining to 4,414,000 TEUs in 2021—TEU totals that reflect a 13.0% decline from 2020 and an 18.8% decline from 2019. *See* Yang Ming Marine Transport Corp., 2019 Annual Report at 95 [APP-2435]; Yang Ming Marine Transport Corp., 2020 Annual Report at 107 [APP-2818]; Yang Ming Marine Transport Corp., 2021 Annual Report at 118 [APP-3206]; Yang Ming Marine Transport Corp., 2022 Annual Report at 132 [APP-3604]; Ex. 70 (McCown Report) ¶ 44, Table 3 [APP-1493].

115.1. YM’s volume modestly recovered to 4,613,000 TEUs in 2022, which remained 15.1% below 2019 levels. *See* Yang Ming Marine Transport Corp., 2019 Annual Report at 95 [APP-2435]; Yang Ming Marine Transport Corp., 2020 Annual Report at 107 [APP-2818]; Yang Ming Marine Transport Corp., 2021 Annual Report at 118 [APP-3206]; Yang Ming Marine Transport Corp., 2022 Annual Report at 132 [APP-3604]; Ex. 70 (McCown Report) ¶ 44, Table 3 [APP-1493].

115.2. This volume decline occurred at a time when total industry volume was moving in the opposite direction, increasing from 169,426,000 TEUs in 2019 to 180,616,000 TEUs in 2021 (a 6.6% increase)—demonstrating that YM’s volume underperformance relative to the industry reflected deliberate capacity reallocation choices rather than any industry-wide constraint. *See* Ex. 70 (McCown Report) ¶ 44, Table 3 [APP-1493].

115.3. The divergence between YM's volume decline and industry volume growth was most pronounced in 2021 when YM's volume declined 13.0% while the industry increased volume by 7.4%, a staggering 2,040 basis point underperformance in a single year. *See* Ex. 70 (McCown Report) ¶ 44 [APP-1493].

116. This divergence is explained by Yang Ming's deliberate choice to prioritizing higher priced freight over its service commitments to those customers. *Infra* Argument § I.D.2.

C. Count I, Element 3: Yang Ming's practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.

117. YM's practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.

117.1. YM's practices and regulations at issue relate to bookings and cargo space allocations. *Infra* Argument § I.D.

117.2. Bookings and cargo space allocations are related to receiving and delivering property.

118. This element has been established. *Supra* Argument § I.C.

118.1. This element is undisputed.

D. Count I, Element 4: Yang Ming's practices and regulations are unjust and unreasonable.

119. Due to YM's practices of (1) failing to meet its service commitments as to cargo space under its Service Contracts with DG, (2) preferring higher-priced freight over meeting its service commitments under the 2021 Service Contract, and (3) negotiating the 2021 Service Contract without intending to comply with it, YM failed to meet its service commitments to DG under the 2021 Service Contract.

119.1. This element has been established. *Supra* Argument § I.D.

119.2. This element is undisputed.

120. YM's practices were unreasonable and inconsistent with historical industry practice. *See* Ex. 70 (McCown Report) ¶¶ 195, 204, 205, 209 [APP-1532, APP-1535-1536].

121. YM's practices were not warranted by any constraints outside of YM's control. *See* Ex. 70 (McCown Report) ¶ 205 [APP-1535].

121.1. During the 2021 Shipping Year, YM's container ships were running full in the headhaul lanes. *See* Ex. 39 (YM_01105410) at YM_01105419-23 [APP-1291-1295]; YM_02033774 at YM_02033777 [APP-2301]; Ex. 70 (McCown Report) ¶¶ 90, 176 [APP-1507, APP-1527].

121.2. According to YM annual reports, YM’s overall annual shipping volume declined from 5,435,000 TEUs (2,717,500 FEUs) in 2019 to 5,075,000 TEUs (2,537,500 FEUs) in 2020, and further declined to 4,414,000 TEUs (2,207,000 FEUs) in 2021, a 13.0% decline from 2020 and an 18.8% decline from 2019, before modestly recovering to 4,613,000 TEUs (2,306,500 FEUs) in 2022, which still remained 15.1% below 2019 levels. *See* Ex. 70 (McCown Report) ¶ 44, Table 3 [APP-1493].

1. Yang Ming’s practice of violating its service commitments in favor of systematically favoring higher-priced freight was unjust and unreasonable.

122. Throughout the 2021 Shipping Year, YM unreasonably failed to meet its service commitments to DG and other BCO customers, including because (i) DG reasonably relied on YM to fulfilling its service commitments and because (ii) YM deliberately designed its cargo allocation system to fail its service commitments to its BCO customers during the 2021 Shipping Year; (iii) YM’s policies failed to make reasonable accommodations to provide space to DG under the 2021 Service Contract; and (iv) YM otherwise failed to make reasonable accommodations to provide space to DG and other of its BCO customers. *Supra* Argument § I.D.1.

i. Dollar General’s reliance on Yang Ming fulfilling its service commitments was reasonable and consistent with prior practice.

123. DG reasonably relied on YM to fulfill YM’s service commitments under the 2021 Service Contract. *See* Ex. 6 (YM_00973062) at YM_00973062 (Email from DG’s Sanjay Mishra to YM: “Dollar General is very concerned that Yang Ming is not meeting its contractual obligations to accept our cargo. We made a good faith agreement at a rate much higher than previous year contract with the anticipation that YML with respects it’s end of its commitment. We need YML to service our account, and at least meet the weekly allocation commitments + help us find solutions for the backlogs we are carrying from May/June”) [APP-1169]; Ex. 9 (YM_01012333) at YM_01012333-34 (Describing YM meeting with DG in which the “gal at DG read us the riot act” and DG advised YM that it was “by fair, their worst performing carrier”) [APP-1182-1183]; Ex. 10 (YM_00169787) at YM_00169787 (Email chain between YM sales professionals about same meeting: “Yeah, she said she would never invite us again if performance didn’t drastically improve”) [APP-1187]; YM_00156607 at YM_00156608-12 [APP-1999-2003]; Ex. 24 (YM_00976652) at YM_00976652 (Email from YM’s Jim Nickels to YM’s Michael Wu: “We are under heavy pressure from DG and, in fact, have been called to another meeting today with their VP of Transportation, for our lack of performance”) [APP-1226]; Ex. 26 (YM_01811949) at YM_01811949 (email from DG’s Brian Mitchell to YM asking for a biweekly report on current usage of allocated spaces) [APP-1232]; Ex. 28 (DGFMC-0003975) at DGFMC-0003975 (Email from Chelsea Morris to YM’s Jim Nickels: “If we aren’t getting the space out of SZX, we should be getting this from an alternate port. That is our space regardless of the port of lading . . . need[] YMLU to advise on voids and alternate ports of call for each string.”) [APP-1238]; *see also* Ex. 70 (McCown Report) ¶ 51 [APP-1498].

124. DG complied with its obligations under the 2021 Service Contract. *See* Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (“ETD”) with dates

falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273].

124.1. DG maintained its standard practice of negotiating service contracts based on anticipated vessel space needs for the 2021 Shipping Year. *See* Ex. 6 (YM_00973062) at YM_00973062 [APP-1169]; Ex. 8 (YM_01788635) at YM_01788635 [APP-1173]; Ibrahim Dep. Tr. 77:2-10 (“Q. Yeah. Based on your knowledge generally over your time period at Dollar General when Dollar General negotiated its service contracts for an upcoming year, was it Dollar General's practice to contract for only the space that it anticipated needing in that upcoming year? A. Yes”) [APP-462], 77:14-17 (“Q. Would that policy have applied to your knowledge during the 2021 through 2022 service contract year? A. Yes.”) [APP-462], 77:23-78:3 (“Q. So based on your knowledge in that role, did you come to learn that that was the policy that Dollar General pursued for the 2021 through 2022 contract here? A. Yes.”) [APP-462]; Ex. 70 (McCown Report) ¶ 99 [APP-1509].

124.2. DG had more than sufficient volume to satisfy all of its MQC commitments during the 2021 Shipping Year. *See* Morris Dep. Tr. 26:18-23 (“A. We had enough volume to give all carriers their MQC. We were way over, we forecasted under. So the amount of volume that we would have had would have well exceeded, well exceeded what we had committed to the carriers,”) [APP-895]; Ex. 28 (DGPMC-0003975) at DGPMC-0003975 (June 10, 2021 Chelsea Morris email to Nickels demonstrating DG’s flexibility and volume depth by demanding contracted space from alternate origin ports when Shenzhen was unavailable confirming that DG had sufficient cargo volume to fill its MQC allocation across multiple origin ports simultaneously) [APP-1238]; Ex. 70 (McCown Report) ¶ 71 [APP-1503].

124.2.1. DG experienced a significant surge in shipping volume during the 2021-2022 contract year, reflecting an increase of approximately 20% to 50% compared to previous years. *See* Morris Dep. Tr. 54:17-55:6 (“Q. During that 21-22 service contract year, there was a surge of cargo being shipped by Dollar General; is that correct? A. Correct. Q. Is there any percentage over what your average amount of cargo shipped would have been for that, say the prior five years or three years? A. I would be engaging in conjecture without referencing data points, but I would say 20 to 50. Inside of the ballpark range for that timeframe again based off my recollection.”) [APP-902]; Ex. 70 (McCown Report) ¶ 102 [APP-1510].

124.2.2. COVID-19-related issues did not significantly impede DG’s ability to move cargo to the ports, as the company’s volume was high enough that they could substitute cargo from different vendors if one was unavailable. *See* DGPMC-0003855 at DGPMC-0003855 [APP-2310]; YM_00156607 at YM_00156610 [APP-2001]; Morris Dep. Tr. 94:24-95:17 (“Q. Did any of those issues affect Dollar General's ability to get cargo from its vendor and or get the cargo that it did have to the ports? A. That for me I think is actually a point of pride. So when those types of occurrences happened, we worked with Dollar General Global Sourcing. We had a number of options which are again, if you have the city shutdown but essential personnel were still allowed to move which a lot of times

could have been the case, you know, we didn't have any major impediments. We had enough volume during those timeframes if one vendor couldn't make it, we had plenty of cargo that we could show. We also would during periods transition cargo to alternative ports.”) [APP-912]; Ex. 70 (McCown Report) ¶ 99 [APP-1509].

124.3. DG intentionally under-committed its overall MQC because the company aimed for accuracy amidst surging demand and market uncertainty rather than attempting to take advantage of the market. *See* Morris Dep. Tr. 55:19-56:7 (“Q. You said you had under committed in your overall MQC for that same year. Why was that? A. I think it was a combination of surging demand levels. I also think at the time as retailers we didn’t know what was going to happen, when things were going to settle, and so as we were going into the contract year, our goal was not to take advantage of the market. We wanted, we prided ourselves on at least endeavoring to be as accurate as we can based off the information we had at the time.”) [APP-902]; Ex. 70 (McCown Report) ¶ 102 [APP-1510].

124.4. DG’s third-party booking agent, Expeditors, diligently performed its duties attempting to make bookings with YM on DG’s behalf pursuant to DG’s 2021 Service Contract. *See* Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273]; Ex. 27 (DGFMC-0003682) at DGFMC-0003682-86 [APP-1233-1237]; Ex. 23 (YM_01796679) at YM_01796679-81 [APP-1223-1225]; Ex. 45 (DGFMC-0003528) at DGFMC-0003528-29 [APP-1336-1337]; YM_00121562 [APP-1987-1997]; Ex. 24 (YM_00976652) at YM_00976652-55 [APP-1226-1229]; Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273]; Ex. 70 (McCown Report) ¶¶ 107, 108, 112-117 [APP-1511-1513].

124.5. DG made repeated requests for the space to which YM had committed in the 2021 Service Contract. *See* Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273]; Ex. 24 (YM_00976652) at YM_00976653-55 [APP-1227-1229]; Ex. 6 (YM_00973062) at YM_00973062-63 [APP-1169-1170]; Ex. 8 (YM_01788635) at YM_01788639-42 [APP-1177-1180]; Ex. 28 (DGFMC-0003975) at DGFMC-0003975 [APP-1238]; Ex. 26 (YM_01811949) at YM_01811949 [APP-1232]; Ex. 12 (YM_00962578) at YM_00962578-79 [APP-1195-1196]; Ex. 9 (YM_01012333) at

YM_01012333-34 [APP-1182-1183]; YM_00156607 at YM_00156609-14 [APP-2000-2005]; Nickels Dep. Tr. 116:5-21 (“Q What led to this meeting to be scheduled? A Sanjay wanted to have a meeting with all of these people who -- to express his concern with liftings and to make sure that we knew how important it was to Dollar General. Q So Yang Ming U.S.-based sales rep team would organize a meeting like this when there is an issue to be addressed, correct? A If we were asked to organize a meeting by whomever, to organize a meeting with our Taiwan colleagues, we would try to do our best to do that, yes.”) [APP-975]; Cobb Dep. Tr. 146:13-23 (“Q. Okay. And what did you typically discuss in those meetings? A. It was at the beginning of the contract. This was May 21st. So starting in May with the space problems and the onboarding. So we talked about all that and the allocations. And then on this call, Sanjay wanted to talk to Taiwan to go through the issues they were having. Because they had a backlog of cargo they were trying to move, and they wanted to see how we could assist.”) [APP-351].

124.6. DG regularly reviewed container space provided by YM. *See* Ex. 6 (YM_00973062) at YM_00973062-63 (Email from DG’s VP of Transportation with summary of confirmed YM bookings) [APP-1169-1170]; Ex. 26 (YM_01811949) at YM_01811949 [APP-1232]; Cobb Dep. Tr. 168:11-24 (“Q. So fair to say, Dollar General is making an effort to track its space allocations and bookings with Yang Ming? ATTORNEY KEANE: Asked and answered. You can answer it again. THE WITNESS: They just were trying to track if we were giving them the allocation per week, based on the allocation use and the allocation they had. But it didn’t take into consideration if there was any fall down, or missed cutoffs, or anything on our side too. So they wanted a basic report of what their allocation was and what was used during the week, and on what service.”) [APP-356].

124.7. DG communicated its cargo needs to Yang Ming in advance by consistently providing to YM updated FEU forecasts and by referencing the agreed-upon MQC. *See* Ex. 76 (Attachment A, DG Supplemental Interrogatory Responses) [APP-179-186]; Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (“ETD”) with dates falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273]; Nickels Dep. Tr. 83:18-21 (“Q. From your experience, would you say that Dollar General consistently provided FEU forecasts to Yang Ming? A. They made a weekly forecast; that’s correct.”) [APP-967]; Cobb Dep. Tr. 168:11-24 (“Q. So fair to say, Dollar General is making an effort to track its space allocations and bookings with Yang Ming? ATTORNEY KEANE: Asked and answered. You can answer it again. THE WITNESS: They just were trying to track if we were giving them the allocation per week, based on the allocation use and the allocation they had. But it didn’t take into consideration if there was any fall down, or missed cutoffs, or anything on our side too. So they wanted a basic report of what their allocation was and what was used during the week, and on what service.”) [APP-356]; Morris Dep. Tr. 84:12-21 (“Q. . . . how would Dollar General let Yang Ming know how much cargo it had for a particular voyage and port, and how would Yang Ming respond to that, if it responded to tell you we can accommodate X or however they may have handled it? A. So we have, we built on forecasts. Yeah, we built out forecasts is the answer. And then again the very minimum, you know, MQC.”) [APP-909]; Ex. 70 (McCown Report) ¶ 134 [APP-1517].

124.7.1. Section 2.3 of the 2021 Service Contract states: “Carrier commits to provide weekly space at a level not less than 130% of the Merchant forecasted FEU volume 4 weeks from scheduled shipment week. Example: If in Merchant’s fiscal week 1 Merchant is forecasting 10 FEU on a particular lane projected to sail in fiscal week 5, Merchant expectation would be such that allocated carrier would accept no less than 13 FEU in fiscal week 5.” Ex. 1 (DGFMC-0000001) at DGFMC-0000002 [APP-1137]; *see also* Ex. 6 (YM_00973062) at YM_00973062-3 (Email from Sanjay Mishra to YM: “Key Points for YMLU . . . Contract states: Carrier commits to provide weekly space at a level not less than 130% of the Merchant forecasted FEU volume 4 weeks from scheduled shipment week”) [APP-1169-1170].

124.7.1.1. YM employees knew about this special provision when they communicated with DG. *See* Ex. 6 (YM_00973062) at YM_00973062 [APP-1169]; Ex. 1 (DGFMC-0000001) at DGFMC-0000002 [APP-1137]; Nickels Dep. Tr. 83:14-17 (“Q. Were you aware of this provision when you were communicating with Dollar General employees? A. Yes. I mean, I had read the contract before.”) [APP-967], 84:2-12 (“Q. When did you or Chris Cobb reference these specific volume entitlements? A. We were provided a volume forecast on a weekly basis by Expeditors. Q. So are you saying you or Chris Cobb referenced these specific volume entitlements with Expeditors? A. Yes. Q. I was asking if you mentioned these specific volume entitlements with Yang Ming headquarter. A. Yes.”) [APP-967]; Cobb Dep. Tr. 96:6-18 (“Q. Was a provision like this common in the BCO service contracts that you worked with? A. No. It was not common. I have seen it before, but it’s not normally in the terms and conditions. Q. So it’s generally something -- you would be generally surprised to see a provision in a service contract like this? A. I would. Q. And it would be something unique to take into account in your servicing of a service contract with that BCO. Correct? A. Yes.”) [APP-338]; Ex. 70 (McCown Report) ¶ 133 [APP-1517].

124.7.2. Attachment A of the DG Supplemental Interrogatory Responses provides the forecasts DG provided to YM during the 2021 Shipping Year consistent with Section 2.3 of the 2021 Service Contract. *See* Ex. 76 (Attachment A, DG Supplemental Interrogatory Responses) [APP-179-186] *with* forecast documents underlying Attachment A [APP-4232-4455].

124.7.2.1. DG’s forecasts provided detailed information reflecting the actual volume of written orders DG was requesting carriers to transport based on their specific percentage of the total allocation. *See* Ex. 76 (Attachment A, DG Supplemental Interrogatory Responses) [APP-179-186]; forecast documents underlying Attachment A [APP-4232-4455]; Ex. 6 (YM_00973062) at YM_00973063 [APP-1170]; Ex. 26 (YM_01811949) at YM_01811949 [APP-1232]; Morris Dep. Tr. 87:3-12 (“Q. Just, the forecast was supposed to be more better in information than just the weekly allotment? A. It was based off of written volumes. So the weekly allocation

would have been, hey this was our annual number. The forecast would have been here's everything that we have written that we are asking our providers to carry based off of their percentage allocation.") [APP-910]; Ex. 70 (McCown Report) ¶ 135 [APP-1517].

124.7.2.2. DG's forecasts provided at least four weeks of solidified data. Morris Dep. Tr 136:19-137:5 ("Q. And again during the 21-22 shipping year, how far out in advantages were the forecasts made for? A. So, you would get at least because we looked it, I think it was four weeks. So you would get at least four weeks of solidified information and at least week four I think through 12 would have been, we have partially written volumes at this point which the carriers were aware of and educated on."). [APP-922-923]; Ex. 70 (McCown Report) ¶ 135 [APP-1517].

124.7.2.3. Beyond that initial window, DG's forecasts typically extended from week 4 through week 12, reflecting partially written volumes, which was a distinction in data accuracy that carriers were briefed on and understood. *See* Morris Dep. Tr 136:19-137:5 ("Q. And again during the 21-22 shipping year, how far out in advantages were the forecasts made for? A. So, you would get at least because we looked it, I think it was four weeks. So you would get at least four weeks of solidified information and at least week four I think through 12 would have been, we have partially written volumes at this point which the carriers were aware of and educated on.") [APP-922-923]; Ex. 70 (McCown Report) ¶ 135 [APP-1517].

124.7.2.4. The frequency of DG's forecasts varied by method: initially, the goal was to email an Excel file every week. *See* Ex. 6 (YM_00973062) at YM_00973063 [APP-1170]; Ex. 26 (YM_01811949) at YM_01811949 [APP-1232]; Morris Dep. Tr. 135:17-136:7 ("Q. You had testified earlier today about forecasts that were provided to Yang Ming during the 2021-2022 shipping year that we've been talking about, what was the frequency with which you provided those forecasts to Yang Ming? MR. KEANE: Objection to foundation. You can still answer. A. So one was in an Excel file. I would say the agenda was to e-mail it every week and then when it transitioned to being provided within the expediter carrier allocation tool, it was systematically generated and so they could go in there at any time and access the forecast file.") [APP-922]; Ex. 70 (McCown Report) ¶ 135 [APP-1517].

124.7.2.5. Following the transition to the Expeditors carrier allocation tool, DG's forecasts were systematically generated, allowing YM to access the updated files at any time. *See* Morris Dep. Tr. 135:17-136:7 ("Q. You had testified earlier today about forecasts that were provided to Yang Ming during the 2021-2022 shipping year that we've been talking about, what was the frequency with which you provided those forecasts to Yang Ming? MR. KEANE: Objection to foundation. You can still answer. A. So one was in an Excel file. I would say the agenda was to e-mail it every

week and then when it transitioned to being provided within the expediter carrier allocation tool, it was systematically generated and so they could go in there at any time and access the forecast file.”) [APP-922], 137:14-138:5 (“Q.... The forecasts that you just testified about, those are provided directly by Dollar General to Yang Ming; is that right? A. Originally when we were generating them in Excel they would have been provided by Dollar General to Yang Ming. When we switched over to the carrier allocation platform, expediters became our order manager, and all of our order manager data and of course we set up some rules that would logically create that forecast. So it didn’t need to come from Dollar General to expediters to Yang Ming. It really was from expediters to Yang Ming based off of the data that they housed on our order information.”) [APP-923]; Ex. 70 (McCown Report) ¶ 135 [APP-1517].

124.7.2.6. DG refreshed its forecast data on a weekly basis. *See* Morris Dep. Tr. 136:15-18 (“Q. During this same time period, how frequently would the forecast be updated? A. Our forecast would be refreshed weekly.”) [APP-922]; Ex. 70 (McCown Report) ¶ 135 [APP-1517].

124.7.3. DG diligently sought to ensure that its forecasts to YM of its anticipated needs for the 2021 Shipping Year would be accurate. *See* Ex. 76 (Attachment A, DG Supplemental Interrogatory Responses) [APP-179-186]; Morris Dep. Tr. 26:14-23 (“Q. Did . . . Dollar General meet its commitment to [Non-YM VOCC] to provide the MQC, whatever number it was to [Non-YM VOCC] to be shipped? A. Yes. We had enough volume to give all carriers their MQC. We were way over, we forecasted under. So the amount of volume that we would have had would have well exceeded, well exceeded what we had committed to the carriers.”) [APP-895], 54:22-56:7 (“Q. Is there any percentage over what your average amount of cargo shipped would have been for that, say the prior five years or three years? A. I would be engaging in conjecture without referencing data points, but I would say 20 to 50. Inside of the ballpark range for that timeframe again based off my recollection. . . . [W]e didn’t know what was going to happen, when things were going to settle, and so as we were going into the contract year, our goal was not to take advantage of the market. We wanted, *we prided ourselves on at least endeavoring to be as accurate as we can based off the information we had at the time.*”) [APP-902], 87:3-12 (“Q. Just, the forecast was supposed to be more better in information than just the weekly allotment? A. It was based off of written volumes. So the weekly allocation would have been, hey this was our annual number. The forecast would have been here's everything that we have written that we are asking our providers to carry based off of their percentage allocation.”) [APP-910]; Cobb Dep. Tr. 168:11-24 (“Q. So fair to say, Dollar General is making an effort to track its space allocations and bookings with Yang Ming? ATTORNEY KEANE: Asked and answered. You can answer it again. THE WITNESS: They just were trying to track if we were giving them the allocation per week, based on the allocation use and the allocation they had. But it didn’t take into consideration if there was any fall down, or missed cutoffs, or anything on our side too. So they

wanted a basic report of what their allocation was and what was used during the week, and on what service”) [APP-356].

125. YM failed to meet its service commitments to DG, including as to fulfilling its MQC obligations. *Infra*.

125.1. YM knew DG intended to fulfill the MQC under the 2021 Service Contract. *See* Ex. 6 (YM_00973062) at YM_00973062-63 [APP-1169-1170]; Ex. 8 (YM_01788635) at YM_01788639-42 [APP-1177-1180]; Ex. 9 (YM_01012333) at YM_01012333-34 [APP-1182-1183]; Ex. 24 (YM_00976652) at YM_00976652-53 [APP-1226-1227]; Ex. 26 (YM_01811949) at YM_01811949 [APP-1232]; Ex. 28 (DGFMC-0003975) at DGFMC-0003975 [APP-1238]; Ex. 51 (YM_00866984) at YM_00866985 [APP-1354].

125.2. YM quickly began under-allocating space, with May 2021 allocations already falling short of the MQC/52. *See* Ex. 24 (YM_00976652) at YM_00976652-53 [APP-1226-1227]; Ex. 6 (YM_00973062) at YM_00973062-63 [APP-1169-1170]; Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) [APP-273]; Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client FEU”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF (‘Shipment Unlading Port Name’))) [APP-274].

125.3. YM regularly failed to allocate to DG space that DG rightfully should have been allocated. *See* Ex. 75 (DGFMC-0004159) at Tabs “Submission Page” (Row 55, Columns L-N), “Shipments” (Column S) [APP-1730]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273]; Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client Z”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF (‘Shipment Unlading Port Name’))) (Exhibit B to the Expeditors Declaration showing that YM ultimately carried 616.756 FEUs of space under the 2021 Service Contract) [APP-274]; Ex. 42 (YM_00601425) at Tab “SAT”, Row 8 [APP-1312]; Ex. 6 (YM_00973062) at YM_00973062-63 [APP-1169-1170]; Ex. 12 (YM_00962578) at YM_00962578 [APP-1195]; Ex. 9 (YM_01012333) at YM_01012334-37 [APP-1183-1186]; Ex. 53 (YM_00617077) at YM_00617080 [APP-1361]; Ex. 54 (YM_00617081) at Tab “工作表 1”, Row 2 [APP-1362].

125.4. YM met less than 27% of the MQC in the 2021 Service Contract. *See* Ex. 75 (DGFMC-0004159) at Tabs “Submission Page” (Row 55, Columns L-N), “Shipments” (Column S) [APP-1730]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Expeditors

Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client Z”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF (‘Shipment Unlading Port Name’))) (Exhibit B to the Expeditors Declaration showing that YM ultimately carried 616.756 FEUs of space under the 2021 Service Contract) [APP-274].

126. BCOs’ reliance on consistent, predictable contracted space for their complex supply chains provides predictability and stability that benefits both parties. *See* Ex. 70 (McCown Report) ¶ 51 (“BCOs have intricate supply chains that rely on the consistent availability of contracted-for and predictable space, which is exactly why they enter into fixed price service contracts.”) [APP-1498], ¶ 192 (“BCOs with fixed-price service contracts provide predictability and stability that benefits both parties.”) [APP-1531].

ii. Yang Ming deliberately designed its cargo allocation system to fail its service commitments to its BCO customers during the 2021 Shipping Year.

127. YM failed to make reasonable accommodations to provide space to DG under the 2021 Service Contract. *See* Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273]; Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client Z”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF (‘Shipment Unlading Port Name’))) (Exhibit B to the Expeditors Declaration showing that YM ultimately carried 616.756 FEUs of space under the 2021 Service Contract) [APP-274].

128. YM’s allocation scheme was deeply flawed, as demonstrated by the poor outcomes it yielded in service commitment fulfillment. *See* Ex. 42 (YM_00601425) at Tabs “SAT”, “NAT”, “MAT”, Columns K and M [APP-1312]; Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client Z”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF (‘Shipment Unlading Port Name’))) (Exhibit B to the Expeditors Declaration showing that YM ultimately carried 616.756 FEUs of space under the 2021 Service Contract) [APP-274]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not, at the time of the signing, we could not determine that. We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***”) (emphasis added) [APP-290].

128.1. These outcomes demonstrate that YM knew, or should have known, that its allocation policies were an unreasonable and ineffective tool to meet YM's service commitments to DG and its other customers. Ex. 42 (YM_00601425) at Tabs "SAT", "NAT", "MAT", Columns K and M [APP-1312]; Expeditors Decl., Ex. B at TAB "YMLU Container Report 21-22 Con", Column Z ("Client Z"), Rows (sorted for entries in Column P ("Booked") with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF ("Shipment Unlading Port Name"))) (Exhibit B to the Expeditors Declaration showing that YM ultimately carried 616.756 FEUs of space under the 2021 Service Contract) [APP-274].

129. Annually, YM undertakes a process to determine how much shipping capacity it will have in the upcoming year. *See* Chen Dep. Tr. 17:10-19 ("Q. Does Yang Ming annually determine how much cargo space it's going to be able to offer in total, for the upcoming year? A. Yes. Based on shipping routes and the allocations of the vessels, we would make estimates or projections of the demands from various ports, in order to estimate the spaces required for the upcoming year. However, because of many reasons, we cannot make accurate estimates.") [APP-279]; Ex. 70 (McCown Report) ¶ 84 [APP-1505].

130. YM's strategy for the 2021 Shipping Year was to participate in the spot market for ocean freight through short-term service contracts with NVOCCs that, in practice, effectively floated along with prevailing spot rates. *See* Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Maier Dep. Tr. 303:21-304:2 ("Q. Did we discuss earlier that the rates in spot -- in NVOCC contracts float with the spot market? A. Those spot rates with the NVOCC market, many times will relate to the BCO, not always between the NVOCC and the ocean carrier.") [APP-771]; Ex. 70 (McCown Report) ¶¶ 51, 191 (McCown opining that "while NVOCCs often do, in fact, have service contracts with vessel-operating common carriers, their pricing is typically directly linked to spot rate indices") [APP-1498, APP-1531].

130.1. YM's internal documents establish that during the 2021 Shipping Year YM favored NVOCCs on short-term spot market-based rates and premium price service contracts with BCOs while falling short on its non-premium fixed-price BCO service contracts. *See* Ex. 42 (YM_00601425) at Tab "SAT", Columns K and M (Compare Row 2 with Rows 3-38) [APP-1312]; Hsu Dep. Tr. 103:19-104:1 ("Q. And row 6 -- excuse me. In here, only row 2 UPS ocean freight service met its target performance, correct? A. I think so based upon the data shown here. Q. And under column C, account type, that UPS account is listed as an NVOCC, right? A. Yes, based upon the information shown on the screen.") [APP-428]; Ex. 33 (YM_00848949) at YM_00848950 [APP-1251].

131. YM's decision to commit more than 100% of its available capacity to service contracts during the 2021 shipping year was not merely risky, but a deliberate and willful choice made with full knowledge that it would be impossible to fulfill its customers' MQC commitments. *See* Ex. 70 (McCown Report) ¶¶ 84-87, 192, 194 (opining that YM deliberately overcommitted its fleet by allocating "more than 100% of its anticipated available space to shippers," that it did so despite internally conceding "the total MQC we sign this year is already more than the space we can provide," and that YM "continued to enter into new agreements" even while "knowing that these limitations would impact its ability to meet contractual commitments") [APP-1505-1506, APP-1531].

131.1. Ocean carriers acting reasonably typically reserve some portion of their total capacity outside of service contract commitments. *See* Ex. 70 (McCown Report) ¶ 192 (“The practice of *not* selling all available cargo space in advance of an upcoming shipping year via service contracts, and instead reserving some capacity for spot traffic, has obvious advantages for a carrier meeting its service commitments under its service contracts. If a carrier such as YMTC reserves a portion of its available capacity for the spot market, that reserve creates a “buffer” of additional cargo space for the carrier to use to perform on its service contracts with BCOs even in the event of shipping delays or logistical challenges.”) [APP-1531].

132. McCown opines that YM’s space allocation system during the 2021 Shipping Year was fundamentally and deliberately ill-designed to honor its MQC commitments to BCO customers, and that its deficiencies were not the product of operational constraints but of conscious commercial choices made at the highest levels of YM’s management. *See* Ex. 70 (McCown Report) ¶ 84 (noting that “YMTC undertakes a process to determine how much shipping capacity it will have in the upcoming year” and for the 2021 Shipping Year made “an unreasonable decision to allocate more than 100% of its anticipated available space to shippers.”) [APP-1505]; YM_00812395 at YM_00812395 [APP-2100]; Ex. 33 (YM_00848949) at YM_00848950 [APP-1251].

132.1. Specifically, McCown opines that YM made “an unreasonable decision to allocate more than 100% of its anticipated available space to shippers” before the 2021 contract year even began. *See* Ex. 70 (McCown Report) ¶ 84 [APP-1505]; YM_00056134 at YM_00056135 [APP-1975]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211].

132.2. YM’s allocation system created a structural impossibility of MQC compliance that was baked into YM’s allocation system from the outset. *See* Ex. 70 (McCown Report) ¶ 192 (“The practice of not selling all available cargo space in advance of an upcoming shipping year via service contracts, and instead reserving some capacity for spot traffic, has obvious advantages for a carrier meeting its service commitments under its service contracts. If a carrier such as YMTC reserves a portion of its available capacity for the spot market, that reserve creates a “buffer” of additional cargo space for the carrier to use to perform on its service contracts with BCOs even in the event of shipping delays or logistical challenges. Such a reservation of space would effectively serve as an insurance policy against the need for a carrier to go to the spot market itself or charter additional space to meet its service commitments. BCOs with fixed-price service contracts provide predictability and stability that benefits both parties. As discussed above, while NVOCCs also can have service contracts, the pricing in such contracts is far more variable and, as such, provides neither party with those same benefits; they are more akin to spot movements without a service contract. YMTC’s practices during the 2021 shipping year inverted the FMC’s guidance in Fact Finding No. 23, explicitly reserving space on its vessels for spot market NVOCCs rather than BCOs with service contracts such as DGL.”) [APP-1531].

133. There were no capacity constraints that would justify even a fraction of YM’s large shortfall to DG. *See* Ex. 70 (McCown Report) ¶ 205 (“Accordingly, with consistent increases in available vessel lift capacity and awareness of the actual and potential impact of container shipping supply chain issues during the pandemic, there were no capacity constraints that would justify even

a fraction of YMTC's massive cargo space shortfall with DGL. YMTC's failures to meet its service commitments to DGL and other BCO customers were choices affirmatively made by YMTC, to move loads from other customers at geometrically higher spot rates compared with what YMTC had committed to DGL.") [APP-1535], 195 (noting that despite lower overall container volumes, YM's total fleet capacity increased 6.6% in 2021 and 7.4% in 2022, for a total increase of 14.5% over the pandemic period, and that average capacity per vessel likewise grew 6.6% in 2021 and 3.9% in 2022, directly refuting any capacity-based justification for YM's shortfall with DG) [APP-1532], 48 (noting that YM's transpacific volume decline in 2021 of 23.7% was more than five times the modest 4.5% volume decline registered by alliance partner Hapag-Lloyd and well above the 14.9% eastbound volume decline posted by alliance partner ONE, confirming that YM's U.S.-directed capacity reduction was a deliberate outlier rather than a reflection of genuine industry-wide capacity constraints) [APP-1496], 209 ("Based on my industry experience, moving barely a quarter of the MQC volume that was committed to over a year is a brazen service failure by any carrier. There are no circumstances known to me that could be used to justify such a massive failure by a carrier that was still a going concern, much less a carrier that was earning record-breaking profits during the very same time period.") [APP-1536].

133.1. While YM's total container liftings declined in the 2021 Shipping Year, this decline was not attributable to any reduction in YM's total lift capacity, nor to legitimate blank sailings caused by capacity constraints. *See* Yang Ming Transport Corp., 2022 Annual Report at 121, 129 [APP-3593, APP-3601]; Ex. 70 (McCown Report) ¶ 195 ("Despite lower overall container volumes shipped, YMTC's annual reports disclose that at the end of each year during the pandemic, both the total vessel capacity of its fleet and the average capacity per vessel were **greater** than the previous year. In 2021, YMTC's total fleet capacity increased 6.6%, followed by another 7.4% increase in 2022, for a total increase of 14.5% over that period. YMTC's average capacity per vessel likewise grew 6.6% in 2021 and 3.9% in 2022, for an increase of 10.8% in total over the period.") [APP-1532], ¶ 205 ("Accordingly, with consistent increases in available vessel lift capacity and awareness of the actual and potential impact of container shipping supply chain issues during the pandemic, there were no capacity constraints that would justify even a fraction of YMTC's massive cargo space shortfall with DGL. YMTC's failures to meet its service commitments to DGL and other BCO customers were choices affirmatively made by YMTC, to move loads from other customers at geometrically higher spot rates compared with what YMTC had committed to DGL.") [APP-1535].

133.2. To the contrary, YM's available capacity increased during this period, and its lower liftings reflected a deliberate reallocation of capacity away from the Asia-U.S. trade rather than any genuine shortage. *See* Yang Ming Transport Corp., 2022 Annual Report at 121, 124 [APP-3593, APP-3596]; Ex. 70 (McCown Report) ¶ 195 ("Despite lower overall container volumes shipped, YMTC's annual reports disclose that at the end of each year during the pandemic, both the total vessel capacity of its fleet and the average capacity per vessel were **greater** than the previous year. In 2021, YMTC's total fleet capacity increased 6.6%, followed by another 7.4% increase in 2022, for a total increase of 14.5% over that period.200 YMTC's average capacity per vessel likewise grew 6.6% in 2021 and 3.9% in 2022, for an increase of 10.8% in total over the period.") [APP-1532], ¶ 205 ("Accordingly, with consistent increases in available vessel lift capacity and awareness of the actual and potential impact of container shipping supply chain issues during the pandemic, there were no capacity constraints that would justify even a fraction of YMTC's massive cargo space shortfall with DGL. YMTC's failures

to meet its service commitments to DGL and other BCO customers were choices affirmatively made by YMTC, to move loads from other customers at geometrically higher spot rates compared with what YMTC had committed to DGL.”) [APP-1535].

a. Yang Ming deliberately overcommitted service contract MQCs across its customers going into the 2021 Shipping Year.

134. According to Yang Ming’s proffered expert, Gary Kardian, ocean carriers such as Yang Ming have an obligation to assess and plan for their actual carrying capacity before making a service commitment. *See* Kardian Dep. Tr. 119:20-24 (Q. Okay. But ocean carriers like Yang Ming have an obligation to plan for what they can actually carry before they make a service commitment, correct? A. Yes.”) [APP-505].

135. Mr. Kardian agreed that a carrier must have a reasonable plan in place to cope with periods of congestion and must utilize and allocate its capacity in a reasonable and just manner when those periods occur. *See* Kardian Dep. Tr. 133:19-134:5 (“Q. Do you agree with the statement that a carrier must establish a reasonable plan in order to cope with period of congestion and must fill its capacity in a reasonable and just manner when such period occur? . . . A. I’d say yes.”) [APP-508-509].

136. Unbeknownst to DG at the time it entered into the 2021 Service Contract with YM, YM had already developed a strategy for how to deal with MQCs in service contracts with BCOs in the upcoming shipping season. *See* Ex. 70 (McCown Report) ¶ 85 [APP-1505].

137. In the months leading up to the negotiation period for service contracts covering the 2021 Shipping Year, YM was well aware of significant constraints on available vessel space and the growing imbalance between demand and capacity. *See* Cobb Dep. Tr. 74:10-15 (“Q. And going back to the budget period for the 2021/2022 contract year -- so it would have been that November 2021 area -- did Yang Ming’s -- did Yang Ming monitor the course of the Covid pandemic in making those budget decisions? A. Yes. They did.”) [APP-333], 189:24-190:9 (“Q. And were there conversations that you had within Yang Ming about what was driving these increases? A. Yes. Q. And what were those conversations? A. Well, all the trade lanes were full. All the rates were up substantially for all trade lanes. . . . Since we were profitable on inner Asia, Asia to Europe, Latin America, and then, of course, the TP trade, both export and import, that allowed us to be profitable.”) [APP-361-362]; Ex. 70 (McCown Report) ¶ 86 [APP-1506]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211].

137.1. Despite knowing that these limitations would impact its ability to meet contractual commitments, YM continued to enter into new agreements. *See* Ex. 39 (YM_01105410) at YM_01105410 [APP-1282]; YM_00056134 at YM_00056135 [APP-1975]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; YM_00812395 at YM_00812395 [APP-2100]; Ex. 8 (YM_01788635) at YM_01788642 (“[T]here is overwhelming new contracts coming this year so this actually take us more than usual years to settle and communicate with our origins.”) [APP-1180]; Nickels Dep. Tr. 100:7-10 (“Q When these customers signed their 2021 contracts, did you lead them to believe Yang Ming would actually carry their cargo? A Of course.”) [APP-971]; Ex. 70 (McCown Report) ¶ 86 [APP-1506].

137.2. During the time period at issue in this action, YM decided to allocate more than 100% of its anticipated available space to shippers. *See infra*; Ex. 40 (YANGMING00261030) at YANGMING00261030 (August 18, 2021 email from Sandy Hsu stating to YM customer: “Frankly speaking, . . . the total MQC we sign [sic] this year is already more than the space we can provide.”) [APP-1303]; Ex. 70 (McCown Report) ¶ 84 [APP-1505].

137.3. Chen admitted in his deposition in this case that YM’s annual determinations of how much cargo space YM was going to be able to offer in total for the upcoming shipping year that YM would “consider the current situation, and also, the possible situation in the upcoming year.” Chen Dep. Tr. 16:23-17:19 (“Q. When your team was discussing how much MQC to offer to a shipper, did you take into account how much cargo space Yang Ming was projected to have for the upcoming year? And I am referring to MQC; Minimum Quantity Commitment. A. When we determine MQC, we would consider the current situation, and also, the possible situation in the upcoming year. However, there are many changes in the upcoming year. Therefore, we would try to make the best estimation based on the information we collected at the time, and provide advice. Q. Does Yang Ming annually determine how much cargo space it’s going to be able to offer in total, for the upcoming year? A. Yes. Based on shipping routes and the allocations of the vessels, we would make estimates or projections of the demands from various ports, in order to estimate the spaces required for the upcoming year. However, because of many reasons, we cannot make accurate estimates.”) [APP-279].

138. YM made a deliberate choice to prioritize maximizing revenue above all else. *See* Ex. 39 (YM_01105410) at YM_01105425, -1105419 (“Sandy & I had a meeting [sic] with TP MGM to review NAT performance. . . . As instructed by TP MGM, we’ll need to increase A/C num in 2021 to reach A/C num goal 64 (NYC 50; BOS 14), and can’t continue to reduce A/C num in NAT. This will not be acceptable by MGM in 2021, especially for big market NYC+BOS. In order to do so, pls work [sic] sales team to update their target A/C’s in order to increase our A/C base this year. . . . 2021 contract season should be in favor of carriers. Based on recent Strong Demand, Rates up to both coasts & Southern California pileup, we’re seeing some customers approaching us for 2021 contract with better rates. As market is in favor of carriers this year, let’s take this chance to increase A/C Num in NAT (NYC+BOS) and achieve A/C NUM Goal 64.”) [APP-1297]; Chen Dep. Tr. 34:13-35:4 (“Q. When news of the Covid-19 pandemic began to spread, did Yang Ming monitor news regarding the Covid-19 pandemic, as it related to maritime shipping? A. Yes. Since Covid-19 would affect the entire logistics and supply chain, we would need to monitor the situation at the loading ports and discharging ports. And it would also affect various steps in the supply chain. So we need to understand the impact of Covid-19 to various locations and regions, and how that would affect provision of the spaces. Q. When entering into service contracts for the 2021 shipping year, did Yang Ming take the pandemic into consideration? A. Yes. We did consider the Covid-19 pandemic.”) [APP-284], 54:10-55:16 (“Q. Do you recall having any specific thoughts or feelings about that contract negotiation year? INTERPRETER: Counsel, so which year is that? ATTORNEY RUSHING: The contract negotiations for the 2021 shipping year. INTERPRETER: Okay. THE WITNESS: Regarding the signing and negotiation of the contracts for 2021, the key issues were around the impact of Covid-19 to the entire logistic and supply chain. BY ATTORNEY RUSHING: Q. And do you recall feeling that that would be to the benefit of the carriers, including Yang Ming? A. During Covid-19, since many regions were increasing their work hours or increasing remote learning, therefore, because of that, our clients would have bigger

demands. And when it is beneficial to us, in terms of the demand and the supply situation, to us, the carriers, it would help stabilize the cargo's carriage. Okay. I would like to clarify the translation. I don't mean adding work hours. I meant, people were increasingly working from home. **Q. So did you feel that that would benefit the carriers?** A. In fact, that is hard to determine. However, **if the demand is greater than the supply, that would be beneficial for the shipping companies to sign and negotiate a contract with the shippers.**) (emphasis added) [APP-289], 60:2-18 ("Q. Okay. So did you feel that the Southern California pileup was causing customers to approach Yang Ming with better rates? A. During COVID, since the operation efficiency of the ports have decreased, many containers were stuck at the ports -- inside the ports, which caused delays to the schedule of the vessels. **Therefore, the demands of the shippers increased due to these delays. And the shippers were more willing to sign more MQC with us.** Q. **And were they also offering better rates to shippers?** A. **It should be put this way. The shippers were more willing to accept higher rates, relatively speaking.**") (emphasis added) [APP-290]; Krueger Dep. Tr. 104:4-10 ("Q. You seem to be saying here that maximizing revenue was also one of the factors. That is not one of the factors that was outside of Yang Ming's control, was it? A. Not necessarily, no. I mean, it was -- it was within our control, sure.") [APP-591], 105:14-22 ("Q. So when you wrote this, why did you feel that maximizing revenue played a role in these issues? A. Why did I feel that it created? Q. Yes. A. Well, I mean, our company is in the business to make money. So obviously maximizing revenues is always on the forefront of the company's mind.") [APP-591]; Wu Dep. Tr. 105:8-106:19 ("Q. What's your understanding of your sentence here, 'overwhelming new contracts'? A. . . . **Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is to expand our clientele and also speed up the sign up of the clients.** For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. **However, from the perspective of the headquarters, we want more customers to divide up our target.** So, for example, let's say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. **However, for the headquarters, we would like to see five clients to divide up that goal. That target. Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. 'Overwhelmingly new contracts.'**") (emphasis added) [APP-1108-1109]; Ex. 70 (McCown Report) ¶¶ 87, 100 [APP-1506, APP-1510]; McCown Dep. Tr. 137:21-138:14 ("A. I thought that was interesting because that's a senior person telling the group, yeah, isn't specifically saying, but it's what others are doing. There is only one interpretation that can be made from this. Q. What interpretation is that, sir? A. That this is the year for the carriers, this is when we're going to make back, you know, what we lost. There was somewhere else in my report, there's a reference, I think, to this same gentleman that spoke of, you know, this is our year. So that was a factual statement. Q. What gentleman because you refer to -- A. I think a Mr. Chen, but I don't --") [APP-853], 143:7-144:2 ("Q. In retrospect, you think 185 could be misconstrued by someone reading your report to be a statement implying that Yang Ming was raffling space to the highest payer with the premium service? A. No, I don't think that's what it says. I think it says that a senior Yang Ming person getting in front of all the salespeople said, basically, look at what other people are doing, look at what they're doing to jack up their pricing. I -- my interpretation, and again, it's very different than yours, I would never have the interpretation that he would say, and we don't want to do that. We're

going to not only maintain and not increase our NVOs, we are going to push down our NVOs because we're in the business to move freight for our BCOs. That's not what they did.") [APP-854].

139. Compared to the pre-pandemic era, YM saw a strong spike in profitability in 2020 and 2021. *See supra* Introduction § IV; Cobb Dep. Tr. 189:7-14 ("Q. Do you have an understanding of how Yang Ming's revenue changed during the period of -- over the period of 2019 to 2022? A. I do. Q. And what was that? A. Quite a bit. I don't know what we made, but we were profitable in 2020 and 2021. And we were not profitable before that.") [APP-361]; Krueger Dep. Tr. 81:19-82:3 ("Q. Do you have an understanding of how Yang Ming's revenues changed between 2019, 2020 and 2021? A. Sure. Q. And can you tell me about that? A. I'm assuming our revenue increased during those years. Q. Why do you assume that? A. Because I saw the spot market rates fluctuate very high.") [APP-585-586]; Ex. 70 (McCown Report) ¶ 87 [APP-1506].

139.1. YM's profitability was driven by surging global demand and significant rate increases across all trade lanes. *See supra* Introduction § IV; Ex. 70 (McCown Report) ¶ 87 ("Compared to the pre-pandemic era, YMTC saw a strong spike in profitability in 2020 and 2021. It was driven by surging global demand and significant rate increases across all trade lanes, which led to improved operational performance worldwide. YMTC prioritized maximizing revenue above all else, and this choice was within YMTC's control.") [APP-1506], Table 1, at 9 (From 2017 through 2019, YM's net income to revenue margin was modest and often negative, and this trend reversed sharply beginning in 2020, when YM's margin jumped to 8.1% on total revenue of \$5.138 billion and net income of \$414 million, and then surged further in 2021 to a 49.6% margin on revenues of \$11.953 billion, with net income climbing to \$5.932 billion, an increase of roughly 13-fold (approximately 1,333%) over its 2020 net income) [APP-1491], Table 5, at 14 ("Measured against the 2019 pre-pandemic baseline, YM's pricing increased 204.7% by 2021, nearly twice the increase reflected in the industry-wide CTS Global Pricing Index (125.5%) and nearly twice the increase in the calculated industry revenue per TEU (108.6%).") [APP-1496]; Ex. 11 (YM_00013570) at YM_00013570 (Nickels responded "Yes" when asked in a February 2021 email whether he and YM were in a great position, and wrote: "Nobody minded when we were losing our shirts for years and years. Now that we are making money everybody is mad at us. So be it.") [APP-1189]; *see also* Nickels Dep. Tr. 140:10-17 ("Q What did you mean by we were using [losing] our shirts for years and years? A Well, carriers lost money for many years in a row. And when we started making some money during the COVID years, some shippers were mad at us. But, you know, so be it. We had lost money for years, and nobody cared at that time. So they got mad because we were making a little money.") [APP-981]; Cobb Dep. Tr. 189:24-190:13 ("Q. And were there conversations that you had within Yang Ming about what was driving these increases? A. Yes. Q. And what were those conversations? A. Well, all the trade lanes were full. All the rates were up substantially for all trade lanes. So it was just -- since we were profitable on inner Asia, Asia to Europe, Latin America, and then, of course, the TP trade, both export and import, that allowed us to be profitable. Q. And was this something just of general knowledge within Yang Ming, that folks were talking about? A. Yes.") [APP-361-362].

140. YM deliberately pursued policies designed to generate profits for itself at the expense of meeting its service commitments to DG and other of its shipping customers. *See* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Ex. 33 (YM_00848949) at YM_00848950-51

[APP-1251-1252]; Ex. 4 (YM_00170427) at YM_00170427-30 [APP-1162-1165]; Ex. 42 (YM_00601425) at Tabs “2022 MQC Plan”, “NAT”, “MAT”, “SAT”, and “qry001_SC_MQC” [APP-1312]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. *Whether it would be a good year for the carriers or not*, at the time of the signing, we could not determine that. *We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.*”) (emphasis added) [APP-290]; Ex. 63 (YM_01680094) at YM_01680094, YM_01680097 [APP-1421, APP-1424]; Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 70 (McCown Report) ¶ 94 [APP-1507].

140.1. YM well understood that when customers face space shortages, contract negotiations with shippers would benefit YM. *See* Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Chen Dep. Tr. 55:11-16 (“Q. So did you feel that that would benefit the carriers? A. In fact, that is hard to determine. However, if the demand is greater than the supply, that would be beneficial for the shipping companies to sign and negotiate a contract with the shippers.”) [APP-289]; Ex. 70 (McCown Report) ¶ 100 [APP-1510].

140.2. YM senior management clearly signaled to its North American salespeople that they should opportunistically maximize revenue even when it was inconsistent with MQC commitments. *See* Ex. 39 (YM_01105410) at YM_01105425, YM_01105419 (“Sandy & I had a meeting [*sic*] with TP MGM to review NAT performance. . . . As instructed by TP MGM, we’ll need to increase A/C num in 2021 to reach A/C num goal 64 (NYC 50; BOS 14), and can’t continue to reduce A/C num in NAT. This will not be acceptable by MGM in 2021, especially for big market NYC+BOS. In order to do so, pls work [*sic*] sales team to update their target A/C’s in order to increase our A/C base this year. . . . 2021 contract season should be in favor of carriers. Based on recent Strong Demand, Rates up to both coasts & Southern California pileup, we’re seeing some customers approaching us for 2021 contract with better rates. As market is in favor of carriers this year, let’s take this chance to increase A/C Num in NAT (NYC+BOS) and achieve A/C NUM Goal 64.”) [APP-1291, APP-1297]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Ex. 14 (YM_00054408) at YM_00054408 [APP-1201]; Ex. 16 (YM_00051363) at YM_00051363-64 [APP-1204-1205]; Ex. 33 (YM_00848949) at YM_00848950 [APP-1251]; Ex. 4 (YM_00170427) at YM_00170427-30 [APP-1162-1165]; Ex. 37 (YM_01040241) at YM_01040242-45 [APP-1268-1271]; Ex. 42 (YM_00601425) at Tab “qry001_SC_MQC”, Rows K and L [APP-1312]; Ex. 70 (McCown Report) ¶¶ 89, 100 [APP-1506, APP-1510]; McCown Dep. Tr. 137:21-138:14 (“A. I thought that was interesting because that’s a senior person telling the group, yeah, isn’t specifically saying, but it’s what others are doing. There is only one interpretation that can be made from this. Q. What interpretation is that, sir? A. That this is the year for the carriers, this is when we’re going to make back, you know, what we lost. There was somewhere else in my report, there’s a reference, I think, to this same gentleman that spoke of, you know, this is our year. So that was a factual statement. Q. What gentleman because you refer to -- A. I think a Mr. Chen, but I don’t --”) [APP-853], 143:7-144:2 (“Q. In retrospect, you think 185 could be misconstrued by someone reading your report to be a statement implying that Yang Ming was raffling space to the highest payer with the premium service? A. No, I don’t think that’s what it says. I think it says that a senior Yang Ming person getting in front of all the salespeople said, basically, look at what other people are doing, look at what they’re doing to jack up their pricing. I -- my interpretation, and again, it’s very different than yours, I would never have the interpretation

that he would say, and we don't want to do that. We're going to not only maintain and not increase our NVOs, we are going to push down our NVOs because we're in the business to move freight for our BCOs. That's not what they did.") [APP-854].

140.3. On January 8, 2021, Brian Chen (YM headquarters manager of the North American region) shared this strategy which had been developed at two transpacific management meetings in late 2020 that resulted in YM seeking to focus on signing new accounts and grow its account base for the 2021 shipping year. *See* Ex. 39 (YM_01105410) at YM_01105425, -1105419 ("Sandy & I had a meeting [*sic*] with TP MGM to review NAT performance. . . . As instructed by TP MGM, we'll need to increase A/C num in 2021 to reach A/C num goal 64 (NYC 50; BOS 14), and can't continue to reduce A/C num in NAT. This will not be acceptable by MGM in 2021, especially for big market NYC+BOS. In order to do so, pls work [*sic*] sales team to update their target A/C's in order to increase our A/C base this year. . . . 2021 contract season should be in favor of carriers. Based on recent Strong Demand, Rates up to both coasts & Southern California pileup, we're seeing some customers approaching us for 2021 contract with better rates. As market is in favor of carriers this year, let's take this chance to increase A/C Num in NAT (NYC+BOS) and achieve A/C NUM Goal 64.") [APP-1297]; Chen Dep. Tr. 60:2-18 ("Q. Okay. So did you feel that the Southern California pileup was causing customers to approach Yang Ming with better rates? A. During COVID, since the operation efficiency of the ports have decreased, many containers were stuck at the ports -- inside the ports, which caused delays to the schedule of the vessels. **Therefore, the demands of the shippers increased due to these delays. And the shippers were more willing to sign more MQC with us. Q. And were they also offering better rates to shippers? A. It should be put this way. The shippers were more willing to accept higher rates, relatively speaking.**") (emphasis added) [APP-290]; Ex. 70 (McCown Report) ¶¶ 89, 100 [APP-1506, APP-1510]; McCown Dep. Tr. 137:21-138:14 ("A. I thought that was interesting because that's a senior person telling the group, yeah, isn't specifically saying, but it's what others are doing. There is only one interpretation that can be made from this. Q. What interpretation is that, sir? A. That this is the year for the carriers, this is when we're going to make back, you know, what we lost. There was somewhere else in my report, there's a reference, I think, to this same gentleman that spoke of, you know, this is our year. So that was a factual statement. Q. What gentleman because you refer to -- A. I think a Mr. Chen, but I don't --") [APP-853], 143:7-144:2 ("Q. In retrospect, you think 185 could be misconstrued by someone reading your report to be a statement implying that Yang Ming was raffling space to the highest payer with the premium service? A. No, I don't think that's what it says. I think it says that a senior Yang Ming person getting in front of all the salespeople said, basically, look at what other people are doing, look at what they're doing to jack up their pricing. I -- my interpretation, and again, it's very different than yours, I would never have the interpretation that he would say, and we don't want to do that. We're going to not only maintain and not increase our NVOs, we are going to push down our NVOs because we're in the business to move freight for our BCOs. That's not what they did.") [APP-854].

140.4. After hearing concerns from the North American salespeople, Chen attached a FreightWaves article ("**Trans-Pacific shipping rates just popped to new all-time high**") and declared that: "**2021 contract season should be in favor of carriers.**" *See* Ex. 39 (YM_01105410) at YM_01105419-23 (emphasis added) [APP-1291-1295]; Ex. 70 (McCown Report) ¶¶ 89, 100 [APP-1506, APP-1510]; McCown Dep. Tr. 137:21-138:14 ("A. I thought

that was interesting because that's a senior person telling the group, yeah, isn't specifically saying, but it's what others are doing. There is only one interpretation that can be made from this. Q. What interpretation is that, sir? A. That this is the year for the carriers, this is when we're going to make back, you know, what we lost. There was somewhere else in my report, there's a reference, I think, to this same gentleman that spoke of, you know, this is our year. So that was a factual statement. Q. What gentleman because you refer to -- A. I think a Mr. Chen, but I don't --") [APP-853], 143:7-144:2 ("Q. In retrospect, you think 185 could be misconstrued by someone reading your report to be a statement implying that Yang Ming was raffling space to the highest payer with the premium service? A. No, I don't think that's what it says. I think it says that a senior Yang Ming person getting in front of all the salespeople said, basically, look at what other people are doing, look at what they're doing to jack up their pricing. I -- my interpretation, and again, it's very different than yours, I would never have the interpretation that he would say, and we don't want to do that. We're going to not only maintain and not increase our NVOs, we are going to push down our NVOs because we're in the business to move freight for our BCOs. That's not what they did.") [APP-854].

140.5. Chen based his pronouncement that "2021 contract season should be in favor of carriers" on "recent Strong Demand, Rates up to both coasts & Southern California pileup." *See* Ex. 39 (YM_01105410) at YM_01105419 [APP-1291].

140.6. According to Chen, the result of this was that "shippers were more willing to accept higher rates". *See* Chen Dep. Tr. 60:2-18 ("Q. Okay. So did you feel that the Southern California pileup was causing customers to approach Yang Ming with better rates? A. During COVID, since the operation efficiency of the ports have decreased, many containers were stuck at the ports -- inside the ports, which caused delays to the schedule of the vessels. Therefore, the demands of the shippers increased due to these delays. And the shippers were more willing to sign more MQC with us. Q. And were they also offering better rates to shippers? A. It should be put this way. The shippers were more willing to accept higher rates, relatively speaking.") [APP-290]; Ex. 70 (McCown Report) ¶ 100 [APP-1510].

140.7. YM was well aware of space complaints that had been consistently brought by customers since early in the pandemic. *See* Ex. 39 (YM_01105410) at YM_01105410 [APP-1282]; Ex. 11 (YM_00013570) at YM_00013570 [APP-1189]; YM_00056134 at YM_00056135 [APP-1975]; Ex. 24 (YM_00976652) at YM_00976652 [APP-1226]; Ex. 32 (YM_02057515) at YM_02057516 [APP-1249]; Ex. 33 (YM_00848949) at YM_00848950 [APP-1251]; Ex. 51 (YM_00866984) at YM_00866985 [APP-1354]; Ex. 53 (YM_00617077) at YM_00617080 [APP-1361]; Chen Dep. Tr. 69:15-22 ("Q. Okay. So here, you say that BCO space complaints have been becoming a serious issue. When did that begin? A. Starting from the second half of 2020, there were similar situations. And in 2021, due to Covid, that situation became more serious. So the situation has worsened.") [APP-292]; Ex. 70 (McCown Report) ¶ 101 [APP-1510].

141. On February 25, 2021, YM's sales representative Jim Nickels shared an article titled "Ocean carriers hold all the cards in contract talks with shippers" that he described as "the current state of shipping as vessels remain full and space and equipment are at a premium for inbound cargo". *See* Ex. 11 (YM_00013570) at YM_00013571 [APP-1190]; Ex. 70 (McCown Report) ¶ 90 [APP-1507].

141.1. Nickels responded “Yes” when asked in a February 2021 email whether he and YM were in a great position, and wrote: “***Nobody minded when we were losing our shirts for years and years. Now that we are making money everybody is mad at us. So be it.***” See Ex. 11 (YM_00013570) at YM_00013570 (emphasis added) [APP-1189]; see also Nickels Dep. Tr. 140:10-17 (“Q What did you mean by we were using [losing] our shirts for years and years? A Well, carriers lost money for many years in a row. And when we started making some money during the COVID years, some shippers were mad at us. But, you know, so be it. We had lost money for years, and nobody cared at that time. So they got mad because we were making a little money.”) [APP-981]; Ex. 70 (McCown Report) ¶ 90 [APP-1507].

142. Throughout the 2021 Shipping Year, in addition to misleading its customers, YM deliberately misled its own North American sales team to communicate YM’s preferred, external-facing story rather than YM’s more accurate, internal assessments and policies developed within higher-level management teams, particularly within YM’s Taiwan headquarters. Compare, e.g., Ex. 19 (YM_01769468) at YM_01769468 [APP-1211] with Wu Dep. Tr. at 105:8-106:19 (“Q. What’s your understanding of your sentence here, ‘overwhelming new contracts?’ A. ‘[Chinese spoken.]’ INTERPRETER: ‘[Chinese spoken.]’ Interpreter just asked the witness to pause for a second. Interpreter would like to interpret this portion first and then let the witness continue. THE WITNESS: Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is to expand our clientele and also speed up the sign up of the clients. For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. However, from the perspective of the headquarters, we want more customers to divide up our target. So, for example, let’s say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. However, for the headquarters, we would like to see five clients to divide up that goal. That target. Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. ‘Overwhelmingly new contracts.’”) [APP-1108-1109]; compare YM_02056097_EN at YM_02056097 (June 16, 2021 email from Rolly Chien to YM Commercial Transpacific Department, including North American managers, such as Brian Chen, stating, “When each team reviews space allocation, please keep the following principles in mind: 1) ***Customers whose space has already been increased to a reasonable ratio should not be given additional space.*** . . . 3) This remains subject to each team’s professional judgment of the customer’s importance and ***assessment of whether the matter has escalated to a legal issue***, and other relevant factors.”) (emphasis added) [APP-2306] with DGPMC-0003855 at DGPMC-0003855 (June 25, 2021 email from YM SAT sales employee Chris Cobb to DG’s Chelsea Morris in which Cobb noted that “Jim / Mike and myself are pushing every day to get this to the level you have requested”) [APP-2310] and Ex. 12 (YM_00962578) at YM_00962578 (June 29, 2021 email from YM SAT sales employee Mike Collins to Jim Nickels wherein Collins states as to YM’s space allocation for DG, “***certainly doesn’t look to be getting any better***” to which Nickels responds ***No, we are giving them zippo. We are giving my smaller accounts more***”) (emphasis added) [APP-1195]; see also *infra* Argument § VI.D (detailing YM’s retaliation policy against DG) (quoting, e.g., Ex. 63a (YM_01680094_EN) at 1 (March 24, 2022, YM internal email from Michael Wu explaining that, “***for internal reference only and should not be disclosed to the client,***” a booking restriction had been placed on DGL in the booking system “***because the client***

was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company.”) (emphasis added) [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; YM_00221991 at YM_00221991 (January 21, 2022 email from YM sales employee Jim Nickels to fellow YM sales employee Stephanie Edens in response to Michael Wu email in which Nickels states, “*Now he tells us, after I have told all my accounts that 25% reduction is the goal*”, to which Edens responds, “*Me too! GRRRRR..... No apples for Michael Wu!*”) (emphasis added)) [APP-2017].

b. Yang Ming knew it could not meet its service commitments in its service contracts with Dollar General and its other customers.

143. Even before the 2021 Service Contract period began, YM management acknowledged they were selling space they did not have. *See* YM_00056134 at YM_00056135 [APP-1975]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Ex. 39 (YM_01105410) at YM_01105418-24 (Dan Vidal noting that “we are taking a much more aggressive approach with providing limited space” and “most if not all of our Natl accounts where severely impacted by Taipei’s refusal to support these accounts with regularly weekly space throughout 2020.”) [APP-1290-1296]; YM_00812395 [APP-2100-2102]; Ex. 70 (McCown Report) ¶¶ 91-93 [APP-1507].

143.1. On March 31, 2021, YM employee Dan Vidal responded to “the current ACs who we still haven’t received their S/C renewal request” sent by Sandy Hsu: “*I do have one question? If we are reducing MQC on some of the offers we have made to VIP key BCO’s I would not think we are interested in signing the below accounts, should we?*” *See* Ex. 39 (YM_01105410) at YM_01105410 (emphasis original) [APP-1282]; Ex. 70 (McCown Report) ¶ 91 [APP-1507].

143.2. On April 23, 2021, Michael Wu admitted to YM origin offices: “*current allocation is not covering signed MQC fully so we expect fine-tune will be needed.*” YM_00056134 at YM_00056135 (emphasis added) [APP-1975]; Ex. 70 (McCown Report) ¶ 92 [APP-1507].

143.3. On April 28, 2021, Michael Wu shared a space prospect update to YM employees, saying: “current vessel delay/natural VMS/ space fluctuation & reduction is not within normal scope of estimated capacity. *If we are to consider these non-controllable factors when deciding overall MQC, the MQC would probably be half of currently signed MQC.* Therefore, for now, our weekly allocation will not likely be calculated as simply as by dividing MQC by 52 weeks if terminal congestion/vessel delay is not completely solved.” *See* Ex. 19 (YM_01769468) at YM_01769468 (emphasis added) [APP-1211]; Ex. 70 (McCown Report) ¶ 93 [APP-1507].

143.3.1. Wu’s April 28, 2021 email also shared a strategy that prioritized customers with MQCs over 700 TEU. *See* Ex. 19 (YM_01769468) [APP-1211-1212]; Ex. 70 (McCown Report) ¶ 94 [APP-1507].

143.3.2. This division of YM’s customers to prioritize those with MQCs above 700 TEU and provide those with MQCs below 700 TEU with “*IF*

per week at their best effort” creates an open-ended goal that did not commit YM even to a paltry 1F per week for its customers with MQCs below 700 TEU. *See* Ex.19 (YM_01769468) at YM_01769468 (emphasis added) [APP-1211]; Wu Dep. Tr. 87:21- 90:25 (“Q. Okay. And in the last paragraph, you say: ‘We will first focus on S/C which MQC is above 700 TEU. Those below 700 TEU, we will tell origins to accommodate at least 1F per week at their best effort.’ Did I read that correctly? A. I see that. Q. And so, in this sentence, you are dividing customers into two categories. Those above 700 TEU, and those below. Correct? A. Yes. We divided these customers into two main categories. The main reason to that is this. For the customers who signed up relatively a larger MQC, at the loading port, as in the origin, typically, there would be huge demand. Which means that these customers would have a lot of cargoes that need to be shipped out. So we were hoping to help these customers to squeeze out some cargoes. As to those with 500 to 700 TEU, we would maintain certain booking volume for these customers, and release the spaces to these customers. Q. And where you say for -- withdrawn. For those customers under 700 TEU, you write that Yang Ming will accommodate at least 1F per week at Yang Ming's best effort. Correct? A. Yes. Q. And by saying ‘at Yang Ming's best effort,’ there is no firm quantitative commitment in that. Correct? A. Here, we mentioned our best efforts. Because oftentimes, we could not provide the services, based on reasons that we could not control. For example, let's say today there is port congestion in the U.S., and vessels going to the U.S. cannot load the cargoes, or there are container cargoes being piled up within the port, or being stuck on the vessel. Therefore, we would not have enough equipment to provide to the customers. And based on these prerequisite conditions, we could not resolve these issues. Q. So the answer to my previous question was correct. Is that right? [] A. We did provide the quantitative data. We were hoping that for our loading port, for each week, whenever there is demand from the customers and there were cargoes that had to be shipped, we can at least lease one FEU of space to the customer. Let me supplement my answer. I meant at least one FEU. Q. Mr. Wu, did you make the decision to divide Yang Ming's customers between those with MQC above 700 TEU and those below? A. I'm not sure who made the decision at that time. Q. Did your role at that time at pricing allow you authority to make decisions like this, as a general matter? A. We did not clearly define whether we had that authorization or not. Q. Would you ordinarily make a decision like this without asking any of your supervisors? A. Writing this email describing the overall situation, or sending emails to the -- to the sales personnel, before writing that, I would discuss with my direct supervisor regarding the direction of the letter. Q. And so, you would discuss a decision like this with Brian Chen at the time. Correct? A. We did have discussions. However, I cannot recall specifically whether we discussed detailed numbers or not.”) [APP-1104-1105]; Ex. 70 (McCown Report) ¶ 94 [APP-1507].

143.3.3. During his deposition in this case, Mr. Wu admitted that YM management intentionally tried to keep as many of its accounts below that 700 TEU threshold as possible. Wu Dep. Tr. 105:8-106:19 (“Q. What’s your understanding of your sentence here, ‘overwhelming new contracts’? [] A. Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is

to expand our clientele and also speed up the sign up of the clients. For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. ***However, from the perspective of the headquarters, we want more customers to divide up our target. So, for example, let's say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. However, for the headquarters, we would like to see five clients to divide up that goal. That target.*** Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. 'Overwhelmingly new contracts.'") (emphasis added) [APP-1108-1109]; Ex. 70 (McCown Report) ¶ 94 [APP-1507].

143.4. On April 28, 2021, Greg Krueger echoed Wu's sentiment in another email, stating: "We need to do a better job of securing space for YML BCOs. ***We understand the need to maximize revenue, but if we cannot do a better job the upcoming year is going to be a nightmare for us here... As you will see we are only accommodating now 55% of the 2021 signed BCO volume.***" Ex. 31 (YM_02017335) at YM_02017335 (emphasis added before ellipsis, emphasis original after ellipsis) [APP-1246]; Ex. 70 (McCown Report) ¶ 95 [APP-1508].

143.5. On May 12, 2021, at the very beginning of the 2021 shipping year, a YM sales representative brought a number of YM's customer complaints to the attention of Sandy Hsu, who responded, "even 1F is better than giving nothing for several consecutive weeks or months." YM_00812395 at YM_00812395 [APP-2100]; Ex. 70 (McCown Report) ¶ 94 [APP-1507].

144. During the 2021 Shipping Year, in contrast to its internal projections, Yang Ming showed much more positive forecasts to clients, including DG. *See* Ex. 8 (YM_01788635) at YM_01788638 [APP-1176]; YM_00803519 at YM_00803519 [APP-2081]; YM_00804284 at YM_00804284) [APP-2083]; YM_00804289 at YM_00804292 [APP-2091]; YM_00839280 at YM_00839280-81 [APP-2123-2124]; YM_00839226 at YM_00839226 [APP-2108]; YM_00839233 at YM_00839236 [APP-2118]; YM_00839285 at YM_00839288 [APP-2137]; Ex. 70 (McCown Report) ¶ 96 [APP-1509].

144.1. On May 24, 2021, Yang Ming shared a presentation with DG with a forecast suggesting that shipping supply could exceed demand in 2021. *See* Ex. 8 (YM_01788635) at YM_01788638 [APP-1176]; Wu Dep. Tr. 99:16-101:17 ("Q. If we go to slide four, it's Bates stamped 1788638. Do you see in the notes where you write: "As you can see, in 2021, capacity growth and demand growth will almost reach to an balance." Did I read that correctly? A. That is what my note says. That's correct. [...] Q. And you mentioned Alphaliner. That source was a source that you chose to create a presentation for Yang Ming's customer, Dollar General. Correct? A. That is not just for Dollar General. We use Alphaliner. It's because Alphaliner is the third party source of information for the shipping industry. Q. So you presented Alphaliner data to Dollar General and other of Yang Ming's customers. Correct? A. If other customers have similar meetings, then we may use the same information. [...] Q. And if this data shows

that in 2021, supply keeping up with or exceeding demand, there generally should be sufficient space in the market. Correct? A. According to its forecast, yes.”) [APP-1107].

144.2. This directly contradicted the pessimistic outlook that Wu shared internally at Yang Ming less than a month prior. *Compare* Ex. 19 (YM_01769468) at YM_01769468 [APP-1211] *with* Ex. 8 (YM_01788635) at YM_01788638 [APP-1176]; Wu Dep. Tr. 80:19-81:14, 84:10-87:20 [APP-1102-1104].

145. On August 18, 2021, Sandy Hsu admitted in an email, “***Frankly speaking, . . . the total MQC we sign [sic] this year is already more than the space we can provide.***” Ex. 40 (YANGMING00261030) at YANGMING00261030 (emphasis added) [APP-1303].

146. In January 2022, Brian Chen asked Sandy Hsu to develop YM’s MQC targets for shipping year 2022. Ex. 41 (YM_00601422) at YM_00601422 [APP-1309]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

146.1. Chen’s email attached a worksheet detailing actual versus target performance in the 2021 Shipping Year with the first tab showing YM mostly met or surpassed overall internal ***profit-driven*** performance goals (e.g., total MQC signed, total number of customer accounts signed). Ex. 42 (YM_00601425) at Tab “2022 MQC plan” [APP-1312]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not***, at the time of the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***”) (emphasis added) [APP-290]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

146.2. The other tabs show YM’s actual ***service*** performance against MQCs for YM’s three North American regions (NAT, MAT, and SAT, where DG is housed), comprised almost entirely of BCO customers. *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT” [APP-1312]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

146.3. Chen’s worksheet shows extraordinarily poor performance, ***as out of the 119 North American accounts, only 4, or just 3%, even met YM’s performance targets (most of which were set at only 50%).*** *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT”, Columns K and M [APP-1312]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

147. Brian Chen’s 2021 worksheet indicates that ***YM had never intended to give DG and its other BCO customers more than 50% of the MQC that it had agreed to.*** *See* Ex. 41 (YM_00601422) at YM_00601422 [APP-1309]; Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT” [APP-1312]; Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Ex. 70 (McCown Report) ¶ 98 [APP-1509].

147.1. On May 18, 2021, Michael Wu sent an email attaching a “Space Plan” spreadsheet for YM’s Transpacific-Eastbound customers explicitly stating that “the number in the allocation table does not meet full MQC (except for Newell), ***which is the same for all TPEB customers***”. YM_00053853 at YM_00053854 (emphasis added) [APP-1970].

148. Underscoring that YM's sales force understood and embraced Chen's instructions in early 2021, sales personnel had more than delivered by cutting MQC compliance by more than half again with average performance in YM's three North American Atlantic regions coming in at 13% (NAT), 17% (MAT), and 16% (SAT). Ex. 42 (YM_00601425) at TABs "NAT", "MAT", "SAT", and "qry001_SC_MQC" [APP-1312]; Hsu Dep. Tr. 93:24-105:2 [APP-425-428]; Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Ex. 70 (McCown Report) ¶¶ 97, fn. 80, 98 [APP-1509].

149. In the same communication in which he attached the 2021 Shipping Year lookback spreadsheet, Brian Chen instructed Sandy Hsu to cut region-wide MQCs 25% for the upcoming year. See Ex. 41 (YM_00601422) at YM_00601422 [APP-1309]; Ex. 42 (YM_00601425) at Tab "2022 MQC plan" [APP-1312]; Ex. 70 (McCown Report) ¶ 97 [APP-1509].

149.1. As YM began negotiating service contracts for the 2022 Shipping Year, internally and in communications with its customers, YM acknowledged that its overcommitment for the 2021 Shipping Year was in part responsible for YM deciding to propose significant cuts to the MQCs it proposed to its customers for the 2022 Shipping Year. See Ex. 5 (YM_00177727) at YM_00177727-28 ("***Our HQ has a goal of MQC deduction from all customers. This is due, in part, to the many blank sailings and inability to serve accounts properly.***") [APP-1167-1168]; YANGMING00039215 at YANGMING00039215 ("***During the past one year, we overcommitted the MQC and this turns out that it is impossible to fulfill and also brings us many problems. We realize that we need to avoid the same situation against in order to better serve our customers for the upcoming year. As earlier mentioned, since we expect space/equipment shortage are still the serious problems in 2022 and won't be solved in short time, what we want to do is to propose a realistic MQC number instead of exaggerating it.***") (emphasis added) [APP-1963]; Ex. 64 (YM_01025904) at YM_01025904 [APP-1432]; Ex. 41 (YM_00601422) at YM_00601424 ("***I have explained to them our stance this year on cutting back 25% MQC . . . I advised them this was Taipei's decision so we can achieve better performance . . .***") (emphasis added) [APP-1311]; Hsu Dep. Tr. 90:1-9 ("Based on this email you have no reason to believe this 25 percent MQC reduction was being applied only to customer comment, correct? A. Just based upon this email, I cannot tell that these practice was only applicable to Comet. Q. So it's possible it was applicable to other of Yang Ming's customers, correct. A. Yes.") [APP-425]; Chen Dep. Tr. 78:22-79:13 ("Did you ever tell her, or did anyone else at Yang Ming, to your knowledge, ever tell her that we were cutting -- you were cutting back MQC 25 percent? A. Having considered the severity of Covid-19, and its impact to the logistics and supply chain in 2021, when we planned for the new contracts for 2022, we considered the situation in the previous year. And also, we were not sure that for 2022, whether Covid may become more severe or disappeared. Therefore, when we set the MQC goal for 2022, that was based on a situation of 2021. And we reduced MQC goal by 25 percent. So it really reflected the impact of Covid. And also, the impact to the supply chain. And also, its effect on the supply of the spaces.") [APP-295].

150. During the 2021 Shipping Year, YM gave priority to short-term, higher-priced freight at the expense of its BCO customers. See Ex. 42 (YM_00601425) at TABs "NAT", "MAT", "SAT", and "qry001_SC_MQC" [APP-1312]; Chen Dep. Tr. 58:2-9 ("Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not,*** at the time of

the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***) (emphasis added) [APP-290]; Hsu Dep. Tr. 93:24-105:2 [APP-425-428]; Ex. 39 (YM_01105410) at YM_01105419 [APP-1291]; Ex. 70 (McCown Report) ¶ 98 [APP-1509].

150.1. The SAT region tab shows DG at only 13% fulfillment and the same tab shows UPS (an NVOCC) as the only account that met its reduced performance target. *See* Ex. 42 (YM_00601425) at Tab “SAT”, Column M, Rows 2 and 8 [APP-1312]; Hsu Dep. Tr. 93:24-105:2 [APP-425-428]; Ex. 70 (McCown Report) ¶ 98 [APP-1509].

c. From the very start of the 2021 Shipping Year, Yang Ming admitted that it could not fulfill the MQCs it had just signed up.

151. YM began the 2021 shipping year not with a good-faith effort to perform, but with the immediate realization of what Greg Krueger, YM’s Vice President of YM’s North American Sales Department, called a “nightmare.” *See* Ex. 31 (YM_02017335) [APP-1246-1247]; Ex. 70 (McCown Report) ¶ 103 [APP-1510]; *accord* Ex. 42 (YM_00601425) at Tabs “2022 MQC Plan”, “NAT”, “MAT”, “SAT” [APP-1312].

152. On April 28, 2021, Michael Wu sent an internal email to YM’s sales team warning that terminal congestion and vessel delay were “***still raging***” and expected to “***last another few months or the whole year,***” and that weekly allocations would “not likely be calculated as simply as by dividing MQC by 52 weeks if terminal congestion/vessel delay is not completely resolved.” *See* Ex. 19 (YM_01769468) at YM_01769468 (emphasis added) [APP-1211].

152.1. Wu further acknowledged that some customers were already questioning whether YM was allocating space to the “Minimum” committed quantity, and clarified that YM’s MQC goal was based on estimated capacity under normal conditions, with vessel delay and space fluctuation falling outside that scope. *See* Ex. 19 (YM_01769468) YM_01769468 [APP-1211-1212].

152.2. These conditions materialized immediately as the 2021 Shipping Year began. *See* Morris Dep. Tr. 63:2-13 (“Q. Okay. You wouldn’t disagree that it was in May that the conversation you referenced, is that with Jim Nickels and Chris Cobb? A. Definitely Jim Nickels. I think his boss’s name was Chris. Q. Would you disagree that was in the earliest stages of the service contract from 21-22? A. I don’t want to speculate but to the best of my recollection that feels accurate.”) [APP-904]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; Ex. 70 (McCown Report) ¶ 103 [APP-1510].

153. On May 12, 2021, Expeditors experienced severe hardship in obtaining space from YM for DG, stating: “...following your booking guideline – provide 2 weeks forecast ... ***Unfortunately, no response even we repeatedly chasing for feedback. We also tried to book on target sailing but all rejected.***... How can we secure the committed space for Dollar General shipments?” *See* Ex. 23 (YM_01796679) at YM_01796679 (emphasis added) [APP-1223]; Ex. 70 (McCown Report) ¶ 107 [APP-1511].

153.1. On May 13, 2021, Expeditors again reached out to YM on behalf of DG, saying: “Vendors are facing serious storage problem and Shenzhen got nothing from Yang Ming under new s/c 456121. We sincerely request Yang Ming release SO asap which will help to clear huge backlog sit in factory and CFS warehouse.” See Ex. 45 (DGPMC-0003528) at DGPMC-0003528 [APP-1336]; Ex. 70 (McCown Report) ¶ 108 [APP-1511].

153.2. On May 14, 2021, YM employees confirmed this was a calculated choice: “. . . seems very limited booking is released . . . ***We had already pressed down the allocation, namely not matching their MQC and this is one of our target account.***” YM_00055311 at YM_00055311-12 (emphasis added) [APP-1971-1972]; see also Ex. 70 (McCown Report) ¶ 109 [APP-1511].

154. Like DG, YM failed to provide its other customers with anywhere near prorated MQC from the very onset of the new contract year. See Ex. 42 (YM_00601425) at TABs “NAT”, “MAT”, “SAT”, and “qry001_SC_MQC” [APP-1312]; Ex. 19 (YM_01769468) at YM_01769468 [APP-1211]; YM_00814513 at YM_00814513 [APP-2103]; YM_00812395 at YM_00812395 [APP-2100]; Ex. 20 (YM_00121871) at YM_00121871 [APP-1213]; Ex. 32 (YM_02057515) at YM_02057516 [APP-1249]; Ex. 37 (YM_01040241) at YM_01040243 [APP-1269]; Ex. 38 (YM_00901644) [APP-1273-1276]; Ex. 70 (McCown Report) ¶¶ 170-176 [APP-1525-1527].

154.1. On May 7, 2021, mere days into the 2021 Shipping Year, Joel Yero asked Sandy Hsu what “we [are] going to do in order to start releasing space to our account base . . . [a]s contact mentions they signed in good faith and expect a service to be provided.” See YM_00814513 at YM_00814514 [APP-2104]; Ex. 70 (McCown Report) ¶ 104 [APP-1510].

154.1.1. Sandy Hsu responded to Yero’s message saying that “[a]ll ***customers are facing space problems now***” and “it would be difficult to get space for the prorated MQC volume.” See YM_00814513 at YM_00814513 (emphasis added) [APP-2103]; Ex. 70 (McCown Report) ¶ 104 [APP-1510].

154.1.2. To this reply, Joel Yero emphasized:

*“[C]ustomers do not want to hear excuses they want to hear what we are going to resolves the issues you just mentioned. ***Why sign contracts this year and have a KPI assigned if we will not be able to meet? This will put us in a difficult situation not only this year but more importantly next year when things hopefully are back to normal and we will be begging customers to sign with us. Every carrier is in the same situation as we are, but some are handling much better than we are.***”*

See YM_00814513 (emphasis added) [APP-2103-2107]; Ex. 70 (McCown Report) ¶ 104 [APP-1510].

154.2. On May 7, 2021, Sandy Hsu admitted internally to James DeFilippis and Margaret Koszyk that “***since the total MQC we sign this year is already more than the space we can provide***” she “doubt[s] if we can really support that much.” Ex. 40 (YANGMING00261030) at YANGMING00261030 (emphasis added) [APP-1303]; see also Ex. 70 (McCown Report) ¶ 105 [APP-1511].

154.3. Just days later, on May 12, 2021, Yero reported: “I am getting multiple complaints on a daily basis. What are we going to do to satisfy our BCO account base ? They all took substantial increases this year with the expectation that we would at the very least provide some kind of allocation based on their MQC... I have no less than five account who are complaining stating we have not given 1 TEU so far.” YM_00812395 at YM_00812395 [APP-2100]; Ex. 70 (McCown Report) ¶ 106 [APP-1511].

154.4. On May 22, 2021, Dan Vidal asked: “[i]f we knew that we would be running into these situations, would it not be best to offer much less MQCs at the start of all negotiations?” See YM_00805864 at YM_00805865 (emphasis added) [APP-2096]; Ex. 70 (McCown Report) ¶ 110 [APP-1511].

d. Yang Ming’s booking practices unreasonably obstructed its BCO customers, like Dollar General, from booking space under their service contracts with Yang Ming.

155. YM’s booking system during the 2021 shipping year was functionally ad hoc, relying on a largely manual, email-driven process of exchanging forecasts and booking requests between Expeditors and YM. See Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM stating that it was “following your booking guideline — provide 2 weeks forecast” but that despite doing so there was “no response even we repeatedly chasing for feedback”) [APP-1223]; YM_00121562 at YM_00121563 (May 25, 2021 Expeditors email to YM stating “We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking”) [APP-1988]; Morris Dep. Tr. 102:8-103:5 (“I think I talked about just the booking barriers. Again not responding to e-mail requests for bookings, basically elongating the booking cutoff requirements without notice, become incredibly granular with how they accepted bookings, flip-flopping between strings and OD pairs. There were lots of many, those are three of many different strategies that I saw utilized. Whether, I can’t, I can’t engage in conjecture as to whether it was intentional or unintentional but I can draw my own conclusion. But I would say Yang Ming certainly had utilized those particular tactics although I can’t tie one tactic over another specifically to Yang Ming specifically for that time period. But I think the biggest piece in my mind was the conversation we had with Jim where he said, again, paraphrasing headquarters basically you’re not going to get your MQC and we can’t get headquarters to agree.”) [APP-914].

156. YM weaponized its inherently flawed booking system to impose a myriad of restrictive booking practices on DG during the 2021 Shipping Year. See Ex. 23 (YM_01796679) at YM_01796679-80 [APP-1223-1224]; Ex. 25 (YM_00972700) at YM_00972700 [APP-1230]; Morris Dep. Tr. 102:8-103:5 (“I think I talked about just the booking barriers. Again not responding to e-mail requests for bookings, basically elongating the booking cutoff requirements without notice, become incredibly granular with how they accepted bookings, flip-flopping between strings and OD pairs. There were lots of many, those are three of many different strategies that I saw utilized. Whether, I can’t, I can’t engage in conjecture as to whether it was intentional or unintentional but I can draw my own conclusion. But I would say Yang Ming certainly had utilized those particular tactics although I can’t tie one tactic over another specifically to Yang Ming specifically for that time period. But I think the biggest piece in my mind was the conversation we had with Jim where he said, again, paraphrasing headquarters basically you’re not going to get your MQC and we can’t get headquarters to agree.”) [APP-914], 110:22-111:3

(“Q. Do you know, thank you for that, it was clear. Do you know if Yang Ming specifically, not the carriers in general, engaged in that practice? A. Again I go back to Yang Ming for sure engaged in a myriad of these tactics.”) [APP-916]; Ex. 70 (McCown Report) ¶ 143 [APP-1520].

157. YM’s restrictive booking practices included making it structurally difficult for Expeditors to successfully submit qualifying booking requests. *See* YM_00121562 at YM_00121563 (May 25, 2021 Expeditors email to YM: “We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking”) [APP-1988]; Ex. 27 (DGFMC-0003682) at DGFMC-0003683 (May 26, 2021 Expeditors email specifically asking YM to “please coach team how to get the allocated space to USWC,” reflecting the absence of any clear, reliable booking submission process) [APP-1234].

158. YM’s restrictive booking practices included instituting unreasonable booking cutoff requirements, including by elongating booking windows without notice. *Infra*.

158.1. YM compounded the difficulty of its manual, email-driven booking process by imposing shifting and unpredictable booking cutoff requirements, including by elongating booking cutoff windows without notice to DG. *See* Morris Dep. Tr. 102:11-15 (identifying, among YM’s booking barriers, “basically elongating the booking cutoff requirements without notice, become incredibly granular with how they accepted bookings, flip-flopping between strings and OD pairs”) [APP-914]; Cobb Dep. Tr. 168:19-21 (acknowledging that the allocation reporting YM provided to DG “didn’t take into consideration if there was any fall down, or missed cutoffs”) [APP-356]; Ex. 70 (McCown Report) ¶ 138 [APP-1518].

158.2. YM’s own booking guidelines required Expeditors to submit forecasts two weeks in advance, yet even full compliance with those requirements produced neither bookings nor responses, effectively elongating the booking process indefinitely. *See* Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM confirming that Expeditors was “following your booking guideline — provide 2 weeks forecast” but that there was “no response even we repeatedly chasing for feedback”) [APP-1223]; YM_00121562 at YM_00121563 (May 25, 2021 Expeditors email to YM: “We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking”) [APP-1988].

158.3. YM also unilaterally departed from the weekly-allocation framework on which DG’s booking cadence was premised: days before the 2021 Service Contract commenced, YM headquarters instructed its personnel that “our weekly allocation will not be calculated as simply as by dividing MQC by 52 weeks”, without any corresponding notice to DG of the changed booking parameters. *See* Ex. 19 (YM_01769468) at YM_01769468 (Wu instructing YM sales personnel across multiple offices that the company’s weekly space allocation “will not likely be calculated as simply as by dividing MQC by 52 weeks,” a change Wu attributed to terminal congestion, vessel delays, and rollovers he said would persist for months) [APP-1211]; Wu Dep. Tr. 85:10-86:1 (“Q. And do you see on the third paragraph, you say: ‘Therefore for now, our weekly allocation will not be calculated as simply as by dividing MQC by 52 weeks if terminal congestion/vessel delay is not completely solved.’ Correct? A. I see that. Q. And based on your prior testimony that you had no way of predicting how long these conditions might last, it wasn’t realistic to expect that those issues would be resolved any time soon. Fair to say? A. That is back to what I said earlier. At that time, we could not forecast how long it

would last. And even before that, we could not expect whether it would last or not.”) [APP-1103-1104].

158.4. The significantly increased time required for bookings was a proportional issue across all ocean carriers, but DG found it especially difficult to book space with YM. *See* Morris Dep. Tr. 70:8-14 (“Q. The uptick in time to book was not just to as Yang Ming but it was across the board in ocean carriers? A. I would say proportionally just across ocean carriers but for sure Yang Ming. Some carriers were easier than others.”) [APP-906]; Ex. 70 (McCown Report) ¶ 159 [APP-1523].

159. YM’s restrictive booking practices included not responding to e-mail requests for bookings. *Infra*.

159.1. YM’s failure to respond to booking requests, even when shippers followed its stated booking procedures, created an additional barrier to obtaining bookings during the relevant period. *See* Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM stating that it was “following your booking guideline — provide 2 weeks forecast” but that despite doing so there was “no response even we repeatedly chasing for feedback”) [APP-1223]; Morris Dep. Tr. 102:8-103:5 (“I think I talked about just the booking barriers. Again not responding to e-mail requests for bookings, basically elongating the booking cutoff requirements without notice, become incredibly granular with how they accepted bookings, flip-flopping between strings and OD pairs. There were lots of many, those are three of many different strategies that I saw utilized. Whether, I can’t, I can’t engage in conjecture as to whether it was intentional or unintentional but I can draw my own conclusion. But I would say Yang Ming certainly had utilized those particular tactics although I can’t tie one tactic over another specifically to Yang Ming specifically for that time period. But I think the biggest piece in my mind was the conversation we had with Jim where he said, again, paraphrasing headquarters basically you’re not going to get your MQC and we can’t get headquarters to agree.”) [APP-914], 110:22-111:3 (“Q. Do you know, thank you for that, it was clear. Do you know if Yang Ming specifically, not the carriers in general, engaged in that practice? A. Again I go back to Yang Ming for sure engaged in a myriad of these tactics.”) [APP-916].

159.2. Throughout the 2021 Shipping Year, YM simply ignored booking requests submitted by Expeditors on DG’s behalf, leaving requests unanswered even after repeated follow-up, such that non-response functioned as an unannounced denial of service. *See* Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM stating that it was “following your booking guideline — provide 2 weeks forecast” but that despite doing so there was “no response even we repeatedly chasing for feedback”) [APP-1223]; YM_00121562 at YM_00121563 (May 25, 2021 Expeditors email to YM stating “We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking”) [APP-1988]; YM_01819925 (June 1, 2021 Expeditors email reporting that YM refused to reserve space because they claimed there was no valid contract rate for the specific route) [APP-2231-2242]; Ex. 28 (DGFMC-0003975) at DGFMC-0003975 (June 10, 2021 Expeditors writing to Morris saying “total weekly run rate for Shenzhen is 15” after getting no response from Yang Ming team about the alternate sailing options) [APP-1238]; Morris Dep. Tr. 78:6-11 (“If they did not get a booking or they received no response which was also a common thing during that time

period, a lot of carriers would just left hanging in terms of responses, they would move on within the waterfall.”) [APP-908].

159.3. The contemporaneous data in Expeditors’ Carrier Allocation platform quantifies YM’s non-responsiveness: of the 9,904.41 FEU bookings requested by Expeditors on behalf of DG to YM during the 2021 Shipping Year, YM failed to respond to 455.56 FEUs (4.6%), on top of the 5,946.41 FEUs (60%) that it rejected outright. *See* Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) [APP-273]; Expeditors Decl. ¶¶ 11-12 (Carrier Allocation platform retains data reflecting DG and Expeditors’ space allocation requests and “YM’s responses (or lack thereof)” to such requests) [APP-189].

160. YM’s restrictive booking practices included failing to notify customers when a booking was rejected or pended. *Infra*.

160.1. YM’s booking system lacked any automated or transparent mechanism for DG to verify whether its booking requests had been received, reviewed, or rejected by YM. *See* Ex. 27 (DGPMC-0003682) at DGPMC-0003683 (May 26, 2021 Expeditors email asking YM to “please coach team how to get the allocated space to USWC” after YM confirmed only 12 TEUs of allocation to LA despite Expeditors’ repeated booking submissions) [APP-1234]; Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM reporting that booking requests were being rejected in their entirety despite Expeditors’ willingness to accept partial allocations: “Unfortunately, no response even we repeatedly chasing for feedback. We also tried to book on target sailing but all rejected”) [APP-1223].

160.2. When DG’s agent Expeditors tried to make a booking and it was rejected, Expeditors had no transparency into the request because they couldn’t see it from their side of the records. *See* Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM reporting that booking requests were being submitted but receiving no response: “Unfortunately, no response even we repeatedly chasing for feedback. We also tried to book on target sailing but all rejected”) [APP-1223]; Ex. 45 (DGPMC-0003528) at DGPMC-0003528 (May 13, 2021 Expeditors email to YM stating “Vendors are facing serious storage problem and Shenzhen got nothing from Yang Ming under new s/c 456121. We sincerely request Yang Ming release SO asap”) [APP-1336]; YM_00121562 at YM_00121563 (May 25, 2021 Expeditors email to YM stating “We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking”) [APP-1988].

160.3. YM did not provide DG or Expeditors with reports or notifications identifying whether and to what extent DG’s booking requests had been confirmed, rejected, or pended, forcing DG to construct its own tracking of YM’s allocation performance. *See* Morris Dep. Tr. 88:2-7 (“Q. . . . [D]id Yang Ming send you back allocations of space that they would have available to you which might not meet your weekly allocation or your forecast? A. Not that I recall.”) [APP-910]; Ex. 26 (YM_01811949) at YM_01811949 (June 14, 2021 Mitchell email requesting “a biweekly report sent to our team illustrating the current usage of our allocated space” covering “previous weeks, current week, and the next 3 weeks”, which was a request necessitated by YM’s failure to provide any booking-status visibility) [APP-1232].

161. YM's restrictive booking practices included the summary rejection of bookings if DG requested its full weekly allocation but YM's system showed a lesser amount. *Infra*.

161.1. YM summarily rejected entire booking requests when its system showed less than the full requested capacity, rather than accepting the available portion and notifying DG of the shortfall. *See* Ex. 23 (YM_01796679) at YM_01796679 (May 12, 2021 Expeditors email to YM reporting that it had "tried to book on target sailing but all rejected") [APP-1223]; Expeditors Decl., Ex. A at TAB "DG 2021-2022 Carrier Responses", Columns O ("Requested"), P ("Confirmed"), Q ("Rejected"), R ("Not Responded"), Rows (sorted for entries in Column H ('ETD') with dates falling within 2021 Shipping Year) (Exhibit A to the Expeditors Declaration showing that Expeditors, on behalf of DG, submitted to YM during the 2021 Shipping Year 9,904.41 FEU in bookings requests of which YM confirmed 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%)) [APP-273]; Ex. 70 (McCown Report) ¶ 143 [APP-1520].

161.2. If DG requested its full weekly allocation but YM's system only showed availability for a lesser amount, YM would automatically reject the entire booking request rather than accepting the available portion and notifying DG of the partial shortfall. *See* Morris Dep. Tr. 104:10-24 ("Q. The complaint also complains about Yang Ming summarily rejecting bookings for unavailable container sizes instead of offering to provide alternative container sizes. Do you recall anything concerning that allegation? A. Yes, that was certainly, you know, I listed probably five or six of the tactics. That was also a tactic that was used during that time. Q. Is -- A. In this moment I can't recall specific examples, but that was a tactic we knew that Yang Ming did engage in some of those tactics.") [APP-914], 110:12-21 ("If we requested 10, we would get automatically rejected instead of saying hey we'll take the eight and then you're going to have to figure out what you're going to do for the remaining two. So a lot of the booking, either again, noncommunication or rejections the explanation for such was well you didn't book what we had allocated within the system or you overbooked.") [APP-916]; Nickels Dep. Tr. 88:11-16 ("Q Do you recall if any BCOs sent complaints to Yang Ming regarding the lack of accepted bookings? A Yes, I am sure there were some. Q What were the reasons they complained of, if you remember? A Well, your main reason would be space.") [APP-968].

161.2.1. For example, if DG requested its full allocation (e.g., 10 FEUs) but the carrier's system only had space for a smaller amount (e.g., 8 FEUs), YM would automatically reject the entire booking rather than accepting the available portion. *See* Morris Dep. Tr. 109:21-110:21 ("Q. Okay. Can you tell me what that complaint, what facts you have to support that complaint? A. This goes back to the anecdotal examples that we had of carriers putting up barriers. So one way that carriers during that time would throw up barriers is let's say we have an allocation of 10 containers on that lane for the week. We would go on that string or that week. We would go and try to make a booking. If the carrier did not fulfill and also didn't tell us that they are fulfilling, they are not fulfilling the full amount, let's say the carrier would put eight into their system. If we requested 10, we would get automatically rejected instead of saying hey we'll take the eight and then you're going to have to figure out what you're going to do for the remaining two. So a lot of the booking, either again, noncommunication or rejections the explanation for

such as well you didn't book what we had allocated within the system or you overbooked.") [APP-916]; Ex. 70 (McCown Report) ¶ 143 [APP-1520].

161.3. Therefore, DG requested YM to provide allocation report to track actual allocation for DG's bookings in a given week. *See* Ex. 26 (YM_01811949) at YM_01811949 (June 14, 2021 Mitchell email to YM requesting biweekly allocation reports to track DG's forecasted versus actual space usage) [APP-1232]; Cobb Dep. Tr. 168:11-24 ("Q. So fair to say, Dollar General is making an effort to track its space allocations and bookings with Yang Ming? [. . .] THE WITNESS: They just were trying to track if we were giving them the allocation per week, based on the allocation use and the allocation they had. But it didn't take into consideration if there was any fall down, or missed cutoffs, or anything on our side too. So they wanted a basic report of what their allocation was and what was used during the week, and on what service.") [APP-356]; Morris Dep. Tr. 87:3-24 ("Q. Just, the forecast was supposed to be more better in information than just the weekly allotment? A. It was based off of written volumes. [. . .] [C]ontractually what [Yang Ming] were obligated to do was to fulfill our forecast at whatever percentage. So to translate that what should theoretically happen is that they are reserving space for us on a vessel correlative to basically what is being sent.") [APP-910].

161.4. YM's internal documents confirm that a number of these summary rejections were the product of deliberate, system-level restrictions on DG's bookings rather than genuine space unavailability. *See* YM_00055311 at YM_00055311-12 (May 14, 2021 internal YM email: "seems very limited booking is released . . . We had already pressed down the allocation, namely not matching their MQC and this is one of our target accounts . . . You may reject booking directly by space itself (1) Request volume & port-pair are not within the scope of attached table. (2) VMS.") [APP-1971-1972]; Ex. 63 (YM_01680094) [APP-1421-1424]; Ex. 63a (YM_01680094_EN) at 1 (Michael Wu confirming that YM had placed a "restriction" on DG's bookings in YM's booking system and, as of March 24, 2022, was "not considering removing the restriction from the system") [APP-1425]; Wu Dep. Tr. 116:16-134:21 (Wu testimony as to Exhibit 63a) [APP-1111-1116]; YM_01819925 at YM_01819928 (Expeditors reporting that YM refused to reserve space on the asserted ground that there was no valid contract rate for the specific route: "SHA team never ever secure any space to LA after new s/c effective from 1st of May. We had ever secure 1 to 2F to USEC so far. Could you please coach team how to get the allocated space to USWC?") [APP-2234].

162. YM's restrictive booking practices included the summary rejection of bookings due to unavailable container sizes. *See* Morris Dep. Tr. 104:10-24 ("Q. The complaint also complains about Yang Ming summarily rejecting bookings for unavailable container sizes instead of offering to provide alternative container sizes. Do you recall anything concerning that allegation? A. Yes, that was certainly, you know, I listed probably five or six of the tactics. That was also a tactic that was used during that time. Q. Is -- A. In this moment I can't recall specific examples, but that was a tactic we knew that Yang Ming did engage in some of those tactics.") [APP-914]; Ex. 70 (McCown Report) ¶ 143 [APP-1520].

163. YM's restrictive booking practices included refusing to provide space allocation reports identifying alternative vessel or port availability, or to offer DG opportunities to work around space constraints despite DG's expressed flexibility to move cargo between ports and vessels. *See* Ex. 28 (DGPMC-0003975) at DGPMC-0003975 (June 10, 2021 Morris email to Nickels demanding

that YM provide contracted space from alternate ports when unavailable from Shenzhen: “That space is our space regardless of the port of lading”) [APP-1238]; DGFMC-0003855 at DGFMC-0003855 (June 25, 2021 Cobb email to Morris confirming zero FEUs out of Yantian with a backlog that would “take time to catch up”) [APP-2310].

164. YM’s restrictive booking practices included using pretextual excuses, such as “port congestion”, to impose booking restrictions on DG without telling DG about such booking restrictions in order to avoid disputes over fees and charges. *See* Ex. 63 (YM_01680094) [APP-1421-1424]; Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Wu Dep. Tr. 105:8-106:19 (“Q. What’s your understanding of your sentence here, “overwhelming new contracts”? A. [. . .] [F]or the headquarters, we want more customers to divide up our target. . . . [W]hen the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. “Overwhelmingly new contracts.””) [APP-1108-1109].

165. The statistics confirm that YM’s booking rejection practices were not isolated incidents but a pervasive and sustained pattern that affected DG and virtually every other BCO customer throughout the entire 2021 contract year. *See* Ex. 54 (YM_00617081) at column L (internal YM document tracking 24 BCO accounts over a fifteen-week window showing that the average customer received just 26.1% of its effective weekly allocation, and 12 of 24 accounts received less than 20%) [APP-1362]; Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT” (January 2022 YM look-back showing that out of 119 BCO accounts across all three North American regions, only 4 (just 3%) met even YM’s own reduced performance targets (most of which were set at 50% of MQC), with most receiving only 13% to 17% of their contracted MQC) [APP-1312]; *see also* Ex. 75 (DGFMC-0004159) at Tabs “Submission Page” and “Shipments” (documenting on a week-by-week basis throughout all 53 weeks of the 2021 contract year the precise shortfall between DG’s Weekly MQC entitlement and the space actually provided by YM) [APP-1730]; Ex. 70 (McCown Report) ¶ 75, fn. 52, 53 (noting that “actual volume in the first week was 0 FEU out of a weekly FEU of 42 FEUs (0% compliance) and actual volume in the first month was 6.923 FEUs out of a monthly MQC of 168 FEUs (4.12% compliance)”) [APP-1504].

165.1. The Expeditors Declaration and its exhibits corroborate the pervasiveness of YM’s booking rejection practices as to DG specifically. *See* Expeditors Decl. ¶¶ 11-13 [APP-189-190].

165.2. Exhibit A to the Expeditors Declaration shows that of the 9,904.41 FEU bookings requested by Expeditors on behalf of DG to YM during the 2021 Shipping Year, YM confirmed only 3,502.54 FEUs (35.4%), rejected 5,946.41 FEUs (60%), and failed to respond to 455.56 FEUs (4.6%). *See* Expeditors Decl., Ex. A at TAB “DG 2021-2022 Carrier Responses”, Columns O (“Requested”), P (“Confirmed”), Q (“Rejected”), R (“Not Responded”), Rows (sorted for entries in Column H (‘ETD’) with dates falling within 2021 Shipping Year) [APP-273].

165.3. Exhibit B to the Expeditors Declaration shows that YM ultimately carried only 616.756 FEUs out of DG’s contracted MQC of 4,252 TEU of space under the 2021 Service Contract. *See* Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client FEU”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e.,

destination ports Tacoma and Charleston in Column AF ('Shipment Unlading Port Name')) [APP-274]; Ex. 1 (DGPMC-0000001) at DGPMC-0000002 (Section 2.1) (2021 Service Contract) [APP-1137].

166. YM had full visibility into its booking rejection practices that were generating YM's record profits at DG's expense. *See* Ex. 33 (YM_00848949) at YM_00848950 (July 14, 2021 Krueger email acknowledging that YMTCYM management was actively directing the sales force to "maximize revenue and the direction HQ office is pushing" at the expense of BCO MQC compliance) [APP-1251]; Krueger Dep. Tr. 104:4-10 ("Q. You seem to be saying here that maximizing revenue was also one of the factors. That is not one of the factors that was outside of Yang Ming's control, was it? A. Not necessarily, no. I mean, it was — it was within our control, sure.") [APP-591].

167. YM's sales and management teams knew that its booking rejection practices were generating direct and quantifiable financial harm to DG, and internally acknowledged that harm with indifference. *See* YM_00156607 at YM_00156607, 09 (August 25, 2021 exchange in which Morris informed YM that its booking failures had already cost DG "nearly \$8M this contract year", with Nickels responding "We punished them enough with the 8 million freight loss!") [APP-1998]; Nickels Dep. Tr. 88:11-16 ("Q Do you recall if any BCOs sent complaints to Yang Ming regarding the lack of accepted bookings? A Yes, I am sure there were some. Q What were the reasons they complained of, if you remember? A Well, your main reason would be space.") [APP-968]; YM_00814513 at YM_00814513 (On May 7, 2021, YM sales representative Joel Yero demanded to know "[w]hy sign contracts this year and have a KPI assigned if we will not be able to meet?" and observed that "[e]very carrier is in the same situation as we are, but some are handling much better than we are.") [APP-2103]; YM_00812395 at YM_00812395 (On May 11, 2021, Yero reported receiving "multiple complaints on a daily basis" from BCO customers, "no less than five" of which had not received "1 TEU so far.") [APP-2100]; YM_00047867 at YM_00047868 (On May 31, 2021, YM sales representative Jim Nickels warned YM headquarters that "[w]e are greatly damaging our relationship with this new account. All carriers are having problems but YM is performing very poorly for DG.") [APP-1967]; *See* Ex. 63 (YM_01680094) [APP-1421-1424]; Ex. 63a (YM_01680094_EN) at 1 (On March 24, 2022, Michael Wu admitted internally that YM had "used the congestion as a reason" to restrict DG's bookings "[t]o avoid any disputes" over dwell fees, and that YM was "not considering removing the restriction from the system" in a message he expressly marked "for internal reference only and should not be disclosed to the client.") [APP-1425].

iii. Yang Ming's policies targeted Dollar General and failed to make reasonable accommodations to provide space under the 2021 Service Contract.

a. Dollar General raises service failures in May 2021 DG-YM meeting.

168. May 2021 was defined not only by the inherent environmental complexities of the COVID-19 pandemic but also by structural complexity and barriers that YM created to facilitate deliberate MQC shortfalls against its service commitments with its BCO customers. *See* YM_00056134 at YM_00056134 [APP-1974]; Ex. 19 (YM_01769468) at YM_01769468 [APP-

1211]; YM_00814513 at YM_00814513 [APP-2103]; YM_00055311 at YM_00055311 [APP-1971]; Morris Dep. Tr. 63:14-64:8 (“Q. Would it be fair to say that May of ‘21 was known as the peak, one of the toughest periods for everyone involved in the COVID pandemic, either in ocean carriage or retail? A. I can only give my interpretation based off of a retail perspective and I would say over the course of the pandemic time period there were spikes in complexity. From a retailer’s perspective it became more and more complex to navigate not only the uncontrollable but the barriers that were created in order to engage in nonfulfillment. So I would say there’s a complexity associated with the environment but there was also structural complexity that was created during that timeframe as well that I would say made it very difficult for retailers.”) [APP-904]; Ex. 70 (McCown Report) ¶¶ 111, 122-237 [APP-1512, APP-1514-1542]; McCown Dep. Tr. at 168:22-169:8 (“Q. There is a section in your report that starts on paragraph 122 that describes May 2021, DGL, YMTC meeting, correct? A. Yes. Q. What’s your recollection of what that section discusses? A. Just the extreme disappointment on the part of Dollar General that they weren’t immediately getting the loads that were in the service contract getting the space.”) [APP-860-861].

169. DG immediately raised its concerns with YM regarding YM’s non-compliance with the service contract. *See* Ex. 24 (YM_00976652) at YM_00976652 [APP-1226]; Ex. 70 (McCown Report) ¶ 122 [APP-1514].

170. On May 13, 2021, YM internally noted that: “***We are under heavy pressure from DG and, in fact, have been called to another meeting today with their VP of Transportation, for lack of our performance.***” *See* Ex. 24 (YM_00976652) at YM_00976652 (emphasis added) [APP-1226]; Ex. 70 (McCown Report) ¶ 122 [APP-1514].

171. In May 2021, DG demanded a high-level meeting with YM Taiwan headquarters to discuss the current shortfall. *See* Ex. 6 (YM_00973062) at YM_00973062 [APP-1169]; Nickels Dep. Tr. 116:5-9 (“Q. . . . What led to this meeting to be scheduled? A. Sanjay wanted to have a meeting with all of these people who -- to express his concern with liftings and to make sure that we knew how important it was to Dollar General.”) [APP-975], 116:15-21 (“Q. So Yang Ming U.S.-based sales rep team would organize a meeting like this when there is an issue to be addressed, correct? A. If we were asked to organize a meeting by whomever, to organize a meeting with our Taiwan colleagues, we would try to do our best to do that, yes.”) [APP-975]; Cobb Dep. Tr. 146:13-23 (“Q. Okay. And what did you typically discuss in those meetings? A. It was at the beginning of the contract. This was May 21st. So starting in May with the space problems and the onboarding. So we talked about all that and the allocations. And then on this call, Sanjay wanted to talk to Taiwan to go through the issues they were having. Because they had a backlog of cargo they were trying to move, and they wanted to see how we could assist.”) [APP-351]; Ex. 70 (McCown Report) ¶ 123 [APP-1514].

172. On May 24, 2021, Rolly Chien (Deputy Vice President / Department Head (Americas Business team) of Yang Ming’s Commercial Transpacific Department), Winson Yeh (Vice President in Yang Ming’s Commercial Transpacific Department.), Brian Chen (Manager of Eastbound Marketing & Pricing Team B of Yang Ming’s Commercial Transpacific Department), Michael Wu (Senior Manager of Eastbound Marketing & Pricing Team B of Yang Ming’s Commercial Transpacific Department’s SAT region), Mike Collins (Sales Director for Yang Ming’s SAT region), Chris Cobb (Regional Sales Manager for Yang Ming’s SAT region), Jim Nickels (Sales Representative in Yang Ming’s SAT region), Sanjay Mishra (DG’s Vice President

of International Transportation), and Chelsea Morris (at the time, DG's Senior Manager of International Transportation) participated in this high level meeting requested by DG. *See* Ex. 6 (YM_00973062) [APP-1169-1171]; Ex. 70 (McCown Report) ¶ 123 [APP-1514].

173. Due to YM's immediate shortfalls to begin the 2021 Shipping Year, YM's customers, including DG, increasingly demanded meetings with YM to address YM's ongoing failures to meet its service commitments. *See* YM_00803519 [APP-2081-2082]; YM_00804284 at YM_00804285 [APP-2084]; YM_00804289 at YM_00804289 [APP-2088]; YM_00839280 at YM_00839283 [APP-2126]; YM_00839226 at YM_00839228 [APP-2110]; YM_00839233 at YM_00839233 [APP-2115]; YM_00839285 at YM_00839285 [APP-2134]; Cobb Dep. Tr. 149:17-23 ("Q. In your experience, how often would your US-based sales rep team organize a meeting with a shipping client and Yang Ming's Taiwan team? A. Prior to Covid, not a lot. But once Covid hit, there was -- probably the first three months of 2021, into the contract cycle, there was several that we did with Taiwan.") [APP-351]; Morris Dep. Tr. 60:7-13 ("Q. And did you have weekly meetings for a period of time with Yang Ming representatives to discuss that issue? A. To the best of my recollection, you know, may have been twice in a week but I would say in general for, yes, for a period of time maybe roughly once a week.") [APP-903]; Ex. 70 (McCown Report) ¶ 124 [APP-1515].

173.1. YM internal communications show a lack of interest in these meetings regarding customer complaints. *Infra*.

173.1.1. In response to one request, on May 21, 2021 Sandy Hsu wrote to the U.S. sales rep "[l]ots of customers are facing the same space problem and would like to talk to us directly. There are too many meetings already.... Honestly speaking, we have no time to attend each of them... If all possible, could you please assist to attend the meeting at your side?" YM_00839280 at YM_00839282 [APP-2125].

173.1.2. Another request a week later received a similar response: "Just suppose it would be enough to have a conversation between you and customer. As you know, we already have too many meetings now..." YM_00839226 at YM_00839228 [APP-2110].

174. DG's primary issue during the May 24, 2021 meeting was a demand for more space because YM was not providing an adequate amount. Ex. 6 (YM_00973062) at YM_00973062 [APP-1169]; Nickels Dep. Tr. 126:21-127:3 ("Q. Do you remember what specific complaints that Dollar General raised about Yang Ming in this meeting? A. Well, they wanted more space. And with COVID and a lot of issues happening in the foreign ports, they were looking to get as much space as possible. And I didn't feel like that they thought they were getting it.") [APP-978]; Morris Dep. Tr. 60:14-16 ("Q. Did you find that their explanations were satisfactory? A. No.") [APP-903]; Ex. 70 (McCown Report) ¶ 125 [APP-1515].

175. On May 26, 2021, after the meeting with YM, Sanjay Mishra of DG emphasized in his follow-up email that "*[i]t is very critical for DG to get support from Yang Ming*", stating:

Dollar General is very concerned that Yang Ming is not meeting its contractual allocation to accept our cargo. We made a good faith agreement at a rate much higher than previous year contract with the anticipation that YML with respects [sic] it's end of its commitment. We need YML to service our account, and at least meet the weekly allocation commitments + help us find solutions for the backlogs we are carrying from May/June.

Ex. 6 (YM_00973062) at YM_00973062 (emphasis added) [APP-1169]; Nickels Dep. Tr. 118:12-21 (“Q. What is your understanding of Sanjay’s statement? A. Well, it appears that he’s saying that we’re not meeting our obligations, and he’s just making an effort to let us know that he respects -- he expects us to uphold our end of the commitment. That would be the way I would read that. Q. Is there any reason to doubt Sanjay stated things accurately? A. No. I would not think so, no.”) [APP-976]; Ex. 70 (McCown Report) ¶ 130 [APP-1516].

176. Sanjay Mishra also shared that YM’s confirmed bookings up to that point for May equaled a mere 13 FEUs and June projections equaled only 2 FEUs for a combined **15 FEUs against an expected 344 FEUs, representing only 4% of YM’s space commitments to DG** (based on MQC of 2,226 resulting in MQC/52 of 43F per week). See Ex. 6 (YM_00973062) at YM_00973063 [APP-1170]; Ex. 75 (DGPMC-0004159) at Tab “submission page”, Columns L-O, Rows 2-4) [APP-1730]; Expeditors Decl., Ex. B at TAB “YMLU Container Report 21-22 Con”, Column Z (“Client Z”), Rows (sorted for entries in Column P (‘Booked’) with dates falling within the 2021 Shipping Year and excluding port pairs not covered by 2021 Service Contract (i.e., destination ports Tacoma and Charleston in Column AF (‘Shipment Unlading Port Name’))) [APP-274]; Nickels Dep. Tr. 82:24-83:2 (“Q. You say that, under Section 2.2, The carrier is obligated to provide vessel capacity adequate to carry the MQC. A To make every effort to do so, yes.”) [APP-967], 119:21-23 (“Q. Do you have any reason to doubt the information provided in Sanjay’s email? A. No.”) [APP-976]; Cobb Dep. Tr. 152:4-9 (“Q. And then Sanjay provides some data on confirmed bookings below that. Correct? A. That’s correct. Q. Any reason to doubt the accuracy of these numbers? A. No.”) [APP-352]; Ex. 70 (McCown Report) ¶ 131 [APP-1516].

177. Mishra’s May 26 email further noted that “[2021 Service] Contract states: Carrier commits to provide weekly space at a level not less than 130% of the Merchant forecasted FEU volume 4 weeks from scheduled shipment week” as “Key Points for YMLU”. Ex. 6 (YM_00973062) at YM_00973062 [APP-1169]; Ex. 1 (DGPMC-0000001) at DGPMC-0000002 [APP-1137]; Nickels Dep. Tr. 83:10-13 (“Q. Is it fair to say that the carrier should provide weekly space at a level no less than 130 percent of the merchant's forecasted FEU volume? A. Yes; in this phrase, that’s correct.”) [APP-967]; Ex. 70 (McCown Report) ¶ 132 [APP-1517].

177.1. In fact, consistent with Mishra’s May 26 email and Section 2.3 of the 2021 Service Contract, DG provided YM with forecasts throughout the 2021 Shipping Year entitling DG to 130% of DG’s forecasted volume throughout the 2021 Shipping Year. See Ex. 76 (Attachment A, DG Supplemental Interrogatory Responses) [APP-179-186].

178. On May 27, 2021, Chris Cobb shared his notes from the DG meeting with Michael Wu and other YM employees. See Ex. 25 (YM_00972700) at YM_00972700 [APP-1230]; Ex. 70 (McCown Report) ¶ 136 [APP-1518].

178.1. Cobb's notes reflected that DG's key concerns included booking issues and YM's failure to allocate DG space. *See* Ex. 25 (YM_00972700) at YM_00972700 [APP-1230]; Ex. 70 (McCown Report) ¶ 136 [APP-1518].

178.2. Cobb also noted the 2021 Service Contract's Section 2.3 language that "carrier commits to provide weekly space at a level not less than 130% of the merchant forecasted FEU volume 4 weeks from scheduled shipment week." Ex. 25 (YM_00972700) at YM_00972700 [APP-1230]; Ex. 70 (McCown Report) ¶ 136 [APP-1518].

179. During the May 24, 2021, YM presented a PowerPoint presentation titled "Dollar General Meeting 2021/5/24." *See* Ex. 8 (YM_01788635) at YM_01788635 [APP-1173]; Ex. 70 (McCown Report) ¶ 126 [APP-1515].

179.1. Wu admitted that he prepared Exhibit 8. *See* Ex. 8 (YM_01788635) at YM_01788635 [APP-1173]; Ex. 7 (YM_01788634) at YM_01788634 [APP-1172]; Wu Dep. Tr. 99:3-15 ("Q. Mr. Wu, have you had a chance to review this document? A. Yes. Q. Does your review refresh your recollection as to whether you prepared this document? A. I prepared this document. Q. And you would have prepared the notes sections, correct, as well? A. Yes. Q. And you would have presented this information to Dollar General at this meeting. Correct? A. Yes.") [APP-1107].

179.2. Slide 8 of the PowerPoint presentation shows a table with origin confirmed bookings of 11 FEUs during weeks 19-22 and the note below says that "[t]here isn't much firm booking til now" but "*[t]he numbers will be improve [sic] week by week from now on*, for example, our Yantian office had [started] responding the booking request and I am sure you will start to receive the same from other China offices." Ex. 8 (YM_01788635) at YM_01788642 (emphasis added) [APP-1180]; Ex. 70 (McCown Report) ¶ 126 [APP-1515].

180. YM's presentation to DG at the May 24, 2021 meeting was a flat-out misrepresentation. *See infra*; Ex. 70 (McCown Report) ¶ 127 [APP-1515].

180.1. As early as October 2020 and continuing through at least January 2021, YM's senior management was discussing (in the face of direct warnings from YM's North American sales force) exploiting its projections for the 2021 Shipping Year that port congestion issues and concomitant high spot-market rates would continue throughout 2021. *See* Ex. 39 (YM_01105410) at YM_01105419-30 [APP-1291-1302].

180.2. In February 2021, YM employees were already sharing reports analyzing that "the growing consensus is that container chaos will last through at least mid-2021" and "[w]hen it will ease remains a mystery." Ex. 11 (YM_00013570) at YM_00013573 [APP-1192]; Cobb Dep. Tr. 89:14-19 ("Q. So, in other words, it was not likely for these issues to be completely solved? A. Not in the near term. No. No, Sir. Q. And, in fact, it was not solved until much later, if at all? A. That's correct.") [APP-336]; Ex. 70 (McCown Report) ¶ 128 [APP-1515].

180.3. On April 28, 2021, Michael Wu wrote internally to YM's SAT sales team: "While as you can see that terminal congestion and vessel delay is still raging and we expect *this is going to last another few months or the whole year.*" Ex. 19 (YM_01769468) at

YM_01769468 (emphasis added) [APP-1211]; Wu Dep. Tr. at 101:13-104:17 (“Q. And if this data shows that in 2021, supply keeping up with or exceeding demand, there generally should be sufficient space in the market. Correct? A. According to its forecast, yes. However, going back to the email in the very beginning, when we estimated the MQC, even though we tried our best efforts to make the estimates, we still could not expect what would happen next. And even for Alphaliner, a third-party media for the industry, it predicted that capacity would exceed the actual demand. However, as the time approached, in the end, the real market situation was totally different from this. Q. So you are saying this information is a very positive forecast. Correct? A. I cannot determine, at the time when they released these information, it was based on what kind of forecast, or what was the basis for them to state these numbers. Therefore, I cannot infer whether they were optimistic or pessimistic. . . . Q. Mr. Wu, I’m bringing up the April 28th 2021 document that we had marked as Cobb 19. And do you see on your screen there, where you say, “still raging and we expect that this is going to last another few months or the whole year?” A. I see that. Q. And if we go back to the forecast on the PowerPoint we were just discussing, which was on May 24th, less than a month later? You see that on your screen? Correct? A. I see that. Q. And so, in your previous email that we just looked at, you were talking about conditions continuing for several months, or the whole year, compared to this PowerPoint, where you are presenting information that predicts supply and demand growing into balance, or supply outpacing demand, in 2021. Correct? ATTORNEY KEANE: Same objection. You can still answer. THE WITNESS: Yes. According to the information provided by Alphaliner, yes. That’s the case. BY ATTORNEY HILL: Q. So fair to say that in the previous email, you were giving your sales team a prediction of poor congestion, and other issues, continuing for several months or a whole year, while here in this PowerPoint, you are telling Dollar General those conditions will come into alignment within the year? ATTORNEY KEANE: Same objection. You can still answer. THE WITNESS: Comparing with the previous one, I’m not sure what is the source of the data for Alphaliner to make the inference here, and whether they considered various factors. I can only describe that based on these data. And in the previous email, in comparison, I was making a prediction to make a more accurate expression to our sales personnel about what will be the worst scenario. I would like to ask the interpreter to re-render the last sentence. What I was trying to express is this. When I make the forecast, it was not entirely accurate. When I made the description stating that there could be port congestions that would last a few months or the whole year, it was mainly to relay to the sales personnel what would be the worst-case scenario.”) [APP-1107-1108].

180.4. On May 7, 2021, Sandy Hsu admitted that “this situation will keep lasting and won’t be solved in short period, since the uncontrollable operational restriction such as congestion/blank sailing/vessel delay/equipment shortage are still there” and “we have to honestly tell [them] that it would be difficult to get space for the prorated MQC volume.” YM_00814513 at YM_00814513 [APP-2103]; Ex. 70 (McCown Report) ¶ 128 [APP-1515].

180.5. On May 12, 2021, Sandy Hsu admitted that “we are unable to fully meet each customer’s demand under current circumstance.” YM_00812395 at YM_00812395 [APP-2100]; Ex. 70 (McCown Report) ¶ 128 [APP-1515].

180.6. On May 13, 2021, Winston Yeh stated internally that he “expect[ed] this space shortage problem will continue and go through Q3 2021 or even longer” “[a]s vessel delay and blank sailing situation has not changed and improved much in May,” and “all our

customers will be facing this space shortage problem continuously without any improvement for the coming months. . . . we also have to be upfront and let our customer know that we won't have enough space can release to all our customers because there are still a large number of our vessels are still stuck and idle in US due to ongoing port congestion which already existed in most of US calling ports for quite a long time.” YM_02033774 at YM_02033777 [APP-2301]; *see also* Ex. 8 (YM_01788635) at YM_01788642 [APP-1180]; Wu Dep. Tr. 96:9-107:11 [APP-1106-1109]; Ex. 70 (McCown Report) ¶ 127 [APP-1515].

181. Slide 8 of the PowerPoint presentation also admitted that “. . . *there is overwhelming new contracts coming this year so this actually take us more than usual years to settle and communicate with our origins.*” Ex. 8 (YM_01788635) at YM_01788642 (emphasis added) [APP-1180]; Ex. 70 (McCown Report) ¶ 129 [APP-1516].

181.1. Michael Wu explained that language in terms of YM's overcommitment of MQC, while pointing the finger at his own sales team. *See* Wu Dep. Tr. 105:8-106:19 (“Q. What's your understanding of your sentence here, ‘overwhelming new contracts’? A. . . . Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is to expand our clientele and also speed up the sign up of the clients. For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. However, from the perspective of the headquarters, we want more customers to divide up our target. So, for example, let's say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. However, for the headquarters, we would like to see five clients to divide up that goal. That target. Therefore, when the sales personnel fulfill the goal from the headquarters, we would hope to have more clients. That is what the first sentence mentions. ‘Overwhelmingly new contracts.’”) (emphasis added) [APP-1108-1109]; Ex. 70 (McCown Report) ¶ 129 [APP-1516].

b. Yang Ming's performance worsens after May 2021 DG-YM meetings.

182. After the May 2021 meeting, DG made every effort to book cargo space with YM in accordance with the 2021 Service Contract. *See* Expeditors Decl. at ¶ 5 [APP-188]; Expeditors Decl., Ex. A [APP-273]; Ibrahim Dep. Tr. 78:4-14 (“Q. Mr. Ibrahim, to your knowledge, did Dollar General do all that it could to book space with Yang Ming pursuant to its 2021 service contract? A. To my knowledge, yes. MR. KEANE: Objection. No foundation. Q. To your knowledge, did Dollar General do so with other carriers as well? MR. KEANE: Same objection. A. Correct.”) [APP-462]; Ex. 70 (McCown Report) ¶ 138 [APP-1518]; *see also infra*.

183. However, YM's performance did not improve. *See* Ex. 70 (McCown Report) ¶ 138 [APP-1518].

183.1. Securing space for even a single container with YM was an extremely difficult challenge, particularly considering the myriad obstacles YM imposed on DG via YM's restrictive booking practices. *See* DGPMC-0003855 at DGPMC-0003855 [APP-2310]; Morris

Dep. Tr. 64:16-23 (“Q. You did say that it was incredibly difficult to get even one container of space during that year. When you said that, I assume you were referring to across the board all your contract carriers partners; is that right? A. Yes. Let me restate that. On average, yes.”) [APP-904], 102:4-103:5 (“A. Yeah, I think I believe what I said was that that was one example of the types of barriers that carriers would throw up during those times. There were lot of different barriers. I think I talked about just the booking barriers. Again not responding to e-mail requests for bookings, basically elongating the booking cutoff requirements without notice, become incredibly granular with how they accepted bookings, flip-flopping between strings and OD pairs. There were lots of many, those are three of many different strategies that I saw utilized. Whether, I can’t, I can’t engage in conjecture as to whether it was intentional or unintentional but I can draw my own conclusion. But I would say Yang Ming certainly had utilized those particular tactics although I can’t tie one tactic over another specifically to Yang Ming specifically for that time period. But I think the biggest piece in my mind was the conversation we had with Jim where he said, again, paraphrasing headquarters basically you’re not going to get your MQC and we can’t get headquarters to agree.”) [APP-914]; Ex. 70 (McCown Report) ¶ 138 [APP-1518].

184. On May 26, 2021, Expeditors sent a message directly to YM, stating: “***We cannot continue to operate in an environment where it takes 10 or more emails to secure a booking. I will not place another booking with YMLU until you have assured me that these issues have been resolved.***” See YM_00121562 at YM_00121562 (emphasis added) [APP-1987]; Ex. 70 (McCown Report) ¶ 139 [APP-1519].

185. On May 26, 2021, Expeditors employee Timothy Chiu reached out to YM employees asking for help: “YML SHA told us we have 12T allocation to LA....***SHA team never ever secure any space to LA after new s/c effective from 1st of May. We had ever secure 1 to 2F to USEC so far.*** Could you please coach team how to get the allocated space to USWC?” Ex. 27 (DGFMC-0003682) at DGFMC-0003683 (emphasis added) [APP-1234]; Ex. 70 (McCown Report) ¶ 140 [APP-1519].

186. June was a vital month for DG, as YM employee Nickels admitted: “***We are greatly damaging our relationship with this new account. All carriers are having problems but YM is performing very poorly for DG.***” YM_00047867 at YM_00047868 (emphasis added) [APP-1967]; Ex. 70 (McCown Report) ¶ 144 [APP-1520]; Kardian Dep. Tr. 166:16-167:2 (“Q. Paragraph 144 is an email internally from Yang Ming employee Mr. Nickels. And he stated in that email: We are damaging our relationship with this new account. All carriers are having problems, but Yang Ming is performing very poorly for Dollar General. Does that indicate to you that it was Yang Ming’s lack of performance in placing – in accepting bookings and not Dollar General’s failure to make such bookings? A. I mean, on that statement alone, my answer would be yes.”) [APP-517].

187. Despite DG expressing flexibility to move cargo between different ports of origin and vessels to avoid booking issues, YM did not offer good faith opportunities to navigate those space constraints. See Ex. 28 (DGFMC-0003975) at DGFMC-0003975 [APP-1238]; Morris Dep. Tr. 88:2-19 (“Q. . . . [D]id Yang Ming send you back allocations of space that they would have available to you which might not meet your weekly allocation or your forecast? A. Not that I recall. We didn’t ask for that from all carriers one. Of the things especially early on as carriers were increasing the level on complexity with booking, we tried to navigate around some of those barriers

by asking for if you don't have space on this vessel but you do have space on this vessel, we'll be flexible. Help us understand where those opportunities exist. I don't recall Yang Ming ever helping us to navigate that by sending us anything, to the best of my memory.") [APP-910]; Ex. 70 (McCown Report) ¶ 142 [APP-1519].

188. On June 3, 2021, DG sent YM an email stating:

"While we are happy to get more than 10F in a month, 16F per week is still only 1/3 of what we should be getting MQC/52. Again, we are open to a discussion on rates. I would first ask that we concentrate on covering your awarded lanes. Beyond that, our need is primarily out of top three base ports (SZX/NGB/SHA) to LA or GIC for future weeks. My greatest need right now is out of SZX, where I have a current backlog of 1400 containers. If you all can provide a rate level at which we can purchase space up and above the 40F per week, we are happy to have that conversation. In the meantime, we do need MQC/52 honored, which is a fraction of the contractual obligation."

YM_00970426 (emphasis added) [APP-2180-2183]; Ex. 70 (McCown Report) ¶ 141 [APP-1519].

189. In early June, Expeditors reported that YM refused to reserve space because YM claimed there was no valid contract rate for the specific route. YM_01819925 at YM_01819928 [APP-2234]; Ex. 70 (McCown Report) ¶ 144 [APP-1520].

190. On June 10, 2021, DG employee Chelsea Morris wrote to Nickels, saying: "If we aren't getting the space out of SZX, we should be getting this from an alternate port. That space is our space regardless of the port of lading. Hoping to get this back by COB." Ex. 28 (DGFMC-0003975) at DGFMC-0003975 [APP-1238]; Ex. 70 (McCown Report) ¶ 145 [APP-1520].

191. On June 14, 2021, DG employee Brian Mitchell requested "a biweekly report sent to our team illustrating the current usage of our allocated space" including "previous weeks, current week, and the next 3 weeks" to YM employees. Ex. 26 (YM_01811949) at YM_01811949 [APP-1232]; Ex. 70 (McCown Report) ¶ 146 [APP-1520].

192. On June 15, 2021, YM employees internally flagged DG as one of "our TPEB customers that seem to complain the most" along with 18 other customer accounts. Ex. 32 (YM_02057515) at YM_02057516 [APP-1249]; YM_01811849 at YM_01811849 [APP-2230]; Ex. 70 (McCown Report) ¶ 147 [APP-1520].

193. On June 16, 2021, immediately following YM's identification of DG as a top complaining customer, YM management made a deliberate decision at the highest levels to refuse allocating space to DG, with Rolly Chien (Department Head of Americas Business team for YM's Commercial Transpacific Department) stating in an email that included Brian Chen and Winston Yeh: "When each team reviews space allocation, please keep the following principles in mind: 1) **Customers whose space has already been increased to a reasonable ratio should not be given additional space.** . . . 3) This remains subject to each team's professional judgment of the customer's importance and **assessment of whether the matter has escalated to a legal issue**, and

other relevant factors.” YM_02056097_EN at YM_02056097 (emphasis added) [APP-2306]; YM_02056097 at YM_02056097 [APP-2303]; Chen Dep. Tr. 68:9-17 (Admitting Federal Maritime Commission as regulatory authority as to which exposure YM was monitoring) [APP-292].

193.1. Rolly Chien’s June 16, 2021 email explicitly included DG in the “SATL” column of a chart identifying YM’s “TPEB most complaining customers”. YM_02056097_EN at YM_02056097 [APP-2306]; YM_02056097 at YM_02056097 [APP-2303].

193.2. Chien’s June 16, 2021 email, taken as a whole, including Chien’s directives in that same email, establishes YM instituted an unreasonable policy of refusing to allocate space to DG because YM perceived DG as a legal risk due to YM’s own deliberate failures to allocate space to DG under the 2021 Service Contract. *See* YM_02056097_EN at YM_02056097 (emphasis added) [APP-2306]; YM_02056097 at YM_02056097 [APP-2303].

193.3. YM’s Transpacific management immediately began implementing YM’s policy of refusing to allocate space to DG because DG complained to YM that YM was not allocating space to DG under the 2021 Service Contract. *Infra*.

193.3.1. On June 25, 2021, YM employee Chris Cobb sent an update to Chelsea Morris regarding efforts to secure the space under contract for DG. *See* DGPMC-0003855 at DGPMC-0003855 [APP-2310]; Ex. 70 (McCown Report) ¶ 148 [APP-1520].

193.3.1.1. Cobb noted that “***Jim / Mike and myself are pushing every day to get this to the level you have requested***”, providing specific updates on “Shanghai to Zanesville, OH 6 FEU” and “Ningbo to Zanesville, OH 9 FEU”. *See* DGPMC-0003855 at DGPMC-0003855 (emphasis added) [APP-2310]; Ex. 70 (McCown Report) ¶ 148 [APP-1520].

193.3.1.2. Cobb highlighted that for “Yantian 0 FEU”, “[i]t will take time to catch up the backlog,” and expressed a preference for the Port of Los Angeles instead of Fulton, Missouri due to rail congestion in St. Louis. *See* DGPMC-0003855 at DGPMC-0003855 [APP-2310]; Ex. 70 (McCown Report) ¶ 148 [APP-1520].

193.3.2. On June 29, 2021, YM employee Mike Collins observed that the allocation situation for DG “***certainly doesn’t look to be getting any better.***” Ex. 12 (YM_00962578) at YM_00962578 (emphasis added) [APP-1195]; Ex. 70 (McCown Report) ¶ 149 [APP-1521].

193.3.2.1. Nickels replied, “***No, we are giving them zippo. We are giving my smaller accounts more.***” Ex. 12 (YM_00962578) at YM_00962578 (emphasis added) [APP-1195]; Nickels Dep. Tr. 143:8-144:13 (“Q. And here you responded, No, we are giving them zippo. Correct? A. Correct. Q. Them referring Dollar General? A Yes. Q. And what did you mean by zippo? A. I think with the way the shipping was in the foreign ports, we aren’t able to give them what we wanted to give them. So I just meant

as a flippant remark, we're not giving them enough. Q. So you didn't mean zero container allocations for that week? A. Yes. Q. In that same email, you wrote, We are giving my smaller accounts more. Correct? A. Correct. Q. If you remember, who are those smaller accounts that received more over Dollar General? A. Oh, wow, I don't recall. Q. Why would these smaller accounts receive space while an account like Dollar General received zippo? A. It could be the ports they were -- the origin ports that they were coming out of. Perhaps some ports were closed. Maybe the smaller accounts were shipping from a port that was not closed. And perhaps their volumes were at such that that particular port they were shipping from had space that week.") [APP-982]; Ex. 70 (McCown Report) ¶ 149 [APP-1521].

194. On July 14, 2021, Krueger emphasized that "we really need [HQ's] support for some of our **BCO customers that are high maintenance**. These accounts [*sic*] we are fearful that we will lose support in the coming year due to our inability to service the minimum requirements" and that they did "**understand the need to maximize revenue and the direction HQ office is pushing**, but we also need to take a balanced approach to sustain us in the year(s) to come." Ex. 33 (YM_00848949) at YM_00848950 (emphasis added) [APP-1251]; Ex. 70 (McCown Report) ¶ 150 [APP-1521].

195. On July 15, 2021, Nickels admitted that he was "**shock[ed]**" by YM's behavior, "**I think they can forget about a new contract next year with many of them**", noting further that he "**signed 12 accounts and still have 5 that have not lifted 1 teu since 5-1!**". Ex. 4 (YM_00170427) at YM_00170427, YM_00170428 (emphasis added) [APP-1162, APP-1163]; Ex. 70 (McCown Report) ¶ 150 [APP-1521].

196. On July 15, 2021, YM acknowledged internally that DG was "very upset with YM and cut the meeting short as 'a waste of time'." Ex. 9 (YM_01012333) at YM_01012333 [APP-1182]; Nickels Dep. Tr. 127:13-17 ("Q And what did you think about this statement? A Well, I was concerned, of course. They're my account. As a salesperson, you don't ever want your accounts to go away. We like long-term relationships. And that's what we try to foster.") [APP-978]; Ex. 70 (McCown Report) ¶ 151 [APP-1521].

196.1. In the same internal communication, a YM sales representative reported on the outcome of the meeting with DG, noting that: "**[t]hey advised that YM is by far, their worst performing carrier...** They are done asking us to comply with the demands and will not be offering YM future SC opportunities." Ex. 9 (YM_01012333) at YM_01012334 (emphasis added) [APP-1183]; Nickels Dep. Tr. 127:13-17 ("Q And what did you think about this statement? A Well, I was concerned, of course. They're my account. As a salesperson, you don't ever want your accounts to go away. We like long-term relationships. And that's what we try to foster.") [APP-978]; Ex. 70 (McCown Report) ¶ 151 [APP-1521].

197. On July 16, 2021, Nickels reported this to Cobb and Collins, saying: "Mike made DG so mad they cut the meeting short and cancelled the Thursday meetings" and that "**[Chelsea Morris] said she would never invite us again if performance didn't drastically improve.**" Ex. 10 (YM_00169787) at YM_00169787 (emphasis added) [APP-1187]; Ex. 70 (McCown Report) ¶ 152 [APP-1521].

198. On August 25, 2021, Morris stated that “*you guys have cost me nearly \$8M this contract year already* by not fulfilling your run rate”. YM_00156607 at YM_00156609 (emphasis added) [APP-2000]; Ex. 70 (McCown Report) ¶ 154 [APP-1522].

198.1. YM employee Nickels agreed, commenting: “*We punished them enough with the 8 million freight loss!*” YM_00156607 at YM_00156607(emphasis added) [APP-1998]; Ex. 70 (McCown Report) ¶ 154 [APP-1522].

199. YM’s consistent MQC shortfalls led DG to deprioritize booking space with YM in favor of carriers that were more likely to provide DG with shipping space. *See* Cobb Dep. Tr. 108:23-109:3 (“Q. So would it be fair to say that for whatever reason, booking rejections were a large scale problem for Yang Ming during the pandemic? A. It seemed to be a large scale problem for everyone. It really depended on where you were coming from.”) [APP-341], 109:23-110:1 (“Q. Did you encounter situations where a BCO customer who had encountered consistent booking rejections gave up trying to book with Yang Ming? A. We did.”) [APP-341-342]; Krueger Dep. Tr. 76:15-22 (“Q. During the 2021 shipping year, did certain BCOs report issues with making bookings either directly or through their booking agents? MR. KEANE: To Yang Ming? MR. RUSHING: To Yang Ming. Thank you, Mr. Keane. A. Yes.”) [APP-584]; Ibrahim Dep. Tr. 68:13-21 (“A. Also what I learned is that during a specific time, we couldn’t rely on Yang Ming for signing something and then not giving us the allocation. So we couldn’t really use them because there was something that -- nobody was telling me exact reason until everything makes sense now as we’re speaking because of the reliance, that we can rely on them.”) [APP-459]; Morris Dep. Tr. 61:14-62:4 (“A. . . . And so when you’re in a situation where it’s taking you 5X the amount of times to book a single container, you have to put your energy into managing where you think you can get the space. And it was made very clear that the intention wasn’t there. Again at least during that time period. So we allocated our time according to that. However, there was still report cards that were e-mailed out for a period of time, and of course of bookings themselves. We continued to try to make in accordance to the contract because we had so many containers that we had to move.”) [APP-904]; Ex. 70 (McCown Report) ¶ 160 [APP-1523].

199.1. DG continued to push YM for space, eventually leading to a meeting where YM representatives admitted they were not fulfilling the MQC and could not get their headquarters to authorize doing so. *See* Morris Dep. Tr. 60:17-61:11 (“Q. Did there come a time when you terminated those meetings, those weekly meetings? A. I wouldn’t necessarily say terminated those meetings. I would say we continued to endeavor to get space. During that timeframe if you were a retailer, the amount of workload associated with getting one container moved was incredibly high. So we continued to try to engage Yang Ming from a space procurement standpoint. There was a meeting where it was indicated by the sales rep and his boss during that time where they said essentially said, our, I am paraphrasing based off of six years of memory, but we know that we are not, essentially it’s we know that we are not fulfilling MQC and we can’t get our headquarters to allow us to.”) [APP-903-904]; Ex. 70 (McCown Report) ¶ 152 [APP-1521].

200. On August 11, 2021, Dan Vidal wrote to Brian Chen and Sandy Hsu regarding internal lifting statistics through July 2021, stating:

“If you will take a minute a n [sic] review the attached report you will see that we are by far nowhere near where we should be on lift? This is extremely concerning?

In years past we would be questioning and aggressively pushing our accounts for more support. Understanding the current circumstances I need to advise that the relationships we have with some of these key accounts, not to mention the new target accounts that we where [sic] able to sign, is being damaged every day that passed with little to no support. this is going to cause a serious problem when we are looking for additional support and or come contract renewal. If the market changes (and I fear that at some point it will) we will have little account base because of our current actions.

I would ask that you please review this information and provide me with feedback as to what we are prepared to do moving forward so that these accounts can get some sort of consistent weekly allocation?”

See Ex. 51 (YM_00866984) at YM_00866984 [APP-1353]; Ex. 70 (McCown Report) ¶ 153 [APP-1522].

200.1. Brian Chen admitted that he considered the issues raised by Vidal in this communication to be “serious problems”. Chen Dep. Tr. 61:16-18 (“Q. Did you consider the problems to be raised by Dan Vidal in this email to be serious problems? A. Yes.”) [APP-290]; Ex. 70 (McCown Report) ¶ 153 [APP-1522].

201. On October 28, 2021, YM employees shared a PowerPoint presentation named “TPEB USA S/C LIFTING ANALYSIS.” See Ex. 37 (YM_01040241) at YM_01040241 [APP-1267]; Ex. 70 (McCown Report) ¶ 155 [APP-1522].

201.1. According to the presentation, Yang Ming’s signed U.S. customers collectively accounted for 39% of Yang Ming’s total signed volume across all customers. See Ex. 37 (YM_01040241) at YM_01040242 [APP-1268]. Ex. 70 (McCown Report) ¶ 155 [APP-1522].

201.2. Despite U.S. contracts representing 39% of total signed volume, Yang Ming was only allocating 32% of its effective space to U.S. contract customers, meaning that, on a regional basis across all U.S. service contracts, Yang Ming was falling short by approximately 1,100 TEUs per week. See Ex. 37 (YM_01040241) at YM_01040243 (stating that “US contracts should be running at 39%, yet we are only at 32% of the effective space allocation,” making them “short [of] 1,100 TEU per week given this calculation.”) [APP-1269]; Ex. 70 (McCown Report) ¶ 155 [APP-1522].

201.3. In response to this region-wide shortfall affecting all U.S. contract customers, Yang Ming employees made three requests: (i) “Any account at or under 50% of effective space allocation” should be accommodated more, (ii) “a list of customers which are behind and complaining about space” should be prioritized, and (iii) “HQ to help USA to coordinate with load ports” and to “push” more. Ex. 37 (YM_01040241) at YM_01040245 [APP-1271]; Ex. 70 (McCown Report) ¶ 155 [APP-1522].

202. On November 16, 2021, Greg Krueger identified that YM is “generally week over week short by 1000 TEU” and “***TPE HQ [should] be aware of our struggles dealing with the BCO customers on this side.***” Ex. 38 (YM_00901644) at YM_00901646 (emphasis added) [APP-1275]; Ex. 70 (McCown Report) ¶ 156 [APP-1522].

c. Yang Ming’s MQC shortfalls continued in 2022, moderated by space allocations to “avoid customer complaints”.

203. In November 2021, Brian Chen was aware of “tight space” causing “space complaints” as well as “accounts with serious lifting behind MQC” when he sent an email with the subject “Space Shortage.” See Ex. 52 (YM_01895958) at YM_01895958 [APP-1355]; Ex. 70 (McCown Report) ¶ 162 [APP-1524].

203.1. Chen’s November 2021 email shows that YM was perfectly capable of remedying those shortfalls but would only do so in order to keep customers from rebelling: “[a]s part of the solution, we may consider to increase space accommodation if necessary to avoid impacting future cooperation.” See Ex. 52 (YM_01895958) at YM_01895958 [APP-1355]; Ex. 70 (McCown Report) ¶ 162 [APP-1524].

204. At the very same time that these systematic space shortages were cresting, Chen was suggesting MQCs for NVOCCs of approximately 30,000 TEUs spread over two carriers. See YM_01907501_EN (Ex. 59, Certified Translation) at YM_01907502 [APP-1390]; Ex. 59 (YM_01907501) at YM_01907502 [APP-1387]; Ex. 70 (McCown Report) ¶ 163 [APP-1524].

205. As the new year began, YM’s internal lifting reports showed the depth of its failure. See *infra*; Ex. 70 (McCown Report) ¶ 166 [APP-1524].

206. On January 3, 2022, Chen noted that “BCO space complaint has been becoming a serious issue now, and also attracted a lot of attention from regulatory authority” (i.e., the Federal Maritime Commission), and asked other YM employees to “assist monitor space complaints or issues in your region.” See Ex. 53 (YM_00617077) at YM_00617077 [APP-1358]; Chen Dep. Tr. 68:10-17 (“Q. . . . So when you said ‘regulatory authority’ here, did that include the Federal Maritime Commission? A. Federal Maritime Commission is one of the regulatory authorities. Besides Federal Marine Commission, in other countries, they are also similar regulators who are paying attention to this matter.”) [APP-292]; Ex. 70 (McCown Report) ¶ 164 [APP-1524].

207. Attached to Chen’s January 3, 2022 email was a spreadsheet with a list of YM’s customers who were receiving approximately 50% or less of their allocation. Ex. 54 (YM_00617081) [APP-1362]; Ex. 70 (McCown Report) ¶ 165 [APP-1524].

207.1. The spreadsheet attached to Chen’s January 3, 2022 email reflected that DG at that time was only receiving 46% of its allotted space for the time period covered (Weeks 32-35). See Ex. 54 (YM_00617081) [APP-1362]; Ex. 70 (McCown Report) ¶ 165 [APP-1524].

208. On January 11, 2022, Chen shared a “21-22 SC LIFTING REPORT UP TO DATE (01102022)” spreadsheet with other YM employees, noting that ***YM had only achieved actual***

performance of 22% for DG compared to its own internal target performance of 67%. See Ex. 55 (YM_00611914) at YM_00611914 [APP-1363]; Ex. 70 (McCown Report) ¶ 166 [APP-1524].

208.1. Chen's January 11, 2022 email shows YM's overall actual performance rate for comparable customer accounts was 29%. *See Ex. 55 (YM_00611914) at YM_00611914 [APP-1363]; Ex. 70 (McCown Report) ¶ 166 [APP-1524].*

208.2. A spreadsheet attachment, the source of the inset table in Chen's January 11, 2022 email, also shows that the United States market as a whole was receiving only 41% of its allocated space, and that no individual U.S. region was receiving more than 55%, with half below 30%. *See Ex. 56 (YM_00611919) at TAB "Summary" [APP-1374]; Ex. 70 (McCown Report) ¶ 166 [APP-1524].*

208.3. In Chen's January 11, 2022 email, Chen also acknowledged customers with a potential legal risk and proposed solution of "increas[ing] cargo volume...to avoid complaints." YM_00611914_EN (Ex. 55, Certified Translation) at YM_00611914 [APP-1368]; Ex. 55 (YM_00611914) at YM_00611914 [APP-1363]; Chen Dep. Tr. 75:13-25 ("Q. Mr. Chen, could you please read this, just in the language in which it's written? A. Yes. Q. Please. Read it aloud, I mean. A. '[Chinese spoken.]' A. Gentle reminder. For contracts with less than four months to the expiration, please fully utilize the time before the expiration of the contract. For the customers with legal -- with potential legal risk regarding the cargo volume, please try to increase the cargo volume to prevent customers' complaints.") [APP-294]; Ex. 70 (McCown Report) ¶ 166 [APP-1524].

208.4. On March 15, 2022, Brian Chen sent an internal email to other YM employees that details YM's "Actual Performance" as to its MQC service commitments to YM's "Top 25 BCO with lifting behind MQC", shows a 26% "Actual Performance" for DG, and stated: "The following are the BCOs whose shipped volume is significantly behind MQC. *As contracts are about to expire*, and due to the impact of the recent pandemic, if there is sufficient space, please have the port of loading and customer's booking agent contact each other to increase space for the following direct customers." Ex. 57 (YM_00645239_EN) at YM_00645239 (emphasis added) [APP-1377]; Ex. 57 (YM_00645239) at YM_00645239 [APP-1375].

208.4.1. Chen's directive in his March 15, 2022 email does not represent a good faith offer of space from YM to DG and the other YM customers reflected in the "Top 25 BCO with lifting behind MQC" chart in part because that directive explicitly came at the end of the 2021 Shipping Year when those customers did not have a reasonable opportunity to use any such space offered pursuant to that directive.

209. As the 2021 Shipping Year wore on, YM used shippers' previous inability to book space, a situation that YM itself created, as a justification to deny *current* space with those accounts, as well. *See Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 16 (YM_00051363) at YM_00051363 [APP-1204]; Ex. 70 (McCown Report) ¶ 167 [APP-1525].*

209.1. On January 11, 2022, YM employee Joel Yero described YM's practice as "beyond mind boggling", stating:

"To tell an account we will not provide space because they have not booked with us in a while is very disturbing considering the current environment of the industry... They have on numerous occasions tried booking cargo with us only to be told we can not accept. For anyone to say you have not supported us and we [sic] your booking request is declined is an absolute insult to the account. If this is the position our load ports are going to take moving forward I fear we will not have any accounts willing to resign this upcoming year. I am really perplexed by our arrogance and hope that this is will not be the new norm."

See YM_00611395 at YM_00611396 (emphasis added) [APP-2050]; Ex. 70 (McCown Report) ¶ 167 [APP-1525].

210. By March 15, 2022, internal reports confirmed DG was among the ***"Top 25 BCO with lifting behind MQC"***, with ***DG at the very top of that list***. Ex. 57 (YM_00645239) at YM_00645239 (emphasis added) [APP-1375]; Ex. 70 (McCown Report) ¶ 168 [APP-1525].

210.1. Chen confirmed that he only sent this report internally to YM employees, rather than DG employees, because he felt that YM, not DG, was the one that needed to find the source of the shortfall issue. See Ex. 57 (YM_00645239) [APP-1375-1376]; Chen Dep. Tr. 83:17-84:10 ("Q. So does this email identify Dollar General as one of the 25 BCOs who were significantly behind on their MQC? A. Regarding the MQC for this customer, Dollar General, in the contract, during this period, the progress of their MQC was behind. Q. Is this email to anybody at Dollar General? A. For this email, we asked colleagues at the loading port to contact the booking agents, to find out what was the real reasons for these 25 BCOs with MQC progress that were behind. After we learned of the real reasons, then we can make the improvements. The real reasons could be the case that it was an issue with the customer, or issues with the space. So this email was not addressed to Dollar General. We were just asking our loading colleagues to perform the investigation for us.") [APP-296]; Ex. 70 (McCown Report) ¶ 168 [APP-1525].

iv. Yang Ming otherwise failed to make reasonable accommodations to provide space.

211. YM otherwise failed to make reasonable accommodations to provide space to DG and other shippers during the 2021 Shipping Year. *Supra* Argument § I.D.1; Ex. 42 (YM_00601425) at Tabs "2022 MQC Plan", "SAT", "NAT", "MAT", Columns K and M [APP-1312].

2. Yang Ming employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments.

212. YM preferred higher-priced freight over meeting its service commitments. See Ex. 70 (McCown Report) ¶¶ 188-205 [APP-1529-1535].

213. YM used several methods to discriminate against its fixed-price BCO customers in favor of higher-priced freight: *first*, YM deliberately overcommitted service contract MQCs across its

customers going into the 2021 Shipping Year and reneged on its obligations related to MQC with DG and other BCOs to make available their bargained for and guaranteed space to NVOCCs; *second*, YM conditioned fulfilling its service commitments on a customer agreeing to PSS; *third*, YM systematically shifted space from the Asia-U.S. trade to more profitable Asia-Europe routes, thereby further reducing the space available to its North American BCO customers. *Infra*; Ex. 70 (McCown Report) ¶¶ 143-161 [APP-1520-1523].

214. As discussed by DG’s expert John McCown, YM’s allocation scheme was contrary to longstanding industry practices (and FMC requirements) to honor service commitments. *See* Ex. 70 (McCown Report) ¶¶ 57-71 [APP-1500-1503].

214.1. YM’s allocation scheme created an environment where contract customers were set against each other and in competition with NVOCC’s for space that should have been given to BCOs. *See* Ex. 70 (McCown Report) ¶ 191 (“YMTC’s argument that it was doing nothing wrong by focusing available capacity on its service contracts with NVOCCs, which effectively pay spot rates, at the expense of meeting its MQC commitments in its service contracts with BCOs flies in the face of the correct commercial action: giving preference to core BCO customers, which are planning and relying on carriers’ volume commitments, instead of spot market-priced customers without real volume commitments.”) [APP-1531].

214.2. YM’s allocation scheme created a vicious cycle where BCOs, despite having relied on carrier commitments in fixed-price service contracts, had no option but to replace the missing volume at market prices. *See* Ex. 70 (McCown Report) ¶¶ 188-212 [APP-1529-1537], 222 (“DGL was harmed during the 2021 shipping year by YMTC’s unreasonable, discriminatory, and retaliatory policies discussed above, which combined to force DGL, instead of receiving the fixed prices that it had bargained for with YMTC, to seek carriage with other carriers, including on the spot market.”) [APP-1539].

214.3. The additional demand from customers who *should* have been able to rely on receiving their MQCs at contracted rates had the effect of *further* increasing demand and competition for available space, pushing prices even higher and allowing YM to profit greatly from its scheme. *See* Ex. 70 (McCown Report) ¶¶ 38-52, 191 (“YMTC’s argument that it was doing nothing wrong by focusing available capacity on its service contracts with NVOCCs, which effectively pay spot rates, at the expense of meeting its MQC commitments in its service contracts with BCOs flies in the face of the correct commercial action: giving preference to core BCO customers, which are planning and relying on carriers’ volume commitments, instead of spot market-priced customers without real volume commitments.”) [APP-1490-1499, APP-1531], 212 (“YMTC’s open failures to satisfy its service contract with DGL, combined with its skyrocketing profitability not only against its own historical results but also against the entire industry, highlight that such profitability stemmed from favoring higher-priced freight from NVOCCs or other higher-priced sources over cargo from DGL and other BCOs with lower, fixed service contract rates.”) [APP-1537].

i. Yang Ming unreasonably discriminated against its fixed-price service contract customers, including Dollar General, in favor of higher-priced freight.

215. YM recognized that the rates were mainly driven by supply and demand. *See* Ex. 39 (YM_01105410) at YM_01105419-23 (January 8, 2021 Brian Chen email to NAT sales team explicitly citing “recent Strong Demand, Rates up to both coasts & Southern California pileup” as the driver of record-high transpacific rates, and directing the sales team to capitalize on tight market conditions to maximize revenue and sharing January 8, 2021 FreightWaves article about “still-surging demand for ocean freight”) [APP-1291-1295]; Cobb Dep. Tr. 189:24-190:9 (“Q. And were there conversations that you had within Yang Ming about what was driving these increases? A. Yes. [. . .] All the trade lanes were full. All the rates were up substantially for all trade lanes. [. . .] Since we were profitable on inner Asia, Asia to Europe, Latin America, and then, of course, the TP trade, both export and import, that allowed us to be profitable.”) [APP-361-362].

216. YM’s allocation scheme opened up additional room for other shipments to move at significantly higher rates. *See* Ex. 70 (McCown Report) ¶¶ 205 (“Accordingly, with consistent increases in available vessel lift capacity and awareness of the actual and potential impact of container shipping supply chain issues during the pandemic, there were no capacity constraints that would justify even a fraction of YMTC’s massive cargo space shortfall with DGL. YMTC’s failures to meet its service commitments to DGL and other BCO customers were choices affirmatively made by YMTC, to move loads from other customers at geometrically higher spot rates compared with what YMTC had committed to DGL.”) [APP-1535], 212 (“YMTC’s open failures to satisfy its service contract with DGL, combined with its skyrocketing profitability not only against its own historical results but also against the entire industry, highlight that such profitability stemmed from favoring higher-priced freight from NVOCCs or other higher-priced sources over cargo from DGL and other BCOs with lower, fixed service contract rates.”) [APP-1537].

216.1. YM’s business with BCOs typically involves fixed rates for an entire contract year (committed basis), whereas YM’s business with NVOCCs usually operates with floating rates, which adjust periodically, often every two weeks, to reflect spot market conditions. *See* Ex. 70 (McCown Report) ¶¶ 51 (McCown opining that YM accomplished its outsized profitability “by minimizing volumes with beneficial cargo owners (BCOs) and maximizing volumes with non-vessel operating common carriers (NVOCCs), where pricing is driven by spot rates”) [APP-1498], 189 (noting that “the spot-only increase peak was some five times the contract-only increase peak” during the 2021 contract year) [APP-1530], 191 (McCown opining that “while NVOCCs often do, in fact, have service contracts with vessel-operating common carriers, their pricing is typically directly linked to spot rate indices”) [APP-1531].

217. During the relevant time period, NVOCCs paid significantly higher rates than fixed-contract BCOs, and YM was fully aware of and deliberately exploited this rate differential. *See* Ex. 70 (McCown Report) ¶¶ 38-56 [APP-1490-1500].

217.1. Direct evidence of the rate differential between NVOCC spot-rate cargo and fixed-price BCO contract cargo is the gap between DG’s contracted rate of \$2,830 per FEU

from Shanghai to Los Angeles and the Drewry Shanghai to Los Angeles weekly spot rate, which averaged \$9,635 per FEU during the entire 2021 contract period—more than three times DG’s contracted rate—and peaked at approximately \$10,190 per FEU in December 2021. *See* Ex. 70 (McCown Report) ¶¶ 59 (noting DG’s contracted port-to-port rate of \$2,830 per FEU from Shanghai to Los Angeles) [APP-1500], 73 (noting that “the Drewry Shanghai to Los Angeles weekly spot rate during that contract period averaged \$9,635 per FEU”) [APP-1503], 176 (noting that “the December 2021 average Drewry Shanghai to Los Angeles spot rate was \$10,190 per FEU”) [APP-1527].

217.2. The Drewry Shanghai to New York spot rate during the 2021 contract period was approximately one-third higher than the Shanghai-LA rate, meaning that the spot rate premium over DG’s contracted East Coast rates was even more pronounced on the lanes DG used most heavily. *See* Ex. 70 (McCown Report) ¶ 73 (noting that “the Drewry Shanghai to New York was approximately one-third higher” than the Shanghai-LA rate) [APP-1503].

217.3. Spot prices peaked during 2021 at around a 500% increase compared to pre-pandemic levels while overall contract pricing increased by only around 200%, meaning that “the spot-only increase peak was some five times the contract-only increase peak”, directly quantifying the rate premium that NVOCC spot-rate cargo commanded over fixed-price BCO contract cargo during the most relevant period. *See* Ex. 70 (McCown Report) ¶ 189 [APP-1530].

218. YM’s own internal documents confirm its real-time awareness of the rate differential between NVOCC spot cargo and fixed-price BCO contract cargo, and its deliberate exploitation of that differential. *See* Ex. 39 (YM_01105410) at YM_01105419-23 (January 8, 2021 FreightWaves article attached by Brian Chen reporting that Asia-West Coast spot rates had risen to \$4,189 per FEU—triple their level one year prior—and Asia-East Coast spot rates to \$5,397 per FEU, at the very time YM was negotiating fixed-price BCO service contracts for the 2021 contract year) [APP-1291-1295].

218.1. On May 18, in an email with subject “YMC Sales Meeting Minutes – May 17, 2021” that included YM management personnel such as Greg Krueger, Brian Chen, Rolly Chien, and Winston Yeh, notes sent out after a YM North American sales meeting describe the “[c]urrent market conditions” as “[c]arriers offering ‘Premium’ service, ***basically raffling space to the highest payer***”. Ex. 58 (YM_02039881) at YM_02039881 (emphasis added) [APP-1380]; *see* Ex. 70 (McCown Report) ¶ 185 [APP-1528].

218.2. On May 20, 2021, YM employee Hendrix Lin wrote to Mike Collins and Winston Yeh following meetings with YM’s customers, stating that “While space is in shortage and ***all customers*** are pushing for more space, I would say in current spot market those customers care about their space availability only. ***To secure space, they understand the common market practice by the act of customers that they will try to book with premium rate first then FAK and fixed(NAC) just become very rare . . . I would say that fixed(NAC) will be still the last priority in the market.***” YM_02033774 (emphasis added) at YM_02033775 [APP-2299]; Ex. 70 (McCown Report) ¶ 183 [APP-1528].

219. Direct statistical evidence of YM’s favoritism toward NVOCCs is found in YM’s own January 2022 internal look-back spreadsheet for the SAT region, which shows that UPS Ocean

Freight Services, Inc., an NVOCC, was the only SAT region customer to meet its Target Performance, receiving 9,582.25 TEUs of Actual Lifting, while DG received only 588.75 TEUs and virtually every other BCO customer received a similarly fractional share of its contracted MQC. *See* Ex. 42 (YM_00601425) at Tab “SAT” [APP-1312]; Hsu Dep. Tr. 103:19-104:1 (“Q. And row 6 -- excuse me. In here, only row 2 UPS ocean freight service met its target performance, correct? A. I think so based upon the data shown here. Q. And under column C, account type, that UPS account is listed as an NVOCC, right? A. Yes, based upon the information shown on the screen.”) [APP-428]; Chen Dep. Tr. 58:2-9 (“Q. So even though the customers were having problems with tight space and were having issues with that, it was still a good year for carriers? A. ***Whether it would be a good year for the carriers or not***, at the time of the signing, we could not determine that. ***We have to wait till the contract is signed and the 12 month of shipments have been completed, in order to find out.***”) (emphasis added) [APP-290]; *see also* Ex. 70 (McCown Report) ¶ 51 [APP-1498].

219.1. Across all three of YM’s North American regions, out of 119 BCO accounts, only 4 (just 3%) met even YM’s own reduced internal 50% performance target, with most accounts receiving only 13% to 17% of their contracted MQC. *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT” [APP-1312]; Ex. 70 (McCown Report) ¶ 97, fn. 80 [APP-1509].

219.2. Simultaneous to YM’s dismal service performance for its 119 BCO accounts listed across YM’s NAT, MAT, and SAT regions, YM continued to accept and move higher-priced NVOCC spot cargo at full utilization. *See* Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT” [APP-1312]; Ex. 70 (McCown Report) ¶ 97, fn. 80 [APP-1509].

220. YM knew that giving additional space to a couple of select customers raises concerns about fairness and equity. *See* Ex. 53 (YM_00617077) at YM_00617077 [APP-1358]; Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT” and “SAT” [APP-1312]; Ex. 33 (YM_00848949) at YM_00848950 [APP-1251]; Ex. 39 (YM_01105410) at YM_01105410 [APP-1282]; Ex. 16 (YM_00051363) at YM_00051363-64 [APP-1204-1205]; Ex. 37 (YM_01040241) at YM_01040242-45 [APP-1268-1271]; Ex. 51 (YM_00866984) at YM_00866985 [APP-1354].

221. As a result of YM’s discrimination, DG was forced to take unprecedented steps simply to get the space it should have received under the Service Contracts. Ex. 24 (YM_00976652) at YM_00976652 (Nickels reporting that YM was “under heavy pressure from DG” and had “been called to another meeting today with their VP of Transportation, for our lack of performance”) [APP-1226]; Ex. 8 (YM_01788635) at YM_01788642 (YM’s presentation prepared for the DG-demanded May 24, 2021 account meeting; the cited “Origins Confirmed Bookings” slide records only 11 FEU of confirmed origin bookings, with YM conceding in its notes that “[t]here isn’t much firm booking til now”) [APP-1180]; Ex. 6 (YM_00973062) at YM_00973062 (DG’s VP of Transportation writing directly to YM senior Taiwan management to demand that YM “at least meet the weekly allocation commitments” and share a “vessel level allocation file” so that DG’s “origin offices can coordinate locally,” and stressing that “[i]t is very critical for DG to get support from Yang Ming”) [APP-1169]; Ex. 26 (YM_01811949) at YM_01811949 (DG directing YM to furnish a recurring “Carrier Allocation Utilization Report” every Monday and Wednesday, itemizing week, string, voyage, vessel, ETD, origin, DG allocation, and allocation used, so that DG could monitor whether YM was supplying the contracted space) [APP-1232]; Ex. 28

(DGPMC-0003975) at DGPMC-0003975 (DG's Senior Manager, International directing YM to provide space at alternate ports of lading, insisting "[t]hat space is our space regardless of the port of lading," and identifying Hong Kong, Shanghai, and Xiamen substitute sailings "to clear the backlog" out of Shenzhen) [APP-1238]; Ex. 9 (YM_01012333) at YM_01012333-34 (documenting the standing weekly meetings DG imposed on YM, at which, per YM's own account, DG "read [YM] the riot act," "cut the meeting short," and "cancelled the future weekly scheduled meetings," having advised that YM was "by far, their worst performing carrier") [APP-1182-1183]; Ex. 10 (YM_00169787) at YM_00169787 (DG cancelled the standing Thursday meetings and would "never invite [YM] again if performance didn't drastically improve") [APP-1187]; YM_00156607 at YM_00156609 (Morris pressing YM to honor the contract rate rather than bill an inflated 45' tariff rate, and invoking the magnitude of YM's non-performance) [APP-2000]; Ex. 75 (DGPMC-0004159) at Tab "Shipments", Column S [APP-1730].

ii. Yang Ming conditioned fulfilling its service commitments on a customer agreeing to PSS.

222. During the 2021 Shipping Year, YM imposed Peak Season Surcharges ("PSS") to force its customers with fixed-rate service contracts to pay prices for ocean freight that approached spot market pricing. *See* Ex. 70 (McCown Report) ¶¶ 181-82 [APP-1528].

223. YM's own internal emails confirm that its PSS scheme was deliberate, systematically implemented, and designed to extract above-contract revenue from BCO customers as a precondition to receiving their contracted space. *See* Ex. 14 (YM_00054408) at YM_00054408 (May 17, 2021 internal Wu email directing the SAT sales team to implement PSS "without postponing" effective June 1, 2021 and to report back on each customer's response by Friday May 21 COB—demonstrating the deliberate and coordinated nature of YM's PSS scheme) [APP-1201]; Ex. 16 (YM_00051363) at YM_00051363-64 (May 21, 2021 Wu follow-up email classifying "accounts into different types", and May 24, 2021 Wu email instructing follow-up action for each type, with accounts accepting PSS eligible for service contract amendments to "secure their position" and DG—classified as "Type 1: No PSS"—receiving "no" follow-up action) [APP-1204-1205]; Ex. 15 (YM_00054410) [APP-1203]; Ex. 17 (YM_00051366) at Tab "Feedback", Columns A, E, F and G (SAT AC PSS Status tracking spreadsheets confirming that YM was systematically monitoring and recording each customer's PSS response as the basis for its space allocation decisions) [APP-1207]; Cobb Dep. Tr. 207:6-11 ("Q. Okay. And why should he take the PSS? A. Based on the market conditions at the time, in order to protect his account. And so, he did not have to go out into the open market with the NVOs. This would allow him to continue to move with the carrier direct.") [APP-366], 211:13–212:4 ("Q. So fair to say that if Mr. Lea decided not to pay the PSS we are talking about here, Yang Ming may have stopped moving shipments under that contract? A. [. . .] That's correct.") [APP-367].

223.1. YM's PSS during the pandemic differed from pre-pandemic levels by being both significantly higher in amount and longer in duration. *See* Ex. 14 (YM_00054408) [APP-1201-1202]; Ex. 16 (YM_00051363) at YM_00051363-65 [APP-1204-1206]; Cobb Dep. Tr. 191:12-15 ("Q. And how did this PSS differ from the PSS prior to the pandemic, if at all? A. The amount was higher. And the duration was longer.") [APP-362]; Ex. 70 (McCown Report) ¶ 181 [APP-1528].

223.2. During the pandemic, YM imposed PSS effectively as a year-round price adjustment to the rates previously agreed to under its service contracts with its BCO customers. *See* Ex. 14 (YM_00054408) at YM_00054408 [APP-1201]; Ex. 16 (YM_00051363) at YM_00051363-65 [APP-1204-1206]; Cobb Dep. Tr. 191:7-15 (“Q. Mr. Cobb, during the period of 2020 through 2022, do you recall Yang Ming asking customers to pay PSS, as congestion issues arose at ports during the pandemic? A. I do. Q. And how did this PSS differ from the PSS prior to the pandemic, if at all? A. The amount was higher. And the duration was longer.”) [APP-362]; *see also* Ex. 70 (McCown Report) ¶¶ 180-187 [APP-1528-1529].

224. YM had shifted to a price-gouging orientation at least as of summer 2021 and manipulated its allocation schedule to favor customers who were willing to pay PSS or premium rates. *See* Ex. 14 (YM_00054408) [APP-1201-1202]; Ex. 16 (YM_00051363) [APP-1204-1206]; Krueger Dep. Tr. 90:1-9 (“Q. Okay. So then my question to you is, would it have been appropriate in the 2021 shipping year for Yang Ming to profit off of PSS? A. We always profited off PSS. Q. Okay. Including during the pandemic? A. Before, after, during, now, sure. It’s -- sure.”) [APP-588]; Cobb Dep. Tr. 191:7-11 (“Q. Mr. Cobb, during the period of 2020 through 2022, do you recall Yang Ming asking customers to pay PSS, as congestion issues arose at ports during the pandemic? A. I do.”) [APP-362]; Ex. 70 (McCown Report) ¶ 180-187 [APP-1528-1529].

225. Because YM viewed the PSS as a necessary reflection of current market conditions, YM chose to prioritize shipments for shippers who entered into these PSS agreements. *See* Ex. 70 (McCown Report) ¶ 186 [APP-1529].

226. YM customers were advised to agree to pay PSS to protect their accounts and maintain direct carrier movement, thereby avoiding the need to seek space in the volatile open market through NVOCCs. *See* Cobb Dep. Tr. 207:6-11 (“Q. Okay. And why should he take the PSS? A. Based on the market conditions at the time, in order to protect his account. And so, he did not have to go out into the open market with the NVOs. This would allow him to continue to move with the carrier direct.”) [APP-366]; Ex. 70 (McCown Report) ¶ 187 [APP-1529].

226.1. PSS functioned as a safeguard by preserving customers’ ability to continue shipping and avoid termination. *See* Cobb Dep. Tr. 210:24-211:12 (“Q. Why would that protection be necessary? Why would the possibility of going to NVOs for these shipments arise? A. Well, having trouble getting -- because the clause in the contract stated that year, that if we can’t come to a mutual agreement, then we can either cancel the contract; or terminate the contract; or stop the shipments. So it was protecting him from keeping the shipments going, if we couldn’t come to an agreement. So that’s why I said he should consider paying the PSS. It was still his decision to pay the PSS, and the reasons behind it and what I had talked about, and what he had talked about.”) [APP-367]; Ex. 70 (McCown Report) ¶ 187 [APP-1529].

226.2. YM’s Cobb confirmed that a customer refusing to pay PSS could result in suspension of shipments. *See* Cobb Dep. Tr. 211:13-212:4 (“Q. So fair to say that if Mr. Lea decided not to pay the PSS we are talking about here, Yang Ming may have stopped moving shipments under that contract? A. No. It’s hard to say what we would do, one way or the other, because we ended up coming to an agreement. So, I’m not exactly sure what he would have done if we would have said no. If we would have said, you know, we want to cancel the contract. Or do we want to reduce his weekly allocation. I’m not exactly sure what the result would have

been, because we came to an agreement. Q. But one possibility would be that Yang Ming stopped taking shipments under the contract. Correct? A. That's correct.") [APP-367]; Ex. 70 (McCown Report) ¶ 187 [APP-1529].

227. YM used a formal customer ranking and prioritization system to determine which customers would receive space during the 2021 Shipping Year, with willingness to pay above-contract surcharges serving as a primary criterion for space allocation. *See* Ex. 14 (YM_00054408) at YM_00054408 [APP-1201]; Ex. 15 (YM_00054410) at Tab "2021 PSS", Columns B, F and G [APP-1203]; Ex. 16 (YM_00051363) at YM_00051363-65 [APP-1204-1206]; Ex. 17 (YM_00051366) at Tab "Feedback", Columns A, E, F and G [APP-1207].

227.1. Beginning as early as May 17, 2021, just over two weeks into the 2021 Shipping Year, YM headquarters manager Michael Wu directed the SAT region sales team to implement a 2021 PSS effective June 1, 2021. *See* Ex. 14 (YM_00054408) at YM_00054408 [APP-1201].

227.2. On May 18, 2021, Wu instructed the SAT sales team to "gather the intention of customers so we can conclude and decide our direction/action toward customer who holds different stances" and to "report the outcome" of "those who accept and will file full amount" and those who "raises objection." Ex. 14 (YM_00054408) at YM_00054408 [APP-1201]; *see also* Ex. 70 (McCown Report) ¶ 184 [APP-1528].

228. On May 24, 2021, Wu formalized YM's customer ranking system by categorizing all SAT region BCO customers into four types based solely on their response to the PSS demand, with corresponding "follow-up actions" dictating how much space, if any, each customer would receive going forward:

- **Type 1:** No PSS - customers who had no PSS agreement. Action: No space accommodation.
- **Type 2:** Accept PSS - customers who agreed to pay PSS. Action: Proceed with service contract amendment.
 - **Type 2-1:** Accept PSS, willing to pay more for more space - customers who agreed to pay PSS and offered to pay even more in exchange for additional space. Action: Stay with \$600/40' since "very unlikely to commit more space."
 - **Type 2-2:** Accept PSS but need more space confirmed - customers who agreed to PSS but conditioned it on space confirmation. Action: "Explain to customer that PSS is to reflect current space condition and it does not equal to more space. Unless space shortage soothes, allocation will not increase."
 - **Type 2-3:** Accept PSS but in less amount - customers who agreed to PSS but sought a reduced amount. Action: "Try best to keep with \$600/40'."

- **Type 3:** Do not accept PSS - customers who refused to pay PSS. Action: “Postpone PSS (HQ will further discuss the action).”
- **Type 4:** Pending - customers whose response was still outstanding. Action: Push for feedback.

See Ex. 16 (YM_00051363) at YM_00051363-64 [APP-1204-1205]; Ex. 70 (McCown Report) ¶ 186 [APP-1529].

228.1. The attached “SAT AC PSS Status” spreadsheets to Wu’s May 17 and May 21 emails tracked each SAT region BCO customer’s PSS response and categorized them accordingly, providing YM headquarters with a consolidated view of which customers were complying with the above-contract payment demands and which were not. See Ex. 15 (YM_00054410) at Tab “2021 PSS”, Columns B, F and G [APP-1203]; Ex. 17 (YM_00051366) at Tab “Feedback”, Columns A, E, F and G [APP-1207]. This tracking system operationalized YM’s policy of conditioning space on surcharge payments, and constituted a direct mechanism by which YM prioritized revenue maximization over its contractual MQC obligations to BCO customers including DG.

228.1.1. For example, accounts that accepted the PSS were classified into Type 2 categories, where they could begin service contract amendments to secure their position. Ex. 16 (YM_00051363) at YM_00051363-64 [APP-1204-1205]; See Ex. 70 (McCown Report) ¶ 186 [APP-1529].

228.2. YM’s PSS ranking system reveals that YM’s space allocation decisions during the 2021 Shipping Year were driven not by customers’ contractual entitlements under their service contracts, but by their willingness to pay above-contract surcharges. See Ex. 16 (YM_00051363) at YM_00051363-64 [APP-1204-1205].

229. YM explicitly categorized DG, identified under the 2021 Service Contract as having “No PSS agreement”, as “Type 1,” which signaled “no” follow-up action was required for DG. Ex. 17 (YM_00051366) at Tab “Feedback”, Column G, Row 4 [APP-1207]; Ex. 15 (YM_00054410) at Tab “2021 PSS”, Column F, Row 23 [APP-1203]; Ex. 70 (McCown Report) ¶¶ 184, 186 [APP-1528, APP - 1529].

229.1. DG’s 2021 Service Contract with YM specifically stated that “no general rate, bunker related surcharges, or peak season surcharge OR OTHER increase shall apply to the shipments tendered by the Merchant during the term of this contract.” Ex. 1 (DGPMC-0000001) at DGPMC-0000004 (Section 6.1, 2021 Service Contract) [APP-1139]; Ex. 70 (McCown Report) ¶ 180 [APP-1528].

230. DG was systematically sidelined as YM transitioned to a strategy that used the PSS as a driver for both space allocation and revenue. See Ex. 14 (YM_00054408) at YM_00054408 [APP-1201]; Ex. 15 (YM_00054410) at Tab “2021 PSS”, Row 23, Column F [APP-1203]; Ex. 16 (YM_00051363) at YM_00051363-65 [APP-1204-1206]; Ex. 17 (YM_00051366) at Tab “Feedback”, Row 4, Column G [APP-1207]; Krueger Dep. Tr. 90:1-9 (“Q. Okay. So then my question to you is, would it have been appropriate in the 2021 shipping year for Yang Ming to

profit off of PSS? A. We always profited off PSS. Q. Okay. Including during the pandemic? A. Before, after, during, now, sure. It's -- sure.") [APP-588]; Ex. 70 (McCown Report) ¶ 182 [APP-1528].

231. The PSS ranking system shows that YM deliberately pursued a policy of maximizing revenues at the expense of its BCO service commitments, and that its space allocation decisions during the 2021 Shipping Year were driven by pricing considerations rather than contractual obligations. *See* Ex. 70 (McCown Report) ¶¶ 51, 181-187 [APP-1498, APP-1528-1529].

231.1. During the 2021 Shipping Year, YM consciously chose to abandon its commitments under MQCs in service contracts with DG and other BCOs in order to chase opportunities with NVOCCs in a segment (the NVOCC spot market) where the rate increase was up to five times higher than in its core contract rate market. *See* Ex. 70 (McCown Report) ¶¶ 188-193 (discussing market and YM data) [APP-1529-1531].

iii. Yang Ming unreasonably discriminated against its North American BCO customers in the transpacific trade in favor of other routes.

232. As part of its policy of abandoning its commitments under MQCs in service contracts with DG and other BCOs in order to chase opportunities with NVOCCs, YM purposefully chose to shift capacity away from the Asia-U.S. trade and to the Asia-Europe trade. *See* Ex. 70 (McCown Report) ¶ 194 ("Reviewing the available facts, it appears to me that YMTC's overall volume trends were less indicative of available capacity, and instead more reflective of YMTC's purposeful choice to shift capacity away from the Asia-U.S. trade even as it was signing more and more customers for that trade, further exacerbating its inability to comply with its service commitments to DGL and other U.S.-based BCOs. It merits highlighting that, as noted above, YMTC's extraordinarily poor compliance during the 2021 shipping year with its service commitments to the vast majority of its U.S.-based BCO customers is based on YMTC's own internal data, which reflects performance in a range from just 13% to 17%. While YMTC's systematic transfer of the space that DGL and other BCOs had bargained for to NVOCCs appears to be the core catalyst for YMTC's failure to meet its service commitments, its deliberate shift of capacity out of the Asia-U.S. trade during the 2021 shipping year complemented and exacerbated the effects of that unreasonable practice.") [APP-1531]; *infra* Argument § I.D.2.iii.

232.1. Despite lower overall container volumes shipped, YM's annual reports disclose that at the end of each year during the pandemic, both the total vessel capacity of its fleet and the average capacity per vessel were greater than the previous year. *See* Ex. 70 (McCown Report) ¶ 195 [APP-1532].

232.1.1. In 2021, YM's total fleet capacity increased 6.6%, followed by another 7.4% increase in 2022, for a total increase of 14.5% over that period. *See* Ex. 70 (McCown Report) ¶ 195 [APP-1532].

232.1.2. YM's average capacity per vessel grew 6.6% in 2021 and 3.9% in 2022, for an increase of 10.8% in total over the period. *See* Ex. 70 (McCown Report) ¶ 195 [APP-1532].

233. The breakdown of revenue in YM’s annual reports indicates a material shift in 2021 in the mix of its business away from the Asia-U.S. trade and toward the Asia-Europe trade. *See* Ex. 70 (McCown Report) ¶¶ 196-197 [APP-1532-1533].

233.1. YM’s shift in 2021 in the mix of its business away from the Asia-U.S. trade and toward the Asia-Europe trade is reflected in Table 6 of the McCown Report, which shows revenue by customer location from 2019 to 2022 converted into USD at the average foreign exchange rate in each year. *See* Ex. 70 (McCown Report) ¶¶ 196-197 [APP-1532-1533].

233.1.1. The McCown Report’s Table 6 shows that in 2021 the percent of total revenue represented by customers in the United States declined to 32.6% from 41.6% in 2020, a 900 basis point or 21.6% decline. *See* Ex. 70 (McCown Report) ¶¶ 196-197 [APP-1532-1533].

233.1.2. The McCown Report’s Table 6 shows that decrease was accompanied by a 1360 basis point or 40.2% increase represented by customers in Europe as a percent of revenue, from 33.8% to 47.4%. *See* Ex. 70 (McCown Report) ¶¶ 196-197 [APP-1532-1533].

234. The McCown Report found “striking” the sharp inversion in YM’s revenue mix in 2021, with customers in the United States going from being the largest (780 basis points ahead of customers in Europe) in 2020 to being 1480 basis points behind in 2021. *See* Ex. 70 (McCown Report) ¶ 198 (“This sharp inversion in YMTC’s revenue mix in 2021, with customers in America going from being the largest (780 basis points ahead of customers in Europe) in 2020 to being 1480 basis points behind in 2021, is striking. While I am aware that relative differences in rates in the respective markets play a role and may explain, at least in part, why YMTC chose to shift capacity, other volume data and comparisons to YMTC’s fellow alliance members underscore that the differences due to YMTC’s lower capacity in the Asia-U.S. trade were material.”) [APP-1533].

235. McCown Report Table 7 provides a percentage and resulting volume breakdown of YM’s actual container volume by major business division. *See* Ex. 70 (McCown Report) ¶¶ 199-200 (“The other volume data referred to above is derived from YMTC’s actual container volume by major division. Although such a breakdown was not separately included in YMTC’s annual reports, by comparing the percentage breakdown of volume by such divisions disclosed in investor presentations against the overall container volume disclosed in those annual reports, the volume by division can be derived. That percentage breakdown and the resulting volume is shown in the table below.”) [APP-1533-1534].

235.1. As to YM’s shift in 2021 in the mix of its business away from the Asia-U.S. trade and toward the Asia-Europe trade, the most relevant comparison in McCown Report Table 7 is the consistent decline in container volume involving the United States. *See* Ex. 70 (McCown Report) ¶¶ 200-201 [APP-1534].

235.2. YM’s total container volume involving the United States decreased from 1,537,000 TEUs in 2020 to 1,173,000 TEUs in 2021, a decline of 364,000 TEUs, or 23.7%. *See* Ex. 70 (McCown Report) ¶¶ 200-201 [APP-1534].

236. YM's decreasing container volume involving the United States from 2020 to 2021 means that in 2021, a year with unprecedented demand in the transpacific market, YM undertook what might well have been its biggest volume decrease in its history in that very market. *See* Ex. 70 (McCown Report) ¶¶ 200-201 [APP-1534].

236.1. YM's 2020 to 2021 decline in the eastbound or inbound leg reflected here may even been understated. *See* Ex. 70 (McCown Report) ¶¶ 200-201 [APP-1534].

236.2. The 23.7% decline in 2021 in YM's U.S.-related volume is almost twice its overall volume decline of 13.0%, and obviously the polar opposite of the 7.4% increase in total industry volume reflected in McCown Report Table 3. *Compare* Ex. 70 (McCown Report) ¶ 201 [APP-1534] *with* Ex. 70 (McCown Report) ¶¶ 44-45 [APP-1493-1494].

237. The dynamic of YM's decreasing container volume involving the United States from 2020 to 2021 can only be explained by purposeful actions on the part of YM to reduce its effective capacity in the transpacific market in 2021, primarily by shifting capacity from the Asia-U.S. lane to the Asia-Europe lane, even as it was pressuring its U.S. sales force to sign up ever more U.S.-based BCO customers with service contracts. *See* Ex. 70 (McCown Report) ¶¶ 200-201 [APP-1534].

238. The geometric difference in YM's transpacific volume decline in 2021 compared to more modest volume declines by all of its alliance member partners further underscores YM's shift in 2021 in the mix of its business away from the Asia-U.S. trade and toward the Asia-Europe trade. *See* Ex. 70 (McCown Report) ¶ 202 [APP-1534].

238.1. YM's transpacific volume decrease of 23.7% was more than five times the modest 4.5% volume decline one alliance member registered in 2021 in its transpacific service. *See* Ex. 70 (McCown Report) ¶ 202 [APP-1534].

238.2. YM's transpacific volume decrease of 23.7% was also well above the 14.9% eastbound volume decline a different alliance member had in its Asia to North America service. *See* Ex. 70 (McCown Report) ¶ 202 [APP-1534].

238.3. As McCown Report Table 8 shows, the decline in YM's transpacific revenue as a percentage of total revenue was more than two and a half times the average of its fellow alliance members. *See* Ex. 70 (McCown Report) ¶ 202 [APP-1534].

239. YM's shift in 2021 in the mix of its business away from the Asia-U.S. trade and toward the Asia-Europe trade resulted in less capacity in the Asia-U.S. market at the very same time that YM was signing up DG and other BCOs to service contracts that it manifestly had neither the intention nor capacity of complying with. *See* Ex. 70 (McCown Report) ¶ 203 ("While it is unclear precisely how YMTC shifted capacity from the Asia-U.S. market to the Asia-Europe market, and whether it was an actual change in how vessels were deployed, a change in alliance allocation, or some combination of the two, that matters less than the outcome of its actions. It resulted in less capacity in the Asia-U.S. market at the very same time that it was signing up DGL and other BCOs to service contracts that it manifestly had neither the intention nor capacity of complying with. In my view, that is a reprehensible commercial action that is wholly inconsistent with appropriate

conduct by an ocean carrier and is an unreasonable practice that requires sanctioning.”) [APP-1535].

240. YM’s deliberate shift of capacity out of the Asia-U.S. trade during the 2021 shipping year complemented and exacerbated the effects of YM’s unreasonable practice of systematically transferring the space that DG and other BCOs had bargained for to NVOCCs. *See* Ex. 70 (McCown Report) ¶ 194 [APP-1531]; *supra* Argument § I.D.2.iii.

3. Yang Ming maintained an unreasonable policy of negotiating service contracts without intending to comply.

241. YM deliberately overcommitted service contract MQCs across its customers going into the 2021 Shipping Year. *Supra* Argument § I.1.ii (quoting, *e.g.*, Ex. 39 (YM_01105410) at YM_01105425 (“**2021 contract season should be in favor of carriers.**”) [APP-1297]).

242. YM’s internal records demonstrate that YM achieved its internal performance goals (“KPIs”) for the 2021 Shipping Year, which YM achieved as part of a policy of deliberately sacrificing YM’s service commitments to its North American BCO customers. *Supra* Argument § I.B.1 (citing, *e.g.*, Ex. 42 (YM_00601425) at Tabs “NAT”, “MAT”, “SAT” (showing that, for the 2021 Shipping Year, YM’s 119 BCO accounts across the NAT, MAT, and SAT regions received a combined 74,664 TEUs against a total MQC of 210,968 TEUs and that of the of those 119 BCO accounts, 115 (96.63%) failed to reach even the lower mid-year lifting targets (most of which were set at 50% of MQC) that YM had set for them internally) [APP-1312]; *id.* at Tab “2022 MQC Plan”, Columns C-H, Rows 5, 13, 14, 15 (in contrast to YM’s service performance to its North American BCO customers, showing YM generally meeting or exceeding its KPIs for the 2021 Shipping Year) [APP-1312]).

4. Yang Ming’s policies of failing to meet its service commitments to its customers, preferring higher-priced freight over meeting its service commitments, and negotiating service contracts without intending to comply were unwarranted by any constraints outside of Yang Ming’s control.

243. McCown’s analysis of YM’s financial and operational performance during the 2021 shipping year establishes conclusively that YM’s failures were the product of deliberate commercial choices across five independent lines of evidence. *See* Ex. 70 (McCown Report) ¶¶ 32-75 [APP-1488-1504].

243.1. First, YM’s own financial results demonstrate that its failures were driven by profit-seeking rather than capacity constraints. *See* Ex. 70 (McCown Report) ¶¶ 41, 47, 52 [APP-1492, APP-1496, APP-1499]; Yang Ming Marine Transport Corp., 2021 Annual Report at 132 [APP-3220].

243.1.1. YM’s net income to revenue margin of 49.6% in 2021 was “entirely driven by pricing practices” that set YM “apart even within an overall industry that engaged in aggressive pricing practices,” with YM’s pricing increases of 204.7% from 2019 to 2021 being “almost twice the increase in relevant macro pricing benchmarks.” *See* Ex. 70 (McCown Report) ¶¶ 41, 47, 52 [APP-1492, APP-

1496, APP-1499]; Yang Ming Marine Transport Corp., 2021 Annual Report at 132 [APP-3220].

243.2. Second, YM's volume data refutes any capacity-based justification. *See* Ex. 70 (McCown Report) ¶ 44 [APP-1493]; Yang Ming Marine Transport Corp., 2021 Annual Report at 118 [APP-3206].

243.2.1. YM's total fleet capacity increased 6.6% in 2021 and 7.4% in 2022, yet its total TEU volume declined 13.0% in 2021, confirming that "congestion and backlogs cannot plausibly explain any reduction in carriage for BCOs such as DG, because overall market volume and capacity actually increased during this period." *See* Ex. 70 (McCown Report) ¶ 44, 195 [APP-1493, APP-1532]; Yang Ming Marine Transport Corp., 2020 Annual Report at 96 [APP-2807]; Yang Ming Marine Transport Corp., 2021 Annual Report at 107, 118 [APP-3195, APP-3206]; Yang Ming Marine Transport Corp., 2022 Annual Report at 121 [APP-3593].

243.3. Third, comparison to YM's own alliance partners confirms that its performance was an outlier. *See* Ex. 70 (McCown Report) ¶¶ 49, 50 [APP-1497, APP-1498].

243.4. Fourth, YM was fully aware of its capacity constraints before entering into the 2021 Service Contract but chose to overcommit anyway. *See* Cobb Dep. Tr. 189:24-190:13 ("Q. And were there conversations that you had within Yang Ming about what was driving these increases? A. Yes. Q. And what were those conversations? A. Well, all the trade lanes were full. All the rates were up substantially for all trade lanes. So it was just -- since we were profitable on inner Asia, Asia to Europe, Latin America, and then, of course, the TP trade, both export and import, that allowed us to be profitable. Q. And was this something just of general knowledge within Yang Ming, that folks were talking about? A. Yes.") [APP-361-362]; Krueger Dep. Tr. 104:4-10 ("Q. You seem to be saying here that maximizing revenue was also one of the factors. That is not one of the factors that was outside of Yang Ming's control, was it? A. Not necessarily, no. I mean, it was -- it was within our control, sure.") [APP-591], 105:14-22 ("Q. So when you wrote this, why did you feel that maximizing revenue played a role in these issues? A. Why did I feel that it created? Q. Yes. A. Well, I mean, our company is in the business to make money. So obviously maximizing revenues is always on the forefront of the company's mind.") [APP-591]; Ex. 8 (YM_01788635) at YM_01788637-42 [APP-1175-1180]; Wu Dep. Tr. 105:8-106:19 ("Q. What's your understanding of your sentence here, 'overwhelming new contracts'? A. [. . .] Regarding the new contracts here, it is about getting more new customers. It was because in the previous years, as in the times before Covid, or after Covid, to this date, our goal is to expand our clientele and also speed up the sign up of the clients. For example, for the sales personnel, they used to have two -- they used to have two goals. One is to sign up a certain number of customers. And, secondly, to sign up certain amounts of MQC. For the sales personnel, it will be easier for them if they sign up one customer with a large quantity of MQC. Then they would only need to handle fewer contracts. However, from the perspective of the headquarters, we want more customers to divide up our target. So, for example, let's say the goal is to get 100 TEU sign up, then the person for the sales may be the only one to sign up one client to fulfill that goal. However, for the headquarters, we would like to see five clients to divide up that goal. That target. Therefore, when the sales personnel fulfill the goal from the

headquarters, we would hope to have more clients. That is what the first sentence mentions. ‘Overwhelmingly new contracts.’”) [APP-1108-1109]; *supra* Argument § I.D.1.ii.

243.5. Fifth, YM’s own website representations confirm that its failures were not the product of external constraints. *See* Ex. 70 (McCown Report) ¶¶ 54, 56 [APP-1499, APP-1500].

243.5.1. YM publicly represented that “[i]ntegrity is given the first priority: We endeavor to be honest in whatever we do and whoever we deal with”—a representation McCown concludes YM “came nowhere close to meeting” given that its failure to honor its MQC commitments “was done knowingly and purposefully.” *See* Ex. 70 (McCown Report) ¶¶ 54, 56 [APP-1499, APP-1500].

5. Dollar General made bona fide and significant efforts to mitigate Yang Ming’s MQC shortfalls.

244. YM knew DG intended to fulfill the MQC in the 2021 Service Contract. *See* Ex. 6 (YM_00973062) at YM_00973062-63 [APP-1169-1170]; Ex. 8 (YM_01788635) at YM_01788639-42 [APP-1177-1180]; Ex. 9 (YM_01012333) at YM_01012333-34 [APP-1182-1183]; Ex. 24 (YM_00976652) at YM_00976652-53 [APP-1226-1227]; Ex. 26 (YM_01811949) at YM_01811949 [APP-1232]; Ex. 28 (DGPMC-0003975) at DGPMC-0003975 [APP-1238]; Ex. 51 (YM_00866984) at YM_00866985 [APP-1354].

245. Before the commencement of each shipping year, DG engaged in diligent negotiations to secure service contracts covering 100% of its anticipated needs for the year based on detailed projections. *Supra* Argument § I.D.1.i.

246. Throughout the 2021 Shipping Year, DG regularly and consistently provided YM forecasts of DG’s shipping needs. *See* Ex. 76 (Attachment A, DG Supplemental Interrogatory Responses) [APP-179-186]; *supra* Argument § I.D.1.i.

247. DG sought to forecast its needs as accurately as possible based on the information available at the time. *See* Morris Dep. Tr. 55:23-56:7 (“A. I also think at the time as retailers we didn’t know what was going to happen, when things were going to settle, and so as we were going into the contract year, our goal was not to take advantage of the market. We wanted, we prided ourselves on at least endeavoring to be as accurate as we can based off the information we had at the time.”) [APP-902].

247.1. DG provided carrier-specific forecasts based on the lanes and volume allocations assigned to each carrier. *See* Morris Dep. Tr. 85:4-15 (“Q. But the forecast would be different as to each carrier. So you would send, say Maersk a forecast for X boxes and Yang Ming forecast for Y boxes both in the same week out of Ningbo? A. Yeah. So what we would do is we would, it wouldn’t be from the same cargo. What we would do is we would send the forecast based off of the lane that Yang Ming was responsible for carrying the percentage they were responsible for carrying them.”) [APP-910].

247.2. Carriers knew their weekly contracted allocations and received volume forecasts from DG, although they did not necessarily know how DG allocated volume among

other carriers. *See Morris Dep. Tr. 85:16-86:3* (“Q. Would it know the percentage it was responsible for or that was just on the DG side? It wouldn’t know what percentage other carriers were getting? Maybe I’m wrong, you tell me? A. I would agree with that. They would know, yeah. They would know what their weekly contracted allocation was. Now we would still forecast written volumes as well. But they would not have necessarily known what percentage breakdown.”) [APP-910].

247.3. Unlike retailers such as DG, whose forecasts depend on uncertain consumer demand, carriers generally can estimate their available capacity and contractual commitments with reasonable accuracy because they know the number of vessels and slots under their control. *See Morris Dep. Tr. 56:15-57:8* (“A. I think that with, on the retailer side, there’s some major differences. Which is our forecasting is really based off of, is really based off of demand with the market. With shippers, they have a certain number of boats, they know how many slots are on those boats. It’s physical. I understand that there were, there were complexities that happened within the system that impacted to an extent and some examples like that may be temporary port shutdown. However mathematically from a carrier standpoint that understanding of how much capacity they had and maybe how much they were contracting would have been at least relatively ballpark amount, with a realm of level of accuracy.”) [APP-902-903].

247.4. External disruptions did not justify Yang Ming’s reduction of MQC performance to less than 50 percent of its contractual commitment. *See Morris Dep. Tr. 58:12-59:25* (“Q. Okay. In your estimation, taking into account, when you say the environment, other factors such as imbalance in equipment, empty containers, and one place where they should have been equally distributed, lack of truck drivers, lack of warehouse capacity, lack of seamen because of illness, lack of truck drivers at the load port, all these factors, you still feel there was no justification of the fall down of MQC during that year by the carrier? A. I didn’t say that. So you listed a lot of different factors, right. And I think to truly answer that question you kind of have to take every one individually. So one of the things you talked about was empty available containers, right. If you’re engaging In a contract, you’re a carrier, it is your responsibility to ensure that you have correct asset repositioning in order to be able to fulfill that contract. Do I think that there were things that were not within the control of either of the carriers or Dollar, or retailers during that time, clearly. I don’t think anybody could argue against that. What I would say is that, and I’ll be specific to Yang Ming, the impact of those catalysts didn’t equal a reduction, I’ll take one year, I think Yang Ming was sub 40 percent, the impact of those catalysts did not result in a squeezing of capacity to only 50 percent on a net basis, right. Different weeks, different origins. You could see those fluctuate but on a net basis, it was in excess.”) [APP-903].

248. DG maintained daily communications with its origin teams, which followed standard procedures and promptly reported when they were unable to obtain bookings from Yang Ming. *See Morris Dep. Tr. 76:2-12* (“Q. When you’re experiencing problems with Yang Ming, did you reach out to your origin contacts to find out if they were actually presenting cargo to Yang Ming as booked? A. For sure. We had daily, we had daily e-mails. Part of my role during that time again was ocean operations, origins, they followed a standard SOP and they let us know when they’re unable to get a booking.”) [APP-907].

249. Despite COVID-related lockdowns and other disruptions, DG maintained sufficient cargo volume, shifted cargo among vendors when necessary, and rerouted shipments through alternative ports to avoid significant impediments to moving cargo to port. *See* Morris Dep. Tr. 94:17-96:2 (“Q. Sure. In fact certain cities were shutdown pretty much, lockdowns they called it; correct? A. Yeah. And again varying levels of lockdown, what does lockdown mean. Our essential workers and so on and so forth but yes. Q. Did any of those issues affect Dollar General’s ability to get cargo from its vendor and or get the cargo that it did have to the ports? A. That for me I think is actually a point of pride. So when those types of occurrences happened, we worked with Dollar General Global Sourcing. We had a number of options which are again, if you have the city shutdown but essential personnel were still allowed to move which a lot of times could have been the case, you know, we didn’t have any major impediments. We had enough volume during those timeframes if one vendor couldn’t make it, we had plenty of cargo that we could show. We also would during periods transition cargo to alternative ports. So one of the things we would do is to say, we know we can’t get out of, let’s just say, again I’m going to come up with a complete hypothetical example, I can’t get it out of Shahan, and so we are maneuvering cargo to either Shnejen or Hong Kong in order to be able to hit really the same string that we would have otherwise likely taken or some equivalent of that string.”) [APP-912].

250. YM failed to meet its service commitments to DG under the 2021 Service Contract, resulting in a shortfall of 1,610 FEUs, making it necessary for DG to use NVOCCs or ocean freight forwarders on lanes that were supposed to be covered by the 2021 Service Contract. *Supra* Argument § I.B.1.

E. Count I, Element 5: YM’s practices and regulations are the proximate cause of the losses claimed by DG.

251. DG complied with its obligations under the 2021 Service Contract. *Supra* Argument § I.

252. YM failed to meet its service commitments to DG under the 2021 Service Contract. *Supra* Argument § I.

253. YM’s practices and regulations are the proximate cause of the losses claimed by DG under Count I. *Supra* Argument § I.

253.1. During the 2021 Service Contract year, during which YM fell short of its service commitments to DG by 1,610 FEUs, DG had to undertake using NVOCCs or ocean freight forwarders on lanes that were supposed to be covered by YM’s 2021 Service Contract. *See* Ex. 75 (DGPMC-0004159) at Tab “Shipments”, Column S [APP-1730]; Ex. 70 (McCown Report) ¶ 72, Appendix A [APP-1503]; Ex. 6 (YM_00973062) at YM_00973062-63 [APP-1169-1170].

II. Count II (“Conduct not in accordance with Service Contracts”): Yang Ming’s Provision of Service to Dollar General under the Service Contracts was not in Accordance with the Rates, Charges, Classifications, Rules, and Practices Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2).

A. Yang Ming’s actions of “systematically failing to meet its service commitments” were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ Service Contracts with Dollar General .

254. The 2021 Service Contract, as originally agreed to by DG in good faith, required minimum quantity and service commitments of 2,226 FEUs during the 2021 Service Contract year. *Supra* Introduction § II; *see also* Ex. 1 (DGPMC-0000001) (the 2021 Service Contract between DG and YM, setting forth the MQC of 2,226 FEUs for the contract period of May 1, 2021 through April 30, 2022, along with port-to-port pricing from Shanghai to Los Angeles of \$2,830 per FEU and from Shanghai to Savannah of \$3,930 per FEU, and expressly providing in Section 2.3 that “Carrier commits to provide weekly space at a level not less than 130% of the Merchant forecasted FEU volume 4 weeks from scheduled shipment week”) [APP-1136-1156].

254.1. DG attempted to book this amount by diligently providing YM and other ocean carriers regularly updated container forecasts and engaging third-party agents to make bookings on its behalf. *Supra* Introduction § I.C; Argument § I.D.

255. YM refused to meet its service commitments to DG under the 2021 Service Contract. *Supra* Argument § I.

256. YM ultimately only carried approximately 616 of the obliged FEUs during the 2021 Shipping Year. *Supra* Introduction § I.C; Argument §§ I.B & D.

257. YM’s scheme resulted in DG incurring approximately \$14,772,355 in additional costs beyond the amounts stipulated by the parties under the 2021 Service Contract. *Infra* Argument §§ VII.A-B.

B. Yang Ming’s actions of “refusing to honor the agreed rates under the 2021 Service Contract” were not in accordance with the rates, charges, classifications, rules, and practices contained in its Service Contracts with Dollar General.

258. The 2021 Service Contract, as originally agreed to by DG in good faith, provided contract rates that DG would pay YM for the services provided thereunder. *See* Ex. 1 (DGPMC-0000001) (the 2021 Service Contract between DG and YM, setting forth in its rate addendum rates on 1,032 combinations, with the large majority involving door-to-door movements, and expressly providing that no peak season surcharges or other surcharges beyond the BAF would apply to DG’s shipments with YM) [APP-1136-1156]; Ex. 69 (DGPMC-0084151 – WORKSHEET) at Columns H, I, J, O, P, S, T (Identifying lanes awarded by DG to YM under the 2021 Service Contract) [APP-1481].

259. YM refused to honor the agreed rates under the 2021 Service Contract, including by declining to release bookings due to internal rate filing issues and attempting to charge rates inconsistent with the final agreed terms. *Supra* Argument § I; *infra* Argument § VI.

III. Count III (“Unreasonable refusals to deal or negotiate”): Yang Ming Unreasonably Refused to Deal or Negotiate with DG in Violation of 46 U.S.C. § 41104(a)(10).

A. Count III, Element 1: YM is an ocean common carrier.

260. YM is an ocean common carrier. *Supra* ¶ 10.

260.1. This element has been established. *Supra* Argument § III.A.

260.2. This element is undisputed.

B. Count III, Element 2: YM refused to deal or negotiate with DG.

261. YM refused to deal or negotiate with DG.

261.1. This element has been established. *Supra* Argument § III.B.

261.2. This element is undisputed.

1. Yang Ming failed to accept bookings or make space available to fulfill its MQC service commitments to DG.

262. YM failed to accept bookings or make space available to fulfill its MQC service commitment to DG. *Supra* Argument § I.

2. Yang Ming failed to negotiate reasonably for the 2022 Shipping Year.

263. YM failed to engage in negotiations for the 2022 Service Contract in a reasonable manner. *Infra* Argument §§ VI.D, VI.D.2.

C. Count III, Element 3: Yang Ming’s refusals were unreasonable.

264. YM’s refusals were unreasonable. *Supra* Argument § I; *infra* Argument § VI.

264.1. This element has been established. *Supra* Argument § III.C.

264.2. This element is undisputed.

IV. Count IV (“Unfair or unjustly discriminatory practice in the matter of rates or charges with respect to specific ports”): In Violation of 46 U.S.C. § 41104(a)(5), Yang Ming Singled Out Dollar General for Adverse Treatment at the Port of Los Angeles/Long Beach Because DG Disputed a Port Specific Charge.

A. Count IV, Element 1: Yang Ming is an ocean common carrier.

265. YM is an ocean common carrier. *Supra* ¶ 10.

265.1. This element has been established. *Supra* Argument § IV.A.

265.2. This element is undisputed.

B. Count IV, Element 2: Yang Ming provided service pursuant to a service contract.

266. YM provided service pursuant to a service contract. *Supra* Argument § I.

266.1. This element has been established. *Supra* Argument § IV.B.

266.2. This element is undisputed.

C. Count IV, Element 3: Yang Ming engaged in unfair or unjustly discriminatory practices in the matter of rates or charges with respect to a port.

267. This element has been established. *Supra* Argument § IV.C.

267.1. This element is undisputed.

268. YM engaged in unfair or unjustly discriminatory practices in the matter of rates or charges with respect to a port. *Supra* Argument § IV.C; *infra* Argument §§ VI.B.ii, VI.D.

1. Yang Ming’s discriminatory practice arose directly out of a dispute over a port-specific charge.

269. YM’s discriminatory practice arose directly out of a dispute over a port-specific charge. *Infra* Argument § VI.B.ii (citing, *e.g.*, DGPMC-0000930 at DGPMC-0000930 (December 29, 2021 email from DG’s Chelsea Morris to YM employee Jim Nickels disputing “Emergency Dwell Surcharge” at the Port of Los Angeles/Long Beach) [APP-2330].)

270. DG took the position that the Ports of Los Angeles/Long Beach dwell fee should be borne by YM rather than passed on to DG. *See* DGPMC-0000930 at DGPMC-0000930 (December 29, 2021 email from DG’s Chelsea Morris to YM employee Jim Nickels stating *inter alia* “As such, if they are not mandated and this is not a charge that they are being charged that they’re trying to recoup, we [DG] should not be held liable for this expense. If you read the contract it covers very clearly the agreement. There can be no assignment and subcontracting of our [DG’s] rights/liabilities without prior written consent of Dollar General and rates are all inclusive.”) [APP-2330]; Ex. 70 (McCown Report) ¶ 76 [APP-1504].

271. Because DG resisted bearing the dwell fee assessed on its cargo at the Ports of Los Angeles/Long Beach, YM blocked DG's bookings and diverted DG's cargo away from that port—treating DG unfairly and less favorably than it would have absent the charge dispute, in the matter of rates or charges with respect to the Ports of Los Angeles/Long Beach. *Infra* Argument § VI.D.

271.1. The dispute concerned a port-specific charge: the dwell fee assessed on cargo at the Ports of Los Angeles/Long Beach. *Infra* Argument § VI.B.1.ii.

2. Rather than resolve the charge dispute on its merits, Yang Ming blocked Dollar General's bookings and diverted Dollar General's cargo away from the Ports of Los Angeles/Long Beach—and concealed the true reason behind a pretext it knew to be false.

272. Rather than resolve that charge dispute on its merits, YM retaliated by restricting DG's bookings, steering DG's cargo away from the Ports of Los Angeles/Long Beach, and punitively reducing YM's offer to DG of MQC in the 2022 Service Contract by 40%. *Infra* Argument § VI.D.

272.1. On March 24, 2022, Michael Wu—the YM management employee responsible for marketing and business management for YM's TPEB Marketing & Pricing Team B for the SAT region and DG's account during the 2021 Shipping Year—stated internally to his YM colleagues that the booking restriction had been imposed because DG was, in his words, “arguing that the LA/LB Dwell Fee should be absorbed by the shipping company,” and that “[t]o avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing.” Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421].

272.2. Wu added that YM would “implement some level of monitoring” and was “not considering removing the restriction from the system.” *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) ¶ 76 [APP-1504].

272.3. YM publicly attributed the restriction to “congestion” at the Ports of Los Angeles/Long Beach, while internally acknowledging that “congestion” was a pretextual excuse and deliberately withholding from DG the true, charge-driven reason for diverting its cargo. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; McCown Report ¶¶ 80-81 [APP-1505].

272.4. YM singled out DG for adverse treatment at the Ports of Los Angeles/Long Beach—blocking its bookings and forcing its cargo to alternative routing—because DG declined to absorb a port-specific charge that YM sought to shift onto it, and then concealed that reason behind a pretext YM knew to be false. *Infra* Argument § VI.D.

272.5. Due in part to DG's dispute of the Ports of Los Angeles/Long Beach Emergency Dwell Surcharge, during the negotiations for the parties' 2022 Service Contract, YM also discriminated against DG by punitively reducing its offer to DG of MQC in that contract by 40% as compared to the 2021 Service Contract. *Infra* Argument § VI.D.2; *compare* Ex. 1 (DGFMC-0000001) at DGFMC-0000002 (Section 2.1, providing MQC of 2,226 FEUs) [APP-1137] *with* Ex. 43 (DGFMC-0001759) at DGFMC-0001760 (Section 2.1, providing

MQC of 1,321) [APP-1314]; Ex. 64 (YM_01025904) at YM_01025904 (December 9, 2021 email from Michael Wu explaining YM’s policy for YM’s SAT region sales team to implement: “*We plan to cut MQC from accounts which we consider is [sic] difficult to deal . . .*”) (emphasis added) [APP-1432]; DGFMC-0001296 at DGFMC-0001296-98 [APP-2316-2318].

273. As DG’s expert, John D. McCown, concluded, YM “instituted a block on certain of [DG]’s bookings in order to direct [DG]’s shipments away from the Port of Los Angeles / Long Beach and to avoid disputes with [DG] as to the responsible party for any dwell fees that might have accrued to shipments to that port.” *See* Ex. 70 (McCown Report) ¶ 79 [APP-1504].

3. Yang Ming’s conduct was an unfair and unjustly discriminatory practice “with respect to” the Ports of Los Angeles/Long Beach.

274. YM’s conduct was an unfair and unjustly discriminatory practice in the matter of rates or charges with respect to a port. *Supra* Argument § IV.C; *see also* McCown Report ¶¶ 79-83 [APP-1504-1505].

V. Count V (“Undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port”): In violation of 46 U.S.C. § 41104(a)(9), Yang Ming prioritized higher-priced cargo and redirected vessel capacity to other world regions or routes.

A. Count V, Element 1: Yang Ming is an ocean common carrier.

275. YM is an ocean common carrier. *Supra* ¶ 10.

275.1. This element has been established. *Supra* Argument § V.A.

275.2. This element is undisputed.

B. Count V, Element 2: Yang Ming provided service pursuant to a service contract.

276. YM provided service pursuant to a service contract. *Supra* Argument § I.

276.1. This element has been established. *Supra* Argument § V.B.

276.2. This element is undisputed.

C. Count V, Element 3: Yang Ming imposed a prejudice or disadvantage regarding use or avoidance of a port to the detriment of Dollar General.

277. YM imposed a prejudice or disadvantage regarding use or avoidance of a port to the detriment of DG.

277.1. This element has been established. *Supra* Argument § V.C.

277.2. This element is undisputed.

278. DG establishes this element through two independent and parallel showings, either of which is sufficient standing alone. *Infra* Argument § V.C.1-2.

1. Yang Ming blocked Dollar General’s bookings in order to direct Dollar General’s shipments away from the Ports of Los Angeles/Long Beach.

279. YM imposed an undue and unreasonable prejudice or disadvantage on DG with respect to a specific port by instituting a block on DG’s bookings in order to direct DG’s shipments away from the Ports of Los Angeles/Long Beach. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) ¶¶ 76, 79 [APP-1504].

279.1. On March 24, 2022, Michael Wu—the YM employee responsible for DG’s account during the 2021 shipping year, in charge of marketing and business management for Eastbound Marketing & Pricing Team B of the Commercial Transpacific Department—stated internally to his YM colleagues that the booking restriction had been imposed because DG was, in his words, “arguing that the LA/LB Dwell Fee should be absorbed by the shipping company,” and that “[t]o avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing.” Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) ¶ 76 [APP-1504].

279.2. Wu added that YM would “implement some level of monitoring” and was “not considering removing the restriction from the system.” Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) ¶ 76 [APP-1504].

280. YM instituted the block on DG’s bookings “in order to direct [DG]’s shipments away from the Port of Los Angeles / Long Beach and to avoid disputes with [DG] as to the responsible party for any dwell fees that might have accrued to shipments to that port.” *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) ¶ 79 [APP-1504].

280.1. YM told DG that the booking restriction was the product of “congestion” at Los Angeles/Long Beach. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421].

280.2. Internally, however, YM acknowledged that “congestion” was a pretextual excuse and deliberately chose not to disclose its true reason to DG. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) ¶ 80 [APP-1505].

281. The purpose and effect of YM’s conduct was to disadvantage DG in its use of the Ports of Los Angeles/Long Beach—manipulating DG’s shipments and compelling DG to route its cargo away from that port—under a pretext that YM itself recognized to be false. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; McCown Report ¶¶ 81-83 [APP-1505]; *infra* Argument § VI.D.1.

2. Yang Ming redirected its vessel capacity away from the Asia-U.S. trade—and the U.S. ports Dollar General used—toward the Asia-Europe trade.

282. In parallel, YM imposed an undue and unreasonable prejudice or disadvantage on DG with respect to the U.S. ports DG used by redirecting its vessel capacity away from the Asia-U.S. trade and toward other world regions. *Supra* Argument § I.D.2.iii; Ex. 70 (McCown Report) ¶¶ 177, 196-205 [APP-1527, APP-1532-1535].

VI. Count VI (“Retaliation”): Yang Ming’s actions and omissions constitute retaliation against Dollar General and a violation of the former 46 U.S.C. § 41104(A)(3) (now codified at 46U.S.C. § 41102(d)).

A. Count VI, Element 1: Dollar General is a shipper.

283. DG is a shipper. *Supra* ¶ 7.

283.1. This element has been established. *Supra* Argument § VI.A.

283.2. This element is undisputed.

B. Count VI, Element 2: Dollar General engaged in protected activity.

284. DG engaged in protected activity.

284.1. This element has been established. *Supra* Argument § VI.B.

284.2. This element is undisputed.

1. Dollar General engaged in “protected activity” by (i) taking issue with Yang Ming’s service failures and (ii) disputing certain dwell fees that Yang Ming sought to pass on to DG.

i. Dollar General’s complaints regarding Yang Ming’s service failures were “protected activity”.

285. As detailed above, starting at least as early as the May 24, 2021 high-level meeting between DG and YM (i.e., less than a month into the 2021 Shipping Year), and continuing at least through the remainder of the 2021 Shipping Year, DG repeatedly put YM on notice that DG believed YM was failing to meet its service commitments under the 2021 Service Contract, which failure raised the potential that YM was violating the Shipping Act and exposed to regulatory risk by the FMC. *Supra* Argument § I.D.1.iii.

285.1. On May 26, 2021, following the May 24, 2021 high-level meeting between DG and YM, Sanjay Mishra of DG emphasized in his follow-up email that “*it is very critical for DG to get support from Yang Ming*”. Ex. 6 (YM_00973062) at YM_00973062 (“*Dollar General is very concerned that Yang Ming is not meeting its contractual allocation to accept our cargo. We made a good faith agreement at a rate much higher than previous year contract*”).

with the anticipation that YML with respects [sic] it's end of its commitment. We need YML to service our account, and at least meet the weekly allocation commitments + help us find solutions for the backlogs we are carrying from May/June.”) (emphasis added) [APP-1169]; Nickels Dep. Tr. 118:12-21 (“Q What is your understanding of Sanjay’s statement? A Well, it appears that he’s saying that we’re not meeting our obligations, and he’s just making an effort to let us know that he respects -- he expects us to uphold our end of the commitment. That would be the way I would read that. Q. Is there any reason to doubt Sanjay stated things accurately? A No. I would not think so, no.”) [APP-976]; Ex. 70 (McCown Report) ¶ 130 [APP-1516].

285.2. Throughout the 2021 Shipping Year, DG continued to complain to YM and hold regular meetings with YM in order to convince YM to correct its failures. *Supra* Argument § I.D.1.iii.

286. YM internally continued to treat DG’s complaints as a problem, with one YM salesperson stating in October 2021 that “DG can be difficult at times”. YM_00197770 at YM_00197770 [APP-2007].

ii. Dollar General’s dispute of certain dwell fees that Yang Ming sought to pass on to Dollar General was “protected activity”.

287. On December 29, 2021, DG’s Chelsea Morris sent YM employee Jim Nickels an email with the subject line “Emergency Dwell Surcharge”. *See* DGPMC-0000930 at DGPMC-0000930 [APP-2330].

287.1. In her December 29, 2021 email, Chelsea Morris stated on behalf of DG:

“I’m reaching out today to get your official stance in writing on the ‘Emergency Dwell Surcharge’ being imposed by PCT, Pier A, ITS, and LBCT. Below is an explanation of why we believe these charges are non-applicable.

- The contract relationship is between your company and Dollar General. This is filed with the FMC. We do not have a contract relationship with your subcontractors. Doing this would be both in breach of contract, and would supersede the FMC filing.*
- Terminals are not being government mandated to impose this charge. There is some debate over whether the executive branch can override the FMC, but it is clear that the terminals cannot override the FMC.*
- As such, if they are not mandated and this is not a charge that they are being charged that they’re trying to recoup, we should not be held liable for this expense.*
- If you read the contract it covers very clearly the agreement. There can be no assignment and subcontracting of our rights/liabilities without prior written consent of Dollar General and rates are all inclusive.*

Please confirm with your company’s stance.”

DGPMC-0000930 at DGPMC-0000930 (emphasis added) [APP-2330].

287.2. In response to Chelsea Morris's December 29, 2021 email, YM's Jim Nickels wrote: "Chelsea: This is being reviewed by our corporate management and we will respond accordingly, as soon as possible." DGPMC-0000930 at DGPMC-0000930 [APP-2330].

2. Yang Ming's employees understood Dollar General's complaints and dispute of the LA/LB Emergency Dwell Surcharge as threats to file a complaint with the FMC.

288. YM internally interpreted DG's complaints throughout the 2021 Shipping Year as raising the threat of legal risk before the Federal Maritime Commission. *Supra* Argument § VI.B.

289. YM's Jim Nickels testified that he interpreted DG's Sanjay Mishra's May 26, 2021 email as an assertion that *YM was "not meeting our obligations, and he's just making an effort to let us know that . . . he expects us to uphold our end of the commitment."* See Nickels Dep. Tr. 118:15-17 (emphasis added) [APP-976]; Ex. 6 (YM_00973062) at YM_00973062 [APP-1169].

290. The YM personnel with responsibility over DG's account were also aware that by June 2021, less than two months into the 2021 Shipping Year, DG had become fed up with YM's failure to meet its service commitments. See Ex. 10 (YM_00169787) at YM_00169787 [APP-1187]; Ex. 70 (McCown Report) ¶ 152 [APP-1521].

291. On June 15, 2021, YM employees internally flagged DG as one of "our TPEB customers that seem to complain the most" along with 18 other customer accounts. Ex. 32 (YM_02057515) at YM_02057516 [APP-1249]; YM_01811849 at YM_01811849 [APP-2230]; Ex. 70 (McCown Report) ¶ 147 [APP-1520].

292. On June 16, 2021, immediately following YM's identification of DG as a top complaining customer, YM management made a deliberate decision at the highest levels to refuse allocating space to DG, with Rolly Chien (Department Head of Americas Business team for YM's Commercial Transpacific Department) stating in an email that included Brian Chen and Winston Yeh: "When each team reviews space allocation, please keep the following principles in mind: 1) Customers whose space has already been increased to a reasonable ratio should not be given additional space. . . . 3) This remains subject to each team's professional judgment of the customer's importance and assessment of whether the matter has escalated to a legal issue, and other relevant factors." YM_02056097_EN at YM_02056097 (emphasis added) [APP-2306]; YM_02056097 at YM_02056097 [APP-2303]; Chen Dep. Tr. 68:9-17 (Admitting Federal Maritime Commission as regulatory authority as to which exposure YM was monitoring) [APP-292].

292.1. Rolly Chien's June 16, 2021 email explicitly included DG in the "SATL" column of a chart identifying YM's "TPEB most complaining customers". YM_02056097_EN at YM_02056097 (emphasis added) [APP-2306]; YM_02056097 at YM_02056097 [APP-2303].

292.2. Chien's June 16, 2021 email, taken as a whole, including Chien's directives in that same email, establishes YM instituted a retaliatory policy of refusing to allocate space to DG because DG complained to YM that YM was not allocating space to DG under the 2021 Service Contract, which led YM to identify DG as a legal threat ("issue"). See

YM_02056097_EN at YM_02056097 (emphasis added) [APP-2306]; YM_02056097 at YM_02056097 [APP-2303].

292.3. YM's Transpacific management immediately began implementing YM's policy of refusing to allocate space to DG because DG complained to YM that YM was not allocating space to DG under the 2021 Service Contract. *Infra*.

292.3.1. On June 25, 2021, YM employee Chris Cobb sent an update to Chelsea Morris regarding efforts to secure space under contract for DG. *See* DGFMC-0003855 at DGFMC-0003855 [APP-2310]; Ex. 70 (McCown Report) ¶ 148 [APP-1520].

292.3.1.1. Cobb noted that "Jim / Mike and myself are pushing every day to get this to the level you have requested", providing specific updates on "Shanghai to Zanesville, OH 6 FEU" and "Ningbo to Zanesville, OH 9 FEU". *See* DGFMC-0003855 at DGFMC-0003855 [APP-2310]; Ex. 70 (McCown Report) ¶ 148 [APP-1520].

292.3.1.2. Cobb highlighted that for "Yantian 0 FEU", "[i]t will take time to catch up the backlog," and expressed a preference for the Port of Los Angeles instead of Fulton, Missouri due to rail congestion in St. Louis. *See* DGFMC-0003855 at DGFMC-0003855 [APP-2310]; Ex. 70 (McCown Report) ¶ 148 [APP-1520].

292.3.2. On June 29, 2021, YM employee Mike Collins observed that the allocation situation for DG "*certainly doesn't look to be getting any better.*" Ex. 12 (YM_00962578) at YM_00962578 (emphasis added) [APP-1195]; Ex. 70 (McCown Report) ¶ 149 [APP-1521].

292.3.3. Nickels replied, "***No, we are giving them zippo. We are giving my smaller accounts more.***" Ex. 12 (YM_00962578) at YM_00962578 (emphasis added) [APP-1195]; Nickels Dep. Tr. 143:8-144:13 ("Q. And here you responded, No, we are giving them zippo. Correct? A. Correct. Q. Them referring Dollar General? A Yes. Q. And what did you mean by zippo? A. I think with the way the shipping was in the foreign ports, we aren't able to give them what we wanted to give them. So I just meant as a flippant remark, we're not giving them enough. Q. So you didn't mean zero container allocations for that week? A. Yes. Q. In that same email, you wrote, We are giving my smaller accounts more. Correct? A. Correct. Q. If you remember, who are those smaller accounts that received more over Dollar General? A. Oh, wow, I don't recall. Q. Why would these smaller accounts receive space while an account like Dollar General received zippo? A. It could be the ports they were -- the origin ports that they were coming out of. Perhaps some ports were closed. Maybe the smaller accounts were shipping from a port that was not closed. And perhaps their volumes were at such that that particular port they were shipping from had space that week.") [APP-982]; Ex. 70 (McCown Report) ¶ 149 [APP-1521].

292.4. Throughout the 2021 Shipping Year, YM routinely identified DG as a top risk of seeking relief from regulatory authorities, including the FMC. *See* YM_01921522_EN at YM_01921523 [APP-2293]; YM_01921522 at YM_01921523 [APP-2288]; YM_00597850_EN at YM_00597853 [APP-2039]; YM_00597850 at YM_00597853 [APP-2030]; YM_01914381 at YM_01914381 [APP-2262]; Ex. 53 (YM_00617077) at YM_00617077 [APP-1358]; Chen Dep. Tr. 68:10-17 (“Q. So when you said “regulatory authority” here, did that include the Federal Maritime Commission? A. Federal Maritime Commission is one of the regulatory authorities. Besides Federal Marine Commission, in other countries, they are also similar regulators who are paying attention to this matter.”) [APP-292]; Ex. 54 (YM_00617081) at Row 2 [APP-1362]; Ex. 55 (YM_00611914) [APP-1363-1367]; Chen Dep. Tr. 75:22-25 (“For the customers with legal – with potential legal risk regarding the cargo volume, please try to increase the cargo volume to prevent customers' complaints.”) [APP-294]; Ex. 70 (McCown Report) ¶ 164-166 [APP-1524].

292.4.1. During the remainder of summer 2021, YM’s sales members regularly reported DG’s frustration with YM. *Infra*.

292.4.1.1. On July 15, 2021, YM acknowledged internally that DG was “very upset with YM and cut the meeting short as ‘a waste of time’.” Ex. 9 (YM_01012333) at YM_01012333 [APP-1182]; Nickels Dep. Tr. 127:13-17 (“Q And what did you think about this statement? A Well, I was concerned, of course. They’re my account. As a salesperson, you don’t ever want your accounts to go away. We like long-term relationships. And that’s what we try to foster.”) [APP-978]; Ex. 70 (McCown Report) ¶ 151 [APP-1521].

292.4.1.1.1. In the same internal communication, a YM sales representative reported on the outcome of the meeting with DG, noting that: “[t]hey advised that YM is by far, their worst performing carrier... They are done asking us to comply with the demands and will not be offering YM future SC opportunities.” Ex. 9 (YM_01012333) at YM_01012334 [APP-1183]; Nickels Dep. Tr. 127:13-17 (“Q And what did you think about this statement? A Well, I was concerned, of course. They’re my account. As a salesperson, you don’t ever want your accounts to go away. We like long-term relationships. And that's what we try to foster.”) [APP-978]; Ex. 70 (McCown Report) ¶ 151 [APP-1521].

292.4.1.2. On July 16, 2021, Nickels reported this to Cobb and Collins, saying: “Mike made DG so mad they cut the meeting short and cancelled the Thursday meetings” and that “[*Chelsea Morris*] *said she would never invite us again if performance didn’t drastically improve.*” Ex. 10 (YM_00169787) at YM_00169787 (emphasis added) [APP-1187]; Ex. 70 (McCown Report) ¶ 152 [APP-1521].

292.4.1.3. On August 25, 2021, Morris stated that “*you guys have cost me nearly \$8M this contract year already* by not fulfilling your

run rate”. YM_00156607 at YM_00156609 (emphasis added) [APP-2000]; Ex. 70 (McCown Report) ¶ 154 [APP-1522].

292.4.1.3.1. YM employee Nickels agreed, commenting: “*We punished them enough with the 8 million freight loss!*” YM_00156607 at YM_00156607 (emphasis added) [APP-1998]; Ex. 70 (McCown Report) ¶ 154 [APP-1522].

292.4.2. On October 20, 2021, YM sales employee Jim Nickels stated in an internal email that “DG can be difficult at times.” YM_00197770 at YM_00197770 [APP-2007].

292.4.3. On December 6, 2021, YM’s management team for its Transpacific Eastbound trade division, which included Brian Chen, Bella Yang, Rolly Chien, and others, identified DG among YM’s “*key customers to track*”. See YM_01921522_EN at YM_01921523 (emphasis added) [APP-2293]; YM_01921522 at YM_01921523 [APP-2288]; Chen Dep. Tr. 68:9-17 (Admitting Federal Maritime Commission as regulatory authority as to which exposure YM was monitoring) [APP-292].

292.4.4. On December 16, 2021, in an email chain that included DG in a list of YM’s top complaining TPEB customers, Brian Chen wrote, “*As discussed, please do keep those communication records with customers to protect YM’s best interest, just in case something [sic] argument in the future.*” YM_00597850_EN at YM_00597853 [APP-2039]; YM_00597850 at YM_00597853 [APP-2030].

292.4.5. On December 20, 2021, Brian Chen wrote that Yang Ming’s North American division, “continues to raise up the concern of lifting behind MQC issue of those named 25 BCO’s.” YM_01914381 at YM_01914381 [APP-2262].

292.4.6. On January 3, 2022, Brian Chen included DG in an email attachment where the cover email noted that “BCO space complaint has been becoming a serious issue now, and also attracted a lot of *attention from regulatory authority*” (i.e., the *Federal Maritime Commission*). Ex. 53 (YM_00617077) at YM_00617077 (emphasis added) [APP-1358]; Chen Dep. Tr. 68:10-17 (“Q. So when you said “regulatory authority” here, did that include the Federal Maritime Commission? A. Federal Maritime Commission is one of the regulatory authorities. Besides Federal Marine Commission, in other countries, they are also similar regulators who are paying attention to this matter.”) [APP-292]; Ex. 54 (YM_00617081) [APP-1362]; Ex. 70 (McCown Report) ¶ 164 [APP-1524].

292.4.7. On January 11, 2022, Brian Chen sent an email to YM management colleagues, including Michael Wu, stating: “Friendly reminder: There are fewer than four months left before the contract ends. Please make full use of the time before the contract ends to increase volume as much as possible for *customers with potential legal risks, to avoid customer complaints.*” Ex. 55

(YM_00611914_EN) at YM_00611914 [APP-1368]; Ex. 55 (YM_00611914) at YM_00611914 [APP-1363]; Chen Dep. Tr. 75:22-25 (“For the customers with legal – with potential legal risk regarding the cargo volume, please try to increase the cargo volume to prevent customers’ complaints.”) [APP-294]; Ex. 70 (McCown Report) ¶ 166 [APP-1524].

292.4.7.1. Brian Chen’s January 11, 2022 email included a list of YM customers that included DG and showed YM’s “Total – Actual performance” for DG was **only 22%** of total MQC. *See* Ex. 55 (YM_00611914_EN) at YM_00611914 [APP-1368].

292.4.8. By March 15, 2022, YM’s internal reports confirmed DG was still among the “**Top 25 BCO with lifting behind MQC**”, with **DG at the very top of that list**. Ex. 57 (YM_00645239_EN) at YM_00645239 (emphasis added) [APP-1377]; Ex. 57 (YM_00645239) at YM_00645239 [APP-1375]; Ex. 70 (McCown Report) ¶ 168 [APP-1525].

292.4.8.1. Brian Chen’s March 15, 2022 email reflects that YM’s “Actual performance” for DG was **only 26%** of total MQC. *See* Ex. 57 (YM_00645239_EN) at YM_00645239 (emphasis added) [APP-1377]; Ex. 57 (YM_00645239) at YM_00645239 [APP-1375].

293. YM internally interpreted DG’s dispute of the Ports of Los Angeles/Long Beach Emergency Dwell Surcharge as raising the threat of legal risk. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) at ¶ 220 [APP-1539].

293.1. On March 24, 2022, YMTC’s Michael Wu wrote internally to Carrie Qian and Monica Gong explaining that, “**for internal reference only and should not be disclosed to the client**,” a booking restriction had been placed on DGL in the booking system “**because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company**.” Ex. 63a (YM_01680094_EN) at 1 (emphasis added) [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Ex. 70 (McCown Report) at ¶ 220 [APP-1539].

C. Count VI, Element 3: Yang Ming is an ocean common carrier.

294. YM is an ocean common carrier. *Supra* ¶ 10.

294.1. This element has been established. *Supra* Argument § VI.C.

294.2. This element is undisputed.

D. Count VI, Element 4: Yang Ming engaged in prohibited conduct.

295. YM engaged in prohibited conduct.

295.1. This element has been established. *Supra* Argument § VI.D.

295.2. This element is undisputed.

1. **Yang Ming retaliated against Dollar General by deliberately refusing to allocate space to Dollar General while falsely claiming it was due to congestion and COVID-19-related issues.**

296. Where YM sought to maintain customer relationships, it did so, and where it sought to freeze out customers, it did so as well. *See* YM_01906175_EN at YM_01906175 (“***Newell/GSA/WSI all made major MQC reductions in 2021, and it is recommended to keep it flat in 2022 to maintain customer relationships.***”) (emphasis added) [APP-2256] *with id.* (“***THD, considering free time/rate level and 2022 cooperation status, recommends minimal cooperation*** in the U.S.”) (emphasis added) [APP-2256-2261]; YM_01906175 at YM_01906175 [APP-2252]; *see also* YM_02056097 at YM_02056097 [APP-2303]; YM_02056097_EN at YM_02056097 (June 16, 2021 email from YM Department Head of Commercial Transpacific Department stating, “When each team reviews space allocation, please keep the following principles in mind: 1) ***Customers whose space has already been increased to a reasonable ratio should not be given additional space.*** . . . 3) This remains subject to each team’s professional judgment of the customer’s importance and ***assessment of whether the matter has escalated to a legal issue***, and other relevant factors.”) (emphasis added) [APP-2306].

297. On June 16, 2021, immediately following YM’s identification of DG as a top complaining customer, YM management made a deliberate decision at the highest levels to refuse allocating space to DG, with Rolly Chien (Department Head of Americas Business team for YM’s Commercial Transpacific Department) stating in an email that included Brian Chen and Winston Yeh: “When each team reviews space allocation, please keep the following principles in mind: 1) ***Customers whose space has already been increased to a reasonable ratio should not be given additional space.*** . . . 3) This remains subject to each team’s professional judgment of the customer’s importance and ***assessment of whether the matter has escalated to a legal issue***, and other relevant factors.” YM_02056097_EN at YM_02056097 (emphasis added) [APP-2306]; YM_02056097 at YM_02056097 [APP-2303]; Chen Dep. Tr. 68:9-17 (Admitting Federal Maritime Commission as regulatory authority as to which exposure YM was monitoring) [APP-292].

297.1. On November 19, 2021, YM’s Brian Chen wrote to his management colleagues in the Americas Eastbound Marketing Team that, “***To reduce risk or lawsuits, if customers/sales staff complain about insufficient capacity MQC, please ensure it is handled properly...We can increase capacity/allocated capacity at our discretion.***” YM_01896935_EN at YM_01896935 (“***To reduce risk or lawsuits, if customers/sales staff complain about insufficient capacity MQC, please ensure it is handled properly . . . We can increase capacity/allocated capacity at our discretion.***”) [APP-2247]; YM_01896935 at YM_01896935 [APP-2243].

298. Following the May 24, 2021 high level meeting between DG and YM, YM immediately began limiting space to DG. *See* YM_00047867 at YM_00047868 (emphasis added) [APP-1967]; Kardian Dep. Tr. 166:16-167:2 (“Q: Paragraph 144 is an email internally from Yang Ming employee Mr. Nickels. And he stated in that email: We are damaging our relationship with this new account. All carriers are having problems, but Yang Ming is performing very poorly for Dollar

General. Does that indicate to you that it was Yang Ming's lack of performance in placing -- in accepting bookings and not Dollar General's failure to make such bookings? A. I mean, on that statement alone, my answer would be yes.”) [APP-517]; Ex. 12 (YM_00962578) at YM_00962578 (emphasis added) [APP-1195]; Ex. 70 (McCown Report) ¶¶ 144, 149 [APP-1520, APP-1521].

298.1. Although June was a vital month for DG, on May 31, 2021, Jim Nickels emailed Michael Wu warning that, “**“We are greatly damaging our relationship with this new account. All carriers are having problems but YM is performing very poorly for DG.”** YM_00047867 at YM_00047868 (emphasis added) [APP-1967]; Ex. 70 (McCown Report) ¶ 144 [APP-1520]; Kardian Dep. Tr. 166:16-167:2 (“Q. Paragraph 144 is an email internally from Yang Ming employee Mr. Nickels. And he stated in that email: We are damaging our relationship with this new account. All carriers are having problems, but Yang Ming is performing very poorly for Dollar General. Does that indicate to you that it was Yang Ming’s lack of performance in placing – in accepting bookings and not Dollar General’s failure to make such bookings? A. I mean, on that statement alone, my answer would be yes.”) [APP-517].

298.2. On June 29, 2021, YM employee Mike Collins mentioned that the allocation situation for DG “**certainly doesn’t look to be getting any better.**” Ex. 12 (YM_00962578) at YM_00962578 (emphasis added) [APP-1195]; Ex. 70 (McCown Report) ¶ 149 [APP-1521].

298.2.1. Nickels responded: “**No, we are giving them zippo. We are giving my smaller accounts more.**” Ex. 12 (YM_00962578) at YM_00962578 (emphasis added) [APP-1195].

299. As detailed above, YM’s performance to DG during the 2021 Shipping Year never improved. *Supra* Argument § I.B.1; *see also* YM_00633541_EN at YM_00633541 [APP-2069].

299.1. On February 8, 2022, an internal YM email including Brian Chen, Sandy Hsu, Michael Wu, and other YM employees identified DG as one of YM’s customers who “have had a large gap in the past two weeks, with an average reduction of nearly 50% from the monthly average.” YM_00633541_EN at YM_00633541 [APP-2069]; YM_00633541 at YM_00633541 [APP-2058].

300. On March 24, 2022, **Michael Wu, the YM employee in charge of marketing and business management of Eastbound Marketing & Pricing Team B for the Commercial Transpacific Department who was responsible for YM’s DG account for the 2021 shipping year**, stated (originally in Mandarin) internally to other of his YM colleagues the following:

“The following supplement is for internal reference only and should not be disclosed to the client.

The reason for the restriction at the time was actually because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company. To avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing.

*Since we have received no further updates from the client after rejecting their statement, and given the delay in the effective date of the fee, we can consider releasing some bookings to the client. However, **we would like to implement some level of monitoring; therefore we are not considering removing the restriction from the system.***”

Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; *see* Ex. 70 (McCown Report) ¶¶ 76, 213-221 [APP-1504, APP-1537-1539]; McCown Dep. Tr. at 171:11-174:4 (“Q. Let’s go to paragraph 76. A. Yes, I see it. Q. You noted in the first sentence of this paragraph: I wish to note at the outset here, a key piece of information that has informed my review of YMTC’s conduct as set out in more detail below. Correct? A. Yes. Q. What is that key piece of information and how is it informed to your review of Yang Ming’s conduct? A. Well, it was an admission by Yang Ming that they were going to misrepresent the ability for Dollar General to go via the way they preferred and it seemed to be driven by their recognizing that there was a dispute on the part of Dollar General in terms of who pays the fees related to the port of LA. So they both misrepresented the reason, they claimed it was congestion and they didn’t disclose that at all to Dollar General. So I thought that was – it’s -- my view is never good to lie to a customer and this was just a boldface lie. And to me -- and they set up their booking system where they couldn’t book there. So that to me is another aspect of what I refer to as retaliation. I think in the last paragraph on the retaliation section I referred to that. So again, it’s part of the overall fabric of what I saw going on. Q. As you write in your report this was -- this e-mail that we’re referring to in paragraph 76 was in March 24, 2022, correct? A. Exactly, right at the time that the new contract season would be discussed. Q. It’s also referring to a historical action by Yang Ming that would have occurred during the ‘21/’22 year, correct? A. Yes. So that was a hard and fast restriction on booking and misrepresenting the reason for it. Q. If we looked at paragraph 220 of your report that same March 24, 2022 e-mail that we just discussed is included in the retaliation section of your report; is that correct? A. Yes. Q. You also in the retaliation section in paragraph 216 includes some of the testimony by Michael Wu that we discussed earlier with opposing counsel, correct? A. Yes. Q. So is it fair to say as we just went over and as stated in your report that this paragraph 216 must be read within the context of your full report in order to be understood properly in terms of a meaning you were meaning to give it? A. Yes.”) [APP-861-862].

300.1. Mr. Wu provided extensive testimony regarding this document and statement. Wu Dep. Tr. 107:18-134:21 [APP-1109-1116]; Ex. 70 (McCown Report) ¶ 77 [APP-1504].

300.1.1. Wu admitted that Exhibits 63 and 63a reflect that Yang Ming devised a scheme to block Dollar General’s attempts to book its shipments through the Ports of Los Angeles/Long Beach because Yang Ming wanted to avoid Dollar General disputing dwell fees at the Ports of Los Angeles/Long Beach. *See* Ex. 63a (YM_01680094_EN) at 1-4 [APP-1425-1428]; Ex. 63 (YM_01680094) at YM_01680094-96 [APP-1421-1423]; Wu Dep. Tr. 126:9-19 (“***The reason why there was such restriction was because at the time, Los Angeles and Long Beach port had to implement a new Dwell Fee. And that would be dependent on how***

long the cargo stays at the port. And the customers believed that that fee should be fully absorbed by the shipping company. Therefore, we recommended the PN route, as in shipping the cargo to the customer's final destination in Fulton, that would be our first priority.") (emphasis added) [APP-1114], 128:6-18 ("Q. And did you think Dollar General wouldn't accept that reasoning? A. Before that, we had discussions with Dollar General. And at the time when Los Angeles and Long Beach came out with the Dwell Fee, regarding this new fee, we made public announcements. And at that time, Dollar General had already clearly stated that they would not pay for that fee. And since Los Angeles and Long Beach port cargo was not within the scope of our contract, I believe that disputing who should pay the Dwell Fee is not necessary.") [APP-1114].

300.1.2. Wu admitted that Yang Ming's scheme was approved by Yang Ming's senior management. *See* Wu Dep. Tr. 132:25-133:19 ("Q. And here, where you say: "We would like to implement some level of monitoring, therefore, we are not considering removing the restriction from the system." Do you see that? A. I see that. Q. Who does the "we" in that sentence refer to? **A. Our U.S. business department. Q. And so, the U.S. business department knew about this. Correct?** A. I cannot say that the entire U.S. business department would know. **I represent the U.S. business department, to communicate with our loading ports. As I mentioned earlier, when I -- when we will email to the big group, before I did that, I would discuss it with my supervisor. So it cannot be said that it only represents myself, an individual here.**") (emphasis added) [APP-1115].

300.1.3. Yang Ming's scheme to block Dollar General's attempts to book shipments through the Ports of Los Angeles/Long Beach was put in place as early as October 12, 2021 and was active through at least March 24, 2022. *See* Ex. 63a (YM_01680094_EN) at 3-4 [APP-1427-1428]; Ex. 63 (YM_01680094) at YM_01680094-96 [APP-1421-1423]; Wu Dep. Tr. 114:22-115:3 ("**Q. And you sent this email on October 12th 2021. Correct? A. Correct. However, before that, we did communicate with the loading port and the customer regarding these issues.** Q. And the customer is Dollar General? A. Yes.") (emphasis added) [APP-1111].

300.1.4. As of March 24, 2022, Yang Ming's senior management decided that Yang Ming would not remove the restriction Yang Ming had placed on Dollar General's bookings. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Wu Dep. Tr. 134:5-9 ("Q. And based on that, there was a decision that Yang Ming would not remove the restriction from the system, as of the date of this email. Correct? **A. Yes. It was because we did not think it was necessary to remove the restriction.**") (emphasis added) [APP-1116], 134:16-21 ("Q. And that decision was up to you? A. Before I wrote this email, actually, this email also included information as to how we would handle the matter. **As I mentioned earlier, I would include that content in my discussion with my direct supervisor.**") (emphasis added) [APP-1116].

300.1.5. As part of Yang Ming's scheme to block Dollar General's attempts to book its shipments through the Ports of Los Angeles/Long Beach, Yang Ming did not tell Dollar General about the block Yang Ming implemented on Dollar General's bookings. *See* Ex. 63a (YM_01680094_EN) at 1-4 [APP-1425-1428]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Wu Dep. Tr. 127:4-128:4 ("Q. And you are saying this here -- where you say, "This supplement is for internal reference only and should not be disclosed to the client," you are saying Dollar General should not know about the following information. Correct? A. ***We were hoping that our Shanghai colleagues would not disclose such information to the customer.*** For -- on this page, the congestion is a reason, and it is the most important reason. We were hoping that the customer would use the PN route instead to ship to Fulton, their final destination. We were hoping that not to lose focus on the alternative solution, because of this issue. Q. ***And why didn't you want to tell Dollar General the truth about that?*** A. "[Chinese spoken.]" INTERPRETER: Interpreter would like to clarify a term with the witness. "[Chinese spoken.]" ***THE WITNESS: It was because the Los Angeles and Long Beach port cargo, that would not be the main alternative solution. We were hoping that the issues would not be extended to the Los Angeles and Long Beach port cargoes, and we should just focus on the route -- the PN route, to Fulton.***") [APP-1114], 130:16-131:5 ("Q. Mr. Wu, did you ever tell Dollar General the reason why this restriction was entered against -- to Dollar General's bookings discussed here, that that was done in order to avoid disputes over Dwell Fees? A. ***I did not specifically mention this issue to Dollar General.*** As I said earlier, the Los Angeles and Long Beach port locations were not requested in their contract. And we also said that if the customer had that requirement, we could still release the booking to them. So if they do have such need, they can still get the booking. Therefore, ***there is no need to inform the customer that we had these internal considerations and restrictions.***") (emphasis added) [APP-1115].

300.1.6. As part of Yang Ming's scheme to block Dollar General's attempts to book its shipments through the Ports of Los Angeles/Long Beach, Yang Ming lied to Dollar General by blaming "port congestion" for why Yang Ming wanted to re-route Dollar General's bookings through ports other than the Ports of Los Angeles/Long Beach. *See* Ex. 63a (YM_01680094_EN) at 1 ("The following supplement is for internal reference only and should not be disclosed to the client. The reason for the restriction at the time was actually because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company. To avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing.") [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Wu Dep. Tr. 128:6-18 ("Q. And did you think Dollar General wouldn't accept that reasoning? A. Before that, we had discussions with Dollar General. And at the time when Los Angeles and Long Beach came out with the Dwell Fee, regarding this new fee, we made public announcements. And at that time, Dollar General had already clearly stated that they would not pay for that fee. And since Los Angeles and Long Beach port cargo was not within the scope of our contract, I believe that disputing who should pay the Dwell Fee is not necessary.") [APP-1114].

300.1.7. Yang Ming's scheme to block Dollar General's attempts to book shipments through the Ports of Los Angeles/Long Beach included deceiving Dollar General into a forced choice between either booking door-to-door shipments through ports in the Pacific Northwest of the United States or booking container yard shipments to the Ports of Los Angeles/Long Beach. *See* Ex. 63a (YM_01680094_EN) at 1-4 [APP-1425-1428]; Ex. 63 (YM_01680094) at YM_01680094-96 [APP-1421-1423]; Wu Dep. Tr. 111:15-114:19 ("Q. And if we go to -- it's -- it spills over two pages, but an email you sent on pages YM_01680095 to 96, there is an email from you dated October 12th 2021. Correct? A. Correct. Q. And in this email, you make a reference to a PS routing. Correct? A. Yes. Q. What does PS routing refer to? A. '[Chinese spoken.]' INTERPRETER: Interpreter would like to clarify a term with the witness. '[Chinese spoken.]' THE WITNESS: Regarding PS routing, that would refer to the final cargo destination. In this case, it would be Fulton, MD, which is stated in the remark here. And this is an inland location in the U.S.. So one is to use the railroad from the loading port to get to the -- THE WITNESS: '[Chinese spoken.]' INTERPRETER: Interpreter would like to re-render the answer. THE WITNESS: For PS routing, it refers to the final destination of the cargo. In this case, it would be Fulton, MD, stated in remark here. This is an inland location within the U.S.. Therefore, one is to use the railway from the discharging port to get to the railway hub, and then use the truck to deliver to Fulton; the final destination. As to the southwestern ports, that would be Los Angeles, or Long Beach. For the routing, as in PS routing, there is also a port in the -- in northwestern U.S., which is Tacoma. So one would need to use the railroad to reach the railway hub. That is another route. And I would like to supplement my answer. Here for the PN port, it refers to the port in northwestern U.S. BY ATTORNEY HILL: Q. So is that PN like Pacific Northwest, or something like that? A. Maybe that's the case, but I'm not sure about its full name. When it comes to day-to-day work, since I joined the company, we've been using PS to refer to the ports in southwestern U.S., and PN to refer to the ports in northwestern U.S. Q. And where you write 'Please arrange via PN ports, or arrange to LAX/LGB CY if customer accepts,' what do you mean by that? A. '[Chinese spoken.]' INTERPRETER: Interpreter just asked the witness to pause for a second. THE WITNESS: It was because for the customer, the original plan was to use the PS routing via the railroad to Fulton, MO, to reach the location. However, since the southwestern ports of the U.S., as in Los Angeles and Long Beach, were very congested -- INTERPRETER: Interpreter would like to correct this sentence. 'However, if the southwestern ports of the U.S., as in Los Angeles and Long Beach, they were the busiest ports in the U.S. at the time, and they were very congested, that would affect the subsequent arrangement of the railroad. In order to avoid the delays, if possible, we would recommend prioritizing using the PN route. And finally, if the customer does accept their cargoes are only delivered to the discharging ports in Los Angeles or Long Beach, then we would accept that change, since it would not involve subsequent railroad transportation, and incur the railroad congestion issues.') [APP-1110-1111], 124:16-20 ("A. Before we provided that alternative from Long Beach or Los Angeles port, our first priority was to ship the

cargo from the northwestern port, as in from Tacoma, to the customer's destination in Fulton, MO.”) [APP-1113].

300.1.8. Yang Ming’s scheme included circumventing the explicit provision in Dollar General’s Service Contract that Yang Ming would allocate at least 1,000 FEUs to shipments from origin ports in China to the Ports of Los Angeles/Long Beach. *See* Ex. 1 (DGPMC-0000001) at -9 [APP-1144]; Ex. 69 (DGPMC-0084151 – WORKSHEET) at Column (P, R, T, AB), Row (714, 838, 920, 1001) [APP-1481]; Wu Dep. Tr. 115:11-24 (“Q. So this email chain involves you communicating routing and other issues with Dollar General, with Yang Ming’s China-based outbound team for imports into the United States. Correct? A. This is mainly regarding the discussions of the fact that we had to satisfy the customer’s requirements of the spaces. Q. What customer requirements are you referring to? A. That is referring to the customer’s requirement of the spaces. That is based on the contract we signed with the customer, in which it was clearly stating the total volume of the specific loading port and the destination.”) [APP-1111].

300.1.9. Wu admitted that Yang Ming placed the burden on Dollar General to discover Yang Ming’s scheme and specifically ask Yang Ming about it before Yang Ming would disclose that scheme to Dollar General. *See* Wu Dep. Tr. 131:22-132:24 (“Q. So you are saying Dollar General should only know the information that’s directly in their contract? A. If today, the customer would like to learn more about information that is not directly related to the contract, if they want to gain further understanding, they can discuss it with us, and we would disclose such information to the customer. Q. In other words, it was up to Dollar General to ask you that specific question in order to gain that information? A. It should be put this way. If the customer raises the issue or came across it, then we would let the customer know the relevant information. Q. So are you say if the customer raised problems with bookings in general, or with this specific booking problem, that you -- that Yang Ming would provide them with the full information? A. If the customer has an issue about a particular single case, since there is so many various problems with the bookings, as we mentioned earlier, it could be the vessel not arriving, or we saw that the client did not make the booking, et cetera. So we had to conduct an investigation on a particular case. And we would then provide the information of the investigation to the customer.”) [APP-1115].

300.1.9.1. Wu’s claim that YM would tell DG about the block YM placed on DG’s bookings to the Port of Los Angeles and Long Beach only if DG asked about it is contradicted by numerous instances of DG investigating the reasons why YM was not allocating DG space under the 2021 Service Contract or accepting DG’s bookings. *Supra* Argument § I.D.

300.1.10. Following his line-by-line review, Wu admitted that Exhibit 63a is a true and correct certified and notarized translation from Mandarin to English of Exhibit 63. *See* Ex. 63a (YM_01680094_EN) [APP-1425-1431]; Ex. 63 (YM_01680094) [APP-1421-1424]; Wu Dep. Tr. 116:21-118:15, 120:23-123:6, 124:8-12 (Wu reviewing and confirming the certified translation and accuracy of

Exhibit 63a (“ . . . Regarding the English version, there is no issue here.”)) [APP-1111-1113].

300.2. YM instituted a block on certain of DG’s bookings in order to direct DG’s shipments away from the Ports of Los Angeles/Long Beach and to avoid disputes with DG as to the responsible party for any dwell fees that might have accrued to shipments to those ports. *See* Ex. 70 (McCown Report) ¶ 79 [APP-1504]; McCown Dep. Tr. at 179:19-180:13 (“A. I disagree with them calling it a dispute. I believe the reason Mr. Wu chose to lie was because the loads were moving on door-to-door terms. There would be no dispute. That fee would be paid by Yang Ming. Of course my own view is the door-to-door terms have much to do with Yang Ming deciding to throw out Dollar General and turn it over to not only higher paying loads, but loads with NVOs would be port-to-port and would return the equipment quicker. So they kind of killed two birds with one stone. They not only get significantly higher rates, they get a movement which will use much less of their equipment. Again, logical in terms of maximizing profit. In my view, it runs a amuck of the whole concept of the shipping act.”) [APP-863].

300.3. In doing so, YM told DG that the reason for the booking restriction was due to “congestion” at the Ports of Los Angeles/Long Beach. *See* Ex. 70 (McCown Report) ¶ 80 [APP-1505].

300.4. But internally, YM admitted that “congestion” was a pretextual excuse and deliberately chose not to disclose that excuse to DG. *See* Ex. 70 (McCown Report) ¶ 80 [APP-1505]; McCown Dep. Tr. at 179:19-180:13 (“A. I disagree with them calling it a dispute. I believe the reason Mr. Wu chose to lie was because the loads were moving on door-to-door terms. There would be no dispute. That fee would be paid by Yang Ming. Of course my own view is the door-to-door terms have much to do with Yang Ming deciding to throw out Dollar General and turn it over to not only higher paying loads, but loads with NVOs would be port-to-port and would return the equipment quicker. So they kind of killed two birds with one stone. They not only get significantly higher rates, they get a movement which will use much less of their equipment. Again, logical in terms of maximizing profit. In my view, it runs a amuck of the whole concept of the shipping act.”) [APP-863].

300.5. In effect, YM lied to DG in order to manipulate DG’s shipments in a way that disadvantaged DG. *See* Ex. 70 (McCown Report) ¶ 81 [APP-1505]; McCown Dep. Tr. at 179:19-180:13 (“A. I disagree with them calling it a dispute. I believe the reason Mr. Wu chose to lie was because the loads were moving on door-to-door terms. There would be no dispute. That fee would be paid by Yang Ming. Of course my own view is the door-to-door terms have much to do with Yang Ming deciding to throw out Dollar General and turn it over to not only higher paying loads, but loads with NVOs would be port-to-port and would return the equipment quicker. So they kind of killed two birds with one stone. They not only get significantly higher rates, they get a movement which will use much less of their equipment. Again, logical in terms of maximizing profit. In my view, it runs a amuck of the whole concept of the shipping act.”) [APP-863].

300.6. YM used “congestion” and other related factors stemming from the COVID-19 pandemic as cover for its profit-seeking actions and motives throughout the 2021

shipping year with respect to DG and other of its shipping customers whenever it suited YM to do so. *See* Ex. 70 (McCown Report) ¶81 [APP-1505]; McCown Dep. Tr. at 179:19-180:13 (“A. I disagree with them calling it a dispute. I believe the reason Mr. Wu chose to lie was because the loads were moving on door-to-door terms. There would be no dispute. That fee would be paid by Yang Ming. Of course my own view is the door-to-door terms have much to do with Yang Ming deciding to throw out Dollar General and turn it over to not only higher paying loads, but loads with NVOs would be port-to-port and would return the equipment quicker. So they kind of killed two birds with one stone. They not only get significantly higher rates, they get a movement which will use much less of their equipment. Again, logical in terms of maximizing profit. In my view, it runs a amuck of the whole concept of the shipping act.”) [APP-863].

301. YM targeted DG as part of a systematic internal policy of identifying and retaliating against YM’s customers that YM believed presented legal risk. *See, e.g.*, YM_02056097_EN at YM_02056097 [APP-2306]; YM_02056097 at YM_02056097 [APP-2303]; YM_01920175_EN at YM_01920175 [APP-2281]; YM_01920175 at YM_01920175 [APP-2276]; YM_01921522_EN at YM_01921523 [APP-2293]; YM_01921522 at YM_01921523 [APP-2288]; Ex. 64 (YM_01025904) at YM_01025904 [APP-1432]; Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Wu Dep. Tr. at 132:25-133:25 (“Q. And here, where you say: ‘We would like to implement some level of monitoring, therefore, we are not considering removing the restriction from the system.’ Do you see that? A. I see that. Q. Who does the ‘we’ in that sentence refer to? A. Our U.S. business department. Q. And so, the U.S. business department knew about this. Correct? A. I cannot say that the entire U.S. business department would know. I represent the U.S. business department, to communicate with our loading ports. As I mentioned earlier, when I -- when we will email to the big group, before I did that, I would discuss it with my supervisor. So it cannot be said that it only represents myself, an individual here. Q. Okay. And when you say ‘some level of monitoring,’ what does that phrase mean? A. Regarding the monitoring here, that is the case that if the customer comes in and books the Los Angeles or Long Beach port, we would like to capture that information.”) [APP-1115].

2. Yang Ming retaliated against Dollar General by discriminatorily reducing Dollar General’s MQC as a precondition to entering into a service contract for the 2022 Shipping Year.

302. YM retaliated against DG by targeting DG for an MQC reduction of over 40% in the parties’ 2022 Service Contract (1,321 FEUs) as compared to the 2021 Service Contract (2,226 FEUs). *Compare* Ex. 1 (DGPMC-0000001) at DGPMC-0000002 (Section 2.1, providing MQC of 2,226 FEUs) [APP-1137] *with* Ex. 43 (DGPMC-0001759) at DGPMC-0001760 (Section 2.1, providing MQC of 1,321) [APP-1314]; *see infra*.

303. Following meetings in early November 2021, YM’s management team for the Transpacific Eastbound trade reached a decision to reduce YM’s total space allocations to the Transpacific Eastbound trade lanes in the 2022 Shipping Year by approximately 25%. *See* YM_00905719 at YM_00905719-20 (“Further to the discussion last Thursday regarding the MQC goal for 2022, the total is 980,000 TEU (to be exact, 983,800 TEU after initial review with CTEA/CTEB/CTEC) which is [*sic*] approximately 25% reduction.”) [APP-2150-2151].

304. Internally and in communications with its customers, YM acknowledged that this proposed 25% cut was in recognition of the fact that it had overcommitted space for the 2021 Shipping Year. *See* Ex. 5 (YM_00177727) at YM_00177728 (“***Our HQ has a goal of MQC deduction from all customers. This is due, in part, to the many blank sailings and inability to serve accounts properly.***”) [APP-1168]; YANGMING00039215 at YANGMING00039215 (“***During the past one year, we overcommitted the MQC and this turns out that it is impossible to fulfill and also brings us many problems. We realize that we need to avoid the same situation against in order to better serve our customers for the upcoming year. As earlier mentioned, since we expect space/equipment shortage are still the serious problems in 2022 and won’t be solved in short time, what we want to do is to propose a realistic MQC number instead of exaggerating it.***”) (emphasis added) [APP-1963]; Ex. 64 (YM_01025904) at YM_01025904 [APP-1432]; Ex. 41 (YM_00601422) at YM_00601424 (“***I have explained to them our stance this year on cutting back 25% MQC . . . I advised them this was Taipei’s decision so we can achieve better performance . . .***”) (emphasis added) [APP-1311]; Hsu Dep. Tr. 90:1-9 (“Based on this email you have no reason to believe this 25 percent MQC reduction was being applied only to customer comment, correct? A. Just based upon this email, I cannot tell that these practice was only applicable to Comet. Q. So it’s possible it was applicable to other of Yang Ming’s customers, correct. A. Yes.”) [APP-425]; Chen Dep. Tr. 78:22-79:13 (“Did you ever tell her, or did anyone else at Yang Ming, to your knowledge, ever tell her that we were cutting -- you were cutting back MQC 25 percent? A. Having considered the severity of Covid-19, and its impact to the logistics and supply chain in 2021, when we planned for the new contracts for 2022, we considered the situation in the previous year. And also, we were not sure that for 2022, whether Covid may become more severe or disappeared. Therefore, when we set the MQC goal for 2022, that was based on a situation of 2021. And we reduced MQC goal by 25 percent. So it really reflected the impact of Covid. And also, the impact to the supply chain. And also, its effect on the supply of the spaces.”) [APP-295].

305. In the first week of December 2021, while acknowledging that YM’s signed MQC for the 2021 Shipping Year was beyond YM’s available capacity for that period, YM’s internal discussions also show that it would accomplish the 25% MQC cut by selectively targeting customers that YM had identified as presenting legal risk for disproportionate cuts. *See* YM_00913263_EN at YM_00913268 (“***Major concern is whether we can accommodate space for these accounts signed, instead of having same Problem with complaints. . . . While the total MQC is reduced by 25%, we will need to review and retain customers on a more selective basis to diversify a/c base and taken into consideration of our long term strategy/developments.***”) (emphasis added) [APP-2166]; YM_00913263 at YM_00913268 [APP-2157].

305.1. YM’s internal documents reveal that its decisions regarding space allocation were driven by a policy of preferring accounts that YM considered had “potential for long run” over other of its customers, such as DG. *See* Ex. 41 (YM_00601422) at YM_00601422 [APP-1309].

306. On December 9, 2021, Michael Wu explained YM’s policy clearly for YM’s SAT region sales team to implement: “***We plan to cut MQC from accounts which we consider is [sic] difficult to deal (I would say [Home Depot] is on the top of the list) to leave some room for others.***” *See* Ex. 64 (YM_01025904) at YM_01025904 (emphasis added) [APP-1432].

306.1. Certain of YM's customers who YM had identified as the "top complainers" (i.e., those presenting the greatest legal risk to YM based on YM's performance in the 2021 Shipping Year) would be targeted for larger cuts. *See* Ex. 64 (YM_01025904) at YM_01025904 (emphasis added) [APP-1432]; Ex. 60 (YM_01906175) at YM_01906175 [APP-1393].

306.2. For example, fellow YM Top 25 member The Home Depot was targeted for a 40% MQC cut in its 2022 Shipping Year contract with YM as compared to its 2021 Shipping Year contract. *See* Ex. 60 (YM_01906175) at YM_01906175 [APP-1393]; Cobb Dep. Tr. 102:6-12 ("Q. To your knowledge, did Yang Ming fail to ship the amount of cargo set forth for the service contracts for any BCO during the 2021 shipping year? A. Yes. Q. Which BCOs, if you recall? A. Oh. Dollar General. I believe Home Depot.") [APP-340], 102:22-103:6 ("Q. Do you recall any specific BCOs that had that problem? A. Pretty much all of them. Q. That would include Dollar General? A. Yep.") [APP-340].

306.3. During his deposition in this proceeding, Michael Wu explained this language as follows: "Q. And in that sentence, you say: "We plan to cut MQC from accounts which we considered is difficult to deal (I would say THD is on the top list), to leave some room for others." Correct? A. *Yes*. For THD, *they do have their own templates for the contract, with many terms that are unilaterally favorable to the customer, and overwhelmingly not beneficial to us*. And for these customers, their cargo volume at the discharging port did not really match our capacity. *And, therefore, for these customers, we may consider reducing collaboration with them*. Q. Is that what you mean by this line, "accounts which we consider is difficult to deal?" A. *Yes. That is mainly concerning those with contract terms that are more difficult for the shipping carriers*. And also, the volume at the [origin] port does not match our capacity." Wu Dep. Tr. 136:15-137:8 (emphasis added) [APP-1116]; *see also* Chen Dep. Tr. 28:5-22 [APP-282].

306.4. YM internally grouped DG in the same tier of its customers targeted for a 40% MQC cut as it did for its customer The Home Depot. *See* YM_01920175_EN at YM_01920175 [APP-2281]; YM_01920175 at YM_01920175 [APP-2276].

307. YM explicitly targeted DG for this punitive 40% cut. *See* YM_01920175_EN at YM_01920175 (YM as "*already proposed to the customer that the 2022 contract be amended to a 'Deduct MQC' arrangement*." (emphasis added) [APP-2281]; YM_01920175 at YM_01920175 [APP-2276].

307.1. As against DG, YM employed a strategy of deliberately suppressing the space it would offer to DG under the 2021 Service Contract in order to manufacture cover for YM's reduced MQC offer in the 2022 Service Contract. *Compare* Chen Dep. Tr. 37:5-9 ("THE WITNESS: Each year, when we set the overall goal for MQC, we would look at the implementation situation of the previous year's MQC, in order to determine the goal for signing next year's MQC.") [APP-284] *with supra* Argument § VI.D.1.

307.2. On December 1, 2021, YM kicked off its negotiations with DG for the 2022 Service Contract by demanding an MQC of 1,400 FEUs, which equaled a cut of nearly 40% as compared to the 2021 Service Contract. *Compare* DGPMC-0002271 at DGPMC-0002271 ("YM would like to target 1400 [FEU] (2800 TEU) as a MQC") [APP-2320] *with* Ex. 1

(DGFMC-0000001) at DGFMC-0000002 (Section 2.1 providing MQC of 2,226 FEUs) [APP-1137].

307.3. YM remained intransigent even though DG agreed to adjust the 2022 Service Contract to meet most of the terms YM requested. *See* DGFMC-0001110 at DGFMC-0001110-1111 (“*[We are] agreeing to everything you requested . . . So zero willingness to agree on any terms we are asking for, despite us coming to the table on a large amount of items? . . . Hardly feels like a partnership.*”) (emphasis added) [APP-2314-2315].

307.4. YM refused to budge from its retaliatory MQC cut and, indeed, even lowered its initial demand further. *See* DGFMC-0002728 at DGFMC-0002728 (YM’s Chris Cobb stating to DG: “We propose MQC: [1,250 FEU]. Please note the *[1,250] is the maximum we will agree to but the finalized MQC is subject to change after study on actual awarded lanes.*”) (emphasis added, underlining in original) [APP-2323].

307.4.1. YM’s refusal to budge from its retaliatory cut of DG’s MQC in the 2022 Service Contract contradicts YM’s standard negotiation strategy with respect to its SAT BCO customers, indicating YM’s retaliatory cut of DG’s MQC in the 2022 Service Contract specifically and deliberately targeted DG. *See* YM_00221991 at YM_00221991-92 [APP-2017-2018].

307.4.1.1. On January 20, 2022, Michael Wu sent an email to YM’s SAT sales team in which he stated, “Hi all, regarding MQC deduction, I would like to add my opinion as below. Please note that 25% down is our final internal goal. It is expectable that customer would ask for more MQC after our initial proposal, thus I usually cut down more than 25% *so we have some room to give away in following stages . . .*” YM_00221991 at YM_00221991 [APP-2017].

307.5. YM and DG ultimately signed the 2022 Service Contract, which left intact YM’s retaliatory cut of DG’s MQC. *See* Ex. 43 (DGFMC-0001759) [APP-1313-1334]; DGFMC-0001296 at DGFMC-0001296-98 [APP-2316-2318].

VII. Reparations

308. Table 1 below is based on *infra* Argument §§ VII.A-G.

Table 1:

Count (Reparation Type):	Reparations Amounts:
Count I: MQC Shortfalls (2021 Service Contract)	\$14,772,355
Count II: Conduct not in accordance with Service Contracts	(Additional basis for Counts I damages)
Count III: Refusal to Deal	(Additional basis for Counts I damages)
Count IV: Discrimination	(Additional basis for Counts I damages)
Count V: Discrimination	(Additional basis for Counts I damages)
Count VI: Retaliation Doubles statutory reparations.	\$14,772,355
Subtotal:	\$29,544,710
Count III: Refusal to Deal (2022-2023 Shipping Year Lost Profits)	\$80,972,085
Count VI: Retaliation Doubles 2022 Shipping Year lost Profits	\$80,972,085
Subtotal:	\$161,944,170
Grand Total:	\$191,488,880

A. Count I: Violation of 46 U.S.C. § 41102(c) (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”)

309. As to Count I, DG is entitled to reparations from YM in the amount of \$14,772,355. *See* Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Ex. 75 (DGPMC-0004159) [APP-1730]; Ex. 74 (McCown Report, Appendix D) [APP-1560-1729]; Ex. 69 (DGPMC-0084151 – WORKSHEET) [APP-1481]; McCown Dep. Tr. at 116:19-117:22 (“Q. Let’s stay with this one, Mr. McCown. The incremental costs, those are taken from the exhibit [D]GPMC-004159; is that true? A. Yes. Q. You’ve seen no supporting documents other than the spreadsheet that I just referenced, which I’ll call 4159 for ease of reference, if I may? A. Well, again, the spreadsheet had a separate tab on incremental cost and it was a universe of close to 10,000 actual purchases both for shortfalls and I guess additional volume and it applied the average of all of those actual purchases by contract week and there was another separate tab that went through and mechanically defined each movement to a contract week. And, yeah, I’ve acquainted myself with that very, very detailed spreadsheet. It’s been represented that those were actual purchases and I found it very -- I found the methodology very sound and very reasonable, particularly in each week it was getting actual purchases in using that figure times the shortfall to develop that number.”) [APP-847-848]; Ex. 76 (DG Supplemental Interrogatory Responses) at 31-34 (DG Answer and Supplemental Answer to YM Interrogatory No. 20) [APP-150-153], 34-38 (DG Answer and Supplemental Answer to YM Interrogatory No. 21) [APP-153-157], 42-44 (DG Answer and Supplemental Answer to YM Interrogatory No. 24) [APP-161-163], 45-47 (DG Answer and Supplemental Answer to YM Interrogatory No. 25) [APP-164-166], 48-51 (DG Answer and Supplemental Answer to YM Interrogatory No. 26) [APP-167-170]; Ex. 70 (McCown Report) ¶¶ 223-235 [APP-1540-1541].

310. The McCown Report explains in detail DG's reparations calculations as to Count I. *See* Ex. 70 (McCown Report) ¶¶ 224-235 [APP-1540-1541]; Ex. 75 (DGPMC-0004159) [APP-1730].

310.1. The McCown Report's explanation of DG's reparations calculations as to Count I is consistent with the explanation DG provided to YM in DG's Supplemental R&Os. *See* Ex. 76 (DG Supplemental Interrogatory Responses) at 31-34 (DG Answer and Supplemental Answer to YM Interrogatory No. 20) [APP-150-153], 34-38 (DG Answer and Supplemental Answer to YM Interrogatory No. 21) [APP-153-157], 42-44 (DG Answer and Supplemental Answer to YM Interrogatory No. 24) [APP-161-163], 45-47 (DG Answer and Supplemental Answer to YM Interrogatory No. 25) [APP-164-166], 48-51 (DG Answer and Supplemental Answer to YM Interrogatory No. 26) [APP-167-170]; McCown Dep. Tr. at 158:12-164:22 ("Q. I would like to introduce as Exhibit 76, a document entitled Complainant's Supplemental Objections and Responses to Respondent's First Set of Interrogatories. And if we go down to the bottom, it's also dated April 17, 2026. Mr. McCown, do you see that document on your screen? (McCown Exhibit 76, Complainant's Supplemental Objections and Responses to Respondent's First Set of Interrogatories, was marked for identification.) Q. So Mr. McCown, this is a document referenced in your Appendix B that we just looked at, correct? A. Yes, correct. Q. Before I ask you a question about that, I would like to go back to your report and I would like to go to paragraph 224. Mr. McCown, would you do us the favor of reading that paragraph? A. Yes. 224: This approach basically involves '*(i) identifying the amount by which a carrier fell short of its MQC, (ii) identifying shipments that shipper secured through NVOCC, premium, or other alternative means during the terms of the service contract on the lanes that were supposed to be covered by the service contract, and (iii) awarding as reparations the difference between how much the shipper actually paid for such shipments and how much the shipper would have paid under the service contract terms for the same container on the same lanes.*' Q. That sentence you just read included, the subclause number (ii), identifying shipments that the shipper secured through NVOCC, premium, or other alternative means during the term of the service contract on the lanes that were suppose to be covered by the service contract, correct? A. Yes. Q. Now, if we go back to Exhibit 76, the paragraph that goes from page 50 to 51 reads: Moreover as shown in the shipments tab FOB, Port Name, Column G, and Port Destination Name, Column P, the shipments for which alternative freight was procured was on the same origin to destination pairs, EG EMTN, Ningbo to US east/west coast that were supposed to be covered by the parties' service contract and for which respondent failed to provide sufficient cargo space. Did I read that correctly? A. Yes. Q. That refers us back to what is our Exhibit 75 at the Shipments tab, correct? A. Yes. Q. I'll take Exhibit 76 down. Bring back up Exhibit 75 and we're on the Shipments tab. Do you see the Column G entitled FOB Port Name, correct? A. Yes. Q. That list a number of ports below it, correct? A. Yes. Q. In Column P, there is a column, that column is named Port Dest Name, correct? A. Yes. Q. Would you take that to mean the port destination name? A. I would. Q. So taking that back down, if we go back to 224, the statement you read and -- did any of the documents we reviewed refresh your recollection as to the methodology Dollar General used in calculating its damages? A. Yes, but consistent with my view of the methodology, the term "premium" I tend to think of it as in terms of extra loaders and I think that other place that had premium actually had premium in quotes. Premium is one of those generic words that -- but, yes, clearly that included the so-called premium service. Q. I suppose what I'm -- you recall the discussion that opposing counsel and you had about whether the shipments in Dollar General's damages spreadsheet that we looked at as discussed in the supplemental responses to interrogatories that we looked at in

Exhibit 76 and this paragraph 224 that has that discussion in subclause (ii) that we looked at? MR. KEANE: Objection. Leading. A. Yes, yes, I see that subclause (ii) *and all the lanes that were supposed to be covered by the service contract*. Q. Does the review of the documents we just looked through refresh your recollection as to the methodology Dollar General used in calculating its damages? MR. KEANE: Objection. Asked and answered. A. Yes, it does. And I now realize I was maybe overly influenced by the exhibit in Mr. Vaught's report which I accepted as accurate. Q. Based on your understanding of the incremental cost component of Dollar General's damages spreadsheet, what is your understanding of the information that went into building that incremental cost element? A. ***Yes. And it made sense to me on a week by week basis because it had the actual pricing in that week. And when I looked at the overall figure, I also tested that to see what that resulted in terms of an annual average and not sur -- and compared that to certain spot indices and the number aligned up just as I would expect. It was perhaps 15 or 20 percent higher than the relevant spot. But when you take into account that so many of those loads were provided by NVOCCs who would effectively be paying spot rate, there would be some add-on, so all of the data to me ticked and tied. And I, again, go back to what I thought was methodology to assign each week to the pricing that it was occurring during that week, because you can see from the various spreadsheets there was a lot of movement within that and I thought that was a very reasonable methodology to use, so yes.*** Q. In terms of the incremental costs for each week, as your paragraph 224 subclause (ii) states here, that included the lanes that were supposed to be covered by the service contract, end quote. Correct? MR. KEANE: Objection. Leading. A. Oh, yes, completely.") (emphasis added) [APP-858-859].

311. Appendices C and D of the McCown Report reflect actual shipments undertaken by DG during the 2021 Shipping Year on lanes covered by the 2021 Service Contract, using NVOCCs or ocean freight forwarders, which DG was forced to undertake due to YM's failure to meet its service commitments under the 2021 Service Contract. *See* Ex. 70 (McCown Report) [APP-1482-1543]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Ex. 74 (McCown Report, Appendix D) [APP-1560-1729]; Ex. 75 (DGPMC-0004159) [APP-1730]; McCown Dep. Tr. at 116:19-117:22 ("Q. Let's stay with this one, Mr. McCown. The incremental costs, those are taken from the exhibit TGPMC-004159; is that true? A. Yes. Q. You've seen no supporting documents other than the spreadsheet that I just referenced, which I'll call 4159 for ease of reference, if I may? A. Well, again, the spreadsheet had a separate tab on incremental cost and it was a universe of close to 10,000 actual purchases both for shortfalls and I guess additional volume and it applied the average of all of those actual purchases by contract week and there was another separate tab that went through and mechanically defined each movement to a contract week. And, yeah, I've acquainted myself with that very, very detailed spreadsheet. It's been represented that those were actual purchases and I found it very -- I found the methodology very sound and very reasonable, particularly in each week it was getting actual purchases in using that figure times the shortfall to develop that number.") [APP-847-848]; Ex. 76 (DG Supplemental Interrogatory Responses) at 31-34 (DG Answer and Supplemental Answer to YM Interrogatory No. 20) [APP-150-153], 34-38 (DG Answer and Supplemental Answer to YM Interrogatory No. 21) [APP-153-157], 42-44 (DG Answer and Supplemental Answer to YM Interrogatory No. 24) [APP-161-163], 45-47 (DG Answer and Supplemental Answer to YM Interrogatory No. 25) [APP-164-166], 48-51 (DG Answer and Supplemental Answer to YM Interrogatory No. 26) [APP-167-170].

311.1. Appendix C of the McCown Report is based on the spreadsheet entered into the record as Exhibit 75 with Bates stamp DGPMC-0004159. *See* Ex. 75 (DGPMC-0004159) [APP-1730].

311.2. Appendix D of the McCown Report is based on the spreadsheet entered into the record as Exhibit 69 with Bates stamp DGPMC-0084151. *See* Ex. 69 (DGPMC-0084151 – WORKSHEET) [APP-1481].

312. Appendices C and D of the McCown Report apply the methodology set forth in McCown Report paragraphs 222 through 235. *See* Ex. 70 (McCown Report) ¶¶ 222-235 [APP-1539-1541].

313. There is no error in DG's calculation of shortfall damages as to Count I.

313.1. McCown opines that DG's shortfall damage calculation is accurate, reliable, and fully supported by the underlying production documents and prevailing market data. *See* Ex. 70 (McCown Report) ¶¶ 222, 241-243 [APP-1539, APP-1542].

313.2. Specifically, McCown confirms that YM carried only 616.13 FEUs against DG's MQC of 2,226 FEUs during the 53-week contract period, resulting in a shortfall of 1,610 FEUs and a total incremental excess cost of \$14,772,354.95. *See* Ex. 70 (McCown Report) ¶ 72 [APP-1503].

313.3. McCown further opines that this damage figure is independently corroborated by the Drewry Shanghai to Los Angeles weekly spot rate, which averaged \$9,635 per FEU during the 2021 contract period, more than three times DG's contracted rate of \$2,830 per FEU, confirming that the spot rates used in DG's week-by-week damage calculation are consistent with the most credible and widely followed spot rate benchmark for the relevant trade lane. *See* Ex. 70 (McCown Report) ¶¶ 59, 73 [APP-1500, APP-1503].

313.4. McCown also confirms the immediate and severe nature of YM's shortfall, noting that actual volume in the first week of the contract year was 0 FEU out of a weekly entitlement of 42 FEUs (a 0% compliance rate) and that actual volume in the first month was only 6.923 FEUs out of a monthly MQC of 168 FEUs (a 4.12% compliance rate), confirming that DG's need to seek replacement carriage at spot market rates arose from the very first day of the contract year and persisted without meaningful improvement throughout all 53 contract weeks. *See* Ex. 70 (McCown Report) ¶ 75 [APP-1504].

313.5. McCown further opines that DG's 27.7% full-year compliance figure "approximated both DG's initial experience and the overall experience of other BCOs that were similarly treated by YM," confirming that the damage calculation accurately reflects a consistent, sustained, and system-wide pattern of MQC non-compliance rather than any isolated or aberrational shortfall. *See* Ex. 70 (McCown Report) ¶ 75 [APP-1504].

313.6. Finally, McCown sets forth in Appendices C and D the actual shipments DG was forced to undertake through NVOCCs and ocean freight forwarders during the 2021 contract year on lanes covered by the 2021 Service Contract, organized by contract week, origin port, destination port, vessel, sail date, container volume, actual spot rate paid, YM's contracted

base rate, and resulting per-FEU incremental excess cost, providing the complete and auditable evidentiary foundation for every dollar of DG's shortfall damage claim. *See* Ex. 70 (McCown Report) ¶¶ 58, 72 [APP-1500, APP-1503]; Ex. 73 (McCown Report, Appendix C) [APP-1554-1559]; Ex. 74 (McCown Report, Appendix D) [APP-1560-1729].

B. Count II: Violation of 46 U.S.C. § 41104(a)(2) (“Conduct not in accordance with Service Contracts”)

314. YM's conduct not in accordance with the 2021 Service Contract caused DG to incur the same losses alleged under Count I. *Supra* Argument §§ I, VII.A.

C. Count III: Violation of 46 U.S.C. § 41104(a)(10) (“Unreasonable refusals to deal or negotiate”)

1. Yang Ming's failure to fulfill its MQC service commitments to Dollar General during the 2021 Shipping Year caused Dollar General to incur losses.

315. YM's unreasonable refusals to deal or negotiate with DG during the 2021 Shipping Year caused DG to incur the same losses alleged under Count I. *Supra* Argument §§ I, VII.A.

2. Yang Ming's failure to engage in reasonable negotiations with Dollar General for the 2022 Service Contract following protected conduct by Dollar General caused Dollar General to incur losses, which were the result of Yang Ming's retaliatory conduct towards Dollar General, and thus entitled to statutory doubling.

316. YM's knowingly improper failure to engage in negotiations with DG for the 2022 Service Contract in a reasonable manner following protected conduct by DG, resulting in YM cutting DG's MQC by 905 FEUs in the 2022 Service Contract (1,321 FEUs) as compared to the 2021 Service Contract (2,226 FEUs), caused DG to incur losses of \$80,972,085.30. *Supra* Argument §§ VI-VI.D.2; *infra* Argument §§ VII.F-G.

317. YM's knowingly improper failure to engage in negotiations with DG for the 2022 Service Contract in a reasonable manner following protected conduct by DG was part of YM's retaliatory conduct. *Supra* Argument § VI; *infra* Argument §§ VII.F-G.

317.1. DG's losses of \$80,972,085.30 are entitled to statutory doubling under the former 46 U.S.C. § 41104(A)(3) (now codified at 46U.S.C. § 41102(d)). *Supra* Argument § VI; *infra* Argument §§ VII.F-G.

D. Count IV: Violation of 46 U.S.C. § 41104(a)(5) (“Unfair or unjustly discriminatory practice in the matter of rates or charges with respect to specific ports”)

318. Yang Ming's practices of systematically failing to meet service commitments, refusing to honor contract rates, and failing to provide vessel space for shipments destined for or originating

from specific ports constituted unfair and unjustly discriminatory practices in the matter of rates and charges with respect to those ports. *Supra* Argument § IV.

319. By prioritizing higher-priced cargo and redirecting vessel capacity to other world regions or routes, Yang Ming engaged in a clear pattern of conduct targeted at the localities serviced under Complainant’s contract, rather than legitimate transportation factors, in violation of 46 U.S.C. § 41104(a)(5). *Supra* Argument § IV.

320. YM’s unfair or unjustly discriminatory practice in the matter of rates or charges with respect to specific ports caused DG to incur the same losses alleged under Count I. *Supra* Argument §§ I, VII.A.

E. Count V: Violation of 46 U.S.C. § 41104(a)(9) (“Undue or unreasonable preference or advantage or impose any undue or unreasonable prejudice or disadvantage with respect to any port”)

321. YM’s systematic failure to provide vessel space and meet service commitments for Complainant’s cargo originating from or destined for specific ports—specifically including, in particular, from Shenzhen, China to Los Angeles/Long Beach, California, from Ningbo, China to Los Angeles/Long Beach, California, and from Shanghai, China to Los Angeles/Long Beach as well as ports on the East Coast of the United States—gave undue and unreasonable preference and advantage to other shippers shipping to or from those ports while simultaneously imposing undue and unreasonable prejudice and disadvantage on Complainant’s cargo to be shipped to or from those ports. *Supra* Argument § V.

322. By prioritizing more lucrative routes and higher-priced cargo at the expense of its contractual obligations to Complainant with respect to these specific ports, and redirecting vessel capacity to other world regions or routes, YM engaged in a clear pattern of conduct targeted at the port pairs that were supposed to be covered by Complainant’s 2021 Service Contract, rather than legitimate transportation factors, in violation of 46 U.S.C. § 41104(a)(9). *Supra* Argument § V.

323. YM’s pattern of conduct targeted at the port pairs that were supposed to be covered by Complainant’s 2021 Service Contract, rather than legitimate transportation factors, in violation of 46 U.S.C. § 41104(a)(9) caused DG to incur the same losses alleged under Count I. *Supra* Argument §§ I, VII.A.

F. Count VI: Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified at 46 U.S.C. § 41102(d)) (“Retaliation”)

324. As to Count VI, DG is entitled to statutory doubling of reparations from YM in the amount of \$14,772,355 for DG’s violations in Counts I through V. *See* Ex. 70 (McCown Report) ¶ 236 [APP-1542]; *supra* Argument §§ I-VII.A-E.

325. As to Count VI, as described further below at Argument § VII.G, DG is entitled to statutory doubling of reparations of \$80,972,085.30 for YM’s unreasonable refusal to deal as it relates to the 2022 Service Contract and 2022 Shipping Year. *See* Ex. 70 (McCown Report) ¶ 236 [APP-1542]; *supra* Argument §§ I-VI, VII.C.2, VII.G.

326. There is no evidence supporting a contention that YM would be unable to pay a reward of double damages.

G. Lost Profits

327. As to Lost Profits, DG is entitled to reparations from YM in the amount of \$80,972,085.30 as to YM's unreasonable refusal to deal as it relates to the 2022 Service Contract and 2022 Shipping Year. *See* DGFMC-0090079 (Declaration of Brian D. Haug, dated September 23, 2026 (the "Haug Declaration")) [APP-4456]; DGFMC-0090088(Exhibit A to Haug Declaration (the "DG Lost Profits Analysis")) [APP-4465]; *supra* Argument §§ I-V, VII.A-E.

328. As to Lost Profits, DG is entitled to statutory doubling of reparations from YM in the amount of \$80,972,085.30 as to YM's unreasonable refusal to deal as it relates to the 2022 Service Contract and 2022 Shipping Year. *See* DGFMC-0090079 (Haug Declaration) [APP-4456]; DGFMC-0090088 (DG Lost Profits Analysis) [APP-4465]; *supra* Argument §§ VI, VII.F.

329. DG quantified its lost profits damages incurred as a result of YM's conduct by using DG's average profit per container during the 2022 Shipping Year. *See* DGFMC-0090079 at DGFMC-0090079 (Haug Declaration § 2) [APP-4456]; DGFMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.1. To do so, DG gathered data from multiple sources—including DG's purchase-order receipt records, item-master data, and the governing Yang Ming service contract—and prepared a spreadsheet quantifying the profitability, on a per-container basis, of the merchandise DG shipped during the relevant period (the "DG Lost Profits Analysis"). *See* DGFMC-0090079 at DGFMC-0090079 (Haug Declaration §§ 2-3) [APP-4456]; DGFMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.2. The calculations in the DG Lost Profits Analysis are based on actual shipments and profits recorded from May 1, 2022 to April 30, 2023, which is the period covered by the 2022 Service Contract. *See* DGFMC-0090079 at DGFMC-0090079-90080 (Haug Declaration § 4) [APP-4456-4457]; DGFMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.3. DG verified the DG Lost Profits Analysis's accuracy by cross-referencing the quantity of goods shipped over time against financial reports on imports. The calculations in the DG Lost Profits Analysis are based on actual shipments and profits recorded from May 1, 2022 to April 30, 2023, which is the period covered by the 2022 Service Contract. *See* DGFMC-0090079 at DGFMC-0090080 (Haug Declaration § 5) [APP-4457]; DGFMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.4. The DG Lost Profits Analysis contains three tabs:

329.4.1. The "Export 22" tab contains 116,613 line-item records of merchandise DG received during SY 2022 with each record corresponding to a single purchase-order line, that is, a unique purchase-order-and-SKU pair. *See* DGFMC-0090079 at DGFMC-0090080 (Haug Declaration §§ 6-7) [APP-4457]; DGFMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.4.2. The “Contract 22” tab reflects the lanes covered by the Yang Ming service contract for the 2022-2023 shipping year, *See* DGPMC-0090079 at DGPMC-0090081 (Haug Declaration §§ 8-9) [APP-4458]; DGPMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.4.3. The “Pivot 22” tab summarizes the analysis and computes the lost-profits figure pursuant to the methodology described in the Haug Declaration. *See* DGPMC-0090079 at DGPMC-0090081-90087 (Haug Declaration §§ 10-22) [APP-4458-4463]; DGPMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.5. The methodology in the Haug Declaration yields DG’s lost profits of \$80,972,085.30 for the 2022 Shipping Year. *See* DGPMC-0090079 at DGPMC-0090087 (Haug Declaration § 23) [APP-4464]; DGPMC-0090088 (DG Lost Profits Analysis) [APP-4465].

329.6. There is no error in DG’s calculation of lost profits as to Count III.

330. YM has failed to identify any specific issues with the detailed data used in DG’s lost profits analysis.

VIII. Yang Ming’s Proffered Experts

A. Gary Kardian

1. Experience

331. In his experience providing expert opinions before the Federal Maritime Commission, Kardian’s interpretation of the Shipping Act is unreliable.

331.1. In *China United Lines, Ltd. v. Amazon.com Services LLC, et al.*, Dkt. 25-04, 2025 WL 1675842, at *22 (FMC June 6, 2025), Kardian’s interpretation of 46 C.F.R. § 530.10(e)(2), specifically, his claim that a service contract is cancelled by default absent a filed amendment, has been rejected as inconsistent with the plain language of the regulation.

331.2. In *Way Interglobal Network LLC v. Shenzhen Unifelix SCM Limited*, Dkt. 22-28, 2024 WL 1741944, at *27 (FMC April 19, 2024), Kardian’s opinion that the Transport Contract is neither an NVOCC Service Arrangement (“NSA”) nor an NVOCC Rate Arrangement (“NRA”) was rejected, as the agreement was deemed sufficient to guide the parties’ expectations.

332. Kardian admitted that he is not an expert in the financial evaluation or valuation of companies. *See* Kardian Dep. Tr. 12:23-13:1 (“Q. Okay. And would you consider yourself an expert in the financial evaluation or valuation of companies? A. No.”) [APP-478].

2. Credibility

333. The Kardian Report fails to identify or cite the documents on which it relies, omits corresponding Bates-number citations, and does not provide a complete list of other proceedings

in which Mr. Kardian has offered expert testimony, contrary to the Commission's procedural requirements set forth in 46 C.F.R. § 502.141(d)(2). *See* Ex. 88 (Kardian Report) [APP-1882-1962].

333.1. Kardian did not maintain a list of documents he reviewed in preparing his report. *See* Kardian Dep. Tr. 18:19-19:8 (“Q. So then is it fair to say that you reviewed documents in the preparation of your report? A. Yes. Q. Okay. . . . Q. And did you maintain a list of all of those documents anywhere? A. No, I did not maintain a list.”) [APP-480].

334. Kardian did not speak with anyone at Yang Ming other than the company's corporate counsel, Norman Choi. *See* Kardian Dep. Tr. 17:22-25 (“Q. And who did you speak with at Yang Ming in preparing your report, other than Mr. Choi? A. No one else.”) [APP-479].

335. Kardian did not review any service contracts other than the Dollar General contract at issue. *See* Kardian Dep. Tr. 91:25-92:17 (“Q. During the 2021 to 2022 service contract year, were the NVOCC rates typically higher than the BCO contract rates? A. Yes. Q. How much higher? A. well, a good question. I don't – first of all, I don't work at the FMC anymore. So we used to keep files on rates. It would be hard to say how much they were off the top of my head. I could throw out a number, but I don't know, again, how – how high that number would be. Q. Okay. Do you know the number with respect to Yang Ming, based on your retention as an expert for Yang Ming in this case? A. I didn't – I really – outside of the Dollar General contract, I did not look at any other service contracts to compare it to. So I don't know what that number would be.”) [APP-498].

336. Kardian made no effort to investigate how Yang Ming responded to the COVID-19 pandemic when entering into service commitments for the 2021–2022 contract year, despite opining that unprecedented port congestion was the primary reason carriers could not satisfy their contractual service commitments. *See* Kardian Dep. Tr. 63:25-64:6 (“Q. Have you spoken with anyone or done any investigation of the facts into how Yang Ming reacted to the COVID-19 pandemic when entering into service commitments for the 2021 to 2022 service contract year? A. I did not speak to anyone or exchange emails with anyone.”) [APP-491]; Exhibit 88 (Kardian Report), at 21 (“[D]espite rigorous operational planning, Yang Ming's (and every other carrier's) ability to provide full contracted-for allocations was made impossible. This inability to fully perform the commitments made in service contracts was a direct consequence of the quantifiable reduction in capacity caused by port congestion and restricted contract performance across the entire industry.”) [APP-1902].

337. Kardian admitted that he did not know whether Yang Ming adjusted its anticipated capacity for the 2021–2022 contract year in response to the ongoing pandemic that began in early 2020. *See* Kardian Dep. Tr. 64:10-15 (“Q. Do you know whether Yang Ming adjusted its anticipated capacity for the 2021 to 2022 service contract year in light of the ongoing pandemic that began in the beginning part of 2020? A. In answer to your question, I do not know.”) [APP-491].

338. Kardian did not know the total MQC Yang Ming entered into with either BCOs or NVOCCs for the 2020–2021 or 2021–2022 contract years. *See* Kardian Dep. Tr. 65:2-11 (“Q. Okay. Do you know the total MQC that Yang Ming entered into with either BCOs or NVOCCs for the 2020 to 2021 service contract year? A. I do not know, no. Q. Do you know that number for

the 2021 to 2022 service contract year? A. I do not know, no. Q. Do you know whether the 2021 to 2022 amount was higher or lower than the prior year? A. I do not know.”) [APP-491].

339. Due to purported time constraints, Kardian conducted no investigation into how Yang Ming actually allocated capacity or MQCs to customers it considered difficult to service. *See* Kardian Dep. Tr. 161:6-13 (“Q. Did you do any investigation to determine what Yang Ming actually did with respect to the capacity or the MQC given to customers that it considered difficult to deal with? A. I did not, mostly because I had a very limited time constraint here to finish the report. I would have if I would have had a much longer period of time.”) [APP-515].

340. Kardian’s Report should not be given any weight by the Presiding Officer as it contains no quantitative analysis and instead relies on anecdotal examples and commentary on Complainant’s allegations. *Infra*.

340.1. Kardian incorrectly asserted that “Yang Ming as well as other carriers incurred losses in the first half of 2020”, even though Yang Ming’s financial statements show that, in 2020, its income-to-revenue margin increased by more than ten percentage points to 8.1%, total revenue rose to approximately \$5.138 billion, and net income reached approximately \$414 million. *See* Ex. 88 (Kardian report), at 18 (“Yang Ming as well as other carriers incurred losses in the first half of 2020 during the COVID outbreak as shipping from Asia was bleak.”) [APP-1899]; Ex. 70 (McCown Report) Table 1, at 9 [APP-1491].

340.2. Kardian opined that unprecedented port congestion caused by the COVID-19 pandemic reduced Yang Ming’s available capacity for the 2021–2022 service contract year and prevented it from satisfying its contractual service commitments. *See* Kardian Dep. Tr. 56:8-16 (“Q. So moving specifically to – to your report, is it fair to say that as part of your report, it’s your opinion that unprecedented port congestion brought on by the COVID-19 pandemic caused Yang Ming to have lower capacity than anticipated for the 2021 to 2022 service contract year such that it was not able to satisfy its service commitments to customers? A. Yes.”) [APP-489].

340.2.1. Yet Kardian admitted that he did not know how many TEUs or FEUs Yang Ming actually shipped during the 2021–2022 contract year. *See* Kardian Dep. Tr. 57:6-10 (“Q. And do you know how many either TEUs or FEUs that Yang Ming shipped in the – during the 2021 to 2022 service contract year? A. I do not know at that – in fact, I don’t remember seeing that information provided.”) [APP-489].

340.2.2. Table 3 of McCown’s report expressly compares Yang Ming’s TEU volume against overall industry volumes from 2019 through 2022 and demonstrates that Yang Ming’s TEU volume increased from 4.414 million TEUs in 2021 to 4.613 million TEUs in 2022. *See* Ex. 70 (McCown Report) at 12 [APP-1494].

340.2.3. Kardian admitted that he conducted no independent investigation into why Yang Ming’s performance differed from the broader

industry. *See* Kardian Dep. Tr. 61:13-18 (“Q. But did you do an independent investigation based on information that you found specifically with respect to Yang Ming that would explain the difference between Yang Ming versus the industry? A. I did not, no.”) [APP-490]; Ex. 70 (McCown Report), at 12 [APP-1494].

340.3. Kardian’s opinion that Yang Ming acted reasonably with respect to alleged service shortfalls is premised on the unsupported assumption that Yang Ming expected pandemic-related disruptions to improve. *See* Ex. 88 (Kardian Report), at 26 [APP-1907].

340.3.1. Kardian opined that Yang Ming relied on contemporaneous medical and scientific expectations regarding a return to normalcy. *See* Ex. 88 (Kardian Report), at 26 (“It’s important to note that due to the uncertainty of the pandemic and how long it would last, Yang Ming like other carriers had to make an educated appraisal as to when things would revert back to pre-COVID and back to a sense of normalcy. In that regard, Yang Ming undertook to sign service contracts with both BCOs and NVOs like they had done for decades. At that time, with various vaccines’ arrival things were reasonably expected to get back to normal shortly.”) [APP-1907]; Kardian Dep. Tr. 68:8-15 (“Q. So as a part of your testimony, I believe, to extract just a portion of it, you said that Yang Ming relied upon the science, that there would be a return to normalcy for purposes of port congestion starting around the beginning of the 2021 to 2022 service contract year the correct summary of your testimony? A. Yes. I – I believe so, yes.”) [APP-492].

340.3.2. Yet Kardian admitted that his opinions concerning Operation Warp Speed, herd immunity, and Yang Ming’s expectations of normalization were entirely speculative because he never spoke with anyone at Yang Ming and never reviewed any document showing that Yang Ming actually considered those factors. *See* Kardian Dep. Tr. 128:19-129:6 (“Q. And speaking of return to normalcy, here on Page 26, you – you talk about Operation Warp Speed and U.S. officials talking about herd immunity. Did you speak with anyone at Yang Ming about whether or how Yang Ming considered these – the – kind of the scientific evidence at the time in making its plan for the 2021 service contract year? . . . The witness: I did not speak to anyone at Yang Ming.”) [APP-507], 131:16-16 (“Q. So your report here says that – you’re making statements about Operation Warp Speed and statements by U.S. official Moncef Slaoui regarding herd immunity, correct? A. That’s correct. Q. Is this in your report because you know that Yang Ming was considering these statements? Yes or – if you could answer that as ‘yes’ or ‘no,’ I would appreciate it. Is that the reason they are here? A. No.”) [APP-508], 132:1-12 (“Q. Did you read anywhere in the record that’s been given to you that Yang Ming was considering these factors specifically that are listed in this paragraph that goes from Page 25 to 26 of your report? The witness: My answer to that question: I never read anything in the record. But in – in what ocean carriers do, and having worked for Yang Ming, you have to plan for the forthcoming service contract year.”) [APP-508].

340.3.3. In an internal email dated May 7, 2021, Yang Ming employee Sandy Hsu acknowledged that “[a]ll customers are facing space problems

now” and that “it would be difficult to get space for the prorated MQC volume,” while acknowledging that “this situation will keep lasting and won't be solved in short period.” *See* YM_00814513 at YM_00814513 [APP-2103].

340.4. Kardian opined that Yang Ming’s and every other carrier’s ability to provide full contracted-for allocations was “made impossible” by pandemic-related port congestion, even though McCown’s analysis shows that available shipping capacity in 2021 and 2022 actually *increased* compared to the prior two years—numbers Kardian admitted he had no basis to dispute and appeared, based on his knowledge and experience, to be accurate. *See* Kardian Dep. Tr. 60:1-9 (“Q. Okay. And, again, you – but you testified that you have no basis to believe that these are incorrect, right? A. Correct. I – again, I was looking based upon my knowledge – we looked at all carriers when I worked at the FMC, based upon volume and versus what happened during the pandemic. So these – these numbers seem to be accurate, as far as I’m concerned.”) [APP-490], 102:5-9 (“Q. You wrote in your report that it’s your opinion that Yang Ming and every other carrier’s ability to provide full contracted-for allocations was made impossible, correct? A. I did write that, yes.”) [APP-501]; Ex. 88 (Kardian Report), at 21 [APP-1902]; Ex. 70 (McCown Report), at 12 [APP-1494].

340.4.1. Kardian performed no analysis of Yang Ming’s actual performance against its service commitments. *See* Kardian Dep. Tr. 105:11-16 (“Q. But you also did not conduct an analysis of Yang Ming’s performance against its service commitments, did you?” A. No. Again, what I based it on was Mr. Yeh’s testimony in the Bed Bath & Beyond case against Yang Ming.”) [APP-501].

340.4.2. Kardian performed no analysis of whether other VOCCs met their service contract commitments during the same period. *See* Kardian Dep. Tr. 105:1-10 (“Q. You didn’t perform an analysis of every VOCC’s performance against its service contract commitments, did you? A. I did not, because in order to do that, I would have had to have been at the FMC to gather that information. And given the time constraints of writing this report, that would have been a Herculean effort, to have to reach out to every carrier and – if they would be willing to provide that information.”) [APP-501].

340.5. Kardian opined that, before COVID-19, an 8,000-TEU vessel could complete approximately 10–11 round trips per year, but because of port congestion during the pandemic, the same vessel could complete only 6–7 round trips annually. *See* Ex. 88 (Kardian Report), at 23 (“For example, if an 8,000 TEU vessel was running on the USWC trade without delay, it may be able to make 10-11 round trips per year. That means that vessels could carry as much as 88,000 TEUs per year. However, during COVID, due to the delays caused by port congestion, that same vessel might only have been able to make 6-7 roundtrips per year, reducing that vessel’s annual carrying capacity to as little as 48,000 TEUs.”) [APP-1904].

340.5.1. Kardian admitted that his “6–7 round trips per year” estimate was not based on actual Yang Ming vessel data and that he lacked the information necessary to verify the estimate. *See* Kardian Dep. Tr. 113:1-22 (“Q. Why did you choose 6 to 7 as your example here in terms of round trips per year? A. Right. Because when I looked at this, I had looked at what the waiting time was in the

ports of L.A., Long Beach. But, again, for the West Coast, you're not only talking about L.A., Long Beach. There are other ports on the West Coast, including Canadian ports, which impact the overall capacity. So it's the turnaround time that you lose when vessels are sitting idle that – that constrains capacity. Q. Were these numbers representative of Yang Ming's transpacific average voyage changes? A. Based upon the information that I used from L.A., Long Beach, I would say it's – it should be very close. Is it actual? I don't – I don't know – for actual, you would have to take every single vessel during that period to come up with a calculation, and I did not have that information available.") [APP-503].

340.6. Kardian's claim that Yang Ming reduced MQCs "for everyone" is similarly unsupported. *See* Exhibit 88 (Kardian Report), at 31 ("Mr. Winston Yeh, head of transpacific routes for Yang Ming at the time at issue testified in a different FMC proceeding which testimony I have reviewed that Yang Ming reduced MQC for everyone.") [APP-1912].

340.6.1. Kardian admitted that he relied exclusively on testimony from another witness, had no independent basis for the statement, and did not know either the percentage reductions applied or whether reductions were implemented consistently across customers. *See* Kardian Dep. Tr. 134:16-135:18 ("Q. All right. You write in your report . . . that Mr. Yeh, head of transpacific routes for Yang Ming, testified in a different FMC proceeding, which testimony I have reviewed, that Yang Ming reduced MQC for everyone, correct? A. Correct. Q. Do you have an independent basis for that statement that Yang Ming reduced MQC for everyone, other than Mr. Yeh's testimony? A. No. I – I based it upon what his testimony was, because it seemed very logical and practical that – I do believe he qualified that. There may have been two accounts – long-standing accounts that he mentioned that – with that exception, that that was what their approach had been. **Q. Do you know what the percentage reduction was for everyone? A. I do not know, no. Q. Do you know if the percentage reduction was the same for everyone? A. I mean, because I'm sure there is hundreds, if not thousands, of accounts that they have, I doubt if it was the same for everyone.**") (emphasis added) [APP-509].

340.7. Contemporaneous internal documents directly contradict Kardian's testimony that Yang Ming did not enter into MQC commitments exceeding its anticipated available capacity. *See* Kardian Dep. Tr. 154:18-25 ("Q. So – my question – so to ask a more specific question, did – to your knowledge, did Yang Ming sign more MQC than it anticipated actually having in anticipation of a certain percentage of its shippers having fall-downs and failing to carry – failing to book and ship the amounts in the service contracts? A. Not to my knowledge.") [APP-514].

340.7.1. On May 7, 2021, Sandy Hsu admitted in an email: "Frankly speaking, . . . the total MQC we sign[ed] this year is already more than the space we can provide." *See* Ex. 40 (YANGMING00261030) at YANGMING00261030 [APP-1303]; Ex. 70 (McCown Report) ¶ 84 [APP-1505].

341. Kardian did not review Chief Judge Wirth's Initial Decision in the FMC proceeding brought by Bed Bath & Beyond against OOCL. *See* Kardian Dep. Tr. 38:19-24 ("Q. Have you

reviewed the initial decision by the Federal Maritime Commission's Chief Judge Wirth in the case brought by Bed Bath & Beyond against OOCL? A. I have not had a chance to review that yet, no.") [APP-485].

341.1. Instead, Kardian admitted that he had read only an article summarizing the award and claimed that "each case is . . . a separate proceeding." *See* Kardian Dep. Tr. 39:5-18 ("Q. Do you have an understanding that the – from what you have been able to look at, that Chief Judge Wirth found that OOCL violated the Shipping Act by allocating space away from Bed Bath & Beyond so that it could give that service contract space to higher-priced customers? A. I mean, in the article I read, it basically said what the award was. I did not – I don't think the article went into that depth about it. It just said, you know, the award was X amount of dollars and – you know. But I really – again, I have not – I've been too busy to take a look at it, to be honest.") [APP-485], 40:1-11 ("Q. Okay. And in your opinion as an expert in this case, would the initial decision by Chief Judge Wirth and the facts of that case be relevant to determining whether a VOCC violated the Shipping Act in its conduct? A. So each case is – is, basically, in and of itself a separate proceeding. So, I mean, I'm sure you can draw, you know, inferences from one case to another. But I think everything is fact-based upon the evidence provided, and I think that's what it boils down to.") [APP-485].

342. The Kardian Report addresses only liability and offers no analysis regarding damages, and Kardian admitted that he did not evaluate or critique McCown's damages calculations because doing so was outside the scope of his engagement and expertise. *See* Kardian Dep. Tr. 212:1-7 ("Q. Okay. Did you undertake, though, in the scope of your capacity as an expert in this case, to evaluate Mr. McCown's report with respect to his damages calculations? A. Again, I looked at what he had put in the chart. However, that was done by another expert.") [APP-528], 212:15-20 ("A. I – I looked at his chart, but that – that was not my expertise, in looking at the calculations. Because that – that would have involved a significant amount of work, and that was not, basically, what – what I was hired to do.") [APP-528].

3. Bias

343. Kardian's opinions should be discounted because he previously worked for Yang Ming America for more than a decade, from 1998 through June 2009, creating an inherent conflict and potential bias in favor of Yang Ming. *See* Kardian Dep. Tr. 22:13-18 ("Q. And what was the – what was the legal entity that you worked for? Was it Yang Ming Marine Transport Corp. or some other legal entity? A. It was Yang Ming America. Q. How long did you work for Yang Ming? A. From 1998 to Juen of 2009.") [APP-481].

B. Donald Maier

1. Experience

344. Maier's professional industry experience with ocean freight was limited to his role at a BCO (through a freight forwarder) at Monsanto and he has never worked for a VOCC or an NVO. *See* Maier Dep. Tr. 27:25-28:5 ("Q. Have you ever worked for an ocean -- a VOCC? A. No, I have not. Q. Have you ever worked for an NVO? A. No, I have not. I have always been a BCO.") [APP-702].

345. None of Maier's industry positions beyond Monsanto involved ocean freight in any capacity: his time at Federal Express, Office Depot, and Penske Logistics related to domestic freight/trucking. *See* Maier Dep. Tr. 30:10-18 ("Q. Did your time at Federal Express Corporation touch on ocean freight? A. No, it did not. Q. Did your time at Office Depot touch on ocean freight? A. No, it did not. Q. Did your time at Penske Logistics touch on ocean freight? A. No, it did not.") [APP-703].

346. Maier holds himself out as a "logistics and transportation expert" and, at most, a "port operations" expert, and does not hold himself out as an expert in any other area for purposes of this proceeding—including ocean carrier service contracts, MQCs, or carrier obligations to BCO customers. *See* Maier Dep. Tr. 35:18–36:9 ("Q. So would it be fair to say that you hold yourself out as a logistics and transportation expert? A. That's correct. Q. Do you hold yourself out as any other kind of expert in this case? A. Well, maritime falls underneath the logistics piece, too. So I could say I am also an expert in port operations, if you want to, you know, include in that part. Q. Okay. But other than that, you don't -- you are -- in this case, you are not setting yourself set forth as an expert in any other area, correct? A That's correct.") [APP-704].

347. Maier is unqualified to provide legal conclusions.

347.1. Maier has no legal training, holds no law degree, and has never been licensed to practice law. *See* Maier Dep. Tr. 36:10-12 ("Q. And you don't have a law degree, do you? A. A law degree? No, sir.") [APP-704].

347.2. Maier admitted that his understanding of the Shipping Act does not come from a legal background or training, but rather from a practical perspective. *See* Maier Dep. Tr. 37:15-19 ("Q But that understanding doesn't come from a legal background or training, correct? A That's correct, right. It's from a practical perspective.") [APP-704].

347.3. Maier acknowledged that his interpretation of the Shipping Act comes purely "from a practitioner's perspective" and conceded his understanding of the Shipping Act is not on par with that of a maritime attorney. *See* Maier Dep. Tr. 140:4-14 ("Because my perspective and my interpretation of the Shipping Act will be more from a practitioner perspective, where I would assume that yours and Edwards would be more from the legal perspective.") [APP-730].

347.4. Maier admitted that while he wrote the legal citations in his report, he does not have a credible legal understanding of the authorities cited. *See* Maier Dep. Tr. 270:2-13 ("Q So the person who wrote this sentence doesn't have a credible legal understanding of the authorities cited here, correct? A Well, the person writing it was me, and I am not just going to randomly grab a case. But again, as pointed out, I am not an attorney. So if there is more relevant case I should have used, okay, then shame on me for not finding more relevant cases.") [APP-763].

347.5. Maier used AI tools to assist with citation formatting for his report, acknowledging that he was uncertain how to properly cite legal statements because he has never received legal training. *See* Maier Dep. Tr. 39:18-40:8 ("Q. Were you assisted in that preparation by artificial intelligence tools? A. Only in regards to looking for the proper citational

format [. . .] I asked AI, what's the best way to cite a legal statement. So when I referenced OSRA, as well as a Congressional hearing [. . .] I just want to make sure I had the reference citation noted properly, the format.") [APP-705].

347.6. Maier had not reviewed any case law in preparation for writing the report, other than briefly accessing one case, a *Samsung v. Yang Ming* matter, which he did not review in its entirety and ultimately did not reference in his report. *See* Maier Dep. Tr. 59:23-60:12 ("Q Did you review any case law? A Did I review a case law? Q If you don't know, you can answer 'I don't know.' A Well, I want to make sure that I understand it correctly. So in preparation for writing the report, I believe there was a case that I referenced in this. I did have access to a case, I think it was Samsung versus Yang Ming. I did not review that in entirety, because I didn't feel as if it would help my report more in-depth. So I had access to it. I did not reference it here.") [APP-710].

348. This is Maier's first-ever expert report submitted in any legal proceeding. *See* Maier Dep. Tr. 61:17-22 ("Q. And I believe you testified earlier that this was – this is your first expert report submitted in a US – you know, in any legal case; is that correct? A. That is correct.") [APP-710].

349. Maier has never previously been deposed in any court or regulatory setting. *See* Maier Dep. Tr. 5:18-20 ("Q. Don, have you ever been deposed before? A. No, I have not.") [APP-696].

350. Maier was retained by YM's in-house counsel on approximately April 23, 2026, and submitted his report on May 8, 2026, approximately 15 days from first contact to submission. *See* Maier Dep. Tr. 38:16-39:3 ("Q And Don, how did you become retained in this case? A. Norman Choi contacted me on, I believe, April 28th is when we had our very first meeting [...] I believe he contacted me roughly about Thursday, April 23rd") [APP-705].

2. Credibility

351. Although Maier testified that his report was intended to rebut McCown's expert report, Maier admitted that he never once mentioned McCown by name anywhere in Maier's report. *See* Maier Dep. Tr. 48:18-49:7 ("Q. Don, you don't mention John McCown in your report, do you? A. I don't believe I actually reference his name per se, Lee. Q. Let me do a control F for us so we can all be clear. A. Okay. Q. You see on your screen that I just typed in John McCown's last name? A. Yes. Q And the response that came up is that no matches were found? A. Okay. Q. Is that correct? A. That is correct.") [APP-707].

351.1. Maier admitted that anyone reading his report would have no knowledge that John McCown, the individual, much less the McCown Expert Report, even exists. *See* Maier Dep. Tr. 52:15-22 ("A. Okay. On the face of that, if someone is reading my May 8, report, they may not be able to connect my report as a rebuttal to John's -- to Mr. McCown's. Q. In fact, it would be impossible, right, because McCown isn't mentioned at all? A. That's correct.") [APP-708].

352. Maier listed "concluding testimony" as one of four "interrelated operational frameworks" in his report, alongside the Theory of Constraints and ABC Analysis and, when pressed, could not explain how a conclusion constitutes an independent analytical framework in any recognized sense.

See Ex. 82 (Maier Expert Report) at 5 [APP-1799]; Maier Dep. Tr. 135:6-18 (“Q. What kind of operational framework is concluding testimony? A. Well, I would suspect I would provide or would need to provide some type of conclusion to the report. So based on (c), (b) and (c), that it is going to lead to (d). I am kind of summarizing that based on everything above, here is what I find to be the conclusion of the report. Q. Are you saying your concluding testimony is an operational framework? A. I believe so, yes.”) [APP-729].

353. Maier cited the FMC’s interpretive rule on detention and demurrage (46 C.F.R. § 545.5) in his report despite acknowledging that this case does not involve detention and demurrage claims. *See* Ex. 82 (Maier Expert Report) at 15, 23, 24 [APP-1809, APP-1817].

353.1. When asked why he included the citation to the FMC’s interpretive rule on detention and demurrage (46 C.F.R. § 545.5), Maier could not explain its relevance to Dollar General’s actual claims. *See* Maier Dep. Tr. 263:10-16 (“Q Why did you include that interpretative rule on detention and demurrage? A Because it refers to the carrier’s practices and whether or not they’re reasonable under certain circumstances.”) [APP-761], 264:8-15 (“Q. Is it your understanding of the claims brought by Dollar General against Yang Ming that they involve claims regarding detention and demurrage under Section 41102(c)? A. I could be wrong. I don’t recall in this particular claim where D&D is part of this.”) [APP-761].

354. Maier improperly cited Raymond Kwok’s deposition testimony in his report as evidence that Yang Ming never asked Dollar General for a premium rate to secure space. *See* Ex. 82 (Maier Expert Report) at 24, 37 [APP-1818, APP-1831].

354.1. When Maier was shown Raymond Kwok’s actual testimony, it emerged that the statement Maier relied upon reflected a conversation Raymond Kwok had with a single individual named Jefferson Kwok, rather than a company-wide policy or practice of YM. *See* Ex. 82 (Maier Expert Report) at 24 [APP-1818]; Maier Dep. Tr. 311:10–312:7 (“Q. If we take that down and look at your citation in your report, where you say “he” -- which in this context is Raymond Kwok -- also confirmed Yang Ming never requested that Dollar General pay a premium rate to secure space on vessels. The reference to Yang Ming never requested Dollar General is actually to a question specific to Jefferson Kwok, correct? A That’s correct. But it was also -- again, not knowing Jefferson Kwok’s title, but knowing Raymond Kwok’s title as global sourcing director, he would probably be the one that -- if I were a Yang Ming employee, I would direct that type of a request to a global sourcing director which is what Raymond Kwok’s title was. Q That’s the characterization you would like to give Raymond Kwok’s testimony we just looked at? A That’s correct.”) [APP-773].

354.2. Maier further admitted during his deposition that his review of Raymond Kwok’s transcript during his deposition was the first time he had reviewed it. *See* Maier Dep. Tr. 309:16-19 (“Q Don, have you ever read a deposition transcript before? A I don’t believe I have or I have no recollection of it immediately.”) [APP-772].

354.2.1. Maier admitted that his review of Raymond Kwok’s transcript during his deposition was the first time he had reviewed any deposition transcript. *See* Maier Dep. Tr. 309:16-19 (“Q Don, have you ever read a deposition

transcript before? A I don't believe I have or I have no recollection of it immediately.”) [APP-772].

354.3. Maier admitted that his characterization of Raymond Kwok’s testimony in the Maier Report was Maier’s own interpretation of the underlying transcript rather than a direct reflection of what the transcript actually said. *See* Maier Dep. Tr. 311:9-312:7 (“Q Okay. If we take that down and look at your citation in your report, where you say “he” -- which in this context is Raymond Kwok -- also confirmed Yang Ming never requested that Dollar General pay a premium rate to secure space on vessels. The reference to Yang Ming never requested Dollar General is actually to a question specific to Jefferson Kwok, correct? A That’s correct. But it was also -- again, not knowing Jefferson Kwok’s title, but knowing Raymond Kwok’s title as global sourcing director, he would probably be the one that -- if I were a Yang Ming employee, I would direct that type of a request to a global sourcing director which is what Raymond Kwok’s title was. Q That’s the characterization you would like to give Raymond Kwok’s testimony we just looked at? A That’s correct.”) [APP-773].

355. Despite Maier repeatedly claiming to have provided an “unbiased” analysis, Maier’s report focuses exclusively on the ocean carrier’s perspective while systematically excluding the BCO’s perspective. *See* Maier Dep. Tr. 132:19-133:11 (“Q You didn't find it important to describe or address specifically those impacts on the shipper's operations, service performance, and commercial decisionmaking? A Well, it’s not that I didn't find them important. Again, it’s the focus of my report was from a carrier’s perspective. Q You mentioned earlier that your report was intended to provide an unbiased perspective. Isn’t cutting out half of the relationship, cutting out half of the picture? A Not exactly. Because I still believe I provided an unbiased opinion for the carrier’s perspective.”) [APP-728].

356. When challenged, Maier acknowledged that there were “direct impacts of the COVID-19 pandemic on shippers’ operations, service performance, and commercial decisionmaking” that his report did not address. *See* Maier Dep. Tr. 132:3-18 (“Q Were there direct impacts of the COVID-19 pandemic on shippers’ operations, service performance, and commercial decisionmaking? A I am sure there were. Q Wouldn’t that perspective be material to describing the direct impacts of the COVID-19 pandemic on ocean carriers’ operations, service performance, and commercial decisionmaking? A Potentially. But for my focus of the report, I was looking at more on the ocean carrier's perspective. Because I also knew, like, John McCown's report focused mostly on the shipper, the BCO.”) [APP-728].

357. Maier’s claim that YM literally could not have done anything other than what it did is not credible. *See infra*; Ex. 82 (Maier Expert Report) at 15 (“The TOC analysis demonstrates that Yang Ming’s operational decisions — including any booking modifications, schedule adjustments, terminal fee implementations, or service alterations that form the basis of Dollar General's claims — were the **direct and unavoidable consequence** of system-level constraints that affected all carriers equally and that no individual carrier possessed the ability to unilaterally resolve.”) (emphasis added) [APP-1809]; McCown Dep. Tr. at 165:3-167:7 (“Q. Do you recall a discussion involving a question by Yang Ming counsel about how factors like earthquakes, tsunamis, weather, other kind of system wide effects impact carriers? A. Yes, I do. Q. And how those impacts affect kind of carriers as a group generally, correct? A. Yes. Q. In your opinion, do those carriers, although they’re impacted about a common issue, have any ability to determine their own response

to those issues? A. It's been my experience that these sort of macro factors broadly affect all of the carriers. And it's my further view that at least with the industry group we're speaking of, there is much more alignment and even more so today with the alliances on the various markets the carriers are in. So that's where you have what I refer to the multicollinearity of catalyst, you know, having similar impact. So it doesn't really enter into making a comparison. Again, the comparison is on the delta variance between an individual carrier and what's going on in the industry. And to the extent those outside catalysts have similar effects, it really has no impact on what you're really focused on doing as to see what's the absolute difference and what's the difference in the level and trend. ***Q. In terms of each carriers' individual response, does each individual carrier respond to a catalyst like that that you just described the same? A. No, not at all. Q. So carriers respond to outside catalysts differently, correct? A. Yes. Q. They have agency with how they respond to that, correct? A. Yes. Q. So for example, effects from the pandemic, poor congestion, et cetera, each carrier would have its individual response to that kind of catalyst; is that correct? A. Yes, they would. And I find a detailed comparison assist in kind of illuminating what are fundamentally different reactions and different practices by the carriers.***") (emphasis added) [APP-860]; see generally Ex. 70 (McCown Report) [APP-1482-1543].

357.1. During his deposition, Maier agreed that his report concludes that YM had literally no viable alternative to the specific outcomes it produced for DG by asserting that "based on [Maier's] assessment of the available information" YM gave DG "every single possible space that it had available during the service contract period, and absolutely no other contingency, including decisions from Yang Ming itself could have changed that." See Maier Dep. Tr. 275:1-22 ("Q So your claim is that Yang Ming gave Dollar General every single possible space that it had available during the service contract period, and absolutely no other contingency, including decisions from Yang Ming itself could have changed that? A Based on my assessment of the available information, yes, it looked like that. That, based on the booking -- so I will go back to our earlier conversation -- based on the bookings, if Dollar General -- if Expeditors wasn't making the bookings, then I am going to move on and find a BCO that has the freight ready to make the booking for me to move. Again, I have -- Yang Ming has a limited amount of capacity that it could take and those slots are full. When those slots are full, I can't take anymore. It's not possible.") [APP-764].

357.2. Maier acknowledged that some other ocean carriers charged customers a premium rate for the same level of service, demonstrating that carriers were in fact making different commercial choices in response to the same constraints. See Maier Dep. Tr. 197:6-8 ("A Well, some of the carriers actually were charging their customers a premium for the same level of service.") [APP-744].

357.3. Maier conceded that YM could make decisions about customers other than DG that impacted its service performance to DG. See Maier Dep. Tr. 207:9-12 ("Q Yang Ming could make decisions about customers other than Dollar General that impacted service performance to Dollar General, correct? A Yes, correct.") [APP-747].

358. Maier's analysis of the Theory of Constraints ("TOC") is not credible. See Ex. 82 (Maier Expert Report) at 5-15 [APP-1799-1809].

358.1. Maier admitted his TOC analysis says nothing specific about YM's conduct, DG's experience, or the relationship between them and instead describes conditions that affected every carrier and every shipper equally, and therefore provides no basis to evaluate whether YM met its service commitments to DG. *See* Maier Dep. Tr. 205:11-15 ("Q But as we discussed earlier, TOC doesn't say anything about a specific actor's specific responses to a constraint, correct? A Well, correct.") [APP-746], 232:12-15 ("Q Your statement there that -- that anybody -- anybody's ability to fix would apply to Dollar General equally to Yang Ming, correct? A That is correct.") [APP-753].

358.2. Maier admitted that the TOC framework itself does not dictate how an individual operator manages its bottlenecks. *See* Maier Dep. Tr. 205:15-19 ("A. However, what it does talk about, though, is however the operator -- in this case, Yang Ming -- manages that bottleneck or that constraint is really up to the company.") [APP-746].

358.3. Maier claimed that TOC was the "most rigorous lens" through which to evaluate Yang Ming's operational performance during the pandemic but admitted that he failed to evaluate any alternative systematic frameworks. *See* Ex. 82 (Maier Expert Report) at 5 [APP-1799]; Maier Dep. Tr. 157:23-158:7 ("Q. What are some of the alternatives you just mentioned? Could you give any examples? A. In terms of a systematic type process? No, I can't give you - - I mean, I can give you examples of the theory of constraints. But I can't give you an example of any other potential frameworks looking at from a systematic perspective then.") [APP-734-735].

358.4. Maier stated that he was "not aware of any" academic criticisms of TOC, and could not identify any alternative frameworks or competing analyses in the academic literature. *See* Maier Dep. Tr. 158:8-19 ("Q. Is the theory of constraints a fully -- have there been any criticisms of a theory of constraints in the academic literature throughout the years? A. I am not aware of any. Q. So your recitation of a theory of constraints in your report, is the definitive definition of TOC framework to which there is no criticism, to your knowledge, and in which no one anywhere offers any alternative? A. Not that I am aware of.") [APP-735].

358.5. Maier failed to consider his TOC framework from a financial perspective, and instead applied it solely from an operational standpoint while failing to evaluate whether a financial application of the TOC framework would yield a different conclusion. *See* Maier Dep. Tr. 162:9-165:7 ("Q. Because Yang Ming can obtain throughput in terms of financial throughput, correct? A. Not -- not exactly in terms of how I am referencing throughput here [. . .] Q. But from a financial perspective, it would be possible to look at it as a profit per container, like you just mentioned? A. It's possible. But from our operational perspective, again, we look not at the profit, we look at the cost. Q. So another way of looking at it would be to look at the profit and let that be the signifier throughput in an analysis, correct? A. Not correct. Every company I have worked for and operationally [. . .] when we are looking at operational throughput, we are looking at -- if you want to have a financial element to it, it's going to be based on cost, not necessarily profit. The folks in the finance or -- groups, they might be looking at what their throughput rate might be by profit, possibly. But from an operational perspective, we look at cost.") [APP-736].

359. Maier's inland transportation constraint analysis, which Maier asserts as a basis for his conclusion that Yang Ming's service failures are excused by supply chain network issues, is not credible. *See* Ex. 82 (Maier Expert Report) at 16-21 [APP-1810-1815].

359.1. Maier admitted that DG's loads under the service contract were on door-to-door terms, meaning YM bore responsibility for the inland leg of delivery, yet Maier's inland transportation analysis was framed entirely as a constraint on YM's performance rather than as a risk YM contractually assumed. *See* Maier Dep. Tr. 258:22-259:5 ("Q. Are you aware that most of Dollar General's loads under the service contract were door-to-door terms? A. Yes. Q. So wouldn't that mean that all the risks, including time delays and costs, related to the inland movement are borne by Yang Ming? A. No, not exactly.") [APP-760].

359.2. Maier admitted that he did not analyze or know the location of DG's distribution centers relative to the intermodal trucking gates he discussed at length in his report. *See* Maier Dep. Tr. 279:21-280:16 ("Q. And you don't know where Dollar General's distribution center is relative to the trucking gate, correct? A. That's correct. Q. Why didn't you include that information here . . . ? A. Because I am just trying to show in terms of the process of how the supply chain flows being close to primary infrastructure is critical. [. . .] Q. That part didn't include Dollar General, correct? A. That's correct.") [APP-765].

359.3. Maier admitted that the BNSF embargo in June 2022 he cited fell entirely outside the 2021 Shipping Year period of May 2021 through April 2022, and that he could not explain the BNSF embargo's direct relevance to YM's performance during the 2021 Shipping Year. *See* Maier Dep. Tr. 237:3-237:19 ("Q. And what does June 2022 have to do with this case, in your mind? A. It's starting to show that there's -- that breakdown of the supply chain continued. [. . .] You could see that there was still -- the system, the supply chain system was starting to catch up slowly.") [APP-754].

359.4. Maier's report asserts that YM employed "'slide' and 'cut-and-run' strategies" as commercially reasonable steps, despite the fact that Maier's report cited only a 2006 academic article by Notteboom as support—a publication that says nothing about YM's specific operations in 2021-2022. *See* Ex. 82 (Maier Expert Report) at 14 [APP-1808]; Maier Dep. Tr. 176:17-177:14 ("Q When we go back to your page 14, where you say, Yang Ming took commercially reasonable steps to maximize throughput -- implementing slide and cut [sic] strategies and the rest of that paragraph, you don't cite any specific support for the notion that Yang Ming -- that for any of this? A. Correct. So again, emphasizing the slide and cut-and-run strategies that were mentioned and trying to manage the time piece from Notteboom, okay, what I see from that article and what I see in practice based on what I have been reading from Yang Ming in the report or in all of the information presented to me, it seems as if they operated very reasonable. Q. What specific document did you look at to construct this paragraph in terms of Yang Ming's contact? A. I can't say exactly which document per se, but as an entirety.") [APP-739].

359.4.1. Maier admitted that he provided no specific documentary evidence that YM actually employed "slide and cut-and-run strategies". *See* Ex. 82 (Maier Expert Report) at 14 [APP-1808]; Maier Dep. Tr. 176:17-177:14 ("Q When we go back to your page 14, where you say, Yang Ming took commercially

reasonable steps to maximize throughput -- implementing slide and cut [sic] strategies and the rest of that paragraph, you don't cite any specific support for the notion that Yang Ming -- that for any of this? A. Correct. So again, emphasizing the slide and cut-and-run strategies that were mentioned and trying to manage the time piece from Notteboom, okay, what I see from that article and what I see in practice based on what I have been reading from Yang Ming in the report or in all of the information presented to me, it seems as if they operated very reasonable. Q. What specific document did you look at to construct this paragraph in terms of Yang Ming's contact? A. I can't say exactly which document per se, but as an entirety.") [APP-739].

359.5. Maier's report asserts that "Yang Ming's practices were consistent with, and no more restrictive than, the practices adopted by regulated common carriers across all transportation modes", which statement Maier admitted was overbroad, should be limited to remove pipeline and air cargo, and could not accurately encompass all individual actors within the modes Maier did reference. *See* Ex. 82 (Maier Expert Report) at 21 [APP-1815]; Maier Dep. Tr. 285:17-286:19 ("every major transportation provider on water and land or just remove the word every, and said many of the major transportation providers. Q. Okay. Then you talk in the next sentence, 'Yang Ming's practices were consistent with, and no more restrictive than, the practices practiced by regulated common carriers across all transportation modes.' [. . .] A. That's correct. So can remove pipeline and air, because I did not reference those in my report.") [APP-766-767].

359.6. Maier admitted that he did not conduct any original or independent quantitative analysis of DG's inland transportation conditions or costs during the service contract period. *See* Maier Dep. Tr. 283:11-16 ("Q. And that statement stands purely on your expert opinion without any further analysis; is that correct? A. No. I wouldn't make that statement because it is my expert opinion based on the literature that I reviewed.") [APP-766].

359.7. Maier admitted that he did not review DG's service contracts with any other ocean carrier, and therefore had no basis to compare YM's performance or practices to those of other carriers serving DG during the same period. *See* Maier Dep. Tr. 208:2-9 ("Q. Do you believe Dollar General had the same 73 percent MQC shortfall with each of its other service contracts with ocean carriers? A. I did not review the other service contracts that they had with their other providers. I was trying to keep this focus just on the Yang Ming.") [APP-747].

360. Maier's ABC Analysis for Inventory Management and Customer Prioritization, which Maier applies as a framework for evaluating YM's capacity allocation decisions across its customer base during the pandemic, is not credible. *See* Ex. 82 (Maier Expert Report) at 21-27 [APP-1815-1821].

360.1. Maier admitted that the term "ABC Analysis" does not appear anywhere in any of the internal YM or DG documents he reviewed, and that he never observed YM explicitly applying the methodology. *See* Maier Dep. Tr. 67:18-68:3 ("Q. Did you see that ABC Analysis explicitly discussed in any of the internal documents to Dollar General or Yang Ming that you reviewed? A. No, not in terms of the actual term "ABC Analysis," I did not find that and anyone

from Yang Ming or in Dollar General. But it's very much assumed that you could see that, based on the operational information that was provided.") [APP-712].

360.2. Maier admitted he found no document from either company using the term "ABC Analysis" and that he simply assumed it applied. *See* Maier Dep. Tr. 67:18-68:3 ("Q. Did you see that ABC Analysis explicitly discussed in any of the internal documents to Dollar General or Yang Ming that you reviewed? A. No, not in terms of the actual term 'ABC Analysis,' I did not find that and anyone from Yang Ming or in Dollar General. But it's very much assumed that you could see that, based on the operational information that was provided.") [APP-712].

360.3. Maier admitted that he did not provide any citation to support his claim that ABC Analysis is a "widely recognized" inventory categorization methodology, relying solely on his own professional experience. *See* Maier Dep. Tr. 296:7-16 ("Q. But looking at your footnote in this sentence, there's no citation to substantiate that claim that ABC Analysis is a widely recognized inventory categorization methodology, correct? A. That's correct. I don't have a citation for it. But again, based on my professional experience both as a practitioner and academic, I am very comfortable in using widely recognized.") [APP-769].

360.4. Maier admitted that he never quantified DG's demand patterns despite opining that those patterns "must be evaluated in the context of industrywide demand distortion phenomena." *See* Maier Dep. Tr. 299:10-20 ("Q. You described, 'It is my expert opinion that Dollar General's demand patterns during the relevant period must be evaluated in the context of these industrywide demand distortion phenomena', correct? A. Correct. Q. We just discussed you never quantified Dollar General's demand patterns, correct? A. Correct.") [APP-770].

360.5. Maier further admitted that he never quantified the "substantial contribution" he attributed to shipper-side demand inflation including any contribution attributable to DG's own ordering patterns in causing DG's booking failures, equipment shortages, or service irregularities. *See* Maier Dep. Tr. 300:4-301:8 ("Q. You don't quantify substantial contribution as you write in this sentence, do you? A. I don't quantify it in that sentence, you are correct. Q. Do you quantify what you claim as substantially contributed in this sentence at all? A. I'm not quantifying it in this sentence or in this paragraph. [. . .] Q. So you didn't quantify how the aggregate affect of shipper-side demand inflation impacted -- [. . .] A. No, I did not. Q. -- equipment shortages or service irregularities? A. I did not quantify it, no.") [APP-770].

360.6. Maier admitted that he did not provide any quantitative analysis comparing how spot rates during the pandemic were driven by NVOCCs as compared to ocean carriers, despite asserting in his report that spot rates "were driven more by NVOCCs rather than ocean carriers." *See* Ex. 82 (Maier Expert Report) at 24 [APP-1818]; Maier Dep. Tr. 304:3-9 ("Q. You don't provide any quantitative analysis comparing how spot rates were driven by NVOCCs, as in comparison to ocean carriers, correct? A. No, I don't provide that quantitative analysis it's just, again, through my experience.") [APP-771].

360.7. The sole document Maier cited in support of his conclusion that "Yang Ming continued to provide the agreed upon MQC levels to Dollar General" was a document originating from DG, not YM, that predated the 2021 Shipping Year and operation of the 2021

Service Contract. *See* Ex. 82 (Maier Expert Report) at 25 [APP-1819]; Ex. 86 (YM_00926951) [APP-1879].

360.7.1. Maier admitted that Exhibit 86 (YM_00926951) originated from DG—not from YM—and reflected DG’s forward-looking forecast provided to YM on March 22, 2021, more than a month before the 2021 Shipping Year even began. *See* Ex. 87 (YM_00926949) [APP-1880-1881]; Maier Dep. Tr. 323:14-324:1 (“Q. And the top e-mail is a forward by Jim Nickels of Cat Gentry’s e-mail, correct? A. As a forward, yes. Yep. Q. So Jim Nickels is forwarding a spreadsheet from Cat Gentry’s e-mail, correct? A. Correct. Q. It’s [in]accurate to say the spreadsheet we looked at came from Yang Ming, correct? A. That’s correct. So it did come from Dollar General from Cat.”) [APP-776], 324:2-16 (“Q. And if we look at your expert report, you say, ‘Yang Ming continued to provide the agreed upon MQC levels to Dollar General.’ Correct? A. That’s correct. Q. What timeframe are you discussing with that ‘continued to provide’? A. Well, during the contract of -- the service contract, from May 1st through April 30th. Q. If we look back at Exhibit 87 e-mail we were just looking at, that comes on March 22, 2021, correct? A. That’s correct.”) [APP-776].

360.8. Maier admitted that he did not compare DG’s container volumes to any other entity, and thus had no comparative basis for his assertion that DG’s supply chain “generates high container volumes.” *See* Ex. 82 (Maier Expert Report) at 22 [APP-1816]; Maier Dep. Tr. 297:10–298:12 (“Q. You don’t compare Dollar General’s supply chain generation of container volumes of retail consumer goods to any other entity, do you? A. No, I do not. Q. So how do you know it’s high? [. . .] A. I am looking at Exhibit 42, which is a spreadsheet that’s going to list a number of the different customers, as well as MQCs listed there, as well as -- (Reviewing) -- the same one. And also going back to Brian Chen’s Exhibit Number – [...] 54. So it lists a number of the different types of customers, both retail -- possibly -- in fact, most of them looked to be retail, but I could be wrong. And just based on the number of MQCs listed, that’s how I was making the assessment.”) [APP-769-770].

360.8.1. In his report, Maier did not cite Exhibit 42 or Exhibit 54 for his assertion that DG’s supply chain “generates high container volumes”. *See* Ex. 82 (Maier Expert Report) at 22 [APP-1816].

360.8.2. Neither Exhibit 42 nor Exhibit 54 supports Maier’s assertion that DG’s supply chain “generates high container volumes”. *Compare* Ex. 82 (Maier Expert Report) at 22 [APP-1816] *with* Ex. 42 (YM_00601425) [APP-1312] and Ex. 54 (YM_00617081) [APP-1362].

360.8.3. Maier admitted he could not confirm that the BCOs listed in Exhibit 42 were in the same retail category as DG and thus had no basis to make BCO-to-BCO comparisons. *See* Maier Dep. Tr. 317:13-22 (“Q. How does Hsu Exhibit 42 clearly show what you claim here? A. So in Hsu Exhibit 42, that spreadsheet lists a number of other BCOs, both in terms of primarily retail type customers, may not necessarily be in the same category of retail as Dollar General,

but still large, well-known companies . . . which are also listed in Brian Chen's Exhibit 54.") [APP-774].

361. Maier's reliance on the July 2021 Nickels email (Ex. 84 (DGFMC-0003895)) to support his claim that DG failed to make bookings is not credible. *See* Ex. 84 (DGFMC-0003895) [APP-1841-1842]; Ex. 82 (Maier Expert Report) at 23 [APP-1817].

361.1. Maier cited an email (Exhibit 84 (DGFMC-0003895)) in his report to support his assertion that Expeditors "did not give the booking orders to Yang Ming" even though the actual document shows the opposite: David Griffin at Expeditors wrote on July 26, 2021 that "We were indeed able to book the volume in Shenzhen." *Compare* Ex. 82 (Maier Expert Report) at 23 [APP-1817] *with* Ex. 84 (DGFMC-0003895) at DGFMC-0003895 [APP-1841]; *see also* Maier Dep. Tr. 87:3-7 ("I don't have the exact exhibit number, but there were some e-mails that Expeditors did mention they did not give the booking orders to Yang Ming") [APP-717], 93:13-94:6 ("Q So you said not explicitly. So is it fair for me to take from your testimony that there is some e-mail -- and we are not sure about what Bates stamp it has or what date exactly it has, because you testified earlier that you don't know today -- that doesn't explicitly state what you just said, but that it's your interpretation of that unidentified e-mail? A. I will rephrase that. The term 'explicitly,' I cannot say that it's verbatim. But it is going to be very close to what I stated, yes. Q. In other words, that's your interpretation of the text that you read? A. Yes, that would be my professional interpretation of the text from that e-mail from Expeditors.") [APP-718-719], 95:23-96:1 ("Q. And so the document that you referenced states that the booking was able to go through, correct? A. Based on July 26th date, yes.") [APP-719], 96:13-97:3 ("Q. David Griffin's July 26th e-mail states, 'We were indeed able to book the volume in Shenzhen.' Correct? A. Eventually, yes. Q. So on some date prior to July 26th itself or prior, David Griffin, in this e-mail, is representing that they were able to make the booking volume in Shenzhen; is that fair? A. That's fair. Q. And given the follow-up from Jim Nickels, it sounds like Shenzhen didn't communicate that booking to Yantian origin team before this e-mail chain, correct? A. It seems like that, yes.") [APP-719].

361.1.1. Maier admitted that the Exhibit 84 (DGFMC-0003895) email chain showed the precise opposite of what he claimed: Expeditors' David Griffin confirmed on July 26, 2021 that "We were indeed able to book the volume in Shenzhen." *See* Ex. 84 (DGFMC-0003895) [APP-1841-1842]; Maier Dep. Tr. 96:17-22 ("Q So on some date prior to July 26th itself or prior, David Griffin, in this e-mail, is representing that they were able to make the booking volume in Shenzhen; is that fair? A That's fair.") [APP-719].

361.2. Maier admitted that what the Exhibit 84 (DGFMC-0003895) email chain actually showed was a YM internal communication failure, not a failure by DG or Expeditors to make the booking. *See* Maier Dep. Tr. 96:23-97:3 ("Q. Given the follow-up from Jim Nickels, it sounds like Shenzhen didn't communicate that booking to Yantian origin team before this e-mail chain, correct? A. It seems like that, yes.") [APP-719].

361.3. Maier also acknowledged he could not identify the July 16th email he had cited in his report as evidence of Expeditors failing to book and could not confirm its Bates stamp. *See* Maier Dep. Tr. 90:20-91:22 ("Q. But as we looked in your report, you mention that

that e-mail was sent on July 16, 2021; is that correct? A. There is a Bates stamp of an e-mail dated July 16th, that shows that the bookings were not made by Expeditors because Yang Ming was saying, we are looking for them, we don't have them. [. . .] Q. So your claim now is that there is a duplicative Bates-stamped document with this same Bates stamp? A. Possibly, yes. Q. Possibly, so you don't know? A. Well, until I find that e-mail to confirm, it is possibly.") [APP-718].

361.4. Maier admitted that his characterization of the email was his own "professional interpretation" rather than what the text explicitly stated. *See* Maier Dep. Tr. 94:2-6 ("Q In other words, that's your interpretation of the text that you read? A Yes, that would be my professional interpretation of the text from that e-mail from Expeditors.") [APP-719].

362. In his expert report, Maier relied on Exhibit 54 (YM_00617081) and Exhibit 42 (YM_00601425) as the basis for two of his related conclusions: (1) that DG was itself responsible for its own service failures because it failed to make bookings against its allocated space; and (2) that YM provided "consistent, quality service to Dollar General under severe operating constraints during a global pandemic." *See* Ex. 82 (Maier Expert Report) at 25-26 [APP-1819-1820].

363. Maier's reliance on Exhibit 54 (YM_00617081) as evidence that DG was responsible for YM's failures to meet its service commitments to DG under the 2021 Service Contract is not credible. *See* Ex. 82 (Maier Expert Report) at 24, 26 [APP-1818, APP-1820].

363.1. Despite opining on Exhibit 54 as a basis for his assessment that DG was failing to make bookings, Maier could not confirm whether he reviewed the cover email that attached that very spreadsheet. *See* Ex. 54 (YM_00617081) [APP-1362]; Maier Dep. Tr. 75:12-21 ("Q Okay. So you took the Exhibit 54 at face value? A. Correct. Q. And the answer to my question about standing here today whether you know or not that you reviewed the cover e-mail attaching that spreadsheet is, you do not know; is that fair? A. That would be fair.") [APP-714].

363.1.1. Maier admitted that "opining on a document without understanding that document's broader context is providing an uninformed opinion." *See* Maier Dep. Tr. 79:19-25 ("Q. Would you agree that opining on a document, without understanding that document's broader context, is providing an uninformed opinion? A. Sort of. And I say 'sort of' because on the face of it, yes, it would be accurate.") [APP-715].

363.1.2. Exhibit 53 is the cover email to Exhibit 54. *See* Ex. 53 (YM_00617077) [APP-1358-1361]; Ex. 54 (YM_00617081) [APP-1362].

363.1.3. Exhibit 53 was sent by Brian Chen and identifies Yang Ming customers that YM was concerned presented litigation risk and does not purport to fully and completely identify DG's booking activity. *See* Ex. 53 (YM_00617077) [APP-1358-1361].

363.1.4. Exhibit 53 reflects that YM was itself failing DG as well as other of YM's customers. *See* Ex. 53 (YM_00617077) [APP-1358-1361].

363.2. Maier fundamentally misread Column G of Chen Exhibit 54.

363.2.1. Maier's entire narrative that DG was booking only 24 containers against a 70-container space guarantee depended on comparing column G (space guarantee) to column H (revised weekly average, weeks 32–35). *See* Maier Dep. Tr. 313:18-315:10 ("Q. Does column G define itself in terms of time at all? A. In terms of time, no, it does not. [. . .] Q. So it is possible column G, that number refers to maybe the full month that is broken weekly in column H? A. That's possible. [. . .] Q. And when you talk about the space that Dollar General committed to, nothing in this spreadsheet identifies these numbers in column H or otherwise as space commitments by Dollar General, correct? A. Correct.") [APP-773-774].

363.2.2. Maier admitted on cross-examination that column G contains no time reference. *See* Maier Dep. Tr. 313:18-21 ("Q. Does column G define itself in terms of time at all? A. In terms of time, no, it does not.") [APP-773].

363.2.3. Because Column G contains no time reference, it is possible that 70 containers in column G and the 24 containers in column H may not be directly comparable at all. *See* Maier Dep. Tr. 314:11-315:10 ("Q. So it is possible column G, that number refers to maybe the full month that is broken weekly in column H? A. That's possible. [. . .] Q. And when you talk about the space that Dollar General committed to, nothing in this spreadsheet identifies these numbers in column H or otherwise as space commitments by Dollar General, correct? A. Correct.") [APP-774].

363.2.4. Maier admitted that nothing in the Exhibit 54 (YM_00617081) spreadsheet identifies the numbers in Column H or elsewhere as space commitments by DG. *See* Maier Dep. Tr. 314:23-315:10 ("Q. And when you talk about the space that Dollar General committed to, nothing in this spreadsheet identifies these numbers in column H or otherwise as space commitments by Dollar General, correct? A. Correct.") [APP-774].

363.3. Maier acknowledged that every single row in Chen Exhibit 54 shows a shortfall, meaning YM was failing all of the BCO customers listed therein, not just DG. *See* Maier Dep. Tr. 315:21-24 ("Q. And for each row, there is a shortfall, correct? A. Yes, I am going to assume there's a shortfall for every row, yes.") [APP-774].

363.4. Maier admitted that YM experienced different MQC shortfall percentages with different customers. *See* Maier Dep. Tr. 211:9-212:16 ("Q. But in fact, Yang Ming did have different shortfalls with its customers over the 2021 service year, correct? A. They did have shortfalls with their customers, yes [. . .] Q. And those shortfalls that Yang Ming experienced with its customers varied, correct? A. Varied in terms of the percent source level, Lee? [. . .] Yep. I would assume that it was going to be different. Q So Yang Ming's choices, given all the constraints we have talked about, impacted service outcomes for customers differently, correct? A Based on the entire system and the context of the entire system, and

based on the decisions made operationally of all the BCOs, that if the BCO actually made the booking confirmation, it would appear that those containers moved. If there was a delay -- that the booking confirmations were not made, that there was a delay in any communication, and that just really depends, then, on how the BCO -- how did they manage their own operations and communication to Yang Ming. So that would always be a contributing factor to this.") [APP-748].

363.5. Maier admitted he did not compare DG's MQC data against any other carrier serving DG during the same period. *See* Maier Dep. Tr. 208:6-9 ("A. I did not review the other service contracts that they had with their other providers. I was trying to keep this focus just on the Yang Ming.") [APP-747].

364. Maier's reliance on Exhibit 42 (YM_00601425) is not credible. *See* Ex. 82 (Maier Expert Report) at 24, 26 [APP-1818, APP-1820].

364.1. Maier cited Exhibit 42 (YM_00601425) as the basis for his characterization of Dollar General as a high-volume shipper and to support his claim that Yang Ming's service performance was consistent across its customer base. *See* Ex. 82 (Maier Expert Report) at 22 ("Dollar General's supply chain generates high container volumes of retail consumer goods . . .") [APP-1816], 26 ("Hsu Exhibit 42 and Chen Exhibit 54 clearly shows that regardless of the 'category' (size) of the BCO, Yang Ming did provide consistent, quality service to Dollar General under severe operating constraints during a global pandemic.") [APP-1820]; Maier Dep. Tr. 297:19-298:12 ("THE WITNESS: Based on the volume -- hang on. I could look at -- that's not the right one. I am looking at Exhibit 42, which is a spreadsheet that's going to list a number of the different customers, as well as MQCs listed there, as well as -- (Reviewing) -- the same one. And also going back to Brian Chen's Exhibit Number -- I've got to pull it up, sorry -- 54. So it lists a number of the different types of customers, both retail -- possibly -- in fact, most of them looked to be retail, but I could be wrong. And just based on the number of MQCs listed, that's how I was making the assessment.") [APP-769-770].

364.2. Exhibit 42 (YM_00601425) demonstrates that YM was consistently failing to meet its service commitments to YM's North American BCO customers. *See* Exhibit 42 (YM_00601425) at Tabs "NAT", "MAT", and "SAT" [APP-1312].

365. Maier made numerous categorical statements in his report that he admitted were incorrect or overbroad.

365.1. Maier's report stated that Yang Ming's operational decisions "were the direct and unavoidable consequence of system-level constraints that affected all carriers equally," which Maier admitted was overbroad because carriers in fact responded differently. *See* Ex. 82 (Maier Expert Report) at 15 [APP-1809]; Maier Dep. Tr. 197:2-23 ("Q And there's no variation at all in the conduct that Yang Ming undertook in any other carrier that you have become familiar with? A Well, some of the carriers actually were charging their customers a premium for the same level of service. So that might be one change. [. . .] Q But you just gave one example of how some ocean carriers responded -- reportedly responded to the pandemic in contrast to a different approach that Yang Ming took, correct? A Yes.") [APP-744].

365.2. Maier admitted that his use of the word “perfect” in describing vessel-side performance was an impossible standard that had to be removed. *See* Maier Dep. Tr. 229:20-230:5 (“Q Well, it’s sort of similar to our review of the perfect comment earlier, where it doesn’t add much by saying -- by including an impossible -- an impossible to attain standard, correct? A Well, even with perfect, though, everybody always wants to have perfect. But in operations, we know while we strive for perfect, we are never going to get there.”) [APP-752-753].

365.3. Maier admitted that the statement in his report that “Yang Ming’s practices were consistent with, and no more restrictive than, the practices adopted by regulated common carriers across all transportation modes” was overbroad. *See* Ex. 82 (Maier Expert Report) at 21 [APP-1815]; Maier Dep. Tr. 285:4-21 (“Q Would air cargo be included in this category of every major transportation provider in the supply chain? A In my report, I did not focus a lot on air cargo. In fact, I don’t know if I really focused much, if any, on air cargo. Q And how can you make the statement “every major transportation provider in the supply chain” in this paragraph? A Again, we will go back to word choice. I could have said every major transportation provider on water and land or just remove the word every, and said many of the major transportation providers.”) [APP-766].

365.4. Maier acknowledged that the statement in his report characterizing DG’s claims in this action against YM as asserting that “Yang Ming’s performance was the sole factor in any non-conformance to the service contract” is a mischaracterization of DG’s actual complaint because nowhere does DG claim YM’s performance was the “sole” reason for all of the facts forming the basis of DG’s claims against YM. *See* Ex. 82 (Maier Expert Report) at 10 [APP-1804]; Maier Dep. Tr. 229:11-19 (“Q And after reviewing that complaint, that’s your understanding of what Dollar General is claiming in this case? A Well, Lee, if it would be better that I did not write the words sole, but certainly a factor, a significant factor, then. Again, it would be a matter of word choice.”) [APP-752].

366. Throughout his Expert Report, Maier improperly seeks to draw legal conclusions. *See* Ex. 82 (Maier Expert Report) at 5 (“Each framework independently and collectively supports the conclusion that Respondent Yang Ming acted reasonably, in accordance with industry practice, and consistent with its obligations under the Shipping Act of 1984, as amended, 46 U.S.C. §§ 40101 et seq.”) [APP-1799], 14 (“TOC, Inland Constraint Cascade, is ‘Just Cause’ Defense.”) [APP-1808], 14 (“... the systemic constraints identified herein constitute conditions beyond Yang Ming’s reasonable control, consistent with the Commission’s recognition that carriers cannot be held liable for service failures attributable to force majeure conditions or **systemic disruptions** [emphasis added] affecting the entire global supply chain and more specifically the maritime industry.”) [APP-1808], 15 (“... the Commission has consistently interpreted this provision in light of prevailing industry conditions and has declined to impose strict liability where a carrier demonstrates that its practices were reasonable under the circumstances. Certainly, the global pandemic would indeed be considered an exceptional circumstance.”) [APP-1809], 15 (“Yang Ming’s conduct was therefore just and reasonable within the context, meaning, and practical nature of the Shipping Act.”) [APP-1809], 21 (“The fact that railroads implemented these measures under STB common carrier obligations — and were not found to have violated those obligations — is probative evidence that analogous measures by ocean carriers under the Shipping Act were similarly reasonable.”) [APP-1815], 23 (“Yang Ming’s allocation decisions ... do not constitute unjust discrimination within the meaning of 46 U.S.C. § 41102(b), which are commercially

reasonable.”) [APP-1817], 23 (“... the Commission has recognized that the relationship between carriers and shippers involves reciprocal obligations, and that shipper conduct ... is relevant to the evaluation of carrier performance”) [APP-1817], 24 (“It is also in my expert opinion that Yang Ming’s ... capacity allocation decisions during the pandemic period was lawful, commercially reasonable, and consistent with established FMC precedent.”) [APP-1818], 24 (“... the Commission has long recognized that not all differential treatment constitutes unlawful discrimination. Differential treatment is permissible where it is based on legitimate commercial distinctions and is applied consistently such as it was found in *Maier Terminals*... based on volume and other commercial factors”) [APP-1818], 24-25 (“A carrier that allocates scarce capacity preferentially to high-volume, contractually committed BCOs over inconsistent, irregularities, and potentially low-volume shippers is acting in accordance with, not in violation of, the statutory framework.”) [APP-1818-1819], 25 (“The relevant legal question is not whether the carrier made such decisions ... but whether the criteria employed were just, reasonable, and non-discriminatory within the meaning of the Shipping Act.”) [APP-1819], 25 (“It is my expert opinion that allocation based on the following criteria appears to satisfy the Shipping Act’s requirements”) [APP-1819], 25 (“Prioritizing shippers with existing service contracts over spot-market bookings is consistent with the carrier’s contractual obligations and with the statutory purpose of the service contract regime.”) [APP-1819], 26 (“Allocating capacity based on historical and committed volume is a commercially reasonable practice that does not constitute unjust discrimination, as it reflects objective differences in the commercial relationship.”) [APP-1820], 26 (“I do not believe that such treatment would constitute a violation of 46 U.S.C. § 41102(b) or (c).”) [APP-1820], 27 (“Respondent Yang Ming operated within the bounds of commercially reasonable and legally permissible conduct during the unprecedented disruptions ...”) [APP-1821], 28 (“Yang Ming’s capacity allocation decisions were based on objective, commercially reasonable criteria that are expressly contemplated by the Shipping Act’s service contract framework and do not constitute unjust discrimination.”) [APP-1822], 29 (“It is therefore my expert opinion, stated to reasonable degree of professional certainty, that Respondent Yang Ming Transport Corporation did not violate 46 U.S.C. § 41301, or 40101, did not engage in unjust or unreasonable practices, and did not unjustly discriminate against Dollar General ... that affected every link and every participant in the global supply chain.”) [APP-1823], 29 (“The FMC investigated this specific concern and found it was congestion-driven, not anticompetitive.”) [APP-1823].

366.1. Maier is unqualified to draw legal conclusions. *Supra* Argument § VIII.B.1.

366.1.1. Maier used Surface Transportation Board (STB) compliance findings for railroads as “probative evidence” that YM’s conduct was similarly reasonable under the Shipping Act. *See* Ex. 82 (Maier Expert Report) at 19-21, 21 n.66 [APP-1813-1815].

366.1.2. This analogy is undermined by Maier’s own footnote, which distinguished between rail carriers and ocean carriers, and acknowledged they operate under different regulatory regimes and face different operational challenges. *See* Ex. 82 (Maier Expert Report) at 21, 21 n.66, 36 [APP-1815]; Maier Dep. Tr. 287:4-13 (“Q. Are you saying here that there are no differences between rail transportation and ocean carriage? A. No. What I am saying is the STB found they didn’t believe that the rail operators violated their obligations and they would be very similar, that the Shipping Act would see the same thing for the ocean carriers.

That's all I am saying.") [APP-767], 289:18-290:5 ("Q Isn't the footnote that you cited reflecting a key distinction between railroads and ocean carriers? A I would not say it's a key distinction. It's essentially saying, yes, there is a difference between the two modes of transportation, and they have -- operational challenges are going to be different, but similar. And that whereas the railroad is going to be regulated by the STB, ocean carriers are going to be regulated by the Shipping Act and the FMC.") [APP-767-768].

366.1.3. Maier admitted on cross-examination that this footnote highlights a key distinction between railroads and ocean carriers, yet maintained his conclusion that the two modes are "different, but similar." *See* Maier Dep. Tr. 289:6-291:8 ("Q. Your footnote 66 states that, 'railroad operational challenges and storage fee implementations differed fundamentally from ocean carrier terminal practices', doesn't that contradict your statement in the body of your report that STB common carrier obligations is probative evidence that analogous measures by ocean carriers under the Shipping Act were similarly reasonable? A. No, I don't think that differs or contradicts that. Q. Isn't the footnote that you cited reflecting a key distinction between railroads and ocean carriers? A. I would not say it's a key distinction [. . .] you know, the obligations are still there. I mean they are different, but similar.") [APP-767-768].

367. Despite claiming to have proofread his report, Maier's report is rife with typos and errors. *Compare* Maier Dep. Tr. 42:11-14 ("Q If we look through the -- Don, did you proofread this report before you submitted it? A Yes, I did.") [APP-706] *with generally* Ex. 82 (Maier Expert Report) [APP-1795-1832]; *see, e.g.*, Maier Dep. Tr. 45:10-20 ("Q. Don, there aren't page numbers in your report, are there? A. No, there's not. Q. So given that, how do you refer -- refer to the copy that you are looking at in front of you, since there are no page numbers? A. Correct. So I actually recognized that yesterday. So I did add the page numbers to that report that I submitted to you") [APP-706], 17:10-17 ("Q. You see the header here where it says, Donald D. Maier, PhD, curriculum vitae 2024? A. Yes, I do. Q. Is that just a typo -- A. That is a typo -- yes, that is correct. That is a mistake on my part.") [APP-699].

C. Carl Vogt

1. Experience

368. Despite presenting himself as a maritime shipping expert, Vogt admitted that his claimed expertise in maritime shipping extends only to accounting and tax. *See* Vogt Dep. Tr. 13:13-15 ("Q. Are you an expert in the maritime shipping industry? A. In the context of accounting, tax, sure.") [APP-1016].

369. Vogt would not credit himself as an expert on any single definitive topic in the maritime shipping industry. *See* Vogt Dep. Tr. 14:25-15:7 ("Q Are you an expert in demurrage charges and the reasonableness of demurrage charges? A. In the context of my testimonies, I'm an expert for the shipping business. So if demurrage and detention is part of the shipping business, I have enough knowledge to be able to say I'm an expert. I'm not going to go down -- to be an expert on any single definitive topic.") [APP-1017].

370. Vogt's self-described areas of expertise are auditing and tax issues, both unrelated to the container shipping industry. *See* Vogt Dep. Tr. 11:11-18 ("Q. What do you do for a living? A. I'm an accountant, work for a CPA firm -- Q Oh, apologies, please. A. -- audit and taxes. Q. [...] Would you describe yourself as an expert in the area of audit and taxes? A. Yes.") [APP-1016].

371. Vogt has worked for Yang Ming for approximately 16 years exclusively in the capacity of tax preparer and auditor, and had no maritime industry experience before that engagement. *See* Vogt Dep. Tr. 11:24-12:3 ("A. since 2010, I've been the auditor for Yang Ming, which includes not only the vessel, it also includes the logistics, trucking companies in the United States, ports that they either owned wholly or owned in joint venture") [APP-1016], 12:4-6 ("Q. So you have been employed by Yang Ming in some capacity for the past 16 years; is that fair? A. Yes, sir.") [APP-1016], 27:12-14 ("Q. And before you started working with Yang Ming, did you have any maritime experience? A. No.") [APP-1020].

372. In his role as Yang Ming's auditor, Vogt cannot have any operational responsibilities at Yang Ming that would give him direct experience in the logistics of container shipping because, as he acknowledged, doing so "would impair [his] independence." *See* Vogt Dep. Tr. 27:6-11 ("Q. So in your position working with tax and audits for Yang Ming, do you ever have any operational responsibilities? A. I cannot have any operational responsibilities because it would impair my independence.") [APP-1020].

373. Vogt's "hands-on experience" with shortfall issues in his audit and tax work for Yang Ming is limited to reviewing shortfall revenues as a "small component" of the overall financials. *See* Vogt Dep. Tr. 21:12-14 ("Q. And how big of a component is it? A. Typically, it's a very small component of the overall revenues.") [APP-1018].

374. Vogt's experience with detention and demurrage outside of litigation engagements amounts to no "more than ten" hours per year. *See* Vogt Dep. Tr. 23:4-7 ("Q. So you can't say that you spend more than 20 hours a year dealing with detention and demurrage? A. I can't say it's any number above ten.") [APP-1019].

375. Despite claiming expertise in maritime shipping based on his work for Yang Ming, Vogt admitted he has no experience in several key aspects of maritime shipping during that work:

375.1. Vogt admitted he has no familiarity with the booking systems used by ocean carriers. *See* Vogt Dep. Tr. 32:14-16 ("Q. Do you have any familiarity with the booking systems used by ocean carriers? A. No.") [APP-1021].

375.2. Vogt admitted he has no experience in dealing with customer complaints about shortfalls. *See* Vogt Dep. Tr. 26:2-8 ("Q. In an average year, how much time do you spend dealing with customer complaints about shortfalls? A. I do not deal with customer complaints in shortfalls. I'm the auditor, tax, and — for the client, so customer complaints is a daily business matter.") [APP-1020].

375.3. Vogt admitted he could not tell how many hours he has spent dealing with shortfalls when it comes to the auditing and tax basis. *See* Vogt Dep. Tr. 26:10-16 ("Q. So how many hours a year would you say you spend dealing with shortfall when it comes to the auditing and tax basis? A. Again, it could be -- maybe instead of using my figurative speech of a thousand,

it could be 10 to 50 hours a year, even though auditing and tax is a specific client topic.”) [APP-1020].

375.4. Vogt admitted he has no sense of how the FMC assesses or calculates damages for shortfall liability. *See* Vogt Dep. Tr. 27:15-20 (“Q. do you have a sense of how the FMC assesses shortfall liability? A. No. Q. Do you have a sense of how FMC calculates damages for shortfall liability? A. No.”) [APP-1020].

375.5. Vogt admitted that his damages report was not grounded in the FMC-approved formula for determining damages in shortfall cases, instead framing his analysis around Dollar General’s own allegations regarding incremental costs. *See* Vogt Dep. Tr. 101:4-12 (“Q. Do you understand the FMC-approved formula for determining damages in shortfall cases? [. . .] A. My report is not so much based upon what the FMC wants to see but what Dollar General is alleging in their incremental cost.”) [APP-1038].

375.6. When pressed directly on whether he understood the methodology approved by the FMC, Vogt was evasive, stating his report was based on what Dollar General was alleging rather than what the FMC requires, and only vaguely claiming to understand “the methodology what’s been computed” after repeated questioning. *See* Vogt Dep. Tr. 101:14-23 (“Q. So your report is not based on what the FMC wants us to use for our damages calculation. Is that your testimony? A. If this is what the FMC is allowing, then, yes, we are within the parameters of the FMC. Q. I’m sorry, that wasn’t my question. My question was, do you understand the methodology approved by the FMC? A. I understand the methodology what’s been computed, yes.”) [APP-1038].

376. Vogt is not familiar with FMC regulations around minimum quantity commitments and their enforceability. *See* Vogt Dep. Tr. 110:25-111:6 (“Q. Are you familiar with FMC regulations around MQC? A. No. Q. So if you’re not familiar with FMC regulations around MQC, then how do you know if MQCs are enforceable or not? A. Again, I refer to the service contract.”) [APP-1041].

377. Vogt believes that all necessary FMC rules and regulations are already accounted for in the Service Contract. *See* Vogt Dep. Tr. 111:22-112:6 (“Q. So what I want to ask you is, if the FMC has said that there are requirements around an MQC, do you agree that Dollar General and Yang Ming have to follow those requirements? A. Again -- Q. Yes or no? A. I’m going to refer back to the service contract. If there are other rules and regulations, then the service contract should have considered those other rules and regulations.”) [APP-1041], 113:13-21 (“Q. So if someone without knowledge of FMC regulations tried to opine on a service contract, might they be missing a big part of the picture? A. This is a business arrangement. Dollar General enters into a service contract with not only Yang Ming but 12 other carriers, and surely there’s lawyers involved. That being said, I would have to assume that this service agreement would have considered any FMC rules and regulations.”) [APP-1041].

377.1. Vogt opined that an MQC is merely a “general understanding” of what the parties intend to do, not a binding obligation. *See* Vogt Dep. Tr. 19:15-17 (“Q. So to you, an MQC is just a general understanding? A. Yes.”) [APP-1018].

377.2. Vogt stated that the MQC “doesn’t bind both parties,” but rather merely “offers an option to modify the terms of the agreement.” *See* Vogt Dep. Tr. 76:1-2 (“A. It doesn’t bind both parties. It offers an option to modify the terms of the agreement.”) [APP-1032].

377.3. Vogt stated he “would find it surprising” to learn that the FMC has a regulation requiring that MQCs must be an enforceable quantity commitment between the parties—a regulation governing the very contract at the center of this case. *See* Vogt Dep. Tr. 70:11-18 (“Q. Would it surprise you to learn that the FMC has a regulation stating that MQCs have to be an enforceable quantity commitment between the parties? A. I would find it surprising, because these contracts are entered into on an annual basis, and neither party has the abilities to truly forecast what’s going to happen for the next 12 months.”) [APP-1031].

377.4. Vogt admitted that if the FMC has ruled that shortfall remedies may be pursued outside of contractual liquidated damages provisions, he was not aware of it and did not account for it in his report. *See* Vogt Dep. Tr. 151:3-8 (“A. I was not privy to the OOCL background decisions or anything as to how that lawsuit rolled out. I am merely focusing on the fact that there is a service contract in place, and there was liquidated damages amounting to \$161,000 in place.”) [APP-1051], 152:10-14 (“Q. And you do not feel that that would affect your analysis if you did read it? A. No, it would not, because as a business person, I’m following the terms of the agreement entered into by these two third parties.”) [APP-1051].

378. Vogt admitted he has “no idea” whether service contracts are enforceable by both parties, stating that enforceability “is a legal question.” *See* Vogt Dep. Tr. 17:2-5 (“Q. Are service contracts enforceable by both sides? A. I have no idea. That’s a legal question, what’s enforceable and not.”) [APP-1017].

378.1. Vogt further admitted that he lacked the legal knowledge necessary to opine on whether the Service Contract complied with or accounted for FMC regulations, conceding that he could only “assume” that lawyers had considered those rules when drafting the agreement. *See* Vogt Dep. Tr. 113:13-25 (“Q. So if someone without knowledge of FMC regulations tried to opine on a service contract, might they be missing a big part of the picture? A. This is a business arrangement. Dollar General enters into a service contract with not only Yang Ming but other carriers, and surely there’s lawyers involved. That being said, I would have to assume that this service agreement would have considered any FMC rules and regulations. Q. But you’re not a lawyer, so you don’t know that? A. I don’t know that. That’s why I said I assume.”) [APP-1041].

378.2. Vogt compounded this concession by acknowledging that, given his admitted ignorance of FMC regulations, he could not even identify what he was missing in his analysis of the Service Contract. *See* Vogt Dep. Tr. 114:1-8 (“Q. Without knowing what the FMC regulations are and you admitted to not knowing those, isn’t it at least possible that you’re missing a very major part of the picture here? A. I’m not a lawyer, so I don’t know what I’m missing. Q. You don’t know what you’re missing? A Yes.”) [APP-1042].

379. Vogt acknowledged that his own expert report “is not so much based upon what the FMC wants to see but what Dollar General is alleging in their incremental cost.” *See* Vogt Dep.

Tr. 101:4-23 (“Q. What I’m asking you is, do you understand the FMC-approved formula for determining damages in shortfall cases? MR. KEANE: Asked and answered. You can answer it again. THE WITNESS: Again, my report is not so much based upon what the FMC wants to see but what Dollar General is alleging in their incremental cost. BY MR. RUSHING: Q. So your report is not based on what the FMC wants us to use for our damages calculation. Is that your testimony? A. If this is what the FMC is allowing, then, yes, we are within the parameters of the FMC. Q. I’m sorry, that wasn’t my question. My question was, do you understand the methodology approved by the FMC? A. I understand the methodology what’s been computed, yes.”) [APP-1038].

380. Despite opining repeatedly on the veracity of communications and arguing that written communications categorically cannot be relied upon as evidence, Vogt acknowledged that he had no training or expertise upon which to make such assertions. *See* Vogt Dep. Tr. 155:25- 156:21 (“Q. Do you have a degree in communications? A. No, sir. Q. Do you have a master’s in communications? A. No. Q. Have you ever taught a course on communications or corporate communication? A. No. I don’t even know -- Q. Have you ever taken a course on corporate communication? A. No. I do not even write articles. Q. Have you ever taken a course on determining the veracity of a speaker? A. No. Q. Do you have any insight into whether someone who is writing something is being truthful? A. I think insight on someone being truthful is based upon one interpretation of what’s been written or heard. Q. So do you have internal training or insight into that is my question. I’m not asking your philosophy of on that. A. I do not have any formal training.”) [APP-1052].

380.1. Despite proffering opinions in his expert report on how to interpret communications, Vogt seemed befuddled at the concept of an expert on communications. *See* Vogt Dep. Tr. 155:19-21 (“Q. Do you have any expertise in communications? A. That’s such an ambiguous question, I have no idea what that means.”) [APP-1052].

380.2. Vogt’s only proffered expertise on communications is that he “talk[s] to people”. *See* Vogt Dep. Tr. 155:22, 156:21 (“A. Do I talk to people? Sure... I do not have any formal training.”) [APP-1052].

2. Credibility

381. Vogt has been named in an enforcement action by the SEC. *See* Vogt Dep. Tr. 34:1-6 (“Q. Have you ever been barred from practicing in front of the SEC? A. Yes. Q. Have you ever been named in an enforcement action? A. Yes.”) [APP-1022].

382. Vogt was barred from practicing in front of the SEC as a result of the enforcement action against him, which was related to a 2010 audit he performed for Miller Energy. *See* Vogt Dep. Tr. 34:13-18 (“Q. So what was the basis for being barred from practicing in front of the SEC? A. The basis was in the year of adoption of the Fair Value Accounting Standards, Miller Energy was one of five largest transactions in that year for the adoption of that accounting standard.”) [APP-1022]; Ex. 77 (Order Making Findings and Imposing Remedial Sanctions Pursuant to Sections 4C And 21C of the Securities Exchange Act of 1934 and Rule 102(e) of the Commission’s Rules of Practice as to Carlton W. Vogt, III, CPA) (the “SEC Order”) ¶ 3 [APP-1733].

383. The SEC called Vogt's professional judgment into question when it found that Vogt "failed to perform the 2010 Miller Energy audit in accordance with PCAOB Standards. These deficiencies included, among other items, failing properly to audit the fair value measurements, [] plan, staff and supervise the audit, obtain sufficient competent audit evidence, *exercise due care and professional skepticism*, and perform required audit testing." See Ex. 77 (SEC Order) ¶ 36 (emphasis added) [APP-1738].

384. The SEC also specifically noted that Vogt had failed to account for the fact that *he was not a specialist in the area on which he opined*. See Ex. 77 (SEC Order) ¶ 36 (Vogt failed to "use the work of a specialist") [APP-1738].

385. Vogt stated that he has not made any changes to his auditing skills in the wake of the enforcement action against him. See Vogt Dep. Tr. 41:11-13 ("Q. Did you make any changes to your auditing skills in the wake of that enforcement action? A. No.") [APP-1023].

386. Vogt stated that he did not learn any lessons from the enforcement action against him. See Vogt Dep. Tr. 42:1-4 ("Q. Did you learn any lessons from the enforcement action against you? A. No, because the enforcement actions were unfounded.") [APP-1024].

387. On multiple occasions during his deposition, Vogt seemed unable to recall testimony he had given only a moment ago. See Vogt Dep. Tr. 21:13-18 ("A. Typically, [shortfall is] a very small component of the overall revenues. Q. So your only experience of dealing with shortfall is as a very small component of overall revenues; is that fair to say? A. I didn't say very small.") [APP-1018], 23:9-24:7 ("A. [The number of hours I spent on detention and demurrage issues last year] could be a thousand. I don't know... Q. [C]an you seriously tell me that it's possible that you spent 1,000 hours last year working on detention and demurrage issues?... A. I did not say it's possible. I said, I don't know what the number is.") [APP-1019].

388. Vogt conceded that Yang Ming voluntarily entered into the service contract with an MQC, but was unable to confirm whether Dollar General actually suffered a shortfall in cargo, admitting he did not know what cargo Dollar General had provided. When pressed, Vogt attempted to deflect to performance in a subsequent year, a year he was reminded is not at issue in this case, before retreating to the unsupported assertion that the ability to forecast on both parties was the central issue. See Vogt Dep. Tr. 71:6-13 ("Q. Yang Ming not enter into a service contract with an MQC? I mean, they made the choice to; no one made them. Is that correct? A. That is true, and so did Dollar General. Q. Well, yes, but Dollar General provided sufficient cargo; did they not? A. I don't know what they provided.") [APP-1031], 71:14-24 ("Q. So do you know whether there was a shortfall in this case? A. If we look at the subsequent year, Dollar General didn't provide subsequent cargo. Q. Mr. Vogt, I'm going to stop you right there. The subsequent year is not at issue in this case, so that's not relevant. A. What is at issue is the abilities to forecast on both parties. That's what is at issue here.") [APP-1031].

389. When asked about a key statement that "DG made no true commitment at all to its MQC" in his own expert report, Vogt could not point to any specific sentence or evidence to support it, stating only that "[t]here is no specific sentence. It's an overall synopsis as to the mentality behind the parties." See Vogt Dep. Tr. 72:13-19 ("Q. So which sentence specifically supports your

decision that DG made no true commitment at all to its MQC? A. There is no specific sentence. It's an overall synopsis as to the mentality behind the parties.") [APP-1031].

390. Vogt was unable to identify any specific paragraph in his report that directly supported his conclusion that Dollar General made "no true commitment" to its MQC. *See* Vogt Dep. Tr. 73:1-16 ("Q. Are you saying there is no basis for this sentence in your report? A. No, I didn't say that. I said it's an overall synopsis of the arrangement and issues encountered by both parties. [. . .] Q. Does that sentence support the statement that DG made no true commitment to its MQC? A. It's everything after that all the way up to the 72, 74.") [APP-1031].

391. Vogt instead vaguely gestured to a broad range of paragraphs spanning from paragraph 57 through paragraphs 72 and 74. *See* Vogt Dep. Tr. 73:6-16 ("Q. So which paragraph supports that? A. The following two paragraphs right after 57 and the — the paragraph — Q. So this paragraph says that you are an auditor and you have read many contracts and their foundational pillars. A. Yes. Q. Does that sentence support the statement that DG made no true commitment to its MQC? A. It's everything after that all the way up to the 72, 74.") [APP-1031].

391.1. When counsel pointedly informed Vogt that he had read the report in its entirety and found nothing in it establishing that Dollar General had no obligation to proffer the cargo quantity it had committed to, Vogt was unable to identify where that assertion was wrong. *See* Vogt Dep. Tr. 73:1-25 ("Q. Are you saying there is no basis for this sentence in your report? A. No, I didn't say that. I said it's an overall synopsis of the arrangement and issues encountered by both parties. Q. So which paragraph supports that? A. The following two paragraphs right after 57 and the — the paragraph — Q. So this paragraph says that you are an auditor and you have read many contracts and their foundational pillars. A. Yes. Q. Does that sentence support the statement that DG made no true commitment to its MQC? A. It's everything after that all the way up to the 72, 74. Q. Can you summarize for me what this means? I'm going to tell you right now before you start that I've read this whole thing many times, and nothing in here says to me that DG had no obligation to proffer the amount it said it was going to. Now that I've made that assertion, I would like for you to tell me where I'm wrong. And if you can't, then I'm going to have to feel that my assertion is correct.") [APP-1031].

392. Vogt repeatedly contradicted himself when asked whether Yang Ming had a shortfall for Dollar General in the 2021 shipping year, oscillating between affirming a shortfall, characterizing it as "alleged," and then asserting that Yang Ming in fact offered 2,226 FEUs—without settling on a coherent position. *See* Vogt Dep. Tr. 81:15-22 ("Q. Did Yang Ming have a shortfall for Dollar General in the 2021 shipping year? A. I'm going to say there's an alleged shortfall. Q. Who's alleging it? A. Dollar General. Q. So you have no opinion on whether there was a shortfall?") [APP-1033], 82:20-22 ("Q. Do you believe Yang Ming offered 2,226 FEUs to Dollar General in the 2021 shipping year? A. Yes, I do.") [APP-1034].

393. Vogt asserted in his report that Yang Ming email authors were "sales personnel" whose statements should be discounted, but when pressed at his deposition, he could not identify a single named individual in those emails as a confirmed salesperson. *See* Vogt Dep. Tr. 88:16-18 ("Q. Was Greg Krueger a salesperson? A. I don't remember who was a salesperson and who was operations.") [APP-1035], 89:8-15 ("Q. Was Michael Wu in sales? A. Well, it says, Did Yang Ming transport employees and charge them marketing and business. Q. So, no? A. He's in marketing, so

he would be part of sales. Q. No, because it does not say sales. A. Marketing in my mind is sales.”) [APP-1035], 90:17-23 (“Q. So is Brian Chen in sales? A. Where is your dialogue? Q. I’m just asking you if Brian Chen is in sales. A. When it talks about Brian Chen trying to develop target for shipping here, in my mind, he would be part of sales.”) [APP-1036].

393.1. Vogt ultimately admitted that his definition of “sales” encompasses any Yang Ming employee “involved in the movement of containers,” a definition so broad as to encompass virtually all operations personnel at Yang Ming. *See* Vogt Dep. Tr. 124:7-10 (“Q. So anyone who’s in operations is in sales. Is that your assertion? A. If it’s relating to the movement of a container for particular customers, yes.”) [APP-1044].

393.2. Vogt asserted that his own characterization of whether a person is in sales should control over that person’s characterization. *See* Vogt Dep. Tr. 125:4-8 (“Q. So if she said in her deposition that she’s not part of sales, your definition controls, not hers; is that fair? A. That’s my definition for purposes of my summary commentary.”) [APP-1044].

394. After being given the opportunity to review McCown’s expert report during his deposition, Vogt was unable to point to any specific email cited therein that he could contradict with specific, competing evidence. *See* Vogt Dep. Tr. 131:9-132:2 (“Q. Mr. Vogt, from hearing your testimony on this, it’s clear to me you don’t have any outside evidence or context that would contradict this email. I’m ready to move on from this topic, but I don’t want to be unfair to you. If you feel like there’s a real home run you have that I’m keeping you from saying, please bring it up now, and we’ll go to it; otherwise, we’re going to leave it where it is, and the record that’s going to go in on the FOF is that these were your best examples of contradictions of the emails. A. These were not my best examples because I haven’t – Q. What is the best example? A. I have to have more time to go through the rest of his report. Q. Mr. Vogt, you came to this deposition unprepared to talk about one of your main assertions in this report.”) [APP-1046].

394.1. When pressed to name a specific misstatement or exaggeration made by a salesperson, Vogt repeatedly dodged the question by blaming either lack of preparedness, the length of McCown’s report, or the length of his own report. *See* Vogt Dep. Tr. 90:24-91:19 [APP-1036], 119:11-120:15 (“Q. So if Brian Chen testified he was not part of sales, that would surprise you? A. Again, you’re asking me to make an assertion on these couple of words in a couple sentences without having the opportunity to reread the whole McCown report again... I wrote this report a month ago, and I also have had multiple testimonies on these shipping act lawsuits. So in time – Q. So are you saying you didn’t have time to prepare for this deposition? A I’ve had opportunity to prepare for this deposition. Most of this is based upon what I have been able to reread in the past day or so [...] Because, again, we would have to go back and reread the McCown report to see where those inferences occurred. Q. Mr. Vogt, you already wrote this report. You don’t get to rewrite it and reresearch it during the deposition. It is already asserted – A. You’re asking me to remember what happened a month ago. Q. I mean, to be honest, Mr. Vogt, you should have been prepared for this deposition. You made these assertions. You need to be prepared to stand by them. One of the assertions you made is that there is context that would render these emails inaccurate. I’m asking for any of that context. If you want to look at your reports, I’ve got them right here for you. I think you have printed out copies. This is an assertion you made. You need to be able to stand by and support it, Mr. Vogt. What specific email can you contradict with specific evidence? A. Again, I’m not going to go back. You say

I need -- had time to prepare it. It took me 100 hours plus to be able to prepare this report. It was only last week, I believe, this testimony was agreed upon for this day. Q So you're saying you've had insufficient time to prepare for this deposition. A. My preparation is limited to the data I have at my fingertips and my memories.") [APP-1043].

394.2. Vogt also refused to point to any specific email as the "best" example of a contradiction, instead saying it was "a pervasive commentary in reading through all of these emails." *See* Vogt Dep. Tr. 136:14-19 [APP-1047].

395. Vogt purposefully included in his expert report as Exhibit 15 an article titled "Supply Chain Planning in Africa, How to Apply These Lessons," which contains passages about African retail chains and has no apparent connection to the issues in this proceeding. *See* Vogt Dep. Tr. 139:7-11 ("Q. So did you intend to cite an article on how to grow a supply chain in Africa? Yes or no? A. I intended to include this article as an excerpt in total, although you're referring to portions that are irrelevant to Dollar General.") (Ex. 81) [APP-1048].

396. Vogt admitted that there may be FMC regulations binding Yang Ming of which he is unaware and which his report may not account for. *See* Vogt Dep. Tr. 170:12-20 ("Q. But there may be FMC regulations binding them that you're not aware of; is that correct? A. Yes. Q. It's fair to say your expert report may not be taking into account all of the rules Yang Ming needs to follow; is that fair? A. There are a lot of operational rules for the FMC that I would not be part -- need to be aware of.") [APP-1056].

396.1. Vogt conceded that Yang Ming, as a registered ocean carrier, is bound by FMC regulations. *See* Vogt Dep. Tr. 170:2-11 ("Q. So you agree that they are bound by FMC regulations about that? A. There are rules and regulations for which they operate for -- [...] Q. And Yang Ming is a registered carrier? A. To the best of my knowledge, yes.") [APP-1056].

396.2. Vogt acknowledged that there may be FMC regulations binding Yang Ming that he was entirely unaware of. *See* Vogt Dep. Tr. 170:12-20 ("Q. But there may be FMC regulations binding them that you're not aware of; is that correct? A. Yes. Q. It's fair to say your expert report may not be taking into account all of the rules Yang Ming needs to follow; is that fair? A. There are a lot of operational rules for the FMC that I would not be part -- need to be aware of.") [APP-1056].

396.3. He further admitted that as a result, his expert report may not have accounted for all of the rules Yang Ming was required to follow. *See* Vogt Dep. Tr. 170:12-20 ("Q. But there may be FMC regulations binding them that you're not aware of; is that correct? A. Yes. Q. It's fair to say your expert report may not be taking into account all of the rules Yang Ming needs to follow; is that fair? A. There are a lot of operational rules for the FMC that I would not be part -- need to be aware of.") [APP-1056].

397. Vogt admitted that he did not consult FMC guidance in determining what remedies should be available to Dollar General, dismissing the question of additional remedies outside the service contract as a legal issue beyond his purview. *See* Vogt Dep. Tr. 152:15-20 ("Q. You do not need to look at any FMC guidance to determine what remedies should be available to Dollar

General; is that fair? A. It's a legal issue for me to determine what other remedies exist outside of the service contract, which are subjective.") [APP-1051].

397.1. Vogt refused to interpret damages under current FMC guidance, instead retreating to the service contract and dismissing FMC guidance as subjective and case-specific, before going further to assert that the same principles should not even be applied consistently across cases. *See* Vogt Dep. Tr. 159:12-25 ("Q. Under the current FMC guidance, how would you interpret the damages? A. Frankly, I keep going back to the service contract. FMC guidance you wish to cite is based upon recent cases, and it's subjective case by case by case. Each one of these lawsuits is different based upon the different merits. Q. So you don't believe that they use the same principle in each case to decide it or that they should; is that fair to say? A. I believe you shouldn't use the same principle. I believe it should be based on the merits of that particular claim and the data cited to support the claim.") [APP-1053].

398. Vogt quoted FMC decisions while he conceded that he was not comfortable interpreting FMC cases. *See* Vogt Dep. Tr. 152:21-23 ("Q. Are you comfortable interpreting FMC cases? A. I am not. The other thing, there's an awful lot of dialogue to read.") [APP-1051], 153:9-17 ("Q. So you consulted with counsel on the part of your report where you quoted an FMC case; is that fair? A. Yes. Q. So you are comfortable interpreting an FMC case at times? A. I can interpret it, again, as to the merits and general background. I can't interpret any legal specifics about it.") [APP-1051].

399. Vogt is unaware that the FMC's Administrative Law Judges are bound by previous case precedent when making decisions. *See* Vogt Dep. Tr. 154:16-22 ("Q. So you don't believe that the FMC should take into account past cases when they're deciding this case? A. [...] every case stands on their own. If there is case precedent out there, that is up to the judge to determine what he wants to include and what he doesn't want to include.") [APP-1052].

399.1. Vogt's expert report referenced an FMC case but Vogt ultimately recommended that the Presiding Officer not actually rely on the case he included. *See* Vogt Dep. Tr. 155:12-17 (Q. Do you have an opinion on whether the judge should use this case? [...] A. I'm going to say no because every case stands on its own.") [APP-1052].

3. Bias

400. Vogt is employed by Respondent Yang Ming Marine Transport Corp. as its U.S. auditor and tax preparer, a role he has held for approximately 16 years. *See* Vogt Dep. Tr. 11:24-12:6 ("A. since 2010, I've been the auditor for Yang Ming, which includes not only the vessel, it also includes the logistics, trucking companies in the United States, ports that they either owned wholly or owned in joint venture. Q. So you have been employed by Yang Ming in some capacity for the past 16 years; is that fair? A. Yes, sir.") [APP-1016], 13:7-12 ("Q. So what do you do for Yang Ming? A. We undertake the audits in America, meaning North America, United States, and Canada; the prepared tax returns; as well as any state and franchise local to returns in the U.S. as well as assist in this litigation efforts.") [APP-1016].

401. Yang Ming is Vogt's only regular maritime client; his only other maritime engagement was a single expert witness appearance for BAL Container. *See* Vogt Dep. Tr. 12:7-12 ("Q. Do you work with any other ocean carriers? A. The only other one I've worked for is Bal Container.

Q. And in what capacity did you work for Bal Container? A. As an expert testimony in a litigation.”) [APP-1016].

402. Yang Ming ranks among Vogt’s top five clients by annual revenue, creating a substantial financial interest in the outcome of this proceeding. *See* Vogt Dep. Tr. 13:4-6 (“Q. And has it been Yang Ming ever in the last 16 years? A. Yang Ming is in the top five.”) [APP-1016].

IX. Yang Ming Employees

A. Michael Wu, Senior Manager of Eastbound Marketing & Pricing Team B of Yang Ming’s Commercial Transpacific Department, South Atlantic Region (SAT).

403. During his deposition, Michael Wu, Respondent’s employee who during the relevant time period was in charge of marketing and business management of Respondent’s Eastbound Marketing & Pricing Team B for the Commercial Transpacific Department and responsible for Respondent’s account for Complainant during the 2021 shipping year, attempted to evade truthful and complete answers to whether he had read the original Verified Complaint in this case. *See* Wu Dep. Tr. at 13:22-22:9 (Wu feigning inability to recall or even provide rough estimate of when he received or read the Verified Complaint and claiming it was a “few years ago” where in fact Verified Complaint was filed within less than ten months) [APP-1085-1088], 27:9-30:24 (Wu confirming receipt and review of Verified Complaint between July and October 2025) [APP-1089-1090].

404. Wu provided contradictory testimony as to whether he reviewed documents related to this proceeding despite having reviewed them within days of his deposition. *Compare* Wu Dep. Tr. at 23:10-13 (“***Q. Have you reviewed any documents, other than the verified complaint, as they relate to this proceeding? A. Based on my recollection, I did not.***”) (emphasis added) [APP-1088] *with* 23:14-24:11 (“Q. Mr. Wu, without revealing the substance of any communications you may have had with Yang Ming’s attorneys, what did you do to prepare for your testimony today? A. I met with Yang Ming’s lawyer. And I also talked to my direct supervisor at the time. ***And I also reviewed the documents I retained, as in the ones I just mentioned earlier. The correspondence and mailing between Business and the loading port. Q. So you do recall reviewing documents as they relate to this proceeding. Correct? A. I did. Q. When did you meet with Yang Ming’s lawyers? In preparation for your testimony today? A. Monday and Wednesday of this week. Q. And did you review documents during those meetings? A. I did. Q. Have you otherwise reviewed any documents relating to this proceedings, other than those two meetings with Yang Ming’s lawyers? A. I did read the claim filed with FMC, and also, the mailing I retained.***”) (emphasis added) [APP-1088], 26:2-19 (“Q. Mr. Wu, for about how long were the meetings that you had with Yang Ming’s lawyers in preparation for your testimony today? A. For the meetings that were held on Monday and Wednesday this week, they were slightly over half day. Q. What is slightly over half day, in terms of hours, to you? A. We had our lunch breaks from 12:30 to 1:30 p.m.. So after the lunch break -- after the meeting ended, I returned to my seat, because I still had work to do. So it was slightly over half day. It was not the whole day. ***Q. Did you review documents during those meetings? A. I did read the mails from that contract year.***”) [APP-1089].

405. Wu's attempts to provide incomplete and untruthful testimony prompted Complainant's counsel to remind Wu of his sworn oath to provide complete and truthful testimony to this Court, to which Wu affirmed his understanding. *See* Wu Dep. Tr. at 31:6-20 ("Q. Mr. Wu, do you recall taking an oath at the beginning of this deposition to answer my questions truthfully and completely today? A. I recall that. Q. And do you understand the court reporter is transcribing everything today? A. I know that. **Q. And do you understand the Court overseeing these proceedings will be reviewing that transcript? A. I understand. Q. So if I ask you to take your testimony today with the same seriousness as if you were in open court, you don't have any problem with that. Is that right? A. I have no issue with that.**") (emphasis added) [APP-1090]; *see also id.* at 8:13-16 ("Q. Mr. Wu, is there any reason why you would not be able to answer my questions truthfully and completely today? A. There is none.") [APP-1084].

406. Despite confirming his understanding that he was under oath to provide complete and truthful testimony, Wu nevertheless provided incomplete and untruthful testimony throughout his deposition. *See infra.*

406.1. During his deposition, Wu provided contradictory, incomplete, and untruthful testimony that the estimate he provided in Exhibit 19 was the "worst case scenario". *Compare* Wu Dep. Tr. 84:10-85:9 (Claiming scenario Wu described in his email in Exhibit 19 was the "**worst case scenario**") (emphasis added) [APP-1103] *with* Wu Dep. Tr. 86:16-87:20 (Wu admitting his email in Exhibit 19 did not mention the "worst case scenario") [APP-1104].

406.2. When presented with the original copy of Exhibit 63, which partly contains language originally in Mandarin, Wu proceeded to provide incomplete and dishonest testimony as to that document, including after he was presented with Exhibit 63a. *Compare* Wu Dep. Tr. 107:18-116:10 (Wu testimony as to Exhibit 63) [APP-1109-1111] *with* Wu Dep. Tr. 116:11-134:21 (Wu testimony as to Exhibit 63a) [APP-1111-1116].

406.2.1. When presented with the original copy of Exhibit 63, Wu testified that Yang Ming's proposal to Dollar General to re-route Dollar General's shipments away from the Ports of Los Angeles/Long Beach was due to "congestion". *See* Ex. 63 (YM_01680094) at YM_01680096 [APP-1423]; Wu Dep. Tr. 113:15-114:19 ("Q. And where you write "Please arrange via PN ports, or arrange to LAX/LGB CY if customer accepts," what do you mean by that? A. "[Chinese spoken.]" INTERPRETER: Interpreter just asked the witness to pause for a second. THE WITNESS: It was because for the customer, the original plan was to use the PS routing via the railroad to Fulton, MO, to reach the location. However, since the southwestern ports of the U.S., as in Los Angeles and Long Beach, were very congested -- INTERPRETER: Interpreter would like to correct this sentence. "However, if the southwestern ports of the U.S., as in Los Angeles and Long Beach, they were the busiest ports in the U.S. at the time, and they were very congested, that would affect the subsequent arrangement of the railroad. In order to avoid the delays, if possible, we would recommend prioritizing using the PN route. And finally, if the customer does accept their cargoes are only delivered to the discharging ports in Los Angeles or Long Beach, then we would accept that change, since it would not involve subsequent railroad transportation, and incur the railroad congestion issues.") [APP-1110-1111].

406.2.2. When presented with Exhibit 63a, the certified English translation of Exhibit 63, Wu contradicted his earlier testimony on Exhibit 63 by attempting to provide alternative excuses for Yang Ming's scheme to block Dollar General's attempts to book shipments through the Ports of Los Angeles/Long Beach. See Ex. 63a (YM_01680094_EN) at 1-4 [APP-1425-1428]; Ex. 63 (YM_01680094) at YM_01680094-96 [APP-1421-1423]; Wu Dep. Tr. 123:5-124:5 ("THE WITNESS: Regarding the English version, there is no issue here. But I would like to supplement the background context of this email. First of all, according to the contract we signed with Dollar General, it clearly stated the port pairs, as in from which specific loading port to the specific destination. At the time, it was talking about from the loading port to the destination. So in this case, we were discussing Shanghai. So it will be from Shanghai to the Los Angeles or Long Beach port. If we return to the previous PowerPoint, where there was the relevant table, it was clearly stated there. And the Shanghai to Los Angeles, or Long Beach port, was not included in that table. And, therefore, there is no obligation for us to guarantee a certain volume for that particular port pair. And, therefore, we provided this alternative solution, as in the customer originally wanted the cargoes to be shipped from Los Angeles, or Long Beach port to Fulton, MO, and we provided this alternative solution.") [APP-1113], 124:16-20 ("A. Before we provided that alternative from Long Beach or Los Angeles port, our first priority was to ship the cargo from the northwestern port, as in from Tacoma, to the customer's destination in Fulton, MO.") [APP-1113], 125:13-126:23 ("Q. And you continue: "The reason for the restriction at the time was actually because the client was arguing that the LA/LB Dwell Fee should be absorbed by the shipping company. To avoid any disputes, we used the congestion as a reason to ask the client to change the PN routing." Correct? A. I see that. Q. And so, here, you are writing that you picked this alternative to avoid disputes with Dollar General, based on cargo Dwell Fees? THE WITNESS: "[Chinese spoken.]" INTERPRETER: Interpreter will ask the witness to pause for a second. THE WITNESS: That is not the case. It is referring to the previous paragraph, whereby within our system, there is restriction regarding Los Angeles and Long Beach port booking. Because this port pair is not stated in their contract. The reason why there was such restriction was because at the time, Los Angeles and Long Beach port had to implement a new Dwell Fee. And that would be dependent on how long the cargo stays at the port. And the customers believed that that fee should be fully absorbed by the shipping company. Therefore, we recommended the PN route, as in shipping the cargo to the customer's final destination in Fulton, that would be our first priority. And the second one would be the alternative solution, which was to ship from the Los Angeles or Long Beach port for the cargo.") [APP-1113-1114], 127:4-128:4 ("Q. And you are saying this here -- where you say, "This supplement is for internal reference only and should not be disclosed to the client," you are saying Dollar General should not know about the following information. Correct? A. *We were hoping that our Shanghai colleagues would not disclose such information to the customer.* For -- on this page, the congestion is a reason, and it is the most important reason. We were hoping that the customer would use the PN route instead to ship to Fulton, their final destination. We were hoping that not to lose focus on the alternative solution,

because of this issue. ***Q. And why didn't you want to tell Dollar General the truth about that?*** A. "[Chinese spoken.]" INTERPRETER: Interpreter would like to clarify a term with the witness. "[Chinese spoken.]" ***THE WITNESS: It was because the Los Angeles and Long Beach port cargo, that would not be the main alternative solution. We were hoping that the issues would not be extended to the Los Angeles and Long Beach port cargoes, and we should just focus on the route -- the PN route, to Fulton.***") (emphasis added) [APP-1114].

406.2.3. Wu ultimately admitted that Yang Ming wanted to avoid disputes with Dollar General as to which party would be responsible for dwell fees incurred at the Ports of Los Angeles/ Long Beach. *See* Ex. 63a (YM_01680094_EN) at 1-4 [APP-1425-1428]; Ex. 63 (YM_01680094) at YM_01680094-96 [APP-1421-1423]; Wu Dep. Tr. 128:6-18 ("Q. And did you think Dollar General wouldn't accept that reasoning? A. Before that, we had discussions with Dollar General. And at the time when Los Angeles and Long Beach came out with the Dwell Fee, regarding this new fee, we made public announcements. And at that time, Dollar General had already clearly stated that they would not pay for that fee. And since Los Angeles and Long Beach port cargo was not within the scope of our contract, I believe that disputing who should pay the Dwell Fee is not necessary.") [APP-1114].

406.2.4. The fact that Wu attempted to provide alternative excuses for Yang Ming's scheme to block Dollar General's attempts to book its shipments through the Ports of Los Angeles/Long Beach only after being confronted with the full translation of Exhibit 63 demonstrates that, despite his earlier confirmation as to his understanding of the oath he took to provide true and complete testimony, Wu intentionally failed to provide truthful and complete testimony when first questioned about Exhibit 63. *See* Ex. 63a (YM_01680094_EN) at 1-4 [APP-1425-1428]; Ex. 63 (YM_01680094) at YM_01680094-96 [APP-1421-1423]; Wu Dep. Tr. 126:9-19 ("***The reason why there was such restriction was because at the time, Los Angeles and Long Beach port had to implement a new Dwell Fee. And that would be dependent on how long the cargo stays at the port. And the customers believed that that fee should be fully absorbed by the shipping company. Therefore, we recommended the PN route, as in shipping the cargo to the customer's final destination in Fulton, that would be our first priority.***") (emphasis added) [APP-1114].

406.2.5. Wu's alternative excuses as to Exhibit 63 are inaccurate and not credible, including because the Service Contract between Dollar General and Yang Ming explicitly provided that Yang Ming committed to allocating to Dollar General at least 1,000 FEUs of cargo space to shipments from origin ports in China to the Ports of Los Angeles/Long Beach. *Compare* Ex. 1 (DGFMC-0000001) at DGFMC-0000009 [APP-1144]; Ex. 69 (DGFMC-0084151 – WORKSHEET) at Column (P, R, T, AB), Row (714, 838, 920, 1001) [APP-1481] *with* Wu Dep. Tr. 123:5-124:5 (Wu claiming Dollar General's attempts to book space were blocked because the requested port pairs were not covered by Service Contract) [APP-1113], 125:13-126:23 (same) [APP-1113-1114]; *see also* Wu Dep. Tr. 115:11-24 ("Q. So

this email chain involves you communicating routing and other issues with Dollar General, with Yang Ming's China-based outbound team for imports into the United States. Correct? A. This is mainly regarding the discussions of the fact that we had to satisfy the customer's requirements of the spaces. Q. What customer requirements are you referring to? A. That is referring to the customer's requirement of the spaces. That is based on the contract we signed with the customer, in which it was clearly stating the total volume of the specific loading port and the destination.") [APP-1111].

406.2.6. Mr. Wu confirmed his ability to read Mandarin prior to the introduction of Wu Exhibit 63a. *See* Wu Dep. Tr. 108:1-108:7 ("Q. And parts of this appear to be in Mandarin. Correct? A. Yes. Q. And you don't have any problem with reading Mandarin. Correct? Okay. We'll start at the bottom and work up like we have before. A. That's fine.") [APP-1109].

406.2.7. Mr. Wu confirmed the accuracy of the key email in Wu Exhibits 63/63a. *See* Ex. 63a (YM_01680094_EN) at 1 [APP-1425]; Ex. 63 (YM_01680094) at YM_01680094 [APP-1421]; Wu Dep. Tr. 123:5-8 ("THE WITNESS: *Regarding the English version, there is no issue here.* But I would like to supplement the background context of this email.") (emphasis added) [APP-1113].

407. Wu's testimony as to Exhibits 63 and 63a, which purportedly included detailed recollection of "background context" of a single email chain from over four years ago, reveals that Wu's earlier testimony concerning his purported inability to remember whether he read the Verified Complaint in this case within ten months of his deposition was part of Wu's deliberate attempt to obfuscate material facts and furnish incomplete and dishonest testimony to this Court despite Complainant's repeated reminders as to the seriousness of Wu's sworn testimony. *See supra*.

408. During his deposition in this case, Wu testified as to the existence of YM internal documents, including documents YM's "newcomer program", *see* Wu Dep. Tr. 41:20-42:24 [APP-1092-1093]; antitrust training materials, *see* Wu Dep. Tr. 46:12-47:3 [APP-1094]; Wu's instructor Power Point, *see* Wu Dep. Tr. 55:2-10 [APP-1096]; and other YM internal training materials. *See* Wu Dep. Tr. 64:3-18 [APP-1098].

408.1. Following DG counsel's on-the-record requests during Wu's deposition in this case and follow up requests via email, YM produced certain of the above materials on May 25, 2026.

B. Brian Chen, Manager of Eastbound Marketing & Pricing of Yang Ming's Commercial Transpacific Department.

409. During his deposition in this case, Brian Chen gave self-serving testimony that lacks credibility. *See* Chen Dep. Tr. 30:21-23 ("Q. So Yang Ming would not seek to resell that unused space? A. Those spaces would not be resold."), Chen Dep. Tr. 58:5-7 (testifying that when signing

the 2021-2022 year contract, “Whether it would be a good year for the carriers or not, at the time of the signing, we could not determine that.”) [APP-283, APP-290].

410. During his deposition in this case, Brian Chen gave evasive, talking-point-style testimony that avoided directly responding to the question asked. *See* Chen Dep. Tr. 43:13-23 (“Q. So is it fair to say that you received complaints from Yang Ming's BCO customers, regarding lack of accepted bookings, during the 2021 shipping year? A. We did ask our sales personnel, who was responsible for the contract, regarding the feedback from the shippers. Because some shippers reflected that the volume at the loading port was much less. However, based on our investigation of the loading port, the situation is not what the shipper reflected.”) [APP-286], Chen Dep. Tr. 76:8-20 (“For the customers with low contract completion, we asked our team to investigate the reasons for the low completion rate. For those customers who have gone through more than half of the contract. So we asked our teams to investigate, to find out what are the reasons for the low contract completion, to see whether the customers were not satisfied with our spaces or our services. So we want to investigate the reasons in order to improve that, and also, to avoid customers’ complaints, that would be beneficial for our contracts with the customers for the next year.”) [APP-294].

Dated: September 23, 2026

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondent Yang Ming Marine Transport Corp. by emailing a copy of the document to its counsel of record listed below:

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